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MGT603 Finalterm Papers...9 Papers Solved..

By Dua Waqar

4 papers of 2010, 2 paper of 2009, 2 papers of 2008 and 1 paper of 2007

FINALTERM EXAMINATION

Spring 2010

MGT603- Strategic Management

Question No: 1 (Marks: 1) - Please choose one

Strategist is an individual who is involved in the strategic management process, thus may be known as:

- ▶ Member board of director
- ▶ **President**
- ▶ Division manager
- ▶ All of the given options

Strategists are individuals who form strategies. Strategists have various job titles, such as chief executive officer, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur. Page#6

Question No: 2 (Marks: 1) - Please choose one

The objectives set by a manager should have which of the following characteristics?

- ▶ Should spell out how fast the company's strategy is to be implemented
- ▶ **Should be challenging and congruent among organizational units**
- ▶ Should include long-range performance targets but not short-range targets
- ▶ Should include financial performance targets but not strategic performance targets

Objectives should be challenging, measurable, consistent, reasonable, and clear.

Page#9

Question No: 3 (Marks: 1) - Please choose one

Which of the following is TRUE about anti-trust legislation?

- ▶ The is the law intended to protect the ozone layer in the environment
- ▶ This is the law intended to regulate the tax rates in the economy
- ▶ **This is the law intended to promote free competition in the market**
- ▶ This is the law intended to regulate and register the patents

For example, anti trust legislation where there is an effort to ban the monopolies.

Page#35

Question No: 4 (Marks: 1) - Please choose one

Financial ratios are helpful in analyzing the relationship between/among which of the following?

- ▶ All assets and liabilities
- ▶ Profits and costs
- ▶ **All functional areas of business**

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- ▶ Sales and profitability

Because, the functional areas of business are so closely related, financial ratios can signal strengths or weaknesses in management, marketing, production, research and development, and computer information systems activities. Page#64

Question No: 5 (Marks: 1) - Please choose one

Which function of management includes areas such as job design, job specification, job analysis and unity of command?

- ▶ Planning
- ▶ Motivating
- ▶ **Organizing**
- ▶ Leading

Organizing includes all those managerial activities that result in a structure of task and authority relationships. Specific areas include organizational design, job specialization, job descriptions, job specifications, span of the control, and unity of command, coordination, job design, and job analysis. PAGE#53

Question No: 6 (Marks: 1) - Please choose one

Distribution includes which of the following?

- ▶ Customer analysis
- ▶ **Warehousing**
- ▶ Advertising
- ▶ Test marketing

Distribution includes warehousing, distribution channels, distribution coverage, retail site locations, sales territories, inventory levels and location, transportation carriers, wholesaling, and retailing. Page#62

Question No: 7 (Marks: 1) - Please choose one

Opportunity analysis is one of the basic functions of which one of the following?

- ▶ Computer information systems
- ▶ **Marketing** Page#61
- ▶ Production/operations
- ▶ Research and development

There are seven basic functions of marketing:

- (1) Customer analysis,
- (2) Selling products/services,
- (3) Product and service planning,
- (4) Pricing,
- (5) Distribution,
- (6) Marketing research, and
- (7) Opportunity analysis.

Question No: 8 (Marks: 1) - Please choose one

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“Max Rent-a-Car” is opening car rental shops in Wal-Mart stores, is an example of which type of strategy?

- ▶ Forward integration
- ▶ Backward integration
- ▶ **Related diversification**
- ▶ Unrelated diversification

What is related Diversification? It is when a business adds or expands its existing product lines or markets. For example, a phone company that adds or expands its wireless products and services by purchasing another wireless company is engaging in related diversification.

Question No: 9 (Marks: 1) - Please choose one

_____ refers to a strategy of seeking ownership or increased control over a firm's competitors.

- ▶ Conglomerate diversification
- ▶ Backward integration
- ▶ **Horizontal integration** Page#80
- ▶ Concentric diversification

Horizontal Integration: seeking ownership or increased control over a firm's competitors

Question No: 10 (Marks: 1) - Please choose one

The company acquires or develops new products that could appeal to its current customer groups even though those new products may be technologically unrelated to the existing product lines. Which of the following best describes the statement?

- ▶ Retrenchment
- ▶ **Horizontal diversification**
- ▶ Market development
- ▶ Horizontal integration

Horizontal diversification: Adding new, unrelated products or services for present customers Page#80

Question No: 11 (Marks: 1) - Please choose one

SPACE matrix has four quadrants. All of the following are SPACE Matrix quadrants EXCEPT:

- ▶ Aggressive
- ▶ Defensive
- ▶ Competitive
- ▶ **Offensive**

Four-quadrant named aggressive, conservative, defensive, or competitive strategies Page#100

Question No: 12 (Marks: 1) - Please choose one

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Which of the following are the two internal dimensions represented on the axes of the SPACE Matrix?

- ▶ Environmental stability and industry strength
- ▶ Industry strength and competitive advantage
- ▶ **Competitive advantage and financial strength**
- ▶ Financial strength and environmental stability

(Internal dimensions) financial strength, competitive advantage, (External dimensions) environment stability and industry strength Page#100

Question No: 13 (Marks: 1) - Please choose one

SPACE Matrix contains two types of dimensions. Which of the following are the two external dimensions to be considered in SPACE Matrix?

- ▶ **Environmental stability and industry strength**
- ▶ Environmental stability and competitive advantage
- ▶ Industry strength and competitive advantage
- ▶ Industry strength and Financial strength

Question No: 14 (Marks: 1) - Please choose one

What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-4, -4)?

- ▶ Aggressive
- ▶ Conservative
- ▶ Competitive
- ▶ **Defensive** Page#100

Question No: 15 (Marks: 1) - Please choose one

BCG matrix is used in matching stage of strategy formulation framework. It plots the business units along which of the following dimensions?

- ▶ Market share and industry strength
- ▶ **Market share and market growth rate** Page#103
- ▶ Market growth rate and competitive position
- ▶ Market growth rate and environment stability

Question No: 16 (Marks: 1) - Please choose one

Business units that have low market share and are operating in slow-growing industry should choose all of the following **EXCEPT**:

- ▶ **New investments**
- ▶ Production efficiency
- ▶ Product innovation
- ▶ Distribution efficiency

Question No: 17 (Marks: 1) - Please choose one

When a division of an organization has a high relative market share and is in a fast-growing industry, it will be categorized as which type in BCG matrix?

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► **Star**

- Cash cow
- Question mark
- Dog

Stars Units with a high market share in a fast-growing industry Page#103

Question No: 18 (Marks: 1) - Please choose one

Which of the following is the first step in developing QSPM?

► **Developing a list of the firm's key external and internal factors**

- Determining the Attractiveness Scores for each strategy
- Examine the Stage 2 matrices and identify alternative strategies
- Assigning weights to each key external and internal factor

Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix. Called the Input Stage, Stage 1 summarizes the basic input information needed to formulate strategies. Page#97

Question No: 19 (Marks: 1) - Please choose one

Advantages of a functional organization structure would include all EXCEPT which one of the following?

- Promotes division and specialization of labor
- Promotes functional rivalry
- Promotes economic efficiency
- **Promotes delegation of authority**

Some disadvantages of a functional structure are that it forces accountability to the top, minimizes career development opportunities, and is sometimes characterized by low employee morale, line/staff conflicts, poor delegation of authority, and inadequate planning for products and markets. Page#118

Question No: 20 (Marks: 1) - Please choose one

Which one of the following is the organizational structure that most of the medium-size organizations follow?

► **Divisional structure**

- Strategic business unit
- Functional structure
- Matrix structure

Small firms tend to be functionally structured (centralized). Medium-size firms tend to be divisionally structured (decentralized). Large firms tend to use an SBU (strategic business unit) or matrix structure. Page#117

Question No: 21 (Marks: 1) - Please choose one

A divisional structure by geographic area is most appropriate in which of the following situation?

► **Organizations have similar branch facilities in dispersed areas**

- Organization offers a limited number of products or services
- Organization needs strict control over product lines

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- ▶ Organization has to serve a large geographic area

A divisional structure by geographic area is appropriate for organizations whose strategies need to be tailored to fit the particular needs and characteristics of customers in different geographic areas. This type of structure can be most appropriate for organizations that have similar branch facilities located in widely dispersed areas Page#119

Question No: 22 (Marks: 1) - Please choose one

Which of the following is best identified as being an adaptation of the divisional structure?

- ▶ Vertical Integration
- ▶ **Strategic business units**
- ▶ Joint venture
- ▶ None of the given options

Question No: 23 (Marks: 1) - Please choose one

"Performance comparison of organization business processes against an internal or external standard of recognized leaders." Identify the term relevant to the specified statement.

- ▶ Restructuring
- ▶ Process redesign
- ▶ Reengineering
- ▶ **Benchmarking**

Benchmarking: performance comparison of organizational business processes against an internal or external standard of recognized leaders most often the comparison is made against a similar process in another organization considered "world class."

http://www.adamssixsigma.com/Glossary_of_terms/six_sigma_glossary_B.htm

Question No: 24 (Marks: 1) - Please choose one

After completing an EPS/EBIT analysis, what conclusions would you make if the debt line is above the stock line throughout the range of EBIT on the graph?

- ▶ **Debt appears to be the best financing alternative**
- ▶ Stock would be the best financing alternative
- ▶ Combination of debt and stock is the best financial alternative
- ▶ Dividends must be considered before concluding

Question No: 25 (Marks: 1) - Please choose one

What is a central strategy-implementation technique that allows an organization to examine the expected results of various actions and approaches?

- ▶ Financial budgeting
- ▶ TOWS analysis
- ▶ **Projected financial statement**

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- ▶ External analysis

Pro forma (projected) financial statement analysis is a central strategy-implementation technique because it allows an organization to examine the expected results of various actions and approaches. Page#136

Question No: 26 (Marks: 1) - Please choose one

Retained earnings are obtained by subtracting which of the two items?

▶ **Dividends from Net Income**

- ▶ EBIT from Net Income
- ▶ Taxes from EBIT
- ▶ Interest Expense from EBIT

Retained Earnings (RE) = Beginning RE + Net Income - Dividends

Question No: 27 (Marks: 1) - Please choose one

XYZ Company has controlled its distributors so that no other firm can access the scarce natural resources available in the country, which are used in XYZ's production. This action is taken in order to reduce which of the following:

- ▶ The bargaining power of customers
- ▶ The bargaining power of suppliers
- ▶ **The threat of new entrants**
- ▶ The threat of substitute products

Question No: 28 (Marks: 1) - Please choose one

While evaluating a strategy, corrective actions are almost always needed EXCEPT:

▶ **When external and internal factors have not significantly changed**

- ▶ When the firm is not progressing satisfactorily toward objectives
- ▶ When the firm has not achieved the stated organizational goals
- ▶ When there are differences between desired results and achieved results

Corrective actions are almost always needed except when

- (1) external and internal factors have not significantly changed and**
- (2) The firm is progressing satisfactorily toward achieving stated objectives.**

Page#146

Question No: 29 (Marks: 1) - Please choose one

Outbound logistics includes which one of the following?

- ▶ Receiving, storing, inventory control, transportation planning
- ▶ Machining, packaging, assembly, equipment maintenance, testing
- ▶ **Activities required to get the finished product at the customers**
- ▶ Activities that maintain and enhance the product's value

Outbound Logistics: The activities required to get the finished product at the customers: warehousing, order fulfillment, transportation, distribution management Page#147

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Question No: 30 (Marks: 1) - Please choose one

Which of the following statement is correct about operations?

- ▶ It includes receiving, storing, inventory control & transportation planning
- ▶ **It includes machining, packaging, assembling, maintaining equipment & testing**
- ▶ It includes the activities required to get the finished product at the customers
- ▶ It includes the activities that maintain and enhance the product's value

Operations: Includes machining, packaging, assembly, equipment maintenance, testing and all other value-creating activities that transform the inputs into the final product.

Question No: 31 (Marks: 1) - Please choose one

All of the following are support activities of Porter's supply chain model EXCEPT:

- ▶ Firm Infrastructure
- ▶ **Marketing and Sales Page#147**
- ▶ Technology Development
- ▶ Procurement

Support activities (Staff functions, overhead)

Procurement: Procurement of raw materials, servicing, spare parts, buildings, machines, etc.

Technology Development: Includes technology development to support the value chain activities. Such as: Research and Development, Process automation, design, redesign.

Human Resource Management: The activities associated with recruiting, development (education), retention and compensation of employees and managers.

Firm Infrastructure: Includes general management, planning management, legal, finance, accounting, public affairs, quality management, etc.

Question No: 32 (Marks: 1) - Please choose one

The product design, packaging, product disposal and corporate rewards should reflect which of the following?

- ▶ Product quality consideration
- ▶ Union consideration
- ▶ **Environmental consideration Page#156**
- ▶ Customer consideration

Product design, manufacturing, transportation, customer use, packaging, product disposal, and corporate rewards and sanctions should reflect environmental considerations.

Question No: 33 (Marks: 1) - Please choose one

Adapting to change confronts an organization's strategic management to which of the following issue(s):

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- ▶ What kind of business we should be in?
- ▶ Are we in the right field?
- ▶ Should we reshape our business?

▶ **All of the given options**

The need to adapt to change leads organizations to key strategic management questions, such as “What kind of business should we become?” “Are we in right field?” “Should we reshape our business?” “Are new technologies being developed that could put us out of business?” Page#06

Question No: 34 (Marks: 1) - Please choose one

Which of the following is **TRUE** about Vision statement of a company?

- ▶ It defines the customers
- ▶ **It concentrates on future**
- ▶ It identifies critical processes
- ▶ It informs about the desired level of performance

A vision statement is sometimes called a picture of your company in the future but it's so much more than that. Page#18

Question No: 35 (Marks: 1) - Please choose one

Mission of a business is the foundation of all of the following **EXCEPT**:

- ▶ Priorities
- ▶ Strategies
- ▶ Plans
- ▶ **Wages**

A clear mission statement describes the values and priorities of an organization. Developing a mission statement compels strategists to think about the nature and scope of present operations. Page#07

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **FALSE** about vision and mission statements?

▶ **Vision statement gives the overall purpose of an organization while a mission statement describes a picture of the preferred future** Page#07

- ▶ A vision statement describes how the future will look if the organization achieves its mission and a mission statement explains what the organization does
- ▶ Mission statement answers the questions what is our business and the vision statement answers the question what do we want to become
- ▶ Mission statement explains the current position and activities of a firm whereas vision statement explains the future objective

Question No: 37 (Marks: 1) - Please choose one

The in-house R&D is a preferred solution in which of the following situations?

- ▶ **Technological progress is slow and market growth is moderate**
- ▶ Technology is changing rapidly and market is growing slowly
- ▶ Technology is changing slowly and market is growing quickly

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- ▶ Both technological progress and market growth rate are fast

If the rate of technical progress is slow, the rate of market growth is moderate, and there are significant barriers to possible new entrants, then in-house R&D is the preferred solution. Page#141

Question No: 38 (Marks: 1) - Please choose one

Identify a strategy which uses firm's internal strengths to take advantage of external opportunities.

▶ **SO**

▶ WO

▶ SW

▶ WT

Question No: 39 (Marks: 1) - Please choose one

Which of the following includes the set of shared values, beliefs, attitudes, customs, norms, personalities, heroes and heroines that describe a firm?

▶ Strategy

▶ **Culture**

▶ Mission

▶ Objectives

Cultural products include values, beliefs, rites, rituals, ceremonies, myths, stories, legends, sagas, language, metaphors, symbols, heroes, and heroines. Page#52

Question No: 40 (Marks: 1) - Please choose one

The culture of a firm is important when considering strategies because:

▶ **Cultural products can support strategies so managers can often implement changes swiftly and easily**

▶ Everyone in the firm should have a vote as to which strategies to implement

▶ Culture can dictate the choice of strategies

▶ Employees always welcome cultural change

If strategies can capitalize on cultural strengths, such as a strong work ethic or highly ethical beliefs, then management often can implement changes swiftly and easily. Page#52

Question No: 41 (Marks: 1) - Please choose one

Which of the following is NOT a major factor that commonly prohibits effective resource allocation?

▶ Overprotection of resources

▶ Organizational politics

▶ Vague strategy targets

▶ **Ability to take risks**

A number of factors commonly prohibit effective resource allocation, including an overprotection of resources, too great an emphasis on short-run financial criteria,

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organizational politics, vague strategy targets, a reluctance to take risks, and a lack of sufficient knowledge Page#116

Question No: 42 (Marks: 1) - Please choose one

Which of the following best describes “Just in time”?

- ▶ implementing strategies just before bankruptcy
- ▶ **delivering materials just as they are needed**
- ▶ a scheduling method for meetings
- ▶ a personnel planning method

With JIT, parts and materials are delivered to a production site just as they are needed, rather than being stockpiled as a hedge against later deliveries Page#127

Question No: 43 (Marks: 1) - Please choose one

Which of the following factors should be studied before locating production facilities?

- ▶ Availability of major resources
- ▶ Location of major markets
- ▶ Availability of trainable employees
- ▶ **All of the given options**

Question No: 44 (Marks: 1) - Please choose one

All of the following are strategic responsibilities of the human resource manager EXCEPT:

- ▶ Assessment of staff needs
- ▶ Assessment of costs for alternative strategies
- ▶ Development of staffing plan
- ▶ **Development of financial plan**

Question No: 45 (Marks: 1) - Please choose one

Identify a reason due to which market segmentation is considered to be an important variable in strategy implementation.

- ▶ All company strategies require increased sales through new markets and products
- ▶ It allows a firm to operate with limited resources
- ▶ Market segmentation decisions directly affect marketing mix variables
- ▶ **All of the given options** Page#131

Market segmentation is an important variable in strategy implementation for at least three major reasons:

1. First, strategies such as market development, product development, market penetration, and diversification require increased sales through new markets and products.
2. Second, market segmentation allows a firm to operate with limited resources because mass production, mass distribution, and mass advertising are not required.

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3. Finally, market segmentation decisions directly affect marketing mix variables: product, place, promotion, and price

Question No: 46 (Marks: 1) - Please choose one

All of the following are the qualitative questions for evaluating strategies identified by Seymour Tilles **EXCEPT**:

- ▶ Is the strategy internally consistent?
- ▶ **Is the strategy having an appropriate return on investment?**
- ▶ Is the strategy consistent with the environment?
- ▶ Is the strategy appropriate in view of available resources?

Seymour Tilles identified six qualitative questions that are useful in evaluating strategies:

1. Is the strategy internally consistent?
2. Is the strategy consistent with the environment?
3. Is the strategy appropriate in view of available resources?
4. Does the strategy involve an acceptable degree of risk?
5. Does the strategy have an appropriate time framework?
6. Is the strategy workable?

Question No: 47 (Marks: 1) - Please choose one

Which of the following is defined as having alternative plans that can be put into effect if certain key events do not occur as expected?

- ▶ corporate agility
- ▶ Scenario planning
- ▶ Forecasting
- ▶ **Contingency planning**

Contingency plans can be defined as alternative plans that can be put into effect if certain key events do not occur as expected. Page#155

Question No: 48 (Marks: 1) - Please choose one

All of the following are key financial ratios **EXCEPT**:

- ▶ Market share
- ▶ **Production quality** Page#151
- ▶ Earnings per share
- ▶ Return on equity

Some key financial ratios that are particularly useful as criteria for strategy evaluation are as follows:

1. Return on investment
2. Return on equity
3. Profit margin
4. Market share
5. Debt to equity
6. Earnings per share

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7. Sales growth

8. Asset growth

FINAL TERM EXAMINATION

Spring 2010

MGT603- Strategic Management (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

Concentric Diversification involves heading towards which of the following?

▶ Adding new, but related, products or services Page#80

- ▶ Adding new, unrelated products or services
- ▶ Regrouping through cost and asset reduction
- ▶ Adding unrelated products or services for new customers

Question No: 2 (Marks: 1) - Please choose one

Which of the following is often considered the first step in strategic planning?

▶ Devising a mission statement

▶ Developing a vision statement

- ▶ Setting annual objectives
- ▶ Formulating set of strategies

Developing a vision statement is often considered the first step in strategic planning

Page#6

Question No: 3 (Marks: 1) - Please choose one

Which of the following can be considered as a factor of internal strengths and weaknesses of an organization?

▶ Technological changes

▶ Production/operations

- ▶ Demographics
- ▶ Competitive trends

They arise in the management, marketing, finance/accounting, production/operations, research and development, and computer information systems activities of a business. Page#08

Question No: 4 (Marks: 1) - Please choose one

Long-term objectives include all of the following except:

▶ Measurable

▶ Reasonable

▶ Varying

▶ Consistent

The Nature of Long-Term Objectives

Objectives should be quantitative, measurable, realistic, understandable, challenging, hierarchical, obtainable, and congruent among organizational

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units.Page#09

Question No: 5 (Marks: 1) - Please choose one

All of the following statements are true about a firm's mission statement EXCEPT:

- ▶ A mission statement directly contributes positively to financial performance
- ▶ A mission statement does not directly contribute positively to financial performance

▶ **A mission statement should not provide useful criteria for selecting among alternative strategies**

- ▶ Primary reason to develop a mission statement is not to attract the customers

Question No: 6 (Marks: 1) - Please choose one

According to 'Peter Drucker', what is the prime task of strategic management?

- ▶ To develop the vision of the business
- ▶ effectively evaluate the strategies
- ▶ **To think through the overall mission of a business**
- ▶ Develop alternative set of strategies

Peter Drucker says:

"The prime task is to think through the overall mission of a business". Page#04

Question No: 7 (Marks: 1) - Please choose one

"A complex set of basic underlying assumptions and deeply held beliefs shared by all members of the group and drive in important ways the behavior of individuals in the organizational context" is known as:

- ▶ Internal audit
- ▶ **Organizational culture**
- ▶ Internal assessment
- ▶ Organizational strategy

Organizational Culture - Organizational Culture is a complex set of basic underlying assumptions and deeply held beliefs shared by all members of the group that operate at a preconscious level and drive in important ways the behavior of individuals in the organizational context.

http://www.ampolbiz.com/consulting/resources/strategy_glossary.htm

Question No: 8 (Marks: 1) - Please choose one

Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization?

- ▶ **Investment decision Page#64**
- ▶ Financing decisions
- ▶ Restructuring decisions
- ▶ Strategic decision

The investment decision, also called capital budgeting, is the allocation and reallocation of capital and resources to projects, products, assets, and divisions of an

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organization.

Question No: 9 (Marks: 1) - Please choose one

Amir, a sole proprietor, uses the information system to ask the question; “What if the prices will decrease by 16% in the next year?” Which of the following functions the information system is performing for Amir?

- ▶ Functional support role
- ▶ **Decisional support role**
- ▶ Managerial support role
- ▶ Analytical supporting role

Decisional support role: It allows users to ask very powerful "What if...?" questions: What if we increase the price by 5%? What if we increase price by 10%? What if we decrease price by 5%? Page#73

Question No: 10 (Marks: 1) - Please choose one

Which of the following is sometimes referred as “the mystery approach to decision making, when subordinates are left to figure out what is happening and why”?

- ▶ Managing by hope
- ▶ Managing by extrapolation
- ▶ Managing by crisis
- ▶ **Managing by subjective** Page#79

Question No: 11 (Marks: 1) - Please choose one

The purpose of an external audit is to prepare a list of which of the following?

- ▶ Opportunities and weaknesses
- ▶ Threats and strengths
- ▶ **Opportunities and threats**
- ▶ Strengths and weaknesses

Question No: 12 (Marks: 1) - Please choose one

Defensive strategies include all of the following EXCEPT:

- ▶ Retrenchment
- ▶ **Acquisition** Page#93
- ▶ Divestiture
- ▶ Liquidation

Question No: 13 (Marks: 1) - Please choose one

Smoothies Tire & Rubber Co. is selling its North American tire business to Avinza International, is an example of which type of strategy?

- ▶ Related diversification
- ▶ Retrenchment
- ▶ **Divestiture**
- ▶ Liquidation

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Selling a division or part of an organization is called divestiture. Page#94

Question No: 14 (Marks: 1) - Please choose one

Which stage of the “Strategy Formulation Framework” includes an External Factor Evaluation Matrix and a Competitive Profile Matrix?

- ▶ Matching
- ▶ Decision
- ▶ **Input**
- ▶ All of the given options

Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix, Called the Input Stage. Page#97

Question No: 15 (Marks: 1) - Please choose one

Which one of the followings is a sign of strength in a company's competitive position?

- ▶ A website with extensive information about the company and its product line
- ▶ Annual R&D and advertising expenditures greater than Rs.10 million
- ▶ **A strongly differentiated product, a strong or rising market share**
- ▶ A debt-to-asset ratio below 0.50 and a positive net cash flow and higher EPS

Question No: 16 (Marks: 1) - Please choose one

Firm with its SPACE matrix vector in conservative quadrant should peruse all of the following strategies EXCEPT:

- ▶ Market penetration
- ▶ Product development
- ▶ Market development
- ▶ **Divestiture**

Conservative strategies most often include market penetration, market development, product development and concentric diversification

http://www.researchandwriting.org/index2.php?option=com_content&do_pdf=1&id=32

Question No: 17 (Marks: 1) - Please choose one

All of the following would be considered while judging the financial strength of an organization EXCEPT:

- ▶ Increase in revenues
- ▶ **Market share Page#101**
- ▶ Return on Investment
- ▶ Cash flow statement

Question No: 18 (Marks: 1) - Please choose one

What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-4, -4)?

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- ▶ Aggressive
- ▶ Conservative
- ▶ Competitive

▶ **Defensive** Page#100

Question No: 19 (Marks: 1) - Please choose one

All of the following are the limitations of BCG Matrix except:

▶ It is one-dimensional to view every business as a star, cash cow, dog or question mark

▶ **BCG can not be developed if a firm has at least less than three years data**

▶ The businesses that fall in the centre of BCG matrix can not be classified

▶ Other variables such as size of market and competitive advantages are not considered

Question No: 20 (Marks: 1) - Please choose one

Which one of the following is NOT a major region of IE matrix?

▶ Grow and build

▶ **Grow and maintain**

▶ Hold and maintain

▶ Harvest or divest

IE Matrix divided into three major regions.

Grow and build – Cells I, II, or IV

Hold and maintain – Cells III, V, or VII

Harvest or divest – Cells VI, VIII, or IX

Question No: 21 (Marks: 1) - Please choose one

Which of the following strategy should be perused first by the Irtiza Insurance Company as it is located in Quadrant III of the Grand Strategy Matrix?

▶ Diversification

▶ Liquidation

▶ **Retrenchment**

▶ Divestiture

The quadrant three firms are operating in a slow growth industry with a weak competitive position. These firms are prone to further decline which may result possibly in liquidation. To avoid such situations quadrant three firms needs introduce drastic changes in almost all the areas of managing the company. Strategically retrenchment (assets reduction) would be the best option to be considered first. Secondly diversifying the overall business through shifting the resources should be evaluated as another choice (related or unrelated diversification). The final option is again divestiture or liquidation.

<http://www.mba-tutorials.com/strategy/1145-grand-strategy-matrix.html>

Question No: 22 (Marks: 1) - Please choose one

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According to the Grand Strategy Matrix, in which quadrant organizations have a strong competitive position but are in a slow-growth industry?

- ▶ I
- ▶ II
- ▶ III
- ▶ **IV**

The firms falling in quadrant IV are characterized as having a strong competitive position but are operating in a slow growth industry.

<http://www.mba-tutorials.com/strategy/1145-grand-strategy-matrix.html>

Question No: 23 (Marks: 1) - Please choose one

Which of the following is TRUE about weights assigned in QSPM?

- ▶ This refers to preference assigned to the internal and external factors
- ▶ **This refers to relative importance of the internal and external factors**
- ▶ This refers to the insignificance of the internal and external factors
- ▶ This refers to the relative size of the internal and external factors

The weight assigned to a given factor indicates the relative importance of the factor to being successful in the firm's industry .Page#47

Question No: 24 (Marks: 1) - Please choose one

Which of the following is a Functional level objective?

- ▶ Achieving return on investment of at least 15%
- ▶ **Aiming to achieve a market share of 10% Page#113**
- ▶ Attaining operating profit of over Rs.10 million
- ▶ Increase earnings per share by at least 10% every

Functional level Objective

Examples of functional marketing objectives” might include:

- We aim to build customer database of at least 250,000 households within the next 12 months
- We aim to achieve a market share of 10%
- We aim to achieve 75% customer awareness of our brand in our target markets

Question No: 25 (Marks: 1) - Please choose one

All of the following are the examples of promotion decision EXCEPT:

- ▶ Personal selling
- ▶ **Volume discounts Page#133**
- ▶ Public relations
- ▶ Advertising

Question No: 26 (Marks: 1) - Please choose one

Which alternative becomes more attractive financing technique when cost of capital is high?

- ▶ Debt financing
- ▶ Combination financing

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► **Raising equity**

- Borrowing

Question No: 27 (Marks: 1) - Please choose one

Which of the following is the first step in preparing a pro forma financial analysis?

- Prepare the projected balance sheet
- Perform EPS/EBIT analysis
- Calculate the projected net income
- **Prepare the projected income statement** Page#138

There are six steps in performing pro forma financial analysis:

- 1. Prepare income statement before balance sheet (forecast sales)**
- 2. Use percentage-of-sales method to project CGS and expenses**
- 3. Calculate projected net income**
- 4. Subtract dividends to be paid from Net Income and add remaining to Retained Earnings**
- 5. Project balance sheet times beginning with retained earnings**
- 6. List comments (remarks) on projected statements.**

Question No: 28 (Marks: 1) - Please choose one

What is a central strategy-implementation technique that allows an organization to examine the expected results of various actions and approaches?

- Financial budgeting
- TOWS analysis
- **Projected financial statement**
- External analysis

Pro forma (projected) financial statement analysis is a central strategy-implementation technique because it allows an organization to examine the expected results of various actions and approaches.

Question No: 29 (Marks: 1) - Please choose one

In preparing projected statements, to project cost of goods sold and the expense items in the income statement, which of the following is recommended?

- Use the net worth method
- EPS/EBIT analysis
- **Use percentage-of-sales method**
- Use price-earnings ratio method

Question No: 30 (Marks: 1) - Please choose one

Integrative, intensive, and diversification strategies are often implemented by which one of the followings?

- Liquidating firms
- **Acquiring firms**
- Venturing firms

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- ▶ Small firms

Evaluating the worth of a business is central to strategy implementation because integrative, intensive, and diversification strategies are often implemented by acquiring other firms. Page#139

Question No: 31 (Marks: 1) - Please choose one

At least how many approaches are used for the implementation of strategy?

- ▶ Two
- ▶ **Three**
- ▶ Four
- ▶ Five

Question No: 32 (Marks: 1) - Please choose one

Managerial disorder and strategic deviation will appear if there is power struggle and conflicts among the departments of organization. The situation negates which one of the Rumelt's criteria?

- ▶ **Consistency**
- ▶ Consonance
- ▶ Feasibility
- ▶ Advantage

Consistency: Strategy should not present inconsistent goals and policies. Conflict and interdepartmental bickering symptomatic of managerial disorder and strategic inconsistency Page#149

Question No: 33 (Marks: 1) - Please choose one

While evaluating a strategy, corrective actions are almost always needed except:

- ▶ **When external and internal factors have not significantly changed**
- ▶ When the firm is not progressing satisfactorily toward objectives
- ▶ When the firm has not achieved the stated organizational goals
- ▶ When there are differences between desired results and achieved results

Corrective actions are almost always needed except when
(1) external and internal factors have not significantly changed and
(2) The firm is progressing satisfactorily toward achieving stated objectives. Page#146

Question No: 34 (Marks: 1) - Please choose one

All of the following are the examples of service activity of Porter's supply chain model EXCEPT:

- ▶ Customer support
- ▶ **Packaging**
- ▶ Repair services
- ▶ Installation

Service: the activities that maintain and enhance the product's value, including:

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customer support, repair services, installation, training, spare parts management, upgrading, etc.

Question No: 35 (Marks: 1) - Please choose one

All of the following are primary activities of Porter's supply chain model EXCEPT:

- ▶ Marketing and Sales
- ▶ Outbound Logistics
- ▶ **Firm Infrastructure** Page#147
- ▶ Inbound Logistics

Question No: 36 (Marks: 1) - Please choose one

Which of the following statement is TRUE about Inbound Logistics?

- ▶ **It includes receiving, storing, inventory control & transportation planning**
- ▶ It includes machining, packaging, assembly, equipment maintenance & testing
- ▶ It includes activities required to deliver the finished product to the customers' end
- ▶ It includes the activities that maintain and enhance the product's value

Inbound Logistics. Includes receiving, storing, inventory control, transportation planning.

Question No: 37 (Marks: 1) - Please choose one

A revised EFE Matrix should focus on which of the following?

- ▶ Changes in the organization's management, marketing R & D, computer information system and environment
- ▶ Marketing, finance/accounting, production/operations, R&D and computer information systems strengths and weaknesses
- ▶ **Effectiveness of a firm's strategies in response to key opportunities and threats**
- ▶ Effectiveness of an organization's strategy in pursuing the competitive goals and managerial actions

A revised EFE Matrix should indicate how effective a firm's strategies have been in response to key opportunities and threats.Page#150

Question No: 38 (Marks: 1) - Please choose one

The product design, packaging, product disposal and corporate rewards should reflect which of the following?

- ▶ Product quality consideration
- ▶ Union consideration
- ▶ **Environmental consideration** Page#156
- ▶ Customer consideration

Product design, manufacturing, transportation, customer use, packaging, product disposal, and corporate rewards and sanctions should reflect environmental considerations.

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Question No: 39 (Marks: 1) - Please choose one

Which of the following is TRUE about Vision statement of a company?

- ▶ It defines the customers
- ▶ **It concentrates on future**
- ▶ It identifies critical processes
- ▶ It informs about the desired level of performance

Question No: 40 (Marks: 1) - Please choose one

Alternative strategy is decided in decision stage of Strategy-Formulation Framework. Which matrix is used in this stage to serve this purpose?

- ▶ BCG Matrix
- ▶ SPACE Matrix
- ▶ IE Matrix
- ▶ **QSPM Matrix Page#110**

The Quantitative Strategic Planning Matrix (QSPM)

The last stage of strategy formulation is decision stage. In this stage it is decided that which way is most appropriate or which alternative strategy should be select. This stage contains QSPM that is only tool for objective evaluation of alternative strategies.

Question No: 41 (Marks: 1) - Please choose one

Input stage of strategy formulation framework includes developing which of the following set of matrices?

- ▶ IFE, EFE and QSPM matrix
- ▶ IFE, IE and BCG matrix
- ▶ **IFE, CPM and EFE matrix**
- ▶ EFE, IE and CPM matrix

Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix. Called the Input Stage. Page#97

Question No: 42 (Marks: 1) - Please choose one

Identify a case when a firm should adopt aggressive strategies.

- ▶ **If a firm's directional vector is located in upper-right quadrant of a SPACE matrix**
- ▶ If a firm's directional vector is located in upper-left quadrant of a SPACE matrix
- ▶ If a firm's directional vector is located in lower-right quadrant of a SPACE matrix
- ▶ If a firm's directional vector is located in lower-left quadrant of a SPACE matrix

Question No: 43 (Marks: 1) - Please choose one

Firms located in which quadrant of the Grand Strategy Matrix are in an excellent strategic position?

- ▶ **I**
- ▶ II

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▶ III

▶ IV

Firms located in Quadrant I of the Grand Strategy Matrix are in an excellent strategic position. Page#107

Question No: 44 (Marks: 1) - Please choose one

Which of the following is the best divisional structure when a few major customers are of paramount importance and many different services are provided to these customers?

- ▶ By geographic area
- ▶ **By customer**
- ▶ By product
- ▶ By process

When a few major customers are of paramount importance and many different services are provided to these customers, then a divisional structure by customer can be the most effective way to implement strategies.

Question No: 45 (Marks: 1) - Please choose one

How can an ESOP empower employees?

- ▶ **It empowers employees to work as owners**
- ▶ It empowers employees to make financial plan
- ▶ It empowers employees to assess customer's needs
- ▶ It empowers employees to give training to other workers

An employee stock ownership plan (ESOP), are corporations owned in whole or in part by their employees. Employees are usually given a share of the corporation after a certain length of employment or they can buy shares at any time. Page#128

Question No: 46 (Marks: 1) - Please choose one

All of the following steps are required in product positioning EXCEPT:

- ▶ Select key criteria that effectively differentiate products or services in the industry
- ▶ **Position your firm in the middle of the map**
- ▶ Plot major competitors' products or services in the resultant matrix
- ▶ Identify areas in the positioning map where the company's products or services could be most competitive in the given target market

The following steps are required in product positioning: Page#134

- 1. Select key criteria that effectively differentiate products or services in the industry.**
- 2. Diagram a two-dimensional product-positioning map with specified criteria on each axis.**
- 3. Plot major competitors' products or services in the resultant four-quadrant matrix.**
- 4. Identify areas in the positioning map where the company's products or services could be most competitive in the given target market. Look for vacant areas (niches).**

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5. Develop a marketing plan to position the company's products or services appropriately.

Question No: 47 (Marks: 1) - Please choose one

Some potential problems associated with using quantitative criteria for evaluating strategies include all of the following EXCEPT:

- ▶ Most quantitative criteria are geared to annual objectives rather than long-term objectives
- ▶ **These ratios use qualitative data for evaluating strategies which often is not available**
- ▶ Different accounting methods can provide different results on many quantitative criteria
- ▶ Intuitive judgments are almost always involved in deriving quantitative criteria

There are some potential problems associated with using quantitative criteria for evaluating strategies. First, most quantitative criteria are geared to annual objectives rather than long-term objectives. Also, different accounting methods can provide different results on many quantitative criteria. Third, intuitive judgments are almost always involved in deriving quantitative criteria. Page#151

Question No: 48 (Marks: 1) - Please choose one

Which of the following is MOST appropriate about financial ratios?

- ▶ **Compare a firm's performance with competitors**
- ▶ Compare a firm's performance with suppliers
- ▶ Compare a firm's performance with non-financial ratios
- ▶ Compare a firm's performance with business standards

Quantitative criteria commonly used to evaluate strategies are financial ratios, which strategists use to make three critical comparisons: (1) comparing the firm's performance over different time periods, (2) comparing the firm's performance to competitors', and (3) comparing the firm's performance to industry averages. Page #151

FINAL TERM EXAMINATION

Spring 2010

MGT603- Strategic Management (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

Which of the following is often considered the first step in strategic planning?

- ▶ Devising a mission statement
- ▶ **Developing a vision statement**
- ▶ Setting annual objectives
- ▶ Formulating set of strategies

Developing a vision statement is often considered the first step in strategic planning Page#6

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Question No: 2 (Marks: 1) - Please choose one

External opportunities and threats that can significantly benefit or harm an organization may include all of the following EXCEPT:

- ▶ Demographics
- ▶ Competitive trends
- ▶ Technological changes

▶ **Research and development** Page#07

External opportunities and external threats refer to economic, social, cultural, demographic, environmental, political, legal, governmental, technological, and competitive trends and events that could significantly benefit or harm an organization in the future.

Question No: 3 (Marks: 1) - Please choose one

What will happen to the Pakistani exports in overseas markets when there is a strong value of rupee?

▶ **Pakistani exports will be less expensive**

- ▶ Pakistani exports will be more expensive
- ▶ Pakistani exports will be more attractive
- ▶ Pakistani exports will be desirable

Question No: 4 (Marks: 1) - Please choose one

Which of the following can be considered as barriers to entering a market or industry?

- ▶ The lack of economies of scale and experience and low levels of brand loyalty
- ▶ The presence of large number of rivals already in the industry

▶ **Relatively large capital requirements and industry have economies of scale**

- ▶ The absence of tariffs, trade restrictions, and/or government-mandated regulations

Question No: 5 (Marks: 1) - Please choose one

Which of the following are signs of strength in a company's competitive position?

- ▶ A debt-to-asset ratio below 0.50 and a positive net cash flow
- ▶ A website with extensive information about the company and its product line
- ▶ R&D and advertising expenditures greater than \$10 million annually

▶ **A strongly differentiated product and a strong or rising market share**

<http://www.scribd.com/doc/25776923/-Question-Bank-of-Production-Operations-Mngt-1-2-Mark> (UNIT 5)

Question No: 6 (Marks: 1) - Please choose one

Distribution includes which of the following?

- ▶ Customer analysis

▶ **Warehousing**

- ▶ Advertising

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- ▶ Test marketing

Question No: 7 (Marks: 1) - Please choose one

The IFE matrix summarizes and evaluates which factors in the functional areas of a business?

- ▶ Opportunities and threats
- ▶ **Strengths and weaknesses**
- ▶ Strengths and threats
- ▶ Opportunities and weaknesses

Question No: 8 (Marks: 1) - Please choose one

The Web sites that sell products directly to the consumers are the examples of which type of strategy?

- ▶ Backward integration
- ▶ Product development
- ▶ **Forward integration**
- ▶ Horizontal integration

<http://webcache.googleusercontent.com/search?q=cache:BO21s25B9ywJ:www.scribd.com/doc/30802064/31/The-Competitive-Profile-Matrix-CPM+The+Web>

Question No: 9 (Marks: 1) - Please choose one

Which of the following is a drawback or limitation of Horizontal Integration?

- ▶ **Synergies may be more imaginary than real**
- ▶ It can increase suppliers' and buyers' bargaining power
- ▶ Economies of scale are likely to be decreased
- ▶ Both the first & third options are correct

Question No: 10 (Marks: 1) - Please choose one

A Cost Leadership Strategy is especially effective in all of the following situations EXCEPT:

- ▶ When the market is composed of many price-sensitive buyers
- ▶ **When product differentiation can be easily achieved** Page#86
- ▶ When buyers do not care much about differences from brand to brand
- ▶ When there are a large number of buyers with significant bargaining power

Successful implementation also benefits from:

- Process engineering skills
- Products designed for ease of manufacture
- Sustained access to inexpensive capital
- Close supervision of labor
- Tight cost control
- Incentives based on quantitative targets
- **Market of many price-sensitive buyers**
- **Few ways of achieving product differentiation**

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- **Buyers not sensitive to brand differences**
- **Large number of buyers with bargaining power**
- **Pursued in conjunction with differentiation**
- **Economies or diseconomies of scale**
- **Capacity utilization achieved**
- **Linkages with suppliers and distributors**

Question No: 11 (Marks: 1) - Please choose one

If market shares of competitors are declining whereas total industry sales are increasing, which strategy do you think may be the right one to pursue?

▶ Divestiture

▶ **Market Penetration** Page#89

▶ Market Development

▶ Retrenchment

Market penetration may be an especially effective strategy is:

- **Current markets not saturated**
- **Usage rate of present customers can be increased significantly**
- **Market shares of competitors declining while total industry sales increasing**
- **Increased economies of scale provide major competitive advantages**

Question No: 12 (Marks: 1) - Please choose one

Which of the followings involves the substantial modification of existing products or the creation of new but related products that can be marketed to current customers through established channels?

▶ Innovation

▶ Differentiation

▶ **Product development**

▶ Market development

Question No: 13 (Marks: 1) - Please choose one

Which of the following stages of "Strategy Formulation Framework" involves development of Internal-Factor Evaluation Matrix?

▶ **Input stage**

▶ Output stage

▶ Matching stage

▶ Decision stage

Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix. Called the Input Stage, Stage 1 summarizes the basic input information needed to formulate strategies. Page#97

Question No: 14 (Marks: 1) - Please choose one

Which of the following stages in "Strategy Formulation Framework" focuses on generating feasible alternative strategies?

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- ▶ Input
- ▶ Output
- ▶ Decision

▶ **Matching**

Stage 2, called the Matching Stage, focuses upon generating feasible alternative strategies by aligning key external and internal factors. Page#97

Question No: 15 (Marks: 1) - Please choose one

If there is a shift in consumers taste in a society away from the firm's products along with weak brand name, which of the following strategy would you recommend for the above mentioned firm?

- ▶ SO
- ▶ WO
- ▶ SW

▶ **WI**

<http://www.quickmba.com/strategy/swot/>

Question No: 16 (Marks: 1) - Please choose one

Firm located in defensive quadrant of a SPACE matrix is recommended to follow all of the following strategies EXCEPT:

- ▶ Retrenchment

▶ **Forward integration**

- ▶ Divestiture
- ▶ Liquidation

Defensive strategies include retrenchment, divestiture, liquidation, and concentric diversification.

Question No: 17 (Marks: 1) - Please choose one

What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (+2, +3)?

▶ **Aggressive** Page#100

- ▶ Conservative
- ▶ Competitive
- ▶ Defensive

Question No: 18 (Marks: 1) - Please choose one

A & C Corporation currently possesses a low share of its available market.

Moreover, this company's portfolio reveals that it has extremely low market growth.

A & C Corporation is most likely to be classed as which one of the following?

▶ **Dog**

- ▶ Question mark
- ▶ Star
- ▶ Cash cow

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Question No: 19 (Marks: 1) - Please choose one

Which of the following is a deliberate plan of action, guidelines, methods, procedures to guide decisions and achieve rational outcome?

- ▶ Annual objectives
- ▶ Strategies
- ▶ **Policies**
- ▶ Goals

A policy is a deliberate plan of action to guide decisions and achieve rational outcome(s). <http://www.financialcrisis2009.org/forum/Corporations/What-is-the-difference-between-a-procedures-manual-and-policy-manual-294935.htm>

Question No: 20 (Marks: 1) - Please choose one

The organizations, where resource allocation is not based on strategic-management approach to decision making, which approach is used for resource allocation?

- ▶ financial budget
- ▶ Relative importance of departments
- ▶ **on political or personal factors**
- ▶ Relative cost of each resources

In organizations that do not use a strategic-management approach to decision making, resource allocation is often based on political or personal factors. Page#116

Question No: 21 (Marks: 1) - Please choose one

A state of opposition between persons or ideas which are occasionally characterized by physical violence may be known as:

- ▶ **Conflict**
- ▶ Compromise
- ▶ Diffusion
- ▶ Avoidance

Conflict is a state of opposition, disagreement or incompatibility between two or more people or groups of people, which is sometimes characterized by physical violence. Page#116

Question No: 22 (Marks: 1) - Please choose one

Why do changes in company strategy often require changes in the way an organization is structured?

- ▶ **Because structure depicts how goals will be established**
- ▶ Because structure dictates how authorities will be delegated
- ▶ Because structure dictates how resources will be obtained
- ▶ Because structure dictates how financial resources are spent

Question No: 23 (Marks: 1) - Please choose one

Of the following, which one is FALSE regarding a functional organizational

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structure?

- ▶ The tasks, people, and technologies necessary to do the work of the business are grouped together
- ▶ Functional structures predominate in firms with single or narrow product lines
- ▶ Marketing, operations, and finance would be considered groups found within this type of structure

▶ **Functional structure is designed to achieve flexibility and better communication**

They are economically efficient, but lack flexibility. Communication between functional areas can be difficult. Page#118

Question No: 30 (Marks: 1) - Please choose one

Which of these is not one of the tests used to determine whether a performance-pay plan will benefit an organization?

- ▶ Do employees understand the plan?
- ▶ Is the plan improving communications?
- ▶ Does the plan pay out when it should?
- ▶ **Does the plan reduce management layers?**

Five tests are often used to determine whether a performance-pay plan will benefit an organization:

Does the plan capture attention?

Do employees understand the plan?

Is the plan improving communication?

Does the plan pay out when it should?

Is the company or unit performing better?

Question No: 25 (Marks: 1) - Please choose one

All of the following are the managerial issues for managing natural environment EXCEPT:

- ▶ Global warming- depletion of rain forests
- ▶ **Employee understanding about environment**
- ▶ Developing biodegradable products and packages
- ▶ Waste management to clean air and water

Special natural environmental issues include ozone depletion, global warming, depletion of rain forests, destruction of animal habitats, protecting endangered species, developing biodegradable products and packages, waste management, clean air, clean water, erosion, destruction of natural resources, and pollution control. Page#124

Question No: 26 (Marks: 1) - Please choose one

The methods which are used to match managers with strategies to be implemented include all of the following EXCEPT:

- ▶ **Transferring managers**
- ▶ Job enlargement

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- ▶ Managers' retention
- ▶ Job enrichment

Question No: 27 (Marks: 1) - Please choose one

Which one of the following is an example of product decisions?

▶ **Brand name** Page132

- ▶ Volume discounts
- ▶ Distribution channels
- ▶ Order processing

Question No: 28 (Marks: 1) - Please choose one

Which variable would be considered as a part of pricing decisions?

▶ Warranty

▶ **Bundling** Page133

- ▶ Safety
- ▶ Functionality

Question No: 29 (Marks: 1) - Please choose one

Which one of the following is an example of place decisions?

- ▶ Safety and packaging
- ▶ Personal selling
- ▶ Public relations & publicity

▶ **Order processing** Page#133

Some examples of distribution decisions include:

- **Distribution channels**
- **Market coverage (inclusive, selective, or exclusive distribution)**
- **Specific channel members**
- **Inventory management**
- **Warehousing**
- **Distribution centers**
- **Order processing**
- **Transportation**
- **Reverse logistics**

Question No: 30 (Marks: 1) - Please choose one

All of the following are the examples of promotion decision EXCEPT:

▶ Personal selling

▶ **Volume discounts** Page#133

- ▶ Public relations
- ▶ Advertising
- **Promotional strategy (push, pull, etc.)**
- **Advertising**

Note: Solve these papers by yourself

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- Personal selling & sales force
- Sales promotions
- Public relations & publicity
- Marketing communications budget

Question No: 31 (Marks: 1) - Please choose one

Which of the following is NOT a decision that may require finance/accounting policies?

- ▶ To extend the time of accounts receivable
- ▶ To determine an appropriate dividend payout ratio
- ▶ To use LIFO, FIFO or a market-value accounting approach
- ▶ **To determine the amount of product diversification** Page#135

Decisions that may require finance/accounting policies are:

1. To raise the amount of capital by issuing shares or obtaining a debt from external parties.
2. To enhance the inventory turn over level
3. To make or buy fixed assets.
4. To extend the time of accounts receivable.
5. To establish a certain percentage discount on accounts within a specified period of time.
6. To determine the amount of cash that should be kept on hand
7. To determine an appropriate dividend payout ratio.
8. To use LIFO, FIFO

Question No: 32 (Marks: 1) - Please choose one

At least how many R & D approaches are used for the implementation of strategy?

- ▶ Two
- ▶ **Three** Page#141
- ▶ Four
- ▶ Five

There are at least three major R&D approaches for implementing strategies.

1. First firm to market new technological products
2. Be an innovative imitator of successful products
3. Low-cost producer of similar but less expensive products

Question No: 33 (Marks: 1) - Please choose one

While evaluating a strategy, corrective actions are almost always needed EXCEPT:

- ▶ **When external and internal factors have not significantly changed**
- ▶ When the firm is not progressing satisfactorily toward objectives
- ▶ When the firm has not achieved the stated organizational goals
- ▶ When there are differences between desired results and achieved results

Corrective actions are almost always needed except when

- (1) external and internal factors have not significantly changed and

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(2) The firm is progressing satisfactorily toward achieving stated objectives.

Page#146

Question No: 34 (Marks: 1) - Please choose one

Which one of the following statements best describes the activity 'marketing and sales' of Porter's supply chain model?

- ▶ Machining, packaging, assembly, equipment maintenance & testing
- ▶ **Activities linked with getting buyers to purchase the product**
- ▶ Activities that maintain and enhance the product's value
- ▶ Receiving, storing, inventory control & transportation planning

Marketing and Sales: The activities associated with getting buyers to purchase the product, including: channel selection, advertising, promotion, selling, pricing, retail management, etc. Page#147

Question No: 35 (Marks: 1) - Please choose one

Outbound logistics includes which one of the following?

- ▶ Receiving, storing, inventory control, transportation planning
- ▶ Machining, packaging, assembly, equipment maintenance, testing
- ▶ **Activities required to get the finished product at the customers**
- ▶ Activities that maintain and enhance the product's value

Outbound Logistics: The activities required to get the finished product at the customers: warehousing, order fulfillment, transportation, distribution management Page#147

Question No: 36 (Marks: 1) - Please choose one

Which of the following is NOT a key financial ratio?

- ▶ Earnings per share
- ▶ **Production growth Page#151**
- ▶ Asset growth
- ▶ Profit margin

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is TRUE about 'Controls' used in strategy evaluation stage?

- ▶ They are strategy-oriented
- ▶ **They are action-oriented**
- ▶ They are control-oriented
- ▶ They are information-oriented

Controls need to be action-oriented rather than information-oriented. Page#154

Question No: 38 (Marks: 1) - Please choose one

In BCG matrix, the size of circle corresponding to a division represents what?

- ▶ Relative market share of that division

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► Financial strength of that division

► **Revenue generated by that division**

► Relative market growth of that division

The size of the circle corresponds to the proportion of corporate revenue generated by that business unit.

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Question No: 39 (Marks: 1) - Please choose one

If the capital and human resources of a firm are necessary to manage expanded operations and it also has excess production capacity, which would be an effective strategy for the firm to pursue?

► Market Penetration

► **Market Development** Page#90

► Divestiture

► Retrenchment

Guidelines for Market Development

Six guidelines when market development may be an especially effective strategy are:

- ☐ **New channels of distribution that are reliable, inexpensive, and good quality**
- ☐ **Firm is very successful at what it does**
- ☐ **Untapped or unsaturated markets**
- ☐ **Capital and human resources necessary to manage expanded operations**
- ☐ **Excess production capacity**
- ☐ **Basic industry rapidly becoming global**

Question No: 40 (Marks: 1) - Please choose one

If the firm is very successful at what it does, unsaturated markets are available and the new inexpensive channels of distribution are also available, then which of the following strategies a company should follow?

► Market Penetration

► **Market Development** Page#90

► Product Development

► Retrenchment

Question No: 41 (Marks: 1) - Please choose one

Which strategies are defensive tactics directed at reducing internal weaknesses and

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avoiding environmental threats?

- ▶ SO
- ▶ WO
- ▶ SW
- ▶ **WT**

The SWOT Matrix

The SWOT Matrix is an important matching tool that helps managers develop four types of strategies:

- a. SO strategies—use a firm's internal strengths to take advantage of external opportunities.
- b. WO strategies—aimed at improving internal weaknesses by taking advantage of external opportunities.
- c. ST strategies—use a firm's strengths to avoid or reduce the impact of external threats.
- d. WT strategies—defensive tactics directed at reducing internal weaknesses and avoiding external threats.

Question No: 42 (Marks: 1) - Please choose one

Which of these is TRUE about strategy implementation?

- ▶ It refers to positioning forces before the action
- ▶ It focuses on effectiveness
- ▶ **It is primarily an operational process**
- ▶ It is primarily an intellectual process

Strategy implementation is primarily an operational process. Page#112

Question No: 43 (Marks: 1) - Please choose one

Which of the following is TRUE about Strategy formulation?

- ▶ It manages forces during the action
- ▶ **It requires good intuitive and analytical skills**
- ▶ It is primarily an operational process
- ▶ It requires special motivation and leadership skills

Strategy formulation requires good intuitive and analytical skills. Page#112

Question No: 44 (Marks: 1) - Please choose one

Identify a situation in which a divisional structure by geographic area is considered to be most appropriate.

- ▶ **Organizations have similar branch facilities located in widely dispersed areas**
- ▶ An organization offers only a limited number of products or services
- ▶ Strict control and attention to product lines are needed
- ▶ An organization has many skilled managers

A divisional structure by geographic area is appropriate for organizations whose strategies need to be tailored to fit the particular needs and characteristics of customers in different geographic areas. **This type of structure can be most appropriate for organizations that have similar branch facilities located in widely dispersed areas Page#119**

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Question No: 45 (Marks: 1) - Please choose one

All of the following are included in Rumelt's criteria for evaluating strategies EXCEPT:

- ▶ Consonance
- ▶ Advantage
- ▶ Consistency

▶ **Clarity** Page#145

Four Criteria (Richard Rumelt):

- Consistency
- Consonance
- Feasibility
- Advantage

Question No: 46 (Marks: 1) - Please choose one

Identify which of the following are mostly based on a firm's external assessment according to Richard Rumelt.

- ▶ Consonance and consistency
- ▶ Advantage and feasibility
- ▶ **Consonance and advantage**
- ▶ Consistency and feasibility

According to Rumelt, consistency and feasibility are largely based on a firm's internal assessment Question 5 and 6

<http://webcache.googleusercontent.com/search?q=cache:cDPuGh0qSQ0J:shc-staffweb.hct.ac.ae/skhartabil/Skhartabil/TEACHING%2520RESOURCES/STRATEGIC%2520MANAGEMENT/Exams/chapter09.doc+based+on+a+firm's+external+assessment+according+to+Richard+Rumelt&cd=1&>

Question No: 47 (Marks: 1) - Please choose one

Identify a factor which determines the final design of a firm's strategy-evaluation and control system.

- ▶ Opportunities
- ▶ External characteristics
- ▶ **Organization's characteristics**
- ▶ Competition's characteristics

The unique characteristics of an organization, including its size, management style, purpose, problems, and strengths, can determine a strategy-evaluation and control system's final design. Page#154

Question No: 48 (Marks: 1) - Please choose one

Which of the following is defined as having alternative plans that can be put into Effect if certain key events do not occur as expected?

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- ▶ corporate agility
- ▶ Scenario planning
- ▶ Forecasting

▶ **Contingency planning** Page#155

FINAL TERM EXAMINATION

Spring 2010

MGT603- Strategic Management (Session - 4)

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Which method of determining a firm's net worth can be numerically expressed as:

Market price of the firm's stock* Average net income for the past five years

Annual earnings per share

- ▶ Sum of equity and earnings method
- ▶ **Price-earnings ratio method**
- ▶ Long-term asset method
- ▶ Outstanding shares method

Question No: 2 (Marks: 1) - Please choose one

Which of the following is an example of a narrow mission?

- ▶ **We sell packaged pineapples**
- ▶ The firm deals in beverages
- ▶ Stationery is our product
- ▶ Company manufactures food items

Question No: 3 (Marks: 1) - Please choose one

Which of the following business actions is NOT considered to be unethical?

- ▶ Poor product or service safety
- ▶ Using non-union labor in a union shop
- ▶ Misleading advertising
- ▶ **Too expensive products**

Question No: 4 (Marks: 1) - Please choose one

Political variables have a significant effect on which one of the following?

- ▶ **Formulation and implementation of strategy**
- ▶ Formulation and evaluation of a strategy
- ▶ Implementation and evaluation of a strategy
- ▶ Formulation, implementation and evaluation of a strategy

Question No: 5 (Marks: 1) - Please choose one

Which of the following is one of the Political, Governmental & Legal factors?

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- ▶ Ethical concerns
- ▶ Traffic congestion
- ▶ **Lobbying activities**
- ▶ Average level of education

Question No: 6 (Marks: 1) - Please choose one

The XYZ Company wants to know the major favorable situations that exist in its environment. Essentially, the company wants to gain understanding of what?

- ▶ Strengths
- ▶ Weaknesses
- ▶ Threats
- ▶ **Opportunities**

Question No: 7 (Marks: 1) - Please choose one

Keeping strategies secret from employees and stakeholders can do all of the following EXCEPT:

- ▶ **Provide competitive advantage to competitors**
- ▶ hinder employee and stakeholder communication
- ▶ Reduces employee and stakeholder understanding
- ▶ Minimize employee and stakeholder commitment

Question No: 8 (Marks: 1) - Please choose one

Sana has spent a day in a session where the future of her company was discussed. The people involved were trying to determine what the role of their company was as the 21st century approaches. Goals were then developed based upon their vision of the company's mission. Sana spent her day on which of the following process?

- ▶ **Planning**
- ▶ Organizing
- ▶ Leading
- ▶ Controlling

Question No: 9 (Marks: 1) - Please choose one

Opportunity analysis is one of the basic functions of which one of the following?

- ▶ Computer information systems
- ▶ **Marketing**
- ▶ Production/operations
- ▶ Research and development

Question No: 10 (Marks: 1) - Please choose one

Which of the following term describes “the merging of two or more businesses at the same level of production in some formal, legal relationship”?

- ▶ Backward integration
- ▶ **Horizontal integration**

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- ▶ Market penetration
- ▶ Market development

Question No: 11 (Marks: 1) - Please choose one

“Ghulam Nabi, a farmer sells his crops at the local market rather than to a distribution center”. This action of Ghulam Nabi comes under which of the following?

- ▶ Backward integration
- ▶ Product development
- ▶ **Forward integration**
- ▶ Horizontal integration

Question No: 12 (Marks: 1) - Please choose one

Where usage rate of present customers of the company can be increased significantly and the current markets are not saturated, which strategy would be effective for the company to follow?

- ▶ **Market Penetration**
- ▶ Product Development
- ▶ Market Development
- ▶ Retrenchment

Question No: 13 (Marks: 1) - Please choose one

Product development involves going in the direction of which one of the following?

- ▶ Present products to present markets
- ▶ Present products to new markets
- ▶ **New products to present markets**
- ▶ New products to new markets

Question No: 14 (Marks: 1) - Please choose one

All of the following would be considered an Opportunity to a business EXCEPT which one of the following?

- ▶ Removal of international trade barriers
- ▶ Emergence of unfulfilled customer need
- ▶ **Emergence of substitute products**
- ▶ Loosening of regulations

Question No: 15 (Marks: 1) - Please choose one

A & Ammar is the sole manufacturer of leather goods in Pakistan. This year, government has lowered tax rates for this industry. There is a possibility that new companies will enter the market to avail this opportunity. Lowering the tax rates will present which of the following to A & Ammar?

- ▶ Strength
- ▶ Weakness
- ▶ Opportunity

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► **Threat**

Question No: 16 (Marks: 1) - Please choose one

Which of the following are the two internal dimensions represented on the axes of the SPACE Matrix?

- Environmental stability and industry strength
- Industry strength and competitive advantage
- **Competitive advantage and financial strength**
- Financial strength and environmental stability

Question No: 17 (Marks: 1) - Please choose one

ABC Corporation can have competitive advantage over its competitor by taking all of the following actions EXCEPT:

- By increasing product quality
- **By having debt to equity ratio=1**
- By altering product life cycle
- By increasing customer base

Question No: 18 (Marks: 1) - Please choose one

All of the following are the limitations of BCG Matrix EXCEPT:

- It is one-dimensional to view every business as a star, cash cow, dog or question mark
- **BCG can not be developed if a firm has at least less than three years data**
- The businesses that fall in the centre of BCG matrix can not be classified
- Other variables such as size of market and competitive advantages are not considered

Question No: 19 (Marks: 1) - Please choose one

According to the Grand Strategy Matrix, which strategy is recommended for a firm with rapid market growth and a strong competitive position?

- **Market penetration**
- Conglomerate diversification
- Joint venture
- Retrenchment

Question No: 20 (Marks: 1) - Please choose one

"The business has a strong competitive position but is in a slow-growth industry. Further, the business typically has high cash flow levels and limited internal growth needs." The statement refers which of the following?

- The firm falling in Quadrant I of Grand Strategy Matrix
- The firm falling in Quadrant II of Grand Strategy Matrix
- The firm falling in Quadrant III of Grand Strategy Matrix
- **The firm falling in Quadrant IV of Grand Strategy Matrix**

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Question No: 21 (Marks: 1) - Please choose one
Which of the following is a Functional level objective?

- ▶ Achieving return on investment of at least 15%
- ▶ **Aiming to achieve a market share of 10%**
- ▶ Attaining operating profit of over Rs.10 million
- ▶ Increase earnings per share by at least 10% every

Question No: 22 (Marks: 1) - Please choose one
Which one of the followings is NOT a major factor that commonly forbids effective resource allocation?

- ▶ Organizational politics
- ▶ Vague strategy targets
- ▶ **Long run financial criteria**
- ▶ Lack of sufficient knowledge

Question No: 23 (Marks: 1) - Please choose one
“Holding a meeting at which conflicting parties present their views and work through the differences”. The statement best describes which of the conflict resolving mood?

- ▶ **Confrontation**
- ▶ Resistance
- ▶ Diffusion
- ▶ Avoidance

Question No: 24 (Marks: 1) - Please choose one
Restructuring is also known as:

- ▶ Up-sizing
- ▶ **Delayering**
- ▶ Diversifying
- ▶ Integrating

Question No: 25 (Marks: 1) - Please choose one
Which term is most often concerned primarily with shareholder well-being rather than employee well-being?

- ▶ Benchmarking
- ▶ Reengineering
- ▶ E-engineering
- ▶ **Restructuring**

Question No: 26 (Marks: 1) - Please choose one

“All the employees of Operations department have received 15 % of increased profits over a historical standard or targeted profits.” Which of the following best describes the statement?

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- ▶ Profit sharing
- ▶ Bonus
- ▶ **Gain sharing**
- ▶ Piece-work plan

Question No: 27 (Marks: 1) - Please choose one

What is the most widely used technique for determining the best combination of debt and stock?

- ▶ Earnings per share
- ▶ Return on stockholders' equity
- ▶ Debt-to-equity ratio
- ▶ Capital budgeting

Right answer: Earnings per share/earnings before interest and tax analysis

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statement is TRUE about EBIT (Earnings before Interest and Taxes)?

- ▶ It is calculated as revenue minus depreciation and interest expenses
- ▶ **It is calculated as revenue minus expenses excluding tax and interest**
- ▶ It is calculated as revenue minus cost of goods sold and sales taxes
- ▶ It is calculated as revenues minus selling and administrative expenses

Question No: 29 (Marks: 1) - Please choose one

Which alternative becomes more attractive financing technique when cost of capital is high?

- ▶ Debt financing
- ▶ Combination financing
- ▶ **Raising equity**
- ▶ Borrowing

Question No: 30 (Marks: 1) - Please choose one

Integrative, intensive, and diversification strategies are often implemented by which one of the followings?

- ▶ Liquidating firms
- ▶ **Acquiring firms**
- ▶ Venturing firms
- ▶ Small firms

Question No: 31 (Marks: 1) - Please choose one

All of the following tasks are performed by R&D employees and managers EXCEPT:

- ▶ Transferring complex technology
- ▶ Adapting processes to local markets
- ▶ Adjusting process to local raw materials

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► **Make sure the availability of resource**

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is not a rivalry determinant of Porter's model?

► **Differentiation of inputs**

- Industry growth
- Diversity of competitors
- Switching costs

Question No: 33 (Marks: 1) - Please choose one

Which one of the following is NOT considered as a difficulty in evaluation of strategies?

- Increase in environment's complexity
- Difficulty predicting future with accuracy

► **Decreasing number of variables**

- Rate of obsolescence of plans

Question No: 34 (Marks: 1) - Please choose one

Strategy evaluation is based on which of the following?

- Quantitative and empirical criteria
- Empirical and qualitative criteria
- Qualitative and objective criteria

► **Qualitative and quantitative criteria**

Question No: 35 (Marks: 1) - Please choose one

What is typical problem associated with using quantitative criteria for evaluating strategies?

► Most qualitative criteria are geared to long-term objectives rather than annual objectives

► **Different accounting methods can provide different results on many quantitative criteria**

- Intuitive judgments are never involved in deriving quantitative criteria
- Qualitative data to be evaluated for measuring performance is often not available

Question No: 36 (Marks: 1) - Please choose one

A good evaluation system must possess various qualities. Which of the following is not a characteristic of a good strategy evaluation system?

- Strategy-evaluation activities must be economical
- Strategy-evaluation activities should be meaningful

► **Strategy-evaluation activities should dominate the decisions**

- Strategy-evaluation activities should provide timely information

Question No: 37 (Marks: 1) - Please choose one

The product design, packaging, product disposal and corporate rewards should reflect

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which of the following?

- ▶ Product quality consideration
- ▶ Union consideration
- ▶ **Environmental consideration**
- ▶ Customer consideration

Question No: 38 (Marks: 1) - Please choose one

Financial benefits of strategic management include all of the following EXCEPT:

- ▶ Progression in profitability
- ▶ **Improvement in employee productivity**
- ▶ Expansion in the sales of business
- ▶ Enhancement in productivity

Question No: 39 (Marks: 1) - Please choose one

Which one of the following is a reason for NOT choosing profits in BCG matrix than relative market share?

- ▶ **It carries less information than just cash flow**
- ▶ It shows where the brand is positioned against competitors
- ▶ It indicates where it might be likely to go in the future
- ▶ It shows what type of marketing activities to be performed

Question No: 40 (Marks: 1) - Please choose one

"A desired future state that the organization attempts to realize". Identify the term relevant to the given statement.

- ▶ **Goal**
- ▶ Strategy
- ▶ Policy
- ▶ Procedure

Question No: 41 (Marks: 1) - Please choose one

Which of the following statements best defines "stage 1" of the strategy-formulation framework?

- ▶ **It summarizes the basic input information needed to formulate strategies**
- ▶ It focuses on generating feasible alternative strategies
- ▶ It involves a single technique
- ▶ It is based on assumptions

Question No: 42 (Marks: 1) - Please choose one

What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (+1, +5)?

- ▶ **Aggressive**
- ▶ Conservative
- ▶ Competitive

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- ▶ Defensive

Question No: 43 (Marks: 1) - Please choose one

“Establishing annual objectives” refers to which of the following activities?

- ▶ It is a top-level activity
- ▶ It is a centralized activity
- ▶ **It is a decentralized activity**
- ▶ It is a centralized-decentralized activity

Question No: 44 (Marks: 1) - Please choose one

Which pay strategy is Not a form of incentive compensation?

- ▶ Bonus system
- ▶ **Hourly wage**
- ▶ Gain sharing
- ▶ Profit sharing

Question No: 45 (Marks: 1) - Please choose one

Which of the following is NOT a rule of thumb when using product positioning as a strategy-implementation tool?

- ▶ “Don’t squat between segments”
- ▶ “Look for the hole or vacant niche”
- ▶ **“Try to serve more than one segment with the same strategy”**
- ▶ “Don’t position yourself in the middle of the map”

Question No: 46 (Marks: 1) - Please choose one

Identify which of the following are mostly based on a firm's internal assessment according to Richard Rumelt.

- ▶ Consistency and consonance
- ▶ Consonance and advantage
- ▶ Advantage and feasibility
- ▶ **Feasibility and consistency**

Question No: 47 (Marks: 1) - Please choose one

Which of the following statements is TRUE if success for one organizational department means failure for another department?

- ▶ Strategies may be synergistic
- ▶ Strategies may be advantageous
- ▶ Strategies may be inconsonant
- ▶ **Strategies may be inconsistent**

Question No: 48 (Marks: 1) - Please choose one

All of the following are the qualitative questions for evaluating strategies identified by Seymour Tilles EXCEPT:

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- ▶ Is the strategy internally consistent?
- ▶ **Is the strategy having an appropriate return on investment?**
- ▶ Is the strategy consistent with the environment?
- ▶ Is the strategy appropriate in view of available resources?

FINAL TERM EXAMINATION

Spring 2009

MGT603- Strategic Management (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

All of the following external forces directly affect an organization EXCEPT:

- ▶ Market segmentation strategies
- ▶ Types of products/services offered
- ▶ **Management structure of an organization**
- ▶ Choice of businesses to acquire or sell

Question No: 2 (Marks: 1) - Please choose one

Which of the following can be considered as barriers to entering a market or industry?

- ▶ The lack of economies of scale and experience and low levels of brand loyalty
- ▶ The presence of large number of rivals already in the industry
- ▶ **Relatively large capital requirements and industry have economies of scale**
- ▶ The absence of tariffs, trade restrictions, and/or government-mandated regulations

Question No: 3 (Marks: 1) - Please choose one

The competitive threat posed by substitute products is weakened in which of the following conditions?

- ▶ Buyers that are currently purchasing the product are not relatively loyal
- ▶ There are relatively large numbers of rival sellers that are fairly equal in size
- ▶ Customers are in a strong bargaining position to win concessions from sellers
- ▶ **Buyers' costs of switching to substitutes are relatively high**

Substitutes are higher-priced, buyers don't believe substitute products have equal or better features, and buyers' costs of switching to substitutes are relatively high.

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[hill.com/sites/0073530425/student_view0/chapter3/chapter_test.html](http://highered.mcgraw-hill.com/sites/0073530425/student_view0/chapter3/chapter_test.html)

Question No: 4 (Marks: 1) - Please choose one

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In the Five Forces framework, the term “threat of entrants” refers to what?

- ▶ The possibility of a potential competitor entering a different market
- ▶ **The possibility of a new competitor entering the market**
- ▶ The possibility of an existing competitor capturing the entire market
- ▶ The possibility of an existing competitor withdrawing from the market

Question No: 5 (Marks: 1) - Please choose one

All of the following fall under the category of ‘Process’ function of production management EXCEPT:

- ▶ Choice of technology
- ▶ **Quality assurance**
- ▶ Process flow analysis
- ▶ Transportation analysis

Question No: 6 (Marks: 1) - Please choose one

A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

- ▶ Marketing
- ▶ **Research and development**
- ▶ Production
- ▶ Management information system

Question No: 7 (Marks: 1) - Please choose one

Amir, a sole proprietor, uses the information system to ask the question; “What if the prices will decrease by 16% in the next year?” Which of the following functions the information system is performing for Amir?

- ▶ Functional support role
- ▶ **Decisional support role**
- ▶ Managerial support role
- ▶ Analytical supporting role

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the first step in developing an IFE Matrix?

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- ▶ Summing the weighted scores for each variable
- ▶ **Identifying the organization's strengths and weaknesses**
- ▶ Identifying the organization's functions of business
- ▶ Determining the lead strategist

Question No: 9 (Marks: 1) - Please choose one

“Max Rent-a-Car” is opening car rental shops in Wal-Mart stores, is an example of which type of strategy?

- ▶ Forward integration
- ▶ Backward integration
- ▶ **Related diversification**
- ▶ Unrelated diversification

Question No: 10 (Marks: 1) - Please choose one

If market shares of competitors are declining whereas total industry sales are increasing, which strategy do you think may be the right one to pursue?

- ▶ Divestiture
- ▶ **Market Penetration**
- ▶ Market Development
- ▶ Retrenchment

Question No: 11 (Marks: 1) - Please choose one

Strategy formulation technique can be integrated into how many stages?

- ▶ Two
- ▶ **Three**
- ▶ Four
- ▶ Five

Question No: 12 (Marks: 1) - Please choose one

Which of the following stages in the strategy-formulation framework focuses on summarizing the basic information needed to formulate strategies?

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- ▶ Output
- ▶ **Input**
- ▶ Decision
- ▶ Matching

Question No: 13 (Marks: 1) - Please choose one

All of the following would be considered an Opportunity to a business EXCEPT which one of the following?

- ▶ Removal of international trade barriers
- ▶ Emergence of unfulfilled customer need
- ▶ **Emergence of substitute products**
- ▶ Loosening of regulations

Question No: 14 (Marks: 1) - Please choose one

What are the four dimensions of a SPACE matrix?

- ▶ Industry strength, Competitive advantage, financial strength, Market share
- ▶ Environmental stability, Industry strength, Market growth rate, Market share
- ▶ Environmental stability, Industry strength, Competitive advantage, Market growth rate
- ▶ **Environmental stability, Industry strength, Competitive advantage, financial strength**

Question No: 15 (Marks: 1) - Please choose one

Firm with its SPACE matrix vector in conservative quadrant should peruse all of the following strategies EXCEPT:

- ▶ Market penetration
- ▶ Product development
- ▶ Market development
- ▶ **Divestiture**

Question No: 16 (Marks: 1) - Please choose one

Firm located in defensive quadrant of a SPACE matrix is recommended to follow all of the following strategies EXCEPT:

- ▶ Retrenchment

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► Forward integration

- Divestiture
- Liquidation

Question No: 17 (Marks: 1) - Please choose one

A firm should practice Joint venture strategy in which of the following case?

- When the SPACE matrix vector lies in defensive quadrant
- When the SPACE matrix vector lies in aggressive quadrant
- When the SPACE matrix vector lies in conservative quadrant
- **When the SPACE matrix vector lies in competitive quadrant**

Question No: 18 (Marks: 1) - Please choose one

BCG matrix is used in matching stage of strategy formulation framework. It plots the business units along which of the following dimensions?

- Market share and industry strength
- **Market share and market growth rate**
- Market growth rate and competitive position
- Market growth rate and environment stability

Question No: 19 (Marks: 1) - Please choose one

IE matrix is based on which dimensions?

- Market share and industry growth
- Financial strength and industry strength
- **Weighed scores of IFE and EFE matrices**
- Market growth and competitive position

Question No: 20 (Marks: 1) - Please choose one

Weighed scores of IFE and EFE matrices are the dimensions of which of the following?

- **Internal-External Matrix**
- Competitive Profile Matrix
- SPACE Matrix
- Grand Strategy Matrix

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Question No: 21 (Marks: 1) - Please choose one

Grand Strategy Matrix is based on which of the following dimensions?

- ▶ Market share and industry growth
- ▶ Financial strength and industry strength
- ▶ Weighed scores of IFE and EFE matrices

▶ **Market growth and competitive position**

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the last stage of three-stage strategy formulation framework?

▶ **Decision**

- ▶ Matching
- ▶ None of the given options
- ▶ Formulation

Question No: 23 (Marks: 1) - Please choose one

Which one of the following statement best describes the relationship of strategy formulation and strategy implementation stages?

▶ Strategy implementation is positioning forces before the action. Strategy formulation is managing forces during the action.

▶ **Strategy formulation requires good intuitive and analytical skills. Strategy implementation requires special motivation and leadership skills.**

▶ Strategy formulation focuses on efficiency. Strategy implementation focuses on effectiveness.

▶ Strategy Implementation is primarily an intellectual process. Strategy formulation is primarily an operational process.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is NOT a functional level objective?

▶ Building customer database of at least 250,000 companies

▶ **Increasing earnings per share by at least 10%**

▶ Achieving a 10% share of International market

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- ▶ Getting 75% customer awareness of company's brand in target markets

Question No: 25 (Marks: 1) - Please choose one

Which organizational structure is the most simple and economical?

- ▶ Strategic business unit
- ▶ **Functional structure**
- ▶ Divisional structure
- ▶ Matrix structure

Question No: 26 (Marks: 1) - Please choose one

A strategy involving major business modification usually associated with personnel downsizing and selling the part of company for the purpose of getting effectiveness at maximum is known as:

- ▶ **Restructuring**
- ▶ Re-engineering
- ▶ Downsizing
- ▶ Divestiture

Question No: 27 (Marks: 1) - Please choose one

Mr. Rian is an owner of a firm. At the start of the financial year, he has intimated his employees that the targeted profit for the year is Rs.50 Million and all the employees will be rewarded for exceeding a predetermined profit by providing an allocation in the company profits? Which sort of incentive plan Mr. Rian has announced?

- ▶ Profit sharing
- ▶ **Gain sharing**
- ▶ Bonus system
- ▶ Commission

Question No: 28 (Marks: 1) - Please choose one

Production processes typically constitute of what percentage of firm's total assets?

- ▶ **More than 70 %**

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- ▶ More than 65 %
- ▶ More than 60 %
- ▶ More than 55 %

Question No: 29 (Marks: 1) - Please choose one

All of the following are production related decisions EXCEPT:

- ▶ Plant location and size
- ▶ **Packaging and marketing**
- ▶ Technological innovation
- ▶ Resource utilization

Question No: 30 (Marks: 1) - Please choose one

Matching of which factors would allow factories to produce desirable levels without extra shifts, overtime or subcontracting?

- ▶ Competition and positioning
- ▶ Customer behavior and positioning
- ▶ **Supply and demand**
- ▶ Segments and demand

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is FALSE about the requirements of successful segmentation?

- ▶ Segments are measurable and identifiable
- ▶ Segments are accessible and actionable
- ▶ **Segments should be homogeneous**
- ▶ Segment is large enough to be profitable

Question No: 32 (Marks: 1) - Please choose one

All of the following are the examples of product decisions EXCEPT:

- ▶ Styling
- ▶ Quality
- ▶ **Advertising**

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- ▶ Warranty

Question No: 33 (Marks: 1) - Please choose one

After completing an EPS/EBIT analysis, what conclusions would you make if the debt line is above the stock line throughout the range of EBIT on the graph?

▶ **Debt appears to be the best financing alternative**

- ▶ Stock would be the best financing alternative
- ▶ Combination of debt and stock is the best financial alternative
- ▶ Dividends must be considered before concluding

Question No: 34 (Marks: 1) - Please choose one

Which of the following is a limitation of financial budgets?

- ▶ Quarterly or other periodic reforecast are not possible
- ▶ Over budgeting or under budgeting do not cause problems
- ▶ **Financial budgets can become a substitute for objectives**
- ▶ Budgets reveal inefficiencies if based solely on precedent

Question No: 35 (Marks: 1) - Please choose one

Which of the following statement is TRUE about Inbound Logistics?

▶ **It includes receiving, storing, inventory control & transportation planning**

- ▶ It includes machining, packaging, assembly, equipment maintenance & testing
- ▶ It includes activities required to deliver the finished product to the customers' end
- ▶ It includes the activities that maintain and enhance the product's value

Question No: 36 (Marks: 1) - Please choose one

In evaluating strategies, which one of Rumelt's criteria for evaluating strategies, refers to the need for strategists to examine sets of trends?

- ▶ Consistency
- ▶ **Consonance**
- ▶ Feasibility
- ▶ Advantage

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Question No: 37 (Marks: 1) - Please choose one

Strategy evaluation is based on which of the following?

- ▶ Quantitative and empirical criteria
- ▶ Empirical and qualitative criteria
- ▶ Qualitative and objective criteria
- ▶ **Qualitative and quantitative criteria**

Question No: 38 (Marks: 1) - Please choose one

Which of the following stages of strategic management helps the management to know when particular strategies are not working well?

- ▶ Strategy formulation
- ▶ Strategy implementation
- ▶ **Strategy evaluation**
- ▶ All of the given options

Question No: 39 (Marks: 1) - Please choose one

During which of the following periods, Strategic Management was considered to be cure for all problems?

- ▶ **Mid 1960s to mid 1970s**
- ▶ Mid 1970s to mid 1980s
- ▶ Mid 1980s to mid 1990s
- ▶ Mid 1950s to mid 1960s

Question No: 40 (Marks: 1) - Please choose one

Which one of the following is a reason for NOT choosing profits in BCG matrix than relative market share?

- ▶ **It carries less information than just cash flow**
- ▶ It shows where the brand is positioned against competitors
- ▶ It indicates where it might be likely to go in the future
- ▶ It shows what type of marketing activities to be performed

FINAL TERM EXAMINATION

Fall 2009

MGT603- Strategic Management (Session - 4)

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Question No: 1 (Marks: 1) - Please choose one

Which of the following is NOT included in the strategic management model?

- ▶ Measure and evaluate performance
- ▶ Establish long-term objectives
- ▶ Develop mission and vision statements
- ▶ **Perform internal research to identify customers** Page#10

Question No: 2 (Marks: 1) - Please choose one

A mission statement should “reconcile interests among diverse stakeholders”. What does it mean?

- ▶ All shareholders must be satisfied
- ▶ Shareholders should be given preference over customers
- ▶ **Firm will devote attention to meeting claims of various stakeholders**
- ▶ Firm will devote its attention towards the maximization of shareholders value

A mission statement needs to be broad to effectively reconcile differences among and appeal to an organization's diverse stakeholders, the individuals and groups of persons who have a special stake or claim on the company.

Question No: 3 (Marks: 1) - Please choose one

Which of the following are signs of strength in a company's competitive position?

- ▶ A debt-to-asset ratio below 0.50 and a positive net cash flow
- ▶ A website with extensive information about the company and its product line
- ▶ R&D and advertising expenditures greater than \$10 million annually
- ▶ **A strongly differentiated product and a strong or rising market share**

Question No: 4 (Marks: 1) - Please choose one

Which of the following is the first step in the controlling function of management?

- ▶ Take corrective actions
- ▶ Restrict breaks employees take
- ▶ Evaluate expense reports
- ▶ **Establish performance standards**

Controlling consists of four basic steps:

- 1. Establishing performance standards**
- 2. Measuring individual and organizational performance**
- 3. Comparing actual performance to planned performance standards**
- 4. Taking corrective actions** Page#59

Question No: 5 (Marks: 1) - Please choose one

Which of the following allows an organization to test alternative marketing plans and to forecast future sales of new products?

- ▶ Marketing
- ▶ Advertisement

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► **Test marketing**

- Customer analysis

Test markets allow an organization to test alternative marketing plans and to forecast future sales of new products.Page#61

Question No: 6 (Marks: 1) - Please choose one

The steps required to perform cost/benefit analysis include all BUT:

- Comparing the total costs with the total benefits
- Figure out the total costs associated with a decision
- Approximation of the total benefits from the decision
- **Adding the total cost and total benefit**

Three steps are required to perform a cost/benefit analysis:

- ☐ **Compute the total costs associated with a decision,**
- ☐ **Estimate the total benefits from the decision, and**
- ☐ **Compare the total costs with the total benefits.**Page#63

Question No: 7 (Marks: 1) - Please choose one

In strategy formulation phase, what can be the problem when only financial ratios are used to measure organizational performance?

- **They need to be compared with competitors'**
- They are only understandable by accountants
- There are many different measures available
- The measures are usually inconsistent

Question No: 8 (Marks: 1) - Please choose one

The IFE matrix summarizes and evaluates which factors in the functional areas of a business?

- Opportunities and threats
- **Strengths and weaknesses**
- Strengths and threats
- Opportunities and weaknesses

Question No: 9 (Marks: 1) - Please choose one

The Web sites that sell products directly to the consumers are the examples of which type of strategy?

- Backward integration
- Product development
- **Forward integration**
- Horizontal integration

Question No: 10 (Marks: 1) - Please choose one

Which of the followings best describes the Horizontal Integration?

- A firm takes over a supplier

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- ▶ A firm takes over a distributor
- ▶ **A firm takes over a competitor**
- ▶ A firm takes over a manufacturer

Allow a firm to gain control over: Page#81

- ☐ Distributors (forward integration)
- ☐ Suppliers (backward integration)
- ☐ Competitors (horizontal integration)

Question No: 11 (Marks: 1) - Please choose one

Which of the following is a drawback or limitation of Horizontal Integration?

- ▶ **Synergies may be more imaginary than real**
- ▶ It can increase suppliers' and buyers' bargaining power
- ▶ Economies of scale are likely to be decreased
- ▶ Both the first & third options are correct

Question No: 12 (Marks: 1) - Please choose one

Competitive advantage based on differentiation derives from:

- ▶ Being the lowest cost producer in the industry and offering the lowest priced products
- ▶ Having processes and systems which are different from competitors
- ▶ **offering products which offer different benefits from competitors' and are valued by buyers**
- ▶ Having the broadest range of different goods and services in the industry

Differentiation involves creating a product that is perceived as unique. The unique features or benefits should provide superior value for the customer if this strategy is to be successful. Page#87

Question No: 13 (Marks: 1) - Please choose one

All of the following situations are conducive to market development EXCEPT:

- ▶ **When new channels of distribution are expensive**
- ▶ When new untapped or unsaturated markets exist
- ▶ When an organization has excess production capacity
- ▶ When an organization's basic industry is becoming rapidly global

Guidelines for Market Development Page#90

Six guidelines when market development may be an especially effective strategy are:

- ☐ **New channels of distribution that are reliable, inexpensive, and good quality**
- ☐ Firm is very successful at what it does
- ☐ Untapped or unsaturated markets
- ☐ Capital and human resources necessary to manage expanded operations
- ☐ Excess production capacity
- ☐ Basic industry rapidly becoming global

Question No: 14 (Marks: 1) - Please choose one

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Which strategy would be effective when the stockholders of a firm can minimize their losses by selling the organization's assets?

► **Liquidation** Page#95

- Integration
- Differentiation
- Diversification

Question No: 15 (Marks: 1) - Please choose one

ABC firm has high production cost in Pakistan due to expensive raw material. The firm is formulating the strategy of capturing the European market as prices of raw material used in ABC firm's products is relatively low in European market and demand is also there for the firm's products. Which of the following strategy the firm is going to use?

► **WO**

- SW
- ST
- WT

Question No: 16 (Marks: 1) - Please choose one

What of the following strategy would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-5, -2)?

- Market penetration
- Market development
- Backward integration

► **Retrenchment**

(-5, -2) falls in Defensive region and in defensive strategy we have

Retrenchment Page#93 and page#100

Divestiture

Liquidation

Question No: 17 (Marks: 1) - Please choose one

ABC company is competing in an industry where the growth rate of that industry from year to year has reached zero or is close to zero, ABC is operating in which industry?

- Growing industry
- Emerging industry
- **mature industry**
- Declining industry

Maturity stage: The stage in the product life cycle in which sales growth slows or levels off

Question No: 18 (Marks: 1) - Please choose one

IE matrix is based on which dimensions?

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- ▶ Market share and industry growth
- ▶ Financial strength and industry strength
- ▶ **Weighed scores of IFE and EFE matrices**
- ▶ Market growth and competitive position

It relate to internal (IFE) and external factor evaluation (EFE). The findings form internal and external position and weighted score plot on it. Page#105

Question No: 19 (Marks: 1) - Please choose one

How can the divisions that fall in hold and maintain region of IE matrix be best managed?

- ▶ **Market penetration and product development**
- ▶ Forward integration and backward integration
- ▶ Horizontal diversification and joint venture
- ▶ Mergers and acquisitions

<http://www.mba-tutorials.com/strategy/391-internal-external-ie-matrix.html>

the divisions which comes under cells 3, 5 or 7 can be properly manages with hold and maintain strategies this position is average for the division market penetration and development strategies are most appropriate strategies.

Question No: 20 (Marks: 1) - Please choose one

In Grand strategy matrix what will be the appropriate quadrant for the Ahmad textiles if it is operating in slow growing market and holds weak competitive position?

- ▶ Quadrant I
- ▶ Quadrant II
- ▶ **Quadrant III**
- ▶ Quadrant IV

Qurdant-3 contains that company's weak competitive situation and slow market growth. Page#108

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE about weights assigned in QSPM?

- ▶ This refers to preference assigned to the internal and external factors
- ▶ **This refers to relative importance of the internal and external factors**
- ▶ This refers to the insignificance of the internal and external factors
- ▶ This refers to the relative size of the internal and external factors

Step 2

Assign weights to each key external and internal factor. These weights are identical to those in the EFE Matrix and the IFE Matrix. The weights are presented in a straight column just to the right of the external and internal critical success factors. There are four main columns in QSPM, the left column list down the key internal and external key factors which are same as in EFE and IFE matrix. Adjacent column to key factors is Weight (relative importance of the factor) which hold the

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numeric value obtained from EFE and IFE matrix weight column.

<http://www.mba-tutorials.com/strategy/230-quantitative-strategic-planning-matrix-qspm.html>

Question No: 22 (Marks: 1) - Please choose one

Numerical values that indicate the relative attractiveness of each strategy in a given set of alternative strategies is referred as:

- ▶ Total attractiveness score
- ▶ **Attractiveness score**
- ▶ Weighted score
- ▶ Total weighted score

Question No: 23 (Marks: 1) - Please choose one

What can be the limitation of QSPM?

- ▶ Only a few strategies can be evaluated simultaneously
- ▶ The cost of doing the analysis is very high
- ▶ **Intuitive judgments and educated assumption are required**
- ▶ It requires equal participation of everyone in organization

Page#111

Limitations

1. Requires intuitive judgments and educated assumptions
2. Only as good as the prerequisite inputs
3. Only strategies within a given set are evaluated relative to each other

Question No: 24 (Marks: 1) - Please choose one

Which of the following is a deliberate plan of action, guidelines, methods, procedures to guide decisions and achieve rational outcome?

- ▶ Annual objectives
- ▶ Strategies
- ▶ **Policies**
- ▶ Goals

A policy is a deliberate plan of action to guide decisions and achieve rational outcome(s).

<http://www.financialcrisis2009.org/forum/Corporations/What-is-the-difference-between-a-procedures-manual-and-policy-manual-294935.htm>

Question No: 25 (Marks: 1) - Please choose one

Why do changes in company strategy often require changes in the way an organization is structured?

- ▶ **Because structure depicts how goals will be established**
- ▶ Because structure dictates how authorities will be delegated
- ▶ Because structure dictates how resources will be obtained
- ▶ Because structure dictates how financial resources are spent

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Question No: 26 (Marks: 1) - Please choose one

Which organizational structure is the most simple and economical?

- ▶ Strategic business unit
- ▶ **Functional structure**
- ▶ Divisional structure
- ▶ Matrix structure

The most widely used structure is the functional or centralized type because this structure is the simplest and least expensive of the seven alternatives. Page#118

Question No: 27 (Marks: 1) - Please choose one

A divisional structure by geographic area is most appropriate in which of the following situation?

- ▶ **Organizations have similar branch facilities in dispersed areas**
- ▶ Organization offers a limited number of products or services
- ▶ Organization needs strict control over product lines
- ▶ Organization has to serve a large geographic area

A divisional structure by geographic area is appropriate for organizations whose strategies need to be tailored to fit the particular needs and characteristics of customers in different geographic areas. This type of structure can be most appropriate for organizations that have similar branch facilities located in widely dispersed areas Page#119

Question No: 28 (Marks: 1) - Please choose one

Which of the following is best identified as being an adaptation of the divisional structure?

- ▶ Vertical Integration
- ▶ **Strategic business units**
- ▶ Joint venture
- ▶ None of the given options

Question No: 29 (Marks: 1) - Please choose one

All of the following fall under the category of restructuring EXCEPT:

- ▶ Reducing number of employees
- ▶ **Reducing number of shareholders**
- ▶ Reducing number of divisions
- ▶ Reducing number of hierarchical levels

Restructuring—also called downsizing, rightsizing, or delayering—involves reducing the size of the firm in terms of number of employees, number of divisions or units, and number of hierarchical levels in the firm's organizational structure.

Page#120

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is Educative change strategy?

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- ▶ Giving orders to subordinates and enforcing those orders
- ▶ Changing the strategy of educational institutions
- ▶ **Presenting information to convince people of the need for change**
- ▶ Attempting to convince individuals that the change is for their interest

The educative change strategy is one that presents information to convince people of the need for change; Page#124

Question No: 31 (Marks: 1) - Please choose one

Under Just in Time (JIT) approach, when the new stock is ordered?

- ▶ When stock comes to an end
- ▶ **When stock reaches the re-order level**
- ▶ On 1st of each month
- ▶ At the start of the year

New stock is ordered when stock reaches the re-order level. Page#126

Question No: 32 (Marks: 1) - Please choose one

Which one of the following variables is not directly affected by market segmentation?

- ▶ Product
- ▶ Place
- ▶ **Process (not part of marketing mix)**
- ▶ Price

Question No: 33 (Marks: 1) - Please choose one

Which one of the following is an example of product decisions?

- ▶ **Brand name Page#132**
- ▶ Volume discounts
- ▶ Distribution channels
- ▶ Order processing

Question No: 34 (Marks: 1) - Please choose one

In the low earnings period, which one of the following can endanger stockholders' return and can put in danger the company survival?

- ▶ **Too much debt in the capital structure**
- ▶ Too much liquid assets in the capital structure
- ▶ Too much equity in the capital structure
- ▶ Too much tax in the capital structure

In low earning periods, too much debt in the capital structure of an organization can endanger stockholders' return and jeopardize company survival. Page#136

Question No: 35 (Marks: 1) - Please choose one

Which element in the projected income statement cannot be forecasted using the percentage-of-sales method?

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- ▶ Cost of goods sold
- ▶ **Interest expense**
- ▶ Selling expense
- ▶ Administrative expense

Question No: 36 (Marks: 1) - Please choose one

Which of these is the most common type of budgeting time frame?

- ▶ Daily
- ▶ Monthly
- ▶ Quarterly
- ▶ **Annually**

Question No: 37 (Marks: 1) - Please choose one

Which of the following is NOT accepted for determining a business worth?

- ▶ Firm's holdings
- ▶ Firm's earnings
- ▶ Firm's return on investment
- ▶ **Firm's bringing in to the market**

Question No: 38 (Marks: 1) - Please choose one

If technology is changing rapidly and the market is growing slowly then what decision the firm should take regarding R & D?

- ▶ In-house R&D should be established
- ▶ Acquisition of a well-established firm in the industry
- ▶ **R&D investment is risky, so don't take any action**
- ▶ Obtain R&D expertise on a nonexclusive basis

If technology is changing rapidly and the market is growing slowly, then a major effort in R&D may be very risky, because it may lead to development of an ultimately obsolete technology or one for which there is no market. Page#141

Question No: 39 (Marks: 1) - Please choose one

Which of the following is NOT one of the major approaches to R&D?

- ▶ To be an innovative imitator of successful products
- ▶ To be a low-cost producer by mass-producing products
- ▶ **To be a differentiated products manufacturer in industry**
- ▶ To be the first firm to market new technological products

There are at least three major R&D approaches for implementing strategies.

- 1. First firm to market new technological products**
- 2. Be an innovative imitator of successful products**
- 3. Low-cost producer of similar but less expensive products Page#141**

Question No: 40 (Marks: 1) - Please choose one

What is the appropriate time frame for strategy-evaluation activities?

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- ▶ At the beginning of a problem
- ▶ **On a continuous basis**
- ▶ Upon completion of major projects
- ▶ After the closing of financial year

Question No: 41 (Marks: 1) - Please choose one

XYZ Company has controlled its distributors so that no other firm can access the scarce natural resources available in the country, which are used in XYZ's production. This action is taken in order to reduce which of the following:

- ▶ The bargaining power of customers
- ▶ The bargaining power of suppliers
- ▶ **The threat of new entrants**
- ▶ The threat of substitute products

Question No: 42 (Marks: 1) - Please choose one

Which one of the following statements best describes the activity 'marketing and sales' of Porter's supply chain model?

- ▶ Machining, packaging, assembly, equipment maintenance & testing
- ▶ **Activities linked with getting buyers to purchase the product**
- ▶ Activities that maintain and enhance the product's value
- ▶ Receiving, storing, inventory control & transportation planning

Marketing and Sales: The activities associated with getting buyers to purchase the product, including: channel selection, advertising, promotion, selling, pricing, retail management, etc. Page#147

Question No: 43 (Marks: 1) - Please choose one

Outbound logistics includes which one of the following?

- ▶ Receiving, storing, inventory control, transportation planning
- ▶ Machining, packaging, assembly, equipment maintenance, testing
- ▶ **Activities required to get the finished product at the customers**
- ▶ Activities that maintain and enhance the product's value

Outbound Logistics: The activities required to get the finished product at the customers: warehousing, order fulfillment, transportation, distribution management Page#147

Question No: 44 (Marks: 1) - Please choose one

Which of the following statement is TRUE about Inbound Logistics?

- ▶ **It includes receiving, storing, inventory control & transportation planning**
- ▶ It includes machining, packaging, assembly, equipment maintenance & testing
- ▶ It includes activities required to deliver the finished product to the customers' end
- ▶ It includes the activities that maintain and enhance the product's value

Inbound Logistics. Includes receiving, storing, inventory control, transportation planning. Page#147

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Question No: 45 (Marks: 1) - Please choose one

All of the following are support activities of Porter's supply chain model EXCEPT:

- ▶ Firm Infrastructure
- ▶ **Marketing and Sales Page#147**
- ▶ Technology Development
- ▶ Procurement

Question No: 46 (Marks: 1) - Please choose one

To make changes in the organization's management, marketing, finance/accounting and R&D, which one of the following should be focused?

- ▶ Revised mission
- ▶ **Revised IFE matrix**
- ▶ Revised EFE matrix
- ▶ Revised EPM matrix

A revised IFE Matrix should focus on changes in the organization's management, marketing, finance/accounting, production/operations, R&D, and computer information systems strengths and weaknesses. Page#150

Question No: 47 (Marks: 1) - Please choose one

A revised IFE Matrix should focus on which one of the following?

- ▶ Changes in the organization's management, marketing R & D, computer information system and external environment
- ▶ **Marketing, finance/accounting, production/operations, R&D and computer information systems strengths and weaknesses**
- ▶ Effectiveness of a firm's strategies in response to key opportunities and threats
- ▶ Effectiveness of an organization's strategy in pursuing the competitive goals and managerial actions

Question No: 48 (Marks: 1) - Please choose one

Which of the following statement is TRUE about most of the quantitative criteria of evaluating strategies?

- ▶ **These are geared to annual objective**
- ▶ These are geared to short-term objective
- ▶ These are geared to long-term objective
- ▶ These are geared to social objectives

First, most quantitative criteria are geared to annual objectives rather than long-term objectives. Page#153

Question No: 49 (Marks: 1) - Please choose one

Which one of the following is NOT correct about financial ratios?

- ▶ These are used to compare the firm's performance over different time periods

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- ▶ These are used to compare the firm's performance relevant to its competitors'
- ▶ These are used to compare the firm's performance in relation to industry averages
- ▶ **These are used to compare the firm's performance in relation to future trends**

- (1) Comparing the firm's performance over different time periods,
- (2) Comparing the firm's performance to competitors',
- (3) Comparing the firm's performance to industry averages. Page#151

Question No: 50 (Marks: 1) - Please choose one

A good evaluation system must possess various qualities. Which of the following is not a characteristic of a good strategy evaluation system?

- ▶ Strategy-evaluation activities must be economical
- ▶ Strategy-evaluation activities should be meaningful
- ▶ **Strategy-evaluation activities should dominate the decisions** Page#154
- ▶ Strategy-evaluation activities should provide timely information
- First, strategy-evaluation activities must be economical; too much information can be just as bad as too little information; and too many controls can do more harm than good.
- Strategy-evaluation activities also should be meaningful; they should specifically relate to a firm's objectives.
- Strategy-evaluation activities should provide timely information; on occasion and in some areas, managers may need information daily.

Question No: 51 (Marks: 1) - Please choose one

Which of the following enables the firm to create superior value for its customers and superior profits for itself in comparison to its rival firms?

- ▶ **Competitive advantage**
- ▶ Comparative advantage
- ▶ Differential advantage
- ▶ Suitable advantage

<http://www.quickmba.com/strategy/competitive-advantage/>

Question No: 52 (Marks: 1) - Please choose one

Adapting to change confronts an organization's strategic management to which of the following issue(s):

- ▶ What kind of business we should be in?
- ▶ Are we in the right field?
- ▶ Should we reshape our business?
- ▶ **All of the given options**

The need to adapt to change leads organizations to key strategic management questions, such as "What kind of business should we become?" "Are we in right field?" "Should we reshape our business?" "Are new technologies being developed that could put us out of business?" Page#06

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Question No: 53 (Marks: 1) - Please choose one

Which of the following environment includes all those factors which affect the organization and is itself affected by the organization?

▶ **Task environment**

- ▶ Social environment
- ▶ External environment
- ▶ Internal environment

Task environment includes all those factors which affect the organization and itself affected by the organization. Page#08

Question No: 54 (Marks: 1) - Please choose one

Non-financial benefits of strategic management include all of the following EXCEPT:

- ▶ Enhanced awareness of threats
- ▶ Reduced resistance to change
- ▶ **Increase in sales**
- ▶ Better awareness of external threats

Non- financial Benefits Page#13

- ☉ Increased employee productivity
- ☉ Improved understanding of competitors' strategies
- ☉ Greater awareness of external threats
- ☉ Understanding of performance reward relationships
- ☉ Better problem-avoidance
- ☉ Lesser resistance to change

Question No: 55 (Marks: 1) - Please choose one

Which cell of the TOWS Matrix involves matching internal strengths with external opportunities?

- ▶ The WT cell
- ▶ **The SO cell**
- ▶ The SW cell
- ▶ The ST cell

Question No: 56 (Marks: 1) - Please choose one

In the Boston Consulting Group (BCG) growth-share matrix, which strategy in the matrix describes large generation of cash and heavy investment needed to grow and maintain competitive positioning but net cash flow is usually modest?

- ▶ **Stars**
- ▶ Dogs
- ▶ Cash cows
- ▶ Question marks

Stars describe a business with a strong competitive position in the industry. The

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industry is robust and SBUs are highly attractive. Net cash flow is modest since investment is heavy although stars generate large amounts of cash.

Question No: 57 (Marks: 1) - Please choose one

Which of the following best describes “Strategy Implementation”?

- ▶ It refers to positioning forces before the action
- ▶ It focuses on effectiveness
- ▶ **It requires coordination among many individuals** Page#112
- ▶ It requires coordination among few individuals

Question No: 58 (Marks: 1) - Please choose one

Which of the following is NOT a rule of thumb when using product positioning as a strategy-implementation tool?

- ▶ “Don’t squat between segments”
- ▶ “Look for the whole or vacant niche”
- ▶ **“Try to serve more than one segment with the same strategy”**
- ▶ “Don’t position yourself in the middle of the map”

Question No: 59 (Marks: 1) - Please choose one

There are numerous external and internal factors that can prohibit firms from achieving long-term and annual objectives. Which of the following is NOT an external factor?

- ▶ Actions by competitors
- ▶ Changes in technology
- ▶ Changes in demand
- ▶ **Ineffective strategies**

Externally, actions by competitors, changes in demand, changes in technology, economic changes, demographic shifts, and governmental actions may prohibit objectives from being accomplished. Page#150

Question No: 60 (Marks: 1) - Please choose one

According to “Linneman and Chandran”, which of the following permits quick response to change, prevents panic in crisis situations and makes managers more adaptable?

- ▶ Forecasting
- ▶ **Contingency planning**
- ▶ Taking corrective actions
- ▶ Environmental scanning

Linneman and Chandran reported that contingency planning gave users such as DuPont, Dow Chemical, Consolidated Foods, and Emerson Electric three major benefits: It permitted quick response to change, it prevented panic in crisis situations, and it made managers more adaptable by encouraging them to appreciate just how variable the future can be. Page#155

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FINAL TERM EXAMINATION

Fall 2008

MGT603- Strategic Management (Session - 2)

Marks: 81

Question No: 1 (Marks: 1) - Please choose one
R&D expertise should be obtained through acquisition of a well-established firm in the industry in which of the following situation?

► If both technical progress and market growth are fast

- If technology is changing slowly but the market is growing fast
- If the technical progress is slow, market growth the rate is moderate
- If technology is changing rapidly and the market is growing slowly

If both technical progress and market growth are fast, R&D expertise should be obtained through acquisition of a well-established firm in the industry. PAGE#141

Question No: 2 (Marks: 1) - Please choose one
A desired future state that the organization attempts to realize". Identify the term relevant to the given statement.

- Policy
- Procedure
- Goal
- Strategy

http://books.google.com.pk/books?id=anFL0tCTGA6UC&pg=PA154&lpg=PA154&dq=A+desired+future+state+that+the+organization+attempts+to+realize&source=bl&ots=p_9l7i9Iwg&sig=aXQ5zdZqIu_w1tUm9TpyhRtTc&hl=en&ei=qt8UTYz5MYifOpyZhJIJ&sa=X&oi=book_result&ct=result&resnum=2&sqi=2&ved=0CB0Q6AEwAQ#v=onepage&q=A%20desired%20future%20state%20that%20the%20organization%20attempts%20to%20realize&f=false

Question No: 3 (Marks: 1) - Please choose one
The purpose of a mission statement is to declare all of the following EXCEPT:

- A reason of being
- A statement of purpose
- An annual financial plan Page#16
- A statement of beliefs

Mission statement:

- An enduring statement of purpose
- distinguishes one firm from another in the same business
- A declaration of a firm's reason for existence

Question No: 4 (Marks: 1) - Please choose one

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Ethnic balance changes due to the migration of the people from different areas to different areas. This affects the ethical behavior very much", this is the effect of which of the following forces?

- ▶ Economic forces
- ▶ **Social, cultural, and demographic forces** Page#31
- ▶ Technological forces
- ▶ Competitive forces

Question No: 5 (Marks: 1) - Please choose one

Which of the following can be considered as barriers to entering a market or industry?

- ▶ The lack of economies of scale and experience and low levels of brand loyalty
- ▶ The presence of large number of rivals already in the industry
- ▶ **Relatively large capital requirements and industry have economies of scale**
- ▶ The absence of tariffs, trade restrictions, and/or government-mandated regulations

Question No: 6 (Marks: 1) - Please choose one

Which one of the statements is a good example of the competitive power of substitute products?

- ▶ **The competition between contact lens and eyeglasses**
- ▶ The competition between Amazon.com and traditional off-line bookstores
- ▶ The competition between cellular phones and computers
- ▶ The competition between Aspirin and joshanda

Question No: 7 (Marks: 1) - Please choose one

Assigning 1 rating to a key external factor indicates that:

- ▶ Response is average
- ▶ **Response is poor**
- ▶ Response is superior
- ▶ Response is above average

Assign a 1-to-4 rating to each key external factor to indicate how effectively the firm's current strategies respond to the factor, where = 5 the response is superior, 3 = the response is above average, 2 = the response is average, and 1 = the response is poor. Page#44

Question No: 8 (Marks: 1) - Please choose one

What is the difference between CPM and EFE?

- ▶ **CPM includes both internal and external issues** Page# 46
- ▶ The weight and total weighted score mean opposite
- ▶ CPM ratings range from 1 to 10
- ▶ CPM is performed only for the large businesses

The weights and total weighted scores in both a CPM and EFE have the same meaning. However, the factors in a CPM include both internal and external issues

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Question No: 9 (Marks: 1) - Please choose one

Which of the following can be the strength of an organization?

- ▶ A developing market
- ▶ A new international market
- ▶ Loosening of regulation

▶ **Strong management team** Page#48

Question No: 10 (Marks: 1) - Please choose one

"Max Rent-a-Car" is opening car rental shops in Wal-Mart stores, is an example of which type of strategy?

- ▶ Forward Integration
- ▶ Backward Integration
- ▶ **Related diversification**
- ▶ Unrelated diversification

Question No: 11 (Marks: 1) - Please choose one

Which of the followings involves the substantial modification of existing product the creation of new but related products that can be marketed to current customers through established channels?

- ▶ Innovation
- ▶ Differentiation
- ▶ **Product development**
- ▶ Market development

Question No: 12 (Marks: 1) - Please choose one

Abdullah Group of Industries is involved in the sale most likely to say that Abdullah Group is implement strategy.

- ▶ Join venture
- ▶ Acquisition
- ▶ Liquidation
- ▶ **Retrenchment** (question not clear ☹)

Question No: 13 (Marks: 1) - Please choose one

Which strategy should be implemented when a division organization's overall poor performance?

- ▶ **Divestiture**
- ▶ Forward integration
- ▶ Cost leadership
- ▶ Related diversification

When a division is responsible for the firm's overall poor performance PAGE#94

Question No: 14 (Marks: 1) - Please choose one

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Matching stage of strategy formulation framework comprises of formulation of which of the following set of matrices?

- ▶ BCG, SPACE, QSPM matrix
- ▶ **BCG, SPACE, TWOS Matrix Page#97**
- ▶ SPACE, TWOS and IFE matrix
- ▶ BCG, SPACE, EFE Matrix

Stage-2 (Matching stage)

1. **TWOS Matrix** (Threats-Opportunities-Weaknesses-Strengths)
2. **SPACE Matrix** (Strategic Position and Action Evaluation)
3. **BCG Matrix** (Boston Consulting Group)
4. **IE Matrix** (Internal and external)
5. **GS Matrix** (Grand Strategy)

Question No: 15 (Marks: 1) - Please choose one

"Other than ranking strategies to achieve the prioritized list, only one analytical technique in strategy formulation which is designed to determine the relative attractiveness of feasible alternative actions" is known as:

- ▶ SPACE
- ▶ **QSPM**
- ▶ IFE
- ▶ CPM

That is only technique designed to determine the relative attractiveness of feasible alternative action. Page#110

Question No: 16 (Marks: 1) - Please choose one

ABC Corporation can have competitive advantage over its competitor by taking all of the following actions EXCEPT:

- ▶ By increasing product quality
- ▶ **By having debt to equity ratio=1**
- ▶ By altering product life cycle
- ▶ By increasing customer base

Question No: 17 (Marks: 1) - Please choose one

What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-4, -4)?

- ▶ Aggressive
- ▶ Conservative
- ▶ Competitive
- ▶ **Defensive**

Question No: 18 (Marks: 1) - Please choose one

A position vector with (-6, +6) coordinates describes which one of the following statement regarding SPACE analysis matrix?

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- ▶ A financially weak and highly competitively firm
- ▶ A financially strong and highly competitively firm
- ▶ **A Financially strong firm but competitively weak**
- ▶ A financially as well as competitively weak firm

Because $(-6, +6) = (-x, +y)$ and $-x$ axis show different level of weak CA and $+y$ show different level of strong FS

Question No: 19 (Marks: 1) - Please choose one

Business units that have low market share and are operating in slow-growing industry should choose all of the following EXCEPT:

- ▶ **New investments**
- ▶ Production efficiency
- ▶ Distribution efficiency
- ▶ Product innovation

Low-growth, low-share businesses and products (they may generate enough cash to maintain themselves, but do not have much future). The company can divest the SBU.

Question No: 20 (Marks: 1) - Please choose one

On the x-axis of IE Matrix, an IFE total weighted score of 3.75 depicts what?

- ▶ A weak internal position
- ▶ An average internal position
- ▶ **A strong internal position** Page#106
- ▶ A low internal position

On the x-axis of the IE Matrix, an IFE total weighted score of 1.0 to 1.99 represents a weak internal position; a score of 2.0 to 2.99 is considered average; and a score of 3.0 to 4.0 is strong.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE about weights assigned in QSPM?

- ▶ This refers to preference assigned to the internal and external factors
- ▶ **This refers to relative importance of the internal and external factors**
- ▶ This refers to the insignificance of the internal and external factors
- ▶ This refers to the relative size of the internal and external factors

Step 2

Assign weights to each key external and internal factor. These weights are identical to those in the EFE Matrix and the IFE Matrix. The weights are presented in a straight column just to the right of the external and internal critical success factors. There are four main columns in QSPM, the left column list down the key internal and external key factors which are same as in EFE and IFE matrix. Adjacent column to key factors is Weight (relative importance of the factor) which hold the numeric value obtained from EFE and IFE matrix weight column.

<http://www.mba-tutorials.com/strategy/230-quantitative-strategic-planning-matrix->

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[qspm.html](#)

Question No: 22 (Marks: 1) - Please choose one

What can be the limitation of QSPM?

- ▶ Only a few strategies can be evaluated simultaneously
- ▶ The cost of doing the analysis is very high
- ▶ **Intuitive judgments and educated assumption are required**
- ▶ It requires equal participation of everyone in organization

Page#111

Limitations

1. Requires intuitive judgments and educated assumptions
2. Only as good as the prerequisite inputs
3. Only strategies within a given set are evaluated relative to each other

Question No: 23 (Marks: 1) - Please choose one

Which of the following is NOT a part of resource allocation plan?

- ▶ Basic allocation decision
- ▶ Contingency mechanisms
- ▶ **Primary allocation mechanism**
- ▶ None of the given options

The plan has two parts: Firstly, there is the basic allocation decision and secondly there are contingency mechanisms. Page#116

Question No: 24 (Marks: 1) - Please choose one

Which one of the following is not an approach to resolve conflicts?

- ▶ Avoidance
- ▶ Diffusion
- ▶ Confrontation
- ▶ **Ignorance**

Strategies for resolving or preventing the development of conflict can be classified as avoidance, diffusion, or confrontation.

Read more: Conflict resolution, Information about Conflict resolution <http://www.faqs.org/health/topics/1/Conflict-resolution.html#ixzz19CKDmMrw>

Question No: 25 (Marks: 1) - Please choose one

Which approach for managing and resolving conflict involves playing down differences between conflicting parties while stressing on similarities and common interests?

- ▶ Avoidance
- ▶ Compliance
- ▶ **Diffusion**
- ▶ Confrontation

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A diffusion strategy can include playing down differences between conflicting parties while accenting similarities and common interests, compromising so that there is neither a clear winner nor loser, resorting to majority rule, appealing to a higher authority, or redesigning present positions.

<http://pechdawin.blogspot.com/2010/10/glossary-fo-strategic-management.html>

Question No: 26 (Marks: 1) - Please choose one

Which of the following is best identified as being an adaptation of the divisional structure?

- ▶ Vertical Integration
- ▶ **Strategic business units**
- ▶ Joint venture
- ▶ None of the given options

Question No: 27 (Marks: 1) - Please choose one

All of the following would be considered as true statements regarding the matrix organizational structure EXCEPT which one?

- ▶ **It reduces managerial positions**
- ▶ It shares authority and responsibility among managers
- ▶ It distributes stress among the team members
- ▶ It maintains better balance between time and performance

A matrix structure can result in higher overhead because it creates more management positions. Page#120

Question No: 28 (Marks: 1) - Please choose one

The inventory is viewed as which of the following in Just In Time Inventory system

- ▶ **Incurring costs** Page#127
- ▶ Adding value
- ▶ Disburse expense
- ▶ None of the given options

Question No: 29 (Marks: 1) - Please choose one

What is NOT a major benefit of having a diverse workforce?

- ▶ Improvement of the bottom line
- ▶ **An increase in training costs**
- ▶ An increase in productivity
- ▶ A decrease in complaints

Here are 13 Benefits of a Diverse Workforce:

1. Improves corporate culture
2. Improves employee morale
3. Leads to a higher retention of employees
4. Leads to an easier recruitment of new employees
5. **Decreases complaints and litigation**

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- 6. Increases creativity
- 7. Decreases interpersonal conflict between employees
- 8. Enables the organization to move into emerging markets
- 9. Improves client relations
- 10. Increases productivity
- 11. Improves the bottom line
- 12. Maximizes brand identity
- 13. Reduces training costs

Question No: 30 (Marks: 1) - Please choose one

Market segmentation is especially used in implementing strategies by which of the following firms?

- ▶ **Small firms**
- ▶ Large firms
- ▶ Medium-size firms
- ▶ All of the given options

Market segmentation is widely used in implementing strategies, especially for small and specialized firms. Page#130

Question No: 31 (Marks: 1) - Please choose one

All of the following are the requirements for successful segmentation EXCEPT:

- ▶ Segment is large enough to be profitable
- ▶ **Homogeneity between the segments** Page#129
- ▶ Segments are accessible and actionable
- ▶ Heterogeneity between segments

The requirements for successful segmentation are:

- Homogeneity within the segment
- Heterogeneity between segments
- Segments are measurable and identifiable
- Segments are accessible and actionable
- Segment is large enough to be profitable.....

Question No: 32 (Marks: 1) - Please choose one

"The process of dividing markets into groups of consumers who are similar to each other". Which of the following terms describes the statement?

- ▶ Positioning
- ▶ **Segmentation**
- ▶ Marketing
- ▶ Targeting

Segmentation

The process of dividing markets into groups of consumers who are similar to each other, but different to the consumers in other groups.

<http://www.esomar.org/index.php/glossary-s.html>

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Question No: 33 (Marks: 1) - Please choose one

Which of the following statements is FALSE about mass marketing?

- ▶ Mass marketing reduces costs through economies of scale by the increased volume
- ▶ **Mass marketing does not try to please all customers with same offering**
- ▶ Mass marketing allows economies of scale to be realized through mass production
- ▶ Mass Marketing means attempting to sell the same product to a wider audience

Because

The appeal of mass marketing is in the potential for higher total profits. Companies that employ the system expect the larger profit to result from (1) expanded volume through lower prices and (2) reduced costs through economies of scale made possible by the increased volume.

Mass marketing allows economies of scale to be realized through mass production, mass distribution, and mass communication

It is type of **marketing** of a product to a wide audience.

Question No: 34 (Marks: 1) - Please choose one

Which of these is the most common type of budgeting time frame?

- ▶ Daily
- ▶ Monthly
- ▶ Quarterly
- ▶ **Annually**

Question No: 35 (Marks: 1) - Please choose one

At least how many R & D approaches are used for the implementation of strategy?

- ▶ **Three**
- ▶ Four
- ▶ Five
- ▶ Two

There are at least three major R&D approaches for implementing strategies.

1. First firm to market new technological products
2. Be an innovative imitator of successful products
3. Low-cost producer of similar but less expensive products

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is not a rivalry determinant of Porter's model?

- ▶ **Differentiation of inputs**
- ▶ Industry growth
- ▶ Diversity of competitors
- ▶ Switching costs

<http://books.google.com.pk/books?id=REJvYhuWD1IC&pg=PA142&lpg=PA142&>

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dq=Which+one+of+the+following+is+not+a+rivalry+determinant+of+Porter's+model%3F+%E2%96%BA%09Differentiation+of+inputs+%E2%96%BA%09Industry+growth+%E2%96%BA%09Diversity+of+competitors+%E2%96%BA%09Switching+costs&source=bl&ots=6wvWgZJPU5&sig=jka1nMNxFBH6C2vPGIqHYpZU7Fc&hl=en&ei=OC0XTb3CMcih8QOe9vTBg&sa=X&oi=book_result&ct=result&resnum=3&ved=0CCQQ6AEwAg#v=onepage&q&f=false

Question No: 37 (Marks: 1) - Please choose one

What is the purpose of strategy evaluation?

- ▶ Increase the budget annually
- ▶ **Alert management of problems** Page#145
- ▶ Make budget changes
- ▶ Evaluate employees' performance

Purpose of strategy evaluation

- **Strategy evaluation is vital to the organization's well-being**
- **Alert management to potential or actual problems in a timely fashion**
- **Erroneous strategic decisions can have severe negative impact on organizations**

Question No: 38 (Marks: 1) - Please choose one

All of the following are the examples of technology development EXCEPT:

- ▶ Research and Development
- ▶ **Quality management**
- ▶ Process automation
- ▶ Design and redesign

Technology Development: Includes technology development to support the value chain activities. Such as: Research and Development, Process automation, design, redesign. Page#147

Question No: 39 (Marks: 1) - Please choose one

Strategy evaluation is based on which of the following?

- ▶ Quantitative and empirical criteria
- ▶ Empirical and qualitative criteria
- ▶ Qualitative and objective criteria
- ▶ **Qualitative and quantitative criteria**

Strategy evaluation is based on both quantitative and qualitative criteria. Page#153

Question No: 40 (Marks: 1) - Please choose one

Which of the following statement is TRUE about most of the quantitative criteria evaluating strategies?

- ▶ **These are geared to annual objective**
- ▶ These are geared to short-term objective
- ▶ These are geared to long-term objective
- ▶ These are geared to social objectives

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First, most quantitative criteria are geared to annual objectives rather than long-term objectives. Page#153

Question No: 41 (Marks: 1) - Please choose one
What is the basis for quantitative financial evaluation?

- ▶ The EPS/EBIT Analysis
- ▶ Capital Asset Pricing Model
- ▶ **Financial ratios**
- ▶ Present value analysis

Quantitative criteria commonly used to evaluate strategies are financial ratios
Page#151

Question No: 42 (Marks: 1) - Please choose one
The people who perform audit can be categorized as all of the following EXCEPT:

- ▶ Independent auditors
- ▶ **Financial auditors**
- ▶ Government auditors
- ▶ Internal auditors

People who perform audits can be divided into three groups: independent auditors, government auditors, and internal auditors. Page#155

FINAL TERM EXAMINATION

Fall 2008

MGT603- Strategic Management (Session - 1)

Marks: 81

Question No: 1 (Marks: 1) - Please choose one

Strategic management integrates all of the following areas EXCEPT:

- ▶ Management
- ▶ Marketing
- ▶ Research and development

▶ **Human resource management** Page#02

⌚ Marketing

⌚ Management

⌚ Finance

⌚ Research and development

Question No: 2 (Marks: 1) - Please choose one

Strategist is an individual who is involved in the strategic management process, thus may be known as:

- ▶ Member board of director
- ▶ **President**
- ▶ Division manager
- ▶ All of the given options

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Question No: 3 (Marks: 1) - Please choose one

"A desired future state that the organization attempts to realize". Identify the term relevant to the given statement.

- ▶ Policy
- ▶ Procedure
- ▶ **Goal**
- ▶ Strategy

http://books.google.com.pk/books?id=aML0tCTGA6UC&pg=PA154&lpg=PA154&dq=A+desired+future+state+that+the+organization+attempts+to+realize&source=bl&ots=p_9l7i9Iwg&sig=aXQ5zdZqIu_wAsutUm9TpyhRtTc&hl=en&ei=qt8UTYz5MYifOpyZhJIJ&sa=X&oi=book_result&ct=result&resnum=2&sqi=2&ved=0CB0Q6AEwAQ#v=onepage&q=A%20desired%20future%20state%20that%20the%20or ganization%20attempts%20to%20realize&f=false

Question No: 4 (Marks: 1) - Please choose one

Which of the following business actions is NOT considered to be unethical?

- ▶ Poor product or service safety
- ▶ Using non-union labor in a union shop
- ▶ Misleading advertising

▶ **Too expensive products Page#15**

Some business actions always considered to be unethical include misleading advertising or labeling, causing environmental harm, poor product or service safety, padding expense accounts, insider trading, dumping banned or flawed products. In foreign markets, lack of equal opportunities for women and minorities, overpricing, hostile takeovers, moving jobs overseas, and using nonunion labor in a union shop.

Question No: 5 (Marks: 1) - Please choose one

Which type of trend can be exemplified by the increase in average level of education in a society?

- ▶ Cultural
- ▶ Technological
- ▶ Economic

▶ **Social**

Question No: 6 (Marks: 1) - Please choose one

Allocation and reallocation of capital and resources to projects, products, assets, and divisions of an organization is known as:

▶ **Investment decisions Page#64**

- ▶ Financing decisions
- ▶ Restructuring decisions
- ▶ Strategic decision

The investment decision, also called capital budgeting, is the allocation and

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reallocation of capital and resources to projects, products, assets, and divisions of an organization.

Question No: 7 (Marks: 1) - Please choose one

All of the following fall under the category of 'Process" function of production management EXCEPT:

- ▶ Choice of technology
- ▶ **Quality assurance Page#68**
- ▶ Process flow analysis
- ▶ Transportation analysis

Process decisions concern the design of the physical production system. Specific decisions include choice of technology, facility layout, process flow analysis, facility location, line balancing, process control, and transportation analysis.

Question No: 8 (Marks: 1) - Please choose one

A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

- ▶ Marketing
- ▶ **Research and development**
- ▶ Production
- ▶ Management information system

RESEARCH & DEVELOPMENT (R&D) is research as a planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services. Development is the translation of the research findings into a plan or design of new or improved products and services.

Question No: 9 (Marks: 1) - Please choose one

_____ become/s information only when it/they is/are evaluated, filtered, condensed, analyzed and organized for a specific purpose, problem, individual, or time.

- ▶ Material
- ▶ **Data**
- ▶ Competitive advantages
- ▶ Competitor analysis

Data becomes information only when it is evaluated, filtered, condensed, analyzed, and organized for a specific purpose, problem, individual, or time. Page#74

Question No: 10 (Marks: 1) - Please choose one

The Web sites that sell products directly to the consumers are the examples of which type of strategy?

- ▶ Backward integration
- ▶ Product development

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► **Forward integration**

- Horizontal integration

<http://webcache.googleusercontent.com/search?q=cache:BO2Ys25B9ywJ;www.scribd.com/doc/30802064/31/The-Competitive-Profile-Matrix-CPM+The+Web>

Question No: 11 (Marks: 1) - Please choose one

The extent to which a business concentrates on a narrowly defined market is best referred to as:

► **Niche strategy** Page#87

- Cost leadership strategy
- Differentiation strategy
- Segmentation

Question No: 12 (Marks: 1) - Please choose one

Under which of the following conditions, Concentric Diversification would be particularly an effective strategy to pursue?

- When an organization has grown so large so quickly that major internal reorganization is needed

► **When sales of current products would increase intensively by adding the new related products** Page#91

- When revenues from current products/services would increase significantly by adding the new unrelated products
- When current products are in maturity stage of the product life cycle

Question No: 13 (Marks: 1) - Please choose one

Which of the following stages in the strategy-formulation framework focuses on summarizing the basic information needed to formulate strategies?

- Output
- **Input**
- Decision
- Matching

Input Stage, Stage 1 summarizes the basic input information needed to formulate strategies. Page#97

Question No: 14 (Marks: 1) - Please choose one

Which of the following stages of "Strategy Formulation Framework" involves development of Internal-Factor Evaluation Matrix?

► **Input stage** Page#97

- Output stage
- Matching stage
- Decision stage

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Question No: 15 (Marks: 1) - Please choose one

Which of the following stages of strategy formulation framework involves development of Internal External Matrix?

- ▶ Input stage
- ▶ Output stage
- ▶ **Matching stage** Page#105
- ▶ Decision stage

Question No: 16 (Marks: 1) - Please choose one

In order to avoid the emergence of substitute products, AF & Z Corporation has an access and control over the scarce natural resources necessary for the production of their products, which of the following strategies AF & Z is using?

- ▶ SO
- ▶ **WO**
- ▶ SW
- ▶ ST

Question No: 17 (Marks: 1) - Please choose one

What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-2, +3)?

- ▶ Aggressive
- ▶ **Conservative**
- ▶ Competitive
- ▶ Defensive

Question No: 18 (Marks: 1) - Please choose one

Which of the following is NOT a step for the preparation of a SPACE matrix?

- ▶ Select a set of variables to relating to financial strength, competitive advantage, environmental stability, and industry strength
- ▶ Assign a numerical value ranging from +1 (worst) to +6 (best) to each of the variables that make up the financial strength and industry strength dimensions
- ▶ **Assign weights to the variables according to their relative importance for the firm** Page#102
- ▶ Compute an average score and dividing by the number of variables

Question No: 19 (Marks: 1) - Please choose one

"The business has a strong competitive position but is in a slow-growth industry.

Further, the business typically has high cash flow levels and limited internal growth needs." The statement refers which of the following?

- ▶ The firm falling in Quadrant I of Grand Strategy Matrix
- ▶ The firm falling in Quadrant II of Grand Strategy Matrix
- ▶ The firm falling in Quadrant III of Grand Strategy Matrix
- ▶ **The firm falling in Quadrant IV of Grand Strategy Matrix** Page#108

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Question No: 20 (Marks: 1) - Please choose one

What is the product of weights and attractiveness scores for each strategy in QSPM?

- ▶ Sum total attractiveness scores
- ▶ **Total attractiveness scores**
- ▶ Weighted scores
- ▶ Total weighted scores

Total Attractiveness Scores are defined as the product of multiplying the weights (step 3) by the Attractiveness Scores (step 4) in each row

<http://www.maxi-pedia.com/quantitative+strategic+planning+matrix+QPSM>

Question No: 21 (Marks: 1) - Please choose one

Which of the following is a Functional Q objective?

- ▶ Achieving return on investment of at least 15%
- ▶ **Aiming to achieve a market share of 10% Page#113**
- ▶ Attaining operating profit of over Rs.10 million
- ▶ Increase earnings per share by at least 10% every

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a Corporate level objective?

- ▶ Getting 75% customer awareness of company's brand in target markets
- ▶ **Increasing earnings per share by at least 10% Page#113**
- ▶ Building customer database of at least 250,000 companies
- ▶ Achieving a 10% share of International market

Examples of "corporate objectives might include:

- We aim for a return on investment of at least 15%
- We aim to achieve an operating profit of over £10 million on sales of at least £100 million
- We aim to **increase earnings per share by at least 10% every year for the foreseeable future**

Question No: 23 (Marks: 1) - Please choose one

The manager of MZ firm has defined the goal that "the firm wants to increase its production by at least 200 units in size." Thus, which part of the SMART criteria has been focused by the firm through this goal statement?

- ▶ **Specific**
- ▶ Measurable
- ▶ Achievable
- ▶ Relevant

Ref: Be specific! "I want to read 3 chapter books of 100 pages on my own before my birthday" shows the specific target to be measure.

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Question No: 24 (Marks: 1) - Please choose one

Mr. Ali, the operations manager of ABC Company did not agree with the proposal of marketing manager - Mr. Zeeshan at the meeting regarding launch of a new product. There was an exchange of hot word among them. The matter was referred to CEO, so that the conflict could be resolved, but the CEO did not take any action in the hope that the conflict will resolve itself. The statement describes which of the conflict resolution mood?

► **Avoidance**

- Compliance
- Diffusion
- Confrontation

Withdraw/Avoidance: Doing nothing – not using/following systems and procedures effectively

Question No: 25 (Marks: 1) - Please choose one

Ahmad fisheries is going to arrange a meeting with AH& T distributors so that the matters regarding wrong delivery by AH & T and conflict arising from it can be settled. Which of the following conflict resolving approach is followed in the situation?

► Avoidance

► **Confrontation**

- Resistance
- Diffusion

Confrontation can further be subdivided into power strategies and negotiation strategies.

Question No: 26 (Marks: 1) - Please choose one

Why do changes in company strategy often require changes in the way an organization is structured?

► **Because structure depicts how goals will be established**

- Because structure dictates how authorities will be delegated
- Because structure dictates how resources will be obtained
- Because structure dictates how financial resources are spent

Question No: 27 (Marks: 1) - Please choose one

Which one of the following is the organizational structure that most of the medium-size organizations follow?

► **Divisional structure**

- Strategic business unit
- Functional structure
- Matrix structure

Medium-size firms tend to be divisionally structured (decentralized).Page#117

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Question No: 28 (Marks: 1) - Please choose one

Of the following, which one is least likely to be considered an advantage presented by matrix organizational structure?

- ▶ It facilitates the use of highly specialized staff and equipment
- ▶ It minimizes the project cost because the key people can be shared
- ▶ **It can raise dual reporting and communication problems**
- ▶ It provides excellent training ground for strategic managers

Question No: 29 (Marks: 1) - Please choose one

Zairian Corporation has streamlined its operations by cutting costs, such as decrease in payroll or reduction in its size through the sale of assets. In which of the following activity Zaria Corporation is involved?

- ▶ E-Engineering
- ▶ Re-engineering
- ▶ **Restructuring** Page#121
- ▶ Benchmarking

The primary benefit sought from restructuring is cost reduction.

Characteristics:

Staff reductions are often accomplished partly through the selling or closing of unprofitable portions of the company and partly by consolidating or outsourcing parts of the company that perform redundant functions (such as payroll, human resources, and training) left over from old acquisitions that were never fully integrated into the parent organization.

Question No: 30 (Marks: 1) - Please choose one

Which of these is not one of the tests used to determine whether a performance-pay plan will benefit an organization?

- ▶ Do employees understand the plan?
- ▶ Is the plan improving communications?
- ▶ Does the plan pay out when it should?
- ▶ **Does the plan reduce management layers?**

Five tests are often used to determine whether a performance-pay plan will benefit an organization:

- Does the plan capture attention?**
- Do employees understand the plan?**
- Is the plan improving communication?**
- Does the plan pay out when it should?**
- Is the company or unit performing better?**

Question No: 31 (Marks: 1) - Please choose one

All of the following are the managerial issues for managing natural environment EXCEPT:

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- ▶ Global warming- depletion of rain forests
- ▶ **Employee understanding about environment**
- ▶ Developing biodegradable products and packages
- ▶ Waste management to clean air and water

Special natural environmental issues include ozone depletion, global warming, depletion of rain forests, destruction of animal habitats, protecting endangered species, developing biodegradable products and packages, waste management, clean air, clean water, erosion, destruction of natural resources, and pollution control. Page#124

Question No: 32 (Marks: 1) - Please choose one

Production processes typically constitute of what percentage of firm's total assets?

- ▶ **More than 70 %**
- ▶ More than 65 %
- ▶ More than 60 %
- ▶ More than 55 %

Production processes typically constitute more than 70 percent of a firm's total assets. Page#126

Question No: 33 (Marks: 1) - Please choose one

Which one of the following is TRUE about two different market segments?

- ▶ They can be served with the same marketing strategy
- ▶ **They usually require different marketing strategies**
- ▶ They are always in different geographic locations
- ▶ There is heterogeneity within the segment in its needs

<http://question.bz/2010/04/two-different-market-segments-2/comment-page-1/>

Question No: 34 (Marks: 1) - Please choose one

XYZ Company has segmented its market by keeping in view occupation and education level of customers. Which of the following bases of segmentation the company has used?

- ▶ **Demographic** Page#130
- ▶ Psychographic
- ▶ Behavioral
- ▶ Geographic

Question No: 35 (Marks: 1) - Please choose one

Which variable would be considered as a part of pricing decisions?

- ▶ Warranty
- ▶ **Bundling** Page#133
- ▶ Safety
- ▶ Functionality

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Question No: 36 (Marks: 1) - Please choose one

Which of the following statement is TRUE about 'firm infrastructure' as a support activity of Michael Porter's value chain model?

- ▶ It includes procurement of raw materials, servicing, spare parts, buildings, machines
- ▶ It Includes technology development to support the value chain activities like Process automation
- ▶ It includes the activities associated with recruiting and development of employees and managers

▶ **It includes general management, planning management, legal, finance, accounting, public affairs** Page#147

Firm Infrastructure: Includes general management, planning management, legal, finance, accounting, public affairs, quality management, etc.

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is correct about human resource management?

- ▶ It includes procurement of raw materials, servicing, spare parts, buildings, machines
- ▶ It Includes technology development to support the value chain activities like Process automation

▶ **It includes the activities associated with recruiting and development of employees and managers** Page#147

▶ It includes general management, planning management, legal, finance, accounting, public affairs

Human Resource Management: The activities associated with recruiting, development (education), retention and compensation of employees and managers.

Question No: 38 (Marks: 1) - Please choose one

All of the following are the cost drivers of Porter's supply chain activities EXCEPT:

- ▶ Capacity utilization
- ▶ Timing of market entry
- ▶ Economies of scale

▶ **Firm's infrastructure** Page#147

Porter identified 10 cost drivers related to value chain activities:

1. **Economies of scale.**
2. **Learning.**
3. **Capacity utilization.**
4. **Linkages among activities.**
5. **Interrelationships among business units.**
6. **Degree of vertical integration.**
7. **Timing of market entry.**
8. **Firm's policy of cost or differentiation.**
9. **Geographic location.**

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10. Institutional factors

Question No: 39 (Marks: 1) - Please choose one

Which one of the following is NOT considered as a difficulty in evaluation of strategies?

- ▶ Increase in environment's complexity
- ▶ Difficulty predicting future with accuracy
- ▶ **Decreasing number of variables** Page#149
- ▶ Rate of obsolescence of plans

Difficulty in strategy evaluation –

1. **Increase in environment's complexity**
2. **Difficulty predicting future with accuracy**
3. **Increasing number of variables**
4. **Rate of obsolescence of plans**
5. **Domestic and global events**
6. **Decreasing time span for planning certainty**

Question No: 40 (Marks: 1) - Please choose one

Which of the following statement is TRUE about 'Controls' which are used in strategy evaluation stage?

- ▶ They are strategy-oriented
- ▶ **They are action-oriented**
- ▶ They are control-oriented
- ▶ They are information-oriented

Controls need to be action-oriented rather than information-oriented. Page#154

Question No: 41 (Marks: 1) - Please choose one

A good evaluation system must posses various qualities. Which of not a characteristic of a good strategy evaluation system?

- ▶ Strategy-evaluation activities must be economical
- ▶ Strategy-evaluation activities should be meaningful
- ▶ **Strategy-evaluation activities should dominate the decisions** Page#154
- ▶ Strategy-evaluation activities should provide timely information
 - **First, strategy-evaluation activities must be economical; too much information can be just as bad as too little information; and too many controls can do more harm than good.**
 - **Strategy-evaluation activities also should be meaningful; they should specifically relate to a firm's objectives.**
 - **Strategy-evaluation activities should provide timely information; on occasion and in some areas, managers may need information daily.**

Question No: 42 (Marks: 1) - Please choose one

The people who perform audit can be categorized as all of the following EXCEPT:

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- ▶ Independent auditors
- ▶ **Financial auditors** Page#155
- ▶ Government auditors
- ▶ Internal auditors

People who perform audits can be divided into three groups: independent auditors, government auditors, and internal auditors.

FINAL TERM EXAMINATION

FALL 2007

MGT603 - STRATEGIC MANAGEMENT (Session - 6)

Question No: 1 (Marks: 1) - Please choose one
Stakeholders of an organization include:

- ▶ Stockholders
- ▶ Stockholders and customers
- ▶ Stockholders, customers and creditors
- ▶ **Stockholders, customers, creditors and competitors** Page#23

Stakeholders include employees; managers; stockholders; boards of directors; customers; suppliers; distributors; creditors; governments (local, state, federal, and foreign); unions; competitors; environmental groups; and the general public.

Question No: 2 (Marks: 1) - Please choose one
can be the most important force impacting competitive advantage.

- ▶ The bargaining power of suppliers
- ▶ The bargaining power of distributors
- ▶ The bargaining power of consumers
- ▶ **All of the mentioned options**

Question No: 3 (Marks: 1) - Please choose one
To perform an external audit, a company first must:

- ▶ Get an approval from the Securities and Exchange Commission
- ▶ Perform an internal audit
- ▶ **Gather competitive intelligence and information about external trends**
- ▶ Hire a consultant to develop a comprehensive strategic plan.

To perform an external audit, a company first must gather competitive intelligence and information about social, cultural, demographic, environmental, economic, political, legal, governmental, and technological trends. Page#29

Question No: 4 (Marks: 1) - Please choose one

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Whenever new firms can easily enter a particular industry, the intensity of competitiveness among firms_____?

- ▶ Stays the same
- ▶ **Increases**
- ▶ Decreases
- ▶ Neutralize

Question No: 5 (Marks: 1) - Please choose one

A standardized, detailed set of techniques and behaviors that manage anxieties, but seldom produce intended, technical consequences of practical results are called_____.

- ▶ Folktales
- ▶ Rite
- ▶ Metaphor
- ▶ **Rituals** Page#51

Question No: 6 (Marks: 1) - Please choose one

Which of the following stages in the strategy-formulation framework focuses on generating feasible alternative strategies?

- ▶ Input
- ▶ Output
- ▶ Decision
- ▶ **Matching** Page#97

Question No: 7 (Marks: 1) - Please choose one

Which strategies use a firm's strengths to avoid or reduce the impact of external threats?

- ▶ SW
- ▶ WO
- ▶ ST
- ▶ **ST**

Question No: 8 (Marks: 1) - Please choose one

Which of the following is not a SPACE Matrix quadrant?

- ▶ Aggressive
- ▶ Defensive
- ▶ Competitive
- ▶ **Offensive**

Question No: 9 (Marks: 1) - Please choose one

Which of the following is an attractive strategy for a cash cow division?

- ▶ **Concentric diversification**
- ▶ Horizontal integration

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- ▶ Conglomerate diversification
- ▶ Backward integration

Question No: 10 (Marks: 1) - Please choose one Strategy formulation:

- ▶ Is managing forces during the action
- ▶ **Focuses on effectiveness Page#112**
- ▶ Is primarily an operational process
- ▶ Requires coordination among many people

Question No: 11 (Marks: 1) - Please choose one

Conflict in an organization is _____

- ▶ Always bad
- ▶ Always good
- ▶ **Sometimes good and sometimes bad**
- ▶ A sign of bankruptcy

Conflict can actually be either positive or negative, depending on the work situation.

Read more: http://www.ehow.com/facts_7591596_information-organizational-conflict.html#ixzz19OAg4xDV

Question No: 12 (Marks: 1) - Please choose one

Which term is most often concerned primarily with shareholder well-being rather than employee well-being?

- ▶ Benchmarking
- ▶ Reengineering
- ▶ Product redesign
- ▶ **Restructuring Page#120**

Question No: 13 (Marks: 1) - Please choose one

A change strategy that attempts to convince people that the change is in their personal advantage is:

- ▶ Diffusion
- ▶ Force
- ▶ Educative
- ▶ **Rational Page#124**

A rational or self-interest change strategy is one that attempts to convince individuals that the change is to their personal advantage.

Question No: 14 (Marks: 1) - Please choose one

Which of the following variables would not be considered part of the place element of the marketing mix?

- ▶ Availability of the product
- ▶ **Labeling**

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- ▶ Distribution channel
- ▶ Sales territory

Question No: 15 (Marks: 1) - Please choose one

R&D employees and managers perform all of the following tasks except:

- ▶ Transferring complex technology
- ▶ Alternating products to particular tastes and specifications
- ▶ **Researching resource availability**
- ▶ Adapting processes to local markets

Question No: 16 (Marks: 1) - Please choose one

Planning includes breaking tasks into jobs, combining jobs to form departments and delegating authority.

- ▶ True
- ▶ **False** Page#56

The organizing function of management can be viewed as consisting of three sequential activities: breaking tasks down into jobs (work specialization), combining jobs to form departments (departmentalization), and delegating authority.

Question No: 17 (Marks: 1) - Please choose one

Most of the small organizations have divisional structure.

- ▶ True
- ▶ **False**

Question No: 18 (Marks: 1) - Please choose one

Customer profiling can reveal the demographic characteristics of an organization's customers.

- ▶ **True** page#61
- ▶ False

Question No: 19 (Marks: 1) - Please choose one

Strategic decision is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization.

- ▶ True
- ▶ **False**

Question No: 20 (Marks: 1) - Please choose one

Liquidity ratios measures a firm's ability to meet maturing short-term obligations

- ▶ **True**
- ▶ False

Question No: 21 (Marks: 1) - Please choose one

A SWOT Matrix is composed of four cells for the four types of strategies it creates.

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► True

► **False**

Question No: 22 (Marks: 1) - Please choose one

Not allocating resources according to the priorities indicated by approved objectives is detrimental to the strategic-management process.

► True

► **False**

Question No: 23 (Marks: 1) - Please choose one

Resistance to change can be considered the single greatest threat to successful strategy implementation.

► **True** Page#124

► False

Question No: 24 (Marks: 1) - Please choose one

R&D policies can enhance strategy implementation efforts to emphasize product or process improvements.

► **True** Page#140

► False

Question No: 25 (Marks: 1) - Please choose one

Too much emphasis on evaluating strategies may be expensive and counterproductive.

► **True** Page#157

► False

Question # 1 of 20 (Start time: 09:09:28 PM) Total Marks: 1

What is the first step in the comprehensive strategic-management model?

Select correct option:

Performing external audits

Developing vision and mission statements

Performing internal audits

Measuring and evaluating performance

Question # 2 of 20 (Start time: 09:10:45 PM) Total Marks: 1

“A desired future state that the organization attempts to realize”. Identify the term relevant to the given statement.

Select correct option:

Goal

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Strategy
Policy
Procedure

Question # 3 of 20 (Start time: 09:12:16 PM) Total Marks: 1

External assessment is performed in which of the strategic management phase?

Select correct option:

Strategy formulation stage

Strategy implementation stage

Strategy evaluation stage

All of the given options

Question # 4 of 20 (Start time: 09:13:43 PM) Total Marks: 1

Departmentalization can be done on the basis of many factors EXCEPT:

Select correct option:

Functions

Number of employees

Strategic business units

Divisions

Question # 5 of 20 (Start time: 09:15:05 PM) Total Marks: 1

Strategist is an individual who is involved in the strategic management process, thus may be known as:

Select correct option:

Member board of director

President

Division manager

All of the given options

Question # 6 of 20 (Start time: 09:16:25 PM) Total Marks: 1

Which of the following is not a strategy-implementation activity?

Select correct option:

Long term goals and objectives

Developing strategy supportive culture

Redirecting marketing efforts

Developing and utilizing information system

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Question # 7 of 20 (Start time: 09:17:23 PM) Total Marks: 1

Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

Select correct option:

Propensity of people to spend

Buying habits

Level of disposable income

Income differences by region

Question # 8 of 20 (Start time: 09:18:15 PM) Total Marks: 1

Which of the following is an example of a narrow mission?

Select correct option:

We sell packaged pineapples

The firm deals in beverages

Stationery is our product

Company manufactures food items

Question # 9 of 20 (Start time: 09:19:44 PM) Total Marks: 1

Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization?

Select correct option:

Investment decision

Financing decisions

Restructuring decisions

Strategic decision

Question # 10 of 20 (Start time: 09:20:48 PM) Total Marks: 1

Effective mission statements don't have one of the following features:

Select correct option:

Generate range of feasible strategic alternatives

Reconcile interests among diverse stakeholders

What does the firm want to become

Provide criteria for selecting strategies

Question # 11 of 20 (Start time: 09:21:31 PM) Total Marks: 1

Buyers can exercise high bargaining power over their suppliers under which one of the following conditions?

Select correct option:

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When there are many good substitutes of raw material

There are few buyers in the market

They have few suppliers to choose from 1ST 3 options r correct

There is a high concentration of suppliers

Question # 12 of 20 (Start time: 09:22:38 PM) Total Marks: 1

All of the following fall under Pricing decisions EXCEPT:

Select correct option:

Discounts

Credit terms

Markups

Dealer relations

Question # 13 of 20 (Start time: 09:23:20 PM) Total Marks: 1

Opportunity analysis is one of the basic functions of which one of the following?

Select correct option:

Computer information systems

Marketing

Production/operations

Research and development

Question # 14 of 20 (Start time: 09:24:22 PM) Total Marks: 1

Which component of a mission statement addresses the firm's distinctive competence or major competitive advantage?

Select correct option:

Technology

Philosophy

Customers

Self-concept

Question # 15 of 20 (Start time: 09:25:12 PM) Total Marks: 1

Which of the following is one of the Political, Governmental & legal factors?

Select correct option:

Ethical concerns

Traffic congestion

Lobbying activities

Average level of education

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Question # 16 of 20 (Start time: 09:26:41 PM) Total Marks: 1

What is the range for a firm's total weighted score in an External Factor Evaluation Matrix?

Select correct option:

0 to 5

0 to 4

1 to 5

1 to 4

Question # 17 of 20 (Start time: 09:27:44 PM) Total Marks: 1

Ethnic balance is affected due to which of the following?

Select correct option:

Change in ethnic values

Awareness of ethnic norms

Migration of the people towards different areas

Introduction of new laws relating to ethnicity

Question # 18 of 20 (Start time: 09:28:32 PM) Total Marks: 1

All of these are pitfalls an organization should avoid in strategic planning EXCEPT:

Select correct option:

Using plans as a standard for measuring performance.

Using strategic planning to gain control over decisions and resources

Failing to involve key employees in all phases of planning

Being so formal in planning that flexibility and creativity are stifled

Question # 19 of 20 (Start time: 09:29:35 PM) Total Marks: 1

When the Chief Executive of a chain of pharmacies decided to sell off or close some of the locations that were not profitable, he was performing which of the management function?

Select correct option:

Leading

Planning

Controlling

Organizing

Question # 20 of 20 (Start time: 09:32:30 PM) Total Marks: 1

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What happens to the demand for discretionary goods when interest rates rise?

Select correct option:

Rises

Declines

Remains the same

First rises then declines

Question # 1 of 20 (Start time: 04:17:07 PM) Total Marks: 1

Which matrices are also known as Portfolio matrices?

Select correct option:

SPACE and BCG matrix

IE and BCG matrix

TOWS and IE matrix

SPACE and TOWS matrix

Question # 2 of 20 (Start time: 04:18:15 PM) Total Marks: 1

According to Porter, which strategy offers products or services to a small range of customers at the lowest price available on the market?

Select correct option:

Low cost

Best value

Cost focus

Differentiation

Question # 3 of 20 (Start time: 04:19:01 PM) Total Marks: 1

Which one of the following is NOT a major region of IE matrix?

Select correct option:

Grow and build

Grow and maintain

Hold and maintain

Harvest or divest

Question # 4 of 20 (Start time: 04:19:41 PM) Total Marks: 1

While evaluating a strategy, Corrective actions are almost always needed EXCEPT:

Select correct option:

When external and internal factors have not significantly changed

When the firm is not progressing satisfactorily toward objectives

When the firm has not achieved the stated organizational goals

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When there are differences between desired results and achieved results

Question # 5 of 20 (Start time: 04:20:21 PM) Total Marks: 1

Principles of conduct that guide decision-making are known as:

Select correct option:

Human rights

Business ethics

The constitution

Social responsibility

Question # 6 of 20 (Start time: 04:21:12 PM) Total Marks: 1

“The process of dividing markets into groups of consumers who are similar to each other”. Which of the following terms describes the statement?

Select correct option:

Positioning

Segmentation

Marketing

Targeting

Question # 7 of 20 (Start time: 04:21:52 PM) Total Marks: 1

Which of the following directs at developing new products before competitors do at improving product quality or at improving manufacturing processes to reduce costs?

Select correct option:

Marketing

Opportunity analysis

Research and development

Management

Question # 8 of 20 (Start time: 04:22:24 PM) Total Marks: 1

Just in Time process works on series of signals which are called:

Select correct option:

Kaizan

Kanban

Kansan

None of the given options

Question # 9 of 20 (Start time: 04:22:53 PM) Total Marks: 1

As managers move up the organization, they perform which of the management function more?

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Select correct option:

Leading

Controlling

Organizing

Planning

Question # 10 of 20 (Start time: 04:23:48 PM) Total Marks: 1

Which of the following is NOT a decision that may require finance/accounting policies?

Select correct option:

To extend the time of accounts receivable

To determine an appropriate dividend payout ratio

To use LIFO, FIFO, or a market-value accounting approach

To determine the amount of product diversification

Question # 11 of 20 (Start time: 04:24:23 PM) Total Marks: 1

Which of the following is a deliberate plan of action, guidelines, methods, procedures to guide decisions and achieve rational outcome?

Select correct option:

Annual objectives

Strategies

Policies

Goals

Question # 12 of 20 (Start time: 04:24:51 PM) Total Marks: 1

In BCG matrix, the size of circle corresponding to a division represents what?

Select correct option:

Relative market share of that division

Financial strength of that division

Revenue generated by that division

Relative market share of the division

Question # 13 of 20 (Start time: 04:25:28 PM) Total Marks: 1

All of the following are the outputs of a system EXCEPT:

Select correct option:

Tables

Charts

Data

Graphs

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Question # 14 of 20 (Start time: 04:25:57 PM) Total Marks: 1

Which marketing function includes test marketing?

Select correct option:

Selling products/services

Customer analysis

Product/service planning

Distributing

Question # 15 of 20 (Start time: 04:26:40 PM) Total Marks: 1

Exclusive access to high grade natural resources is an example of which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 16 of 20 (Start time: 04:26:54 PM) Total Marks: 1

Which of the following is the decision support role of management information system?

Select correct option:

Processing marketing records into marketing plans

Allowing users to ask "What if" questions

Recording and storing such human resource records

Processing operations records into production schedules

Question # 17 of 20 (Start time: 04:27:53 PM) Total Marks: 1

Which of the following arise when a company can take advantage of conditions in its environment to formulate and implement strategies that enable it to become more profitable?

Select correct option:

Strengths

Opportunities

Weaknesses

Threats

Question # 18 of 20 (Start time: 04:28:15 PM) Total Marks: 1

Which one of the following dimensions is NOT a recommended component of a mission statement?

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Select correct option:

Self-concept

Markets

Strategies

Customers

Question # 19 of 20 (Start time: 04:28:57 PM) Total Marks: 1

The in-house R & D is a preferred solution in which of the following situation:

Select correct option:

Technological progress is slow and market growth is moderate

Technology is changing rapidly and market is growing slowly

If technology is changing slowly and market is growing quickly

If both, technological progress and market growth rate are fast

Question # 20 of 20 (Start time: 04:29:28 PM) Total Marks: 1

All of the following are the examples of the actions that can be taken in strategy implementation stage EXCEPT:

Select correct option:

Changing organization's pricing strategy

Developing new employee benefits

Transferring managers among divisions

Taking corrective action when needed

Question # 1 of 15 (Start time: 08:34:41 PM) Total Marks: 1

Firms in quadrant-IV of grand strategy matrix have which of the following characteristics?

Select correct option:

Rapid market growth and strong competitive position

Rapid market growth and weak competitive position

Slow market growth and strong competitive position

Slow market growth and weak competitive position

Question # 2 of 15 (Start time: 08:35:29 PM) Total Marks: 1

Assigning rating 3 to an internal factor in IFE matrix indicates what?

Select correct option:

Major weakness

Minor weakness

Minor strength

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Major strength

Question # 3 of 15 (Start time: 08:36:28 PM) Total Marks: 1

Which one of the following dimensions is NOT a recommended component of a mission statement?

Select correct option:

Self-concept

Markets

Strategies

Customers

Question # 4 of 15 (Start time: 08:37:04 PM) Total Marks: 1

All of the following are used as a base for market segmentation EXCEPT:

Select correct option:

Socioeconomic

Geographic

Demographic

Psychographic

Question # 5 of 15 (Start time: 08:37:43 PM) Total Marks: 1

Majority of the businesses follow which of the following organizational structure?

Select correct option:

Strategic business unit

Functional structure

Divisional structure

Matrix structure

Question # 6 of 15 (Start time: 08:38:28 PM) Total Marks: 1

In the SPACE analysis, what does (+6, +3) strategy profile portray?

Select correct option:

A strong industry with strong financial strength

A stable environment with strong financial strength

A stable environment for highly competitive firm

A strong industry operating in stable environment

Question # 7 of 15 (Start time: 08:39:59 PM) Total Marks: 1

Which of the following statement is referred to 'Price fluctuation'?

Select correct option:

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Decrease in prices

Increase in prices

Fluctuation in the prices of a particular commodity

Fluctuation in general price level

Question # 8 of 15 (Start time: 08:40:23 PM) Total Marks: 1

Long-term objectives are needed at which level(s) of the organization?

Select correct option:

Corporate level

Divisional level

Functional level

All of the given options

Question # 9 of 15 (Start time: 08:40:59 PM) Total Marks: 1

For the past four years the ABC Corporation has been planning to expand its operations in order to reach out to the world market. Essentially, the ABC Corporation desires to do what?

Select correct option:

Become an online business

Become a brick-n-mortar business

Embrace globalization

Become a click-n-mortar business

Question # 10 of 15 (Start time: 08:41:43 PM) Total Marks: 1

Establishing and implementing ways of making things work is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 11 of 15 (Start time: 08:42:35 PM) Total Marks: 1

All of the following are functional support roles of Management Information System EXCEPT:

Select correct option:

Recording and storing accounting records

Recording and storing inventory data

Recording and storing business intelligence data

The enhanced ability to explore "what if"

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Question # 12 of 15 (Start time: 08:43:05 PM) Total Marks: 1
Strategy formulation stage includes all of the following EXCEPT:
Select correct option:

- Vision and mission
- Strength and weakness
- Opportunities and threats
- Annual objectives**

Question # 13 of 15 (Start time: 08:43:52 PM) Total Marks: 1
During which stage of strategic management, firm's specific internal strengths and weaknesses are determined?
Select correct option:

Formulation

- Implementation
- Evaluation
- Feedback

Question # 14 of 15 (Start time: 08:44:21 PM) Total Marks: 1
The SPACE matrix of XYZ company shows that the coordinates of its directional vector are (-5, -5). What strategy would you recommend for the ABC Company?
Select correct option:

Concentric diversification

- Market development
- Backward integration
- Joint venture

Question # 15 of 15 (Start time: 08:45:14 PM) Total Marks: 1
Which one of the following is NOT a basic mission of a competitive intelligence program?
Select correct option:

- To provide a general understanding of an industry
- To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

- To identify potential moves a competitor might make that would endanger a firm

Question # 1 of 15 (Start time: 08:49:07 PM) Total Marks: 1
According to Porter, which strategy offers products or services to a small range of

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customers at the lowest price available on the market?

Select correct option:

Low cost

Best value

Cost focus

Differentiation

Question # 2 of 15 (Start time: 08:49:48 PM) Total Marks: 1

All of the following are the indicators of industry strength for an organization EXCEPT:

Select correct option:

Financial stability

Ease of entry into the market

Geographic and product freedom

Control over suppliers

Question # 3 of 15 (Start time: 08:50:40 PM) Total Marks: 1

The strategy embraced by Ahmad Bros. is to address the needs of a very selected and specialized market segment. That is most likely to engage in which one of the following types of strategy?

Select correct option:

Differentiation strategy

Generic strategy

Focus strategy

Low cost strategy

Question # 4 of 15 (Start time: 08:51:22 PM) Total Marks: 1

Ethnic balance is affected due to which of the following?

Select correct option:

Change in ethnic values

Awareness of ethnic norms

Migration of the people towards different areas

Introduction of new laws relating to ethnicity

Question # 5 of 15 (Start time: 08:51:56 PM) Total Marks: 1

All of the following are examples of marketing decisions that require policies EXCEPT:

Select correct option:

To be a market leader or follower

Whether to advertise online or not

Either to offer a complete or limited warranty

To use billboards for outdoor advertising

Question # 6 of 15 (Start time: 08:52:35 PM) Total Marks: 1

A system of several rites connected with a single occasion or event is known as:

Select correct option:

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Myth

Ceremonial

Saga

Legend

Question # 7 of 15 (Start time: 08:53:04 PM) Total Marks: 1

Test marketing is commonly applied by which of the following companies?

Select correct option:

Industrial goods companies

Consumer goods companies

Public sector companies

Private sector companies

Question # 8 of 15 (Start time: 08:53:44 PM) Total Marks: 1

Business units that have low market share and are operating in slow-growing industry should choose all of the following EXCEPT:

Select correct option:

Distribution efficiency

Production efficiency

New investments

Product innovation

Question # 9 of 15 (Start time: 08:54:12 PM) Total Marks: 1

The purpose of an external audit is to prepare a list of which of the following?

Select correct option:

Opportunities and weaknesses

Threats and strengths

Opportunities and threats

Strengths and weaknesses

Question # 10 of 15 (Start time: 08:54:50 PM) Total Marks: 1

What strategies are appropriate for the divisions that fall in grow and build region of IE matrix?

Select correct option:

Defensive and integrative strategies

Intensive and integrative strategies

Diversification and intensive strategies

Defensive and diversification strategies

Question # 11 of 15 (Start time: 08:55:44 PM) Total Marks: 1

Adding new, unrelated products or services is called:

Select correct option:

Forward integration

Backward integration

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Conglomerate diversification

Concentric diversification

Question # 12 of 15 (Start time: 08:56:24 PM) Total Marks: 1

Which one of the following is the organizational structure that most of the medium-size organizations follow?

Select correct option:

Divisional structure

Strategic business unit

Functional structure

Matrix structure

Question # 13 of 15 (Start time: 08:57:07 PM) Total Marks: 1

Which of the following is the first step in the controlling function of management?

Select correct option:

Take corrective actions

Restrict breaks employees take

Evaluate expense reports

Establish performance standards

Question # 14 of 15 (Start time: 08:57:55 PM) Total Marks: 1

Which of the following factors can predict the stability or non-stability of the environment, the firm is operating in?

Select correct option:

Rate of inflation

Ease of exit from market

Customer loyalty

Financial stability

Question # 15 of 15 (Start time: 08:58:33 PM) Total Marks: 1

Which of the followings best describes the Horizontal integration?

Select correct option:

A firm takes over a supplier

A firm takes over a distributor

A firm takes over a competitor

A firm takes over a manufacturer

Question # 1 of 15 (Start time: 09:02:21 PM) Total Marks: 1

Which of these is an attractive strategy for a cash cow division?

Select correct option:

Concentric diversification

Horizontal integration

Conglomerate diversification

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Backward integration

Question # 2 of 15 (Start time: 09:03:20 PM) Total Marks: 1

All of the following are the types of cooperative arrangements EXCEPT:

Select correct option:

R&D partnerships

Joint-bidding consortia

Cross-licensing agreements

Diversification

Question # 3 of 15 (Start time: 09:04:34 PM) Total Marks: 1

Which of the following is the first step in developing QSPM?

Select correct option:

Developing a list of the firm's key external and internal factors.

Determining the Attractiveness Scores for each strategy.

Examine the Stage 2 matrices and identify alternative strategies.

Assigning weights to each key external and internal factor.

Question # 4 of 15 (Start time: 09:05:15 PM) Total Marks: 1

The reason to develop QSPM is to evaluate the alternative strategies derived from all of these EXCEPT:

Select correct option:

Grand Strategy Matrix

BCG Matrix

Space Matrix

CPM Matrix

Question # 5 of 15 (Start time: 09:06:14 PM) Total Marks: 1

All of the following situations are conducive to market development EXCEPT:

Select correct option:

When new untapped or unsaturated markets exist

When new channels of distribution are expensive

When an organization has excess production capacity

When an organization's basic industry is becoming rapidly global

Question # 6 of 15 (Start time: 09:06:58 PM) Total Marks: 1

All of the following are the examples of promotion decision EXCEPT:

Select correct option:

Personal selling

Volume discounts

Public relations

Advertising

Question # 7 of 15 (Start time: 09:08:03 PM) Total Marks: 1

Which strategy seeks to increase market share of present products or services in present markets through greater marketing efforts?

Select correct option:

Market penetration

Market development

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Backward integration

Product development

Question # 8 of 15 (Start time: 09:08:33 PM) Total Marks: 1

All of the following would be considered as weaknesses to a business EXCEPT:

Select correct option:

Maturing markets

Limited industry expertise

Brand name

Limited financial resources

Question # 9 of 15 (Start time: 09:09:28 PM) Total Marks: 1

According to Porter, which strategy offers products or services to a small range of customers at the lowest price available on the market?

Select correct option:

Low cost

Best value

Cost focus

Differentiation

Question # 10 of 15 (Start time: 09:10:39 PM) Total Marks: 1

When a merger or acquisition is not desired by both the parties of merger, then it is known as:

Select correct option:

Divestiture

Takeover

Outsourcing

Integration

Question # 11 of 15 (Start time: 09:11:23 PM) Total Marks: 1

What are the four dimensions of a SPACE matrix?

Select correct option:

Environmental stability; Industrial strength; Competitive advantage; Market growth rate

Environmental stability; Industrial strength; Competitive advantage; Financial strength

Industrial strength; Competitive advantage; financial strength; Market share

Environmental stability; Industrial strength; Market growth rate; Market share

Question # 12 of 15 (Start time: 09:11:56 PM) Total Marks: 1

Selling all of a company's assets in parts for their tangible worth is known as:

Select correct option:

Joint venture

Divestiture

Liquidation

Integration

Question # 13 of 15 (Start time: 09:12:35 PM) Total Marks: 1

Market segmentation is especially used in implementing strategies by which of the

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following firms?

Select correct option:

Small firms

Medium-size firms

Large firms

All of these firms

Question # 14 of 15 (Start time: 09:13:04 PM) Total Marks: 1

When two organizations of about equal size unite to form one enterprise, which of the following takes place?

Select correct option:

Hostile takeover

Merger

Liquidation

Divestiture

Question # 15 of 15 (Start time: 09:13:50 PM) Total Marks: 1

Which of the following strategy generally entails large research and development expenditures?

Select correct option:

Market penetration

Retrenchment

Forward integration

Product development

Question # 1 of 15 (Start time: 09:23:55 PM) Total Marks: 1

Which one of the following is NOT a SMART criterion?

Select correct option:

Measurable

Strategy

Achievable

Relevant

Question # 2 of 15 (Start time: 09:25:01 PM) Total Marks: 1

External forces directly affects all of the following EXCEPT:

Select correct option:

Market segmentation strategies

Types of products/services offered

Management structure of organization

Choice of businesses to acquire or sell

Question # 3 of 15 (Start time: 09:26:06 PM) Total Marks: 1

Identify the stages of strategic management process in a precise sequence.

Select correct option:

Strategy evaluation, strategy formulation & strategy implementation

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Strategy evaluation, strategy implementation & strategy formulation

Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

Question # 5 of 15 (Start time: 09:27:47 PM) Total Marks: 1

All of the following are the key opportunities or threats in external environment because of Political, Govt. & Illegal force EXCEPT:

Select correct option:

Tax rates

Trust in government

Pak-India relationships

Patent laws

Question # 6 of 15 (Start time: 09:28:47 PM) Total Marks: 1

Which of the following is NOT a SPACE Matrix quadrant?

Select correct option:

Aggressive

Defensive

Competitive

Offensive

Question # 7 of 15 (Start time: 09:29:19 PM) Total Marks: 1

The IE Matrix consists of how many cells?

Select correct option:

Seven

Eight

Nine

Ten

Question # 8 of 15 (Start time: 09:29:53 PM) Total Marks: 1

Majority of the businesses follow which of the following organizational structure?

Select correct option:

Strategic business unit

Functional structure

Divisional structure

Matrix structure

Question # 9 of 15 (Start time: 09:30:57 PM) Total Marks: 1

The process of monitoring performance, comparing it with goals, and correcting any

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significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 10 of 15 (Start time: 09:31:46 PM) Total Marks: 1

Marketing decisions generally fall into four controllable categories. Which one of the following is NOT one of marketing decisions category?

Select correct option:

Product

Process

Distribution

Promotion

Question # 11 of 15 (Start time: 09:32:22 PM) Total Marks: 1

Input stage of strategy formulation framework includes developing which of the following set of strategies?

Select correct option:

IFE, EFE and QSPM Matrix

IFE, IE and BCG Matrix

IFE, CPM and EFE Matrix

EFE, IE and CPM Matrix

Question # 12 of 15 (Start time: 09:33:22 PM) Total Marks: 1

Which of the following is best identified as a statement that presents “a firm's big picture statement, describing a desired end-state, general in scope, and not restrictive”?

Select correct option:

Corporate philosophy statement

Company creed

Vision statement

Mission statement

Question # 13 of 15 (Start time: 09:34:02 PM) Total Marks: 1

All of the following fall under Pricing decisions EXCEPT:

Select correct option:

Discounts

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Credit terms

Markups

Dealer relations

Question # 14 of 15 (Start time: 09:34:32 PM) Total Marks: 1

According to the Grand Strategy Matrix, in which quadrant organizations have a strong competitive position but are in a slow-growth industry?

Select correct option:

I

II

III

IV

Question # 15 of 15 (Start time: 09:35:00 PM) Total Marks: 1

All of the following are functional support roles of Management Information System EXCEPT:

Select correct option:

Recording and storing accounting records

Recording and storing inventory data

Recording and storing business intelligence data

The enhanced ability to explore "what if"

Question # 1 of 15 (Start time: 11:22:48 PM) Total Marks: 1

In BCG growth-share matrix, which of the following would be most likely to possess a low market share and a high growth rate?

Select correct option:

Dog

Question mark

Cash cow

Star

Question # 2 of 15 (Start time: 11:23:42 PM) Total Marks: 1

Which one of the following strategies is referred as presenting products, often with a little or no modification, to customers in related marketing areas?

Select correct option:

Market development

Market penetration

Horizontal integration

Product development

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Question # 3 of 15 (Start time: 11:24:47 PM) Total Marks: 1

Which of the following was NOT included in Borden's marketing mix?

Select correct option:

Product planning

Display

Styling

Physical handling

Question # 4 of 15 (Start time: 11:25:58 PM) Total Marks: 1

Product development involves going in the direction of which one of the following?

Select correct option:

Present products to present markets

Present products to new markets

New products to present markets

New products to new markets

Question # 5 of 15 (Start time: 11:26:28 PM) Total Marks: 1

Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

It is known as statement of the corporate philosophy

Question # 6 of 15 (Start time: 11:27:00 PM) Total Marks: 1

Which of the following directs at developing new products before competitors do at improving product quality or at improving manufacturing processes to reduce costs?

Select correct option:

Marketing

Opportunity analysis

Research and development

Management

Question # 7 of 15 (Start time: 11:27:57 PM) Total Marks: 1

The reason to develop QSPM is to evaluate the alternative strategies derived from all of these EXCEPT:

Select correct option:

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Grand Strategy Matrix

BCG Matrix

Space Matrix

CPM Matrix

Question # 8 of 15 (Start time: 11:28:11 PM) Total Marks: 1

Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

Select correct option:

Conglomerate diversification

Forward integration

Backward integration

Horizontal diversification

Question # 9 of 15 (Start time: 11:28:56 PM) Total Marks: 1

The process of monitoring performance, comparing it with goals, and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 10 of 15 (Start time: 11:29:08 PM) Total Marks: 1

Defensive strategies include all of the following EXCEPT:

Select correct option:

Retrenchment

Acquisition

Divestiture

Liquidation

Question # 11 of 15 (Start time: 11:29:34 PM) Total Marks: 1

In order to avoid the emergence of substitute products, AF & Z Corporation has obtained an access and control over the scarce natural resources necessary to produce their products. Thus, which of the following strategies is being practiced by AF & Z Corporation?

Corporation?

Select correct option:

SO Strategy

WO Strategy

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SW Strategy

ST Strategy

Question # 12 of 15 (Start time: 11:30:10 PM) Total Marks: 1

Identify the term that is known as a “mean of providing guidance to actions and procedures, including how resources are to be allocated and how tasks assigned to the organization might be accomplished”.

Select correct option:

Aspirations

Objectives

Policies

Goals

Question # 13 of 15 (Start time: 11:31:19 PM) Total Marks: 1

Which one of the following is NOT a SMART criterion?

Select correct option:

Measurable

Strategy

Achievable

Relevant

Question # 14 of 15 (Start time: 11:31:29 PM) Total Marks: 1

Which of the following is the last step in the development of QSPM?

Select correct option:

Developing a list of the firm’s key external and internal factors

Determining the Attractiveness Scores for each strategy

Compute the Sum Total Attractiveness Score

Assigning weights to each key external and internal factor

Question # 15 of 15 (Start time: 11:32:45 PM) Total Marks: 1

Which of the following categories of ratios includes return on total assets and return on stockholders’ equity as its types?

Select correct option:

Profitability

Leverage

Growth

Liquidity

Question # 1 of 15 (Start time: 11:46:29 PM) Total Marks: 1

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In order to avoid the emergence of substitute products, AF & Z Corporation has obtained an access and control over the scarce natural resources necessary to produce their products. Thus, which of the following strategies is being practiced by AF & Z Corporation?

Select correct option:

SO Strategy

WO Strategy

SW Strategy

ST Strategy

Question # 2 of 15 (Start time: 11:46:50 PM) Total Marks: 1

Which of the following refers to Kanban?

Select correct option:

Manufacturing system

Production unit

Signals

Process

Question # 3 of 15 (Start time: 11:47:40 PM) Total Marks: 1

Buyers can exercise high bargaining power over their suppliers under which one of the following conditions?

Select correct option:

When there are many good substitutes of raw material

There are few buyers in the market

They have few suppliers to choose from

There is a high concentration of suppliers

Question # 4 of 15 (Start time: 11:49:04 PM) Total Marks: 1

Selling all of a company's assets in parts for their tangible worth is known as:

Select correct option:

Joint venture

Divestiture

Liquidation

Integration

Question # 5 of 15 (Start time: 11:49:36 PM) Total Marks: 1

The organizations, where resource allocation is not based on strategic-management approach to decision making, which approach is used for resource allocation?

Select correct option:

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Financial budget

Relative importance of departments

On political or personal factors

Relative cost of each resources

Question # 6 of 15 (Start time: 11:50:18 PM) Total Marks: 1

Where an organization is considering development in an existing market with existing products it is pursuing which of the following strategy?

Select correct option:

Diversification

Market development

Market penetration

Product development

Question # 7 of 15 (Start time: 11:50:49 PM) Total Marks: 1

Non-financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Better awareness of external threats

Enhanced awareness of threats

Reduced resistance to change

Increase in sales

Question # 8 of 15 (Start time: 11:51:29 PM) Total Marks: 1

Which of the following are two positive-rated dimensions on SPACE Matrix?

Select correct option:

FS and CA

CA and ES

FS and IS

IS and ES

Question # 9 of 15 (Start time: 11:52:06 PM) Total Marks: 1

Marketing decisions generally fall into four controllable categories. Which one of the following is NOT one of marketing decisions category?

Select correct option:

Product

Process

Distribution

Promotion

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Question # 10 of 15 (Start time: 11:52:22 PM) Total Marks: 1

A firm that is involved in two or more distinct businesses is known as:

Select correct option:

A diversified company

A ventured company

A restructured company

A multinational corporation

Question # 11 of 15 (Start time: 11:53:37 PM) Total Marks: 1

Which one of the following is the organizational structure that most of the medium-size organizations follow?

Select correct option:

Divisional structure

Strategic business unit

Functional structure

Matrix structure

Question # 12 of 15 (Start time: 11:53:53 PM) Total Marks: 1

The total weighted score of IFE matrix developed for XYZ corporation is 3.5. Which of the following statement is TRUE about XYZ Corporation in the light of IFE matrix total weighted score?

Select correct option:

Corporation has strong external position

Corporation has weak internal position

Corporation has strong internal position

Corporation has weak external position

Question # 13 of 15 (Start time: 11:55:13 PM) Total Marks: 1

Local, state, and national elections, world oil, currency, and labor markets, number of patents, special tariffs are the examples of which one of the following?

Select correct option:

Economic forces

Social, cultural and, demographic forces

Political, governmental, and legal forces

Competitive forces

Question # 14 of 15 (Start time: 11:55:58 PM) Total Marks: 1

BCG matrix is used in matching stage of strategy formulation framework. It plots the business units along which of the following dimensions?

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Select correct option:

Market share and industry strength

Market share and market growth rate

Market growth rate and competitive position

Market growth rate and environment stability

Question # 15 of 15 (Start time: 11:57:20 PM) Total Marks: 1

Ethnic balance is affected due to which of the following?

Select correct option:

Change in ethnic values

Awareness of ethnic norms

Migration of the people towards different areas

Introduction of new laws relating to ethnicity

1. Which of the following strategy should be perused first by the Irtiza Insurance Company as it is located in Quadrant III of the Grand Strategy Matrix?

Select correct option:

Diversification

Liquidation

Retrenchment

Divestiture

2. Which one of the following is the characteristic of Question marks?

Select correct option:

Excess cash generation

Low cash generation

Opportunities for growth

No-market-growth industry

3. Which of the following are two negative-rated dimensions on SPACE Matrix?

Select correct option:

FS and CA

CA and ES

FS and IS

IS and ES

4. What is the first step in the comprehensive strategic-management model?

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Select correct option:

Performing external audits

Developing vision and mission statements

Performing internal audits

Measuring and evaluating performance

5. Identify the stages of strategic management process in a precise sequence.

Select correct option:

Strategy evaluation, strategy formulation & strategy implementation

Strategy evaluation, strategy implementation & strategy formulation

Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

6. Which approach for managing and resolving conflict involves playing down differences between conflicting parties while stressing on similarities and common interests?

Select correct option:

Avoidance

Compliance

Diffusion

Confrontation

7. Which one of the following is the organizational structure that most of the medium-size organizations follow?

Select correct option:

Divisional structure

Strategic business unit

Functional structure

Matrix structure

8. **Intuition** is based on all of the following factors EXCEPT:

Select correct option:

Past experiences

Judgments

Uncertainties

Feelings

9. A & Ammar is the sole manufacturer of leather goods in Pakistan. Government has

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lowered the tax rates for this industry keeping in view of promoting other new firms to enter this industry. Lowering the tax rates of this industry will confront A & Ammar with which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

10. ABC company is competing in an industry where the growth rate of that industry from year to year has reached or is close to zero, ABC is operating in which industry?

Select correct option:

Growing industry

Emerging industry

Mature industry

Declining industry

11. Matching stage of the strategy formulation framework comprises of formulating which of the following set of strategies?

Select correct option:

BCG, SPACE and QSPM Matrix

BCG, SPACE and TOWS Matrix

SPACE, TOWS and IFE Matrix

BCG, SPACE and EFE Matrix

12. All of the following would represent possible threats to the ABC Company EXCEPT which one of the following?

Select correct option:

Entrance of new competitors

Improved buyer or supplier relationships

New or revised regulations

Slow industry/market growth

13. Which of the following is the best example for achieving long-term objectives?

Select correct option:

Strengths

Strategies

Policies

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Opportunities

14. What is NOT a major benefit of having a diverse workforce?

Select correct option:

Improvement of the bottom line

An increase in training costs

An increase in productivity

A decrease in complaints

15. You are asked to prepare the IE Matrix of Roxon Incorporation. Your findings reveal that its Southern division falls in IX cell of IE Matrix. How will you interpret your findings?

Select correct option:

It can be managed best with Harvest or divest strategies

It can be managed best with Grow and Build strategies

It can be managed best with Grow and Maintain strategies

It can be managed best with Hold and Maintain strategies

16. Which of the following is the highest possible weighted score for the organization in IFE matrix?

Select correct option:

1.0

1.5

2.5

4.0

17. Local, state, and national elections, world oil, currency, and labor markets, number of patents, special tariffs are the examples of which one of the following?

Select correct option:

Economic forces

Social, cultural and, demographic forces

Political, governmental, and legal forces

Competitive forces

18. According to the Grand Strategy Matrix, in which quadrant organizations have a strong competitive position but are in a slow-growth industry?

Select correct option:

I

II

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III

IV

19. Selling all of a company's assets in parts for their tangible worth is known as:
Select correct option:

Joint venture

Divestiture

Liquidation

Integration

20. Research and development activity performed by R & D department of AZD company resulted in the introducing a telecommunications system in a foreign country. This R & D activity is referred as:
Select correct option:

Concentric diversification

Market development

Market penetration

Product development

21 Which analytical tool consists of a nine-cell matrix?
Select correct option:

Competitive Profile Matrix

SPACE Matrix

Grand Strategy Matrix

Internal-External Matrix

22 What is the most widely used technique for determining the best combination of debt and stock?
Select correct option:

Earnings per share

Return on stockholders' equity

Debt-to-equity ratio

Capital budgeting

23. Which of the following is NOT a component of external environment analysis?
Select correct option:

Customer satisfaction feedback

Global impacts

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Legal issues within the industry

Competitive position of rival companies

24. Which of the following groups represents the stakeholders of a company?

Select correct option:

The owners of the company

The people who purchases the shares of the company

The people who have a special stake or claim on the company

Are the people who are in the management a company

25. All of the specified approaches could be used to determine R&D budget allocation EXCEPT:

Select correct option:

Financing as many projects as possible

Using percentage-of-sales method

Budgeting irrelative to competitors

Deciding how many successful new products are needed

26. Which of the following statement is referred to 'Price fluctuation'?

Select correct option:

Decrease in prices

Increase in prices

Fluctuation in the prices of a particular commodity

Fluctuation in general price level

27. "A Good mission statement identifies the utility of a firm's products to its customers"; which of the following represents this statement?

Select correct option:

Organization's philosophy

Customer orientation

Social policy

Declaration of attitude

28. Which of the following is NOT a Corporate level objective?

Select correct option:

Achieving return on investment of at least 15%

Aiming to achieve a market share of 10%

Attaining operating profit of over Rs.10 million

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Increase earnings per share by at least 10% every year

29. All of these are pitfalls an organization should avoid in strategic planning EXCEPT:
Select correct option:

Using plans as a standard for measuring performance.

Using strategic planning to gain control over decisions and resources

Failing to involve key employees in all phases of planning

Being so formal in planning that flexibility and creativity are stifled

30. All of the following would be considered as opportunities for a business, EXCEPT:
Select correct option:

Removal of international trade barriers

Emergence of unfulfilled customer need

Emergence of substitute products

loosening of regulations

31. Which one of the following is NOT a basic mission of a competitive intelligence program?

Select correct option:

To provide a general understanding of an industry

To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

To identify potential moves a competitor might make that would endanger a firm

32. Which stage of the "Strategy Formulation Framework" includes an External Factor Evaluation Matrix and a Competitive Profile Matrix?

Select correct option:

Input stage

Output stage

Matching stage

Decision stage

33. Which one of the following best describes the Rumelt's criterion "Consonance"?
Select correct option:

Strategy should not present inconsistent goals and policies

It refers to the need for strategies to examine sets of trends

Strategy should neither overtaxes resources nor creates unsolvable sub problems

Strategy should provide the reaction or maintenance of competitive advantage

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34. In adapting to change an organization must monitor which of the following?
Select correct option:

- Ongoing processes
- Internal and external events
- Timely changes
- All of the given options**

35. All of the following are the key opportunities or threats in external environment because of Political, Govt. & Legal force EXCEPT:
Select correct option:

- Tax rates
- Trust in government**
- Pak-India relationships
- Patent laws

36. Question # 16 of 20 (Start time: 01:50:46 PM) Total Marks: 1
At least how many R & D approaches are used for the implementation of strategy?
Select correct option:

- Two
- Three**
- Four
- Five

37. Exclusive access to high grade natural resources is an example of which of the following?
Select correct option:

- Strength**
- Weakness
- Opportunity
- Threat

38. To whom a planning horizon of two to five years applies?
Select correct option:

- Top management**
- Middle management
- Lower management
- All levels

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39. All of the following are examples of marketing decisions that require policies EXCEPT:

Select correct option:

To be a market leader or follower

Whether to advertise online or not

Either to offer a complete or limited warranty

To use billboards for outdoor advertising

40. If market shares of competitors are declining whereas total industry sales are increasing, which strategy do you think may be the right one to pursue?

Select correct option:

Divestiture

Market Penetration

Market Development

Retrenchment

41. If market shares of competitors are declining whereas total industry sales are increasing, which strategy do you think may be the right one to pursue?

Select correct option:

Divestiture

Market Penetration

Market Development

Retrenchment

42. What is a central strategy-implementation technique that allows an organization to examine the expected results of various actions and approaches?

Select correct option:

Financial budgeting

TOWS analysis

Projected financial statement

External analysis

43. Which of the following is NOT a SPACE Matrix quadrant?

Select correct option:

Aggressive

Defensive

Competitive

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Offensive

44. Identify the term that is known as a “mean of providing guidance to actions and procedures, including how resources are to be allocated and how tasks assigned to the organization might be accomplished”.

Select correct option:

Aspirations

Objectives

Policies

Goals

45. All of the following fall under the category of "Process" function of production management EXCEPT:

Select correct option:

Choice of technology

Quality assurance

Process flow analysis

Transportation analysis

46. Adding new but unrelated products or services for appealing present customers is known as:

Select correct option:

Forward integration

Backward integration

Conglomerate diversification

Horizontal diversification

47. What is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services?

Select correct option:

Management

Planning

Marketing Research

Market segmentation

48. Which category of ratios measures “how effectively a firm can maintain its economic position in the growth of the economy and industry”?

Select correct option:

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Liquidity

Leverage

Activity

Growth

49. A & Ammar is the sole manufacturer of leather goods in Pakistan. Government has lowered the tax rates for this industry keeping in view of promoting other new firms to enter this industry. Lowering the tax rates of this industry will confront A & Ammar with which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

50. Which of the following is NOT a SPACE Matrix quadrant?

Select correct option:

Aggressive

Defensive

Competitive

Offensive

51. Which organizational structure has ambiguous roles for senior executives as a major disadvantage?

Select correct option:

Strategic business unit

Functional structure

Divisional structure

Matrix structure

52. Which of the following refers to Kanban?

Select correct option:

Manufacturing system

Production unit

Signals

Process

53. Which stage of the strategy-formulation framework consists of the Quantitative

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Strategic Planning Matrix?

Select correct option:

Formulation framework

Matching stage

Decision stage

All of the given options

54. Which of the following statement is NOT true about Employee stock ownership plan?

Select correct option:

These corporations are owned in whole or in part by their employees

Their employees can buy shares at any time or after a certain length of employment

Their shares are traded on public stock market

The profits of these corporations are shared with their employees

55. The external environmental trends and events that could significantly harm an organization in the future may be known as:

Select correct option:

Strengths

Weaknesses

Opportunities

Threats

56. Din Mohammad, a farmer sells his crops at the local market rather than to a distribution center. This action of Din Mohammad comes under which of the following?

Select correct option:

Backward integration

Product development

Forward integration

Horizontal integration

57. What can be the limitation of QSPM?

Select correct option:

Only a few strategies can be evaluated simultaneously.

The cost of doing the analysis is very high.

Intuitive judgments and educated assumption are required.

It requires equal participation of everyone in organization.

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58. Business units that have low market share and are operating in slow-growing industry should choose all of the following EXCEPT:

Select correct option:

Distribution efficiency

Production efficiency

New investments

Product innovation

59. Which of these is not one of the tests used to determine whether a performance-pay plan will benefit an organization?

Select correct option:

Do employees understand the plan?

Is the plan improving communications?

Does the plan pay out when it should?

Does the plan reduce management layers?

60. Which one of the following strategies is referred as presenting products, often with a little or no modification, to customers in related marketing areas?

Select correct option:

Market development

Market penetration

Horizontal integration

Product development

61. Just in Time (JIT) system can be defined as:

Select correct option:

Implementing strategies just before bankruptcy

Delivering materials just as they are needed

A scheduling method for meetings

A process for improving quality of products

62. All of the following would be considered as weaknesses to a business EXCEPT:

Select correct option:

Maturing markets

Limited industry expertise

Brand name

Limited financial resources

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63. All of the following are examples of marketing decisions that require policies EXCEPT:

Select correct option:

To be a market leader or follower

Whether to advertise online or not

Either to offer a complete or limited warranty

To use billboards for outdoor advertising

64. What is the product of weights and attractiveness scores for each strategy in QSPM?
Select correct option:

Sum total attractiveness scores

Total attractiveness scores

Weighted scores

Total weighted scores

65. Which organizational structure has ambiguous roles for senior executives as a major disadvantage?

Select correct option:

Strategic business unit

Functional structure

Divisional structure

Matrix structure

66. Availability of existing substitute products can increase which of the following?
Select correct option:

The bargaining power of customers

The bargaining power of suppliers

The threat of new entrants

The threat of substitute products

67. Which of the following is a deliberate plan of action, guidelines, methods, procedures to guide decisions and achieve rational outcome?

Select correct option:

Annual objectives

Strategies

Policies

Goals

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68. The organizations that conduct business operations across national borders are known as which of the following?

Select correct option:

Domestic firms

Multinational corporations

Parent companies

Franchises

69. Which one of the following is NOT a key external force?

Select correct option:

Social responsibility

Ozone reduction

Company management

Energy conservation

70. Which stage of the strategy-formulation framework focuses on generating feasible alternative strategies?

Select correct option:

Input

Output

Decision

Matching

71. "A Good mission statement identifies the utility of a firm's products to its customers"; which of the following represents this statement?

Select correct option:

Organization's philosophy

Customer orientation

Social policy

Declaration of attitude

72. Which of the following refers to the belief related to objectives setting that "the true measure of a really good strategist is the ability to solve problems"?

Select correct option:

Managing by objectives

Managing by extrapolation

Managing by crisis

Managing by subjectives

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73. All of the following would be considered organizational skills and resources that will be used in differentiation strategy EXCEPT which one?

Select correct option:

Strong research and development department

Products designed for ease of manufacture

Corporate reputation for quality and reliability

Creative, talented and skilled personnel

74. Which approach for managing and resolving conflict involves physical separating the conflicting individuals?

Select correct option:

Avoidance

Compliance

Diffusion

Confrontation

75. All of the specified approaches could be used to determine R&D budget allocation EXCEPT:

Select correct option:

Financing as many projects as possible

Using percentage-of-sales method

Budgeting irrelevant to competitors

Deciding how many successful new products are needed

76. Retrenchment strategy should be followed by which one of the following firms?

Select correct option:

Firm with its SPACE matrix vector in defensive quadrant

Firm with its SPACE matrix vector in aggressive quadrant

Firm with its SPACE matrix vector in conservative quadrant

Firm with its SPACE matrix vector in competitive quadrant

77. What is the purpose of strategy evaluation?

Select correct option:

Increase the budget annually

Alert management of problems

Make budget changes

Evaluate employees' performance

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78. Research and development activity performed by R & D department of AZD company resulted in the introducing a telecommunications system in a foreign country. This R & D activity is referred as:
Select correct option:

Concentric diversification

Market development

Market penetration

Product development

79. All of the following would be considered as opportunities for a business, EXCEPT:
Select correct option:

Removal of international trade barriers

Emergence of unfulfilled customer need

Emergence of substitute products

Loosening of regulations

80. A & C Corporation currently possesses a low share of its available market. Moreover, this company's portfolio reveals it has extremely low market growth. A & C Corporation is most likely to be classed as which one of the following?
Select correct option:

Dog

Question mark

Star

Cash cow

81. Which statements best represents 'Restructuring'?
Select correct option:

Radical redesign of an organization's process

An agreement between two or more firms

Personnel downsizing and asset revaluation

Combination of two or more companies

82. Restructuring is also known as:
Select correct option:

Up-sizing

Delayering

Diversifying

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Integrating

83. Exclusive access to high grade natural resources is an example of which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

84. Identify the stages of strategic management process in a precise sequence.

Select correct option:

Strategy evaluation, strategy formulation & strategy implementation

Strategy evaluation, strategy implementation & strategy formulation

Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

85. Which of the following statement is NOT correct about Just in Time?

Select correct option:

It reduces the in-process inventory

It is driven by a series of signals, or Kanban

Re-order level is determined by existing demand

New stock is ordered when stock reaches the re-order level

86. Which of the following are two negative-rated dimensions on SPACE Matrix?

Select correct option:

FS and CA

CA and ES

FS and IS

IS and ES

87. Which of the following is a Corporate level objective?

Select correct option:

Getting 75% customer awareness of company's brand in target markets

Increasing earnings per share by at least 10%

Building customer database of at least 250,000 companies

Achieving a 10% share of International market

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88. When an industry relies heavily on government contracts, which of the following is important for the firm to foresee as a part of its external audit?

Select correct option:

Economic forces

Political forces

Technological forces

Competitive forces

89. Strategies that are designed to appeal customers with a special sensitivity for a particular product attribute are dependent on which of the following?

Select correct option:

Differentiation strategy

Focus strategy

Niche strategy

Low cost strategy

90. What term refers to selling a division of an organization?

Select correct option:

Joint venture

Divestiture

Liquidation

Horizontal integration

91. All of the following tasks are performed by R&D employees and managers EXCEPT:

Select correct option:

Transferring complex technology

Adapting processes to local markets

Adjusting process to local raw materials

Make sure the availability of resource

92. In the SPACE analysis, what does (+7, -6) coordinates depict?

Select correct option:

A firm operating in a strong industry with an unstable environment

A firm operating in a strong industry with a stable environment

A highly competitive firm operating in an unstable environment

A financially strong firm operating in an unstable environment

93. Market segmentation is especially used in implementing strategies by which of the

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following firms?

Select correct option:

Small firms

Medium-size firms

Large firms

All of these firms

94. Which of the following is the first step in the controlling function of management?

Select correct option:

Take corrective actions

Restrict breaks employees take

Evaluate expense reports

Establish performance standards

96. Which of the following ties all business functions together and provides the basis for all managerial decisions?

Select correct option:

Marketing

Information

Technology

Workforce

97. Which pay strategy is not a form of incentive compensation?

Select correct option:

Bonus

Hourly wage

Gain sharing

Profit sharing

98. Buyer switching costs is an important factor for which of the following forces?

Select correct option:

The intensity of competitive rivalry

The bargaining power of suppliers

The threat of new entrants

The threat of substitute products

99. Which one of the following statements best describes the sign of weakness of a company's competitive position?

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Select correct option:

An after-tax return-on-equity below 15% and earnings per share less than \$1.00.

A higher cost of production and higher prices of products than the rivals.

A declining market share, below standard quality products and fewer sales in market.

Lower revenues and increasing cost of inputs than the market-share leader.

100. Which of the following immediately precedes the decision regarding organizational structure?

Select correct option:

External environment analysis

Internal environment analysis

Strategy formulation

Mission statement formulation

101. A strategy involving major business modification usually associated with personnel downsizing and selling the part of company for the purpose of getting effectiveness at maximum is known as:

Select correct option:

Restructuring

Re-engineering

Downsizing

Divestiture

102. When an industry relies heavily on government contracts, which of the following is important for the firm to foresee as a part of its external audit?

Select correct option:

Economic forces

Political forces

Technological forces

Competitive forces

103. In order to avoid the emergence of substitute products, AF & Z Corporation has obtained an access and control over the scarce natural resources necessary to produce their products. Thus, which of the following strategies is being practiced by AF & Z Corporation?

Select correct option:

SO Strategy

WO Strategy

SW Strategy

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ST Strategy

104. Question # 4 of 20 (Start time: 10:07:45 PM) Total Marks: 1

Which of the following is NOT one of the major approaches to R&D?

Select correct option:

To be the first firm to market new technological products

To be an innovative imitator of successful products

To be a low-cost producer by mass-producing products

To be a differentiated products manufacturer in industry

105. What is a Just In Time (JIT)?

Select correct option:

Inventory management system

Human resource management system

Sales management system

Financial management system

106. Strategic management is the art and science of formulating, implementing and evaluating cross-functional decisions which is usually done by all of the following EXCEPT:

Select correct option:

Chairman of the company

Board of directors

Chief executive officer

Marketing officer

107. Long-term objectives are needed at which level(s) of the organization?

Select correct option:

Corporate level

Divisional level

Functional level

All of the given options

108. What is the most widely used technique for determining the best combination of debt and stock?

Select correct option:

Earnings per share

Return on stockholders' equity

Debt-to-equity ratio

Capital budgeting

109. If technology is changing rapidly and the market is growing slowly then what decision the firm should take regarding R & D?

Select correct option:

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In-house R&D is the preferred solution

Acquisition of a well-established firm in the industry

A major effort in R&D may be very risky

Obtain R&D expertise on a nonexclusive basis

110. Effective mission statements don't have one of the following features:

Select correct option:

Generate range of feasible strategic alternatives

Reconcile interests among diverse stakeholders

What does the firm want to become

Provide criteria for selecting strategies

111. Which of the following depicts the signs of strength of a company's competitive position?

Select correct option:

A debt-to-asset ratio below 0.50 and higher EPS.

A website with extensive information about the company and its product line.

An annual R&D and advertising expenditures greater than \$10 million.

A strongly differentiated product, a strong or rising market share.

112. All of the following are the key opportunities or threats in external environment because of Political, Govt. & Legal force EXCEPT:

Select correct option:

Tax rates

Trust in government

Pak-India relationships

Patent laws

113. According to Freund, Which one of the following should NOT be the characteristics of key external factors?

Select correct option:

Measurable

Relatively few in number

Applicable to all competing firms

Important to achieve long-term objectives

114. Which of the following environment includes all those factors which affect the organization and itself affected by the organization?

Select correct option:

External environment

Social environment

Task environment

Internal environment

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115. Financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Progression in profitability

Improvement in employee productivity

Expansion in the sales of business

Enhancement in productivity

116. IE Matrix consists of how many cells?

Select correct option:

Seven

Eight

Nine

Ten

116. Which of the following can be considered one of the factors of external opportunities and threats of an organization?

Select correct option:

Production/ operations

Research & development

Competitive trends

Management information system

117. Which of the following refers to determining the best capital structure for the company?

Select correct option:

Restructuring decisions

Financing decisions

Strategic decision

Investment decision

118. Which category of ratios measures “how effectively a firm can maintain its economic position in the growth of the economy and industry”?

Select correct option:

Liquidity

Leverage

Activity

Growth

119. Which of the following is best identified as a statement that presents “a firm's big picture statement, describing a desired end-state, general in scope, and not restrictive”?

Select correct option:

Corporate philosophy statement

Company creed

Vision statement

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Mission statement

120. A strategy involving major business modification usually associated with personnel downsizing and selling the part of company for the purpose of getting effectiveness at maximum is known as:

Select correct option:

Restructuring

Re-engineering

Downsizing

Divestiture

121. External assessment is performed in which of the following strategic management phase?

► **Strategy formulation stage**

► Strategy implementation stage

► Strategy evaluation stage

► All of the given options

122. Which of the following can reveal the demographic characteristics of an organization's customers?

Select correct option:

Customer profiling

Test marketing

Market development

The vision statement

123. Which of the following is best identified as being an adaptation of the divisional structure?

Select correct option:

Vertical Integration

Strategic business units

Joint venture

None of the given options

124. Strategy formulation stage includes all of the following EXCEPT:

Select correct option:

Vision and mission

Strength and weakness

Opportunities and threats

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Annual objectives

125. All of the following would be considered as weaknesses to a business EXCEPT:
Select correct option:

Maturing markets
Limited industry expertise

Brand name

Limited financial resources

126. Which of the following ties all business functions together and provides the basis for all managerial decisions?
Select correct option:

Marketing

Information

Technology
Workforce

127. Which category of ratios measures a firm's ability to meet maturing short-term obligations?
Select correct option:

Profitability

Leverage

Liquidity

Activity

128. The in-house R & D is a preferred solution in which of the following situation:
Select correct option:

Technological progress is slow and market growth is moderate

Technology is changing rapidly and market is growing slowly

If technology is changing slowly and market is growing quickly

If both, technological progress and market growth rate are fast

129. Which management function includes breaking tasks into jobs, combining jobs to form departments and delegating authority?
Select correct option:

Motivating

Staffing

Organizing

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Planning

130. IE matrix is based on which dimensions?

Select correct option:

Market share and industry growth

Financial strength and industry strength

Weighed scores of IFE and EFE matrices

Market growth and competitive position

131. Local, state, and national elections, world oil, currency, and labor markets, number of patents, special tariffs are the examples of which one of the following?

Select correct option:

Economic forces

Social, cultural and, demographic forces

Political, governmental, and legal forces

Competitive forces

132. What is the appropriate time frame for Strategy-evaluation activities?

Select correct option:

At the beginning of a problem

On a continuous basis

Upon completion of major projects

After the close of financial year

133. Which one of the followings best describes this statement; "The conditions that a company must satisfy in order to be able to enter an industry"?

Select correct option:

Economies of scale

Barriers to entry

Differentiation

Competitive environment

134. Which of the following is a limitation of financial budgets?

Select correct option:

Quarterly or other periodic reforecast are not possible

Over budgeting or under budgeting do not cause problems

Financial budgets can become a substitute for objectives

Budgets reveal inefficiencies if based solely on precedent

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135. All of the following are the managerial issues for managing natural environment EXCEPT:

Select correct option:

Global warming- depletion of rain forests

Employee understanding about environment

Developing biodegradable products and packages

Waste management to clean air and water

136. Which of the following refers to Kanban?

Select correct option:

Manufacturing system

Production unit

Signals

Process

137. The organizations that conduct business operations across national borders are known as which of the following?

Select correct option:

Domestic firms

Multinational corporations

Parent companies

Franchises

138. Which strategy is appropriate when an organization competes in an industry characterized by rapid technological developments?

Select correct option:

Retrenchment

Product development

Liquidation

Market penetration

139. Which one of the following strategies is referred as presenting products, often with a little or no modification, to customers in related marketing areas?

Select correct option:

Market development

Market penetration

Horizontal integration

Product development

140. Which of the following is not a key question that can reveal internal strengths and weaknesses of the marketing department?

Select correct option:

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Does the firm have an effective sales organization?

Are markets segmented effectively?

Are the firm's products and services priced appropriately?

Does the firm have good liquidity?

145. Which of the followings best describes the Horizontal integration?

Select correct option:

A firm takes over a supplier

A firm takes over a distributor

A firm takes over a competitor

A firm takes over a manufacturer

146. Strategist is an individual who is involved in the strategic management process, thus may be known as:

Select correct option:

Member board of director

President

Division manager

All of the given options

147. BCG matrix is used in matching stage of strategy formulation framework. It plots the business units along which of the following dimensions?

Select correct option:

Market share and industry strength

Market share and market growth rate

Market growth rate and competitive position

Market growth rate and environment stability

148. According to the Grand Strategy Matrix, in which quadrant organizations have a strong competitive position but are in a slow-growth industry?

Select correct option:

I

II

III

IV

149. All of the following are the key questions that can reveal internal strengths and weaknesses in the management department EXCEPT:

Select correct option:

Is the organization's structure appropriate?

Are reward and control mechanisms effective?

Are the organization's products positioned well?

Does the firm use strategic management concepts?

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150. Which one of the following is the most dramatic new market segmentation strategy?

Select correct option:

Targeting on Geographic variables

Targeting of regional tastes

Targeting on Behavioral variables

Targeting on gender and age

151. Which group would be classified as a stakeholder?

Select correct option:

Communities

Banks

Suppliers

All of the given options

152. What is the appropriate time frame for Strategy-evaluation activities?

Select correct option:

At the beginning of a problem

On a continuous basis

Upon completion of major projects

After the close of financial year

153. Which of the following is the process of influencing people to accomplish specific objectives?

Select correct option:

Staffing

Motivating

Controlling

Organizing

154. Which approach for managing and resolving conflict involves playing down differences between conflicting parties while stressing on similarities and common interests?

Select correct option:

Avoidance

Compliance

Diffusion

Confrontation

155. Integration strategies are sometimes collectively referred to as which of these strategies?

Select correct option:

Horizontal integration

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Forward integration

Hierarchical integration

Vertical integration

156. Which of the following is one of the Political, Governmental & legal factors?

Select correct option:

Ethical concerns

Traffic congestion

Lobbying activities

Average level of education

157. In order to avoid the emergence of substitute products, AF & Z Corporation has obtained an access and control over the scarce natural resources necessary to produce their products. Thus, which of the following strategies is being practiced by AF & Z Corporation?

Select correct option:

SO Strategy

WO Strategy

SW Strategy

ST Strategy

158. Where usage rate of present customers of the company can be increased significantly and the current markets are not saturated, which strategy would be effective for the company to follow?

Select correct option:

Market Penetration

Product Development

Market Development

Retrenchment

159. Which one of the following statements best describes the sign of weakness of a company's competitive position?

Select correct option:

An after-tax return-on-equity below 15% and earnings per share less than \$1.00.

A higher cost of production and higher prices of products than the rivals.

A declining market share, below standard quality products and fewer sales in market.

Lower revenues and increasing cost of inputs than the market-share leader

160. All of the following are included in the five functions of the management process EXCEPT:

Select correct option:

Planning

Organizing

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Leading

Delegating

161. Strategy formulation techniques can be integrated into how many stages of decision making framework?

Select correct option:

Two

Three

Four

Five

162. The SMART goal criteria 'Relevant' suggests which one of the following?

Select correct option:

Are you able to assess your progress?

Do you know exactly what you want to accomplish?

Is your goal relevant towards your purpose in life?

What is the deadline for completing your goal?

163. Which of the following was NOT included in Borden's marketing mix?

Select correct option:

Product planning

Display

Styling

Physical handling

164. All of the following are the steps for the development of IE matrix EXCEPT:

Select correct option:

Plot IFE total weighted scores on the x-axis

Plot EFE total weighted scores on the y axis

Determine the region into which the division falls

Determine the quadrant where position vector lies

165. Defensive strategies include all of the following EXCEPT:

Select correct option:

Retrenchment

Acquisition

Divestiture

Liquidation

166. The inventory is viewed as which of the following in Just In Time Inventory system:

Select correct option:

Incurring costs

Adding value

Disburse expense

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None of the above options

167. The organizations, where resource allocation is not based on strategic-management approach to decision making, which approach is used for resource allocation?

Select correct option:

Financial budget

Relative importance of departments

On political or personal factors

Relative cost of each resources

168. The total weighted score of IFE matrix developed for XYZ corporation is 3.5.

Which of the following statement is TRUE about XYZ Corporation in the light of IFE matrix total weighted score?

Select correct option:

Corporation has strong external position

Corporation has weak internal position

Corporation has strong internal position

Corporation has weak external position

169. Which of the following is a way on the basis of which divisional structure can NOT be organized?

Select correct option:

By geographic area

By product or service

By customer

By technology

170. Reasons due to which some firms do “No Strategic Planning” incorporate all of the following EXCEPT:

Select correct option:

Wastage of time

Fire-fighting

Content with success

Privileged reward structures

171. The effort made by a firm in R & D may be risky in which of the following situation:

Select correct option:

Technological progress is slow and market growth is moderate

Technology is changing rapidly and market is growing slowly

If technology is changing slowly and market is growing quickly

If both, technological progress and market growth rate are fast

172. What is NOT a major benefit of having a diverse workforce?

Select correct option:

Improvement of the bottom line

An increase in training costs

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An increase in productivity

A decrease in complaints

173. Which one of the following is the organizational structure that most of the medium-size organizations follow?

Select correct option:

Divisional structure

Strategic business unit

Functional structure

Matrix structure

174. Smoothies Tire & Rubber Co. is selling its North American tire business to Avinza International, is an example of which type of strategy?

Select correct option:

Related diversification

Retrenchment

Divestiture

Liquidation

175. Which of the following period strategic management was considered to be cure for all problems?

Select correct option:

Mid 1950s to mid 1960s

Mid 1960s to mid 1970s

Mid 1970s to mid 1980s

Mid 1980s to mid 1990s

176. Which of the following immediately precedes the decision regarding organizational structure?

Select correct option:

External environment analysis

Internal environment analysis

Strategy formulation

Mission statement formulation

177. Which of the following is not a key question that can reveal internal strengths and weaknesses of the marketing department?

Select correct option:

Does the firm have an effective sales organization?

Are markets segmented effectively?

Are the firm's products and services priced appropriately?

Does the firm have good liquidity?

Question # 1 of 20 (Start time: 02:20:11 PM) Total Marks: 1

An organization's division that has a low relative market share position and competes in a slow-growth industry is known as:

Select correct option:

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Dog

Question mark

Star

Cash cow

Question # 2 of 20 (Start time: 02:20:26 PM) Total Marks: 1

Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization?

Select correct option:

Investment decision

Financing decisions

Restructuring decisions

Strategic decision

Question # 3 of 20 (Start time: 02:20:58 PM) Total Marks: 1

Which of the following is a limitation of financial budgets?

Select correct option:

Quarterly or other periodic reforecast are not possible

Over budgeting or under budgeting do not cause problems

Financial budgets can become a substitute for objectives

Budgets reveal inefficiencies if based solely on precedent

Question # 4 of 20 (Start time: 02:21:21 PM) Total Marks: 1

What are the four dimensions of a SPACE matrix?

Select correct option:

Environmental stability; Industrial strength; Competitive advantage; Market growth rate

Environmental stability; Industrial strength; Competitive advantage; Financial strength

Industrial strength; Competitive advantage; financial strength; Market share

Environmental stability; Industrial strength; Market growth rate; Market share

Question # 5 of 20 (Start time: 02:21:44 PM) Total Marks: 1

Assigning a rate=2 in IFE matrix indicates what?

Select correct option:

A major weakness

A minor weakness

A minor strength

A major strength

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Question # 6 of 20 (Start time: 02:21:57 PM) Total Marks: 1

The organizations, where resource allocation is not based on strategic-management approach to decision making, which approach is used for resource allocation?

Select correct option:

Financial budget

Relative importance of departments

On political or personal factors

Relative cost of each resources

Question # 7 of 20 (Start time: 02:22:17 PM) Total Marks: 1

Principles of conduct that guide decision-making are known as:

Select correct option:

Human rights

Business ethics

The constitution

Social responsibility

Question # 8 of 20 (Start time: 02:22:50 PM) Total Marks: 1

What happens to the demand for discretionary goods when interest rates rise?

Select correct option:

Rises

Declines

Remains the same

First rises then declines

Question # 9 of 20 (Start time: 02:23:38 PM) Total Marks: 1

The SMART goal criteria 'Relevant' suggests which one of the following?

Select correct option:

Are you able to assess your progress?

Do you know exactly what you want to accomplish?

Is your goal relevant towards your purpose in life?

What is the deadline for completing your goal?

Question # 10 of 20 (Start time: 02:23:50 PM) Total Marks: 1

Backward integration is effective in all of the following situations EXCEPT:

Select correct option:

When an organization competes in an industry that is growing rapidly

When an organization needs to acquire a needed resource quickly

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When the advantage of stable prices are not important

When present suppliers have high profit margins

Question # 11 of 20 (Start time: 02:24:57 PM) Total Marks: 1

J I T stands for:

Select correct option:

Just inter time

Just into time

Just in time

Just in technique

Question # 12 of 20 (Start time: 02:25:11 PM) Total Marks: 1

All of the following fall under the category of "Process" function of production management EXCEPT:

Select correct option:

Choice of technology

Quality assurance

Process flow analysis

Transportation analysis

Question # 13 of 20 (Start time: 02:25:43 PM) Total Marks: 1

Which of the following is NOT a component of external environment analysis?

Select correct option:

Customer satisfaction feedback

Global impacts

Legal issues within the industry

Competitive position of rival companies

Question # 14 of 20 (Start time: 02:26:03 PM) Total Marks: 1

Which analytical tool consists of a nine-cell matrix?

Select correct option:

Competitive Profile Matrix

SPACE Matrix

Grand Strategy Matrix

Internal-External Matrix

Question # 15 of 20 (Start time: 02:26:16 PM) Total Marks: 1

Which of the following is not a key question that can reveal internal strengths and weaknesses of the marketing department?

Select correct option:

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Does the firm have an effective sales organization?

Are markets segmented effectively?

Are the firm's products and services priced appropriately?

Does the firm have good liquidity?

Question # 16 of 20 (Start time: 02:26:38 PM) Total Marks: 1

Which of the following are two negative-rated dimensions on SPACE Matrix?

Select correct option:

FS and CA

CA and ES

FS and IS

IS and ES

Question # 17 of 20 (Start time: 02:26:50 PM) Total Marks: 1

The purpose of an external audit is to prepare a list of which of the following?

Select correct option:

Opportunities and weaknesses

Threats and strengths

Opportunities and threats

Strengths and weaknesses

Question # 18 of 20 (Start time: 02:27:04 PM) Total Marks: 1

The last remedy for Quadrant II firm is to follow which strategy?

Select correct option:

Horizontal integration

Market development

Forward integration

Divestiture

Question # 19 of 20 (Start time: 02:28:31 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "there is no general plan for which way to go and what to do"?

Select correct option:

Managing by crisis

Managing by extrapolation

Managing by hope

Managing by subjectives

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Question # 20 of 20 (Start time: 02:29:02 PM) Total Marks: 1

The general conditions for competition that influence business firms, which provide similar products and services is known:

Select correct option:

Remote environment

International environment

External environment

Industry environment

Which one of the following statement is TRUE about EBIT (Earnings Before Interest and Taxes)?

It is calculated as revenue minus depreciation and interest expenses

It is calculated as revenue minus expenses excluding tax and interest

It is calculated as revenue minus cost of good sold and sales taxes

It is calculated as revenue minus selling and administrative expenses

Which matrix is included in the decision stage of the strategy formulation framework?

IE Matrix

QSPM matrix

BCG

Space

On the y-axis of IE Matrix, an EFE total weighted score of 3.97 is considered what?

Low

Medium

High

Weak

Integration strategies are sometimes collectively referred to as which of these strategies?

Select correct option:

Horizontal integration

Forward integration

Hierarchical integration

Vertical integration

Firms located in which quadrant of the Grand Strategy Matrix are in an excellent strategic position?

1

2

3

4

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What is the last stage of three-stage strategy formulation framework?

Formulation

Decision

Matching

None of them

What are historical narratives describing the unique accomplishments of a group and its leaders, usually in heroic terms?

Rites

Sagas

Stories

Myths

Which one of the following is the characteristic of Question marks?

Excess cash generation

Low cash generation

Opportunities for growth

No-market-growth industry

“A desired future state that the organization attempts to realize”. Identify the term relevant to the given statement

Policy

Procedure

Goal

Strategy

Which alternative becomes more attractive financing technique when cost of capital is high?

Debt financing

Combination financing

Raising equity

Borrowing

Which of these is not one of the tests used to determine whether a performance-pay plan will benefit an organization?

Do employees understand the plan?

Is the plan improving communications?

Does the plan pay out when it should?

Does the plan reduce management layers?

Which of the following statement applies to Vision Statement?

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Describes the purpose of existence of an organization

Identify the customers of the organization

The key measure or measures of the organization's success

Depict the values of an organization

Which of the following refers to determining the best capital structure for the company?

Restructuring decisions

Financing decisions

Strategic decision

Investment decision

All of the following are the examples of pricing decisions EXCEPT:

Volume discount

Bundling

Price flexibility

Repair and supports

Which statements best represents 'Restructuring'?

Radical redesign of an organization's process

An agreement between two or more firms

Personnel downsizing and asset revaluation

Combination of two or more companies

Which of the following arise when a company can take advantage of conditions in its environment to formulate and implement strategies that enable it to become more profitable?

Strengths

Opportunities

Weaknesses

Threats

Which one of the following is NOT a SMART criterion?

Measurable

Strategy

Achievable

Relevant

Which of the following refers to the belief related to objectives setting that "the true measure of a really good strategist is the ability to solve problems"?

Managing by objectives

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Managing by extrapolation

Managing by crisis

Managing by subjectives

Which is the most important benefit required from restructuring?

Employee impalement

Cost reduction

Increased morale

Increased innovation

Question # 1 of 20 (Start time: 08:08:56 PM) Total Marks: 1

Which of these is not one of the tests used to determine whether a performance-pay plan will benefit an organization?

Select correct option:

Do employees understand the plan?

Is the plan improving communications?

Does the plan pay out when it should?

Does the plan reduce management layers?

Question # 2 of 20 (Start time: 08:09:26 PM) Total Marks: 1

Which of the following is NOT a component of external environment analysis?

Select correct option:

Customer satisfaction feedback

Global impacts

Legal issues within the industry

Competitive position of rival companies

Question # 3 of 20 (Start time: 08:09:37 PM) Total Marks: 1

Which one of the following actions is more effective regarding the change in organizational culture?

Select correct option:

A strategy should be changed to fit an existing culture

A strategy and culture both should be changed at the same time

A firm culture should be changed to fit a new strategy

All of the given options

Question # 4 of 20 (Start time: 08:10:32 PM) Total Marks: 1

Which one of the following strategies is referred as presenting products, often with a little or no modification, to customers in related marketing areas?

Select correct option:

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Market development

Market penetration

Horizontal integration

Product development

Question # 5 of 20 (Start time: 08:10:45 PM) Total Marks: 1

All of the following would be considered organizational skills and resources that will be used in differentiation strategy EXCEPT which one?

Select correct option:

Strong research and development department

Products designed for ease of manufacture

Corporate reputation for quality and reliability

Creative, talented and skilled personnel

Question # 6 of 20 (Start time: 08:11:43 PM) Total Marks: 1

What are historical narratives describing the unique accomplishments of a group and its leaders, usually in heroic terms?

Select correct option:

Rites

Sagas

Stories

Myths

Question # 7 of 20 (Start time: 08:11:53 PM) Total Marks: 1

Which of the following is NOT included in SWOT Matrix?

Select correct option:

Matching strengths and threats

Matching weaknesses and threats

Matching weaknesses and opportunities

Matching weaknesses and strengths

Question # 8 of 20 (Start time: 08:13:21 PM) Total Marks: 1

The inventory is viewed as which of the following in Just In Time Inventory system:

Select correct option:

Incurring costs

Adding value

Disburse expense

None of the above options

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Question # 9 of 20 (Start time: 08:13:37 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our second (or third) attempt will succeed"?

Select correct option:

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 10 of 20 (Start time: 08:14:05 PM) Total Marks: 1

Which strategy is appropriate when an organization competes in an industry characterized by rapid technological developments?

Select correct option:

Retrenchment

Product development

Liquidation

Market penetration

Question # 11 of 20 (Start time: 08:14:31 PM) Total Marks: 1

Which of the following methods is NOT accepted for determining a business' worth?

Select correct option:

What the firm owns

What the firm earns

What is firm's return on investment

What a firm will bring in the market

Question # 12 of 20 (Start time: 08:15:22 PM) Total Marks: 1

While preparing an External Factor Evaluation matrix, a total score of 0.8 indicates what?

Select correct option:

Firm is taking advantages of strengths and avoiding threats

Firm is not taking advantages of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question # 13 of 20 (Start time: 08:16:24 PM) Total Marks: 1

A & Ammar is the sole manufacturer of leather goods in Pakistan. Government has lowered the tax rates for this industry keeping in view of promoting other new firms to

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enter this industry. Lowering the tax rates of this industry will confront A & Ammar with which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 14 of 20 (Start time: 08:16:36 PM) Total Marks: 1

All of the following are the key questions that can reveal internal strengths and weaknesses in the management department EXCEPT:

Select correct option:

Is the organization's structure appropriate?

Are reward and control mechanisms effective?

Are the organization's products positioned well?

Does the firm use strategic management concepts?

Question # 15 of 20 (Start time: 08:16:55 PM) Total Marks: 1

Which of the following identified that "strategic management encourages forward thinking, favorable attitudes towards change and discipline to the management of business"?

Select correct option:

Greeley

Greenly

Greenley

Greenwich

Question # 16 of 20 (Start time: 08:17:29 PM) Total Marks: 1

IE matrix is based on which dimensions?

Select correct option:

Market share and industry growth

Financial strength and industry strength

Weighted scores of IFE and EFE matrices

Market growth and competitive position

Question # 17 of 20 (Start time: 08:17:52 PM) Total Marks: 1

Which one of the following is not an approach to resolve conflicts?

Select correct option:

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Avoidance
Diffusion
Confrontation
Ignorance

Question # 18 of 20 (Start time: 08:18:23 PM) Total Marks: 1

A & C Corporation currently possesses a low share of its available market. Moreover, this company's portfolio reveals it has extremely low market growth. A & C Corporation is most likely to be classed as which one of the following?

Select correct option:

Dog
Question mark
Star
Cash cow

Question # 19 of 20 (Start time: 08:18:42 PM) Total Marks: 1

Which of the following is an example of Intensive strategies?

Select correct option:

Conglomerate strategy
Forward integration
Market penetration
Retrenchment

Question # 20 of 20 (Start time: 08:19:12 PM) Total Marks: 1

Defensive strategies include all of the following EXCEPT:

Select correct option:

Retrenchment
Acquisition
Divestiture
Liquidation

Question # 1 of 20 (Start time: 08:21:54 PM) Total Marks: 1

Input stage of strategy-formulation framework includes developing which of the following set of strategies?

Select correct option:

IFE, EFE and QSPM Matrix
IFE, IE and BCG Matrix
IFE, CPM and EFE Matrix
EFE, IE and CPM Matrix

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Question # 2 of 20 (Start time: 08:22:53 PM) Total Marks: 1

Which one of the following is the most dramatic new market segmentation strategy?

Select correct option:

Targeting on Geographic variables

Targeting of regional tastes

Targeting on Behavioral variables

Targeting on gender and age

Question # 3 of 20 (Start time: 08:23:04 PM) Total Marks: 1

Availability of existing substitute products can increase which of the following?

Select correct option:

The bargaining power of customers

The bargaining power of suppliers

The threat of new entrants

The threat of substitute products

When a merger or acquisition is not desired

Question # 5 of 20 (Start time: 08:23:34 PM) Total Marks: 1

Which of the following is an example of Intensive strategies?

Select correct option:

Conglomerate strategy

Forward integration

Market penetration

Retrenchment

Question # 6 of 20 (Start time: 08:23:54 PM) Total Marks: 1

All of the following statements are true about a firm's mission statement EXCEPT:

Select correct option:

A mission statement does not directly contribute positively to financial performance.

A mission statement directly contributes positively to financial performance.

A mission statement should not provide useful criteria for selecting among alternative strategies.

Primary reason to develop a mission statement is not to attract the customers

Question # 7 of 20 (Start time: 08:24:28 PM) Total Marks: 1

Which of the following best describes this statement; "a Systematic and ethical process for gathering and analyzing information about the competition's activities and general business trends to further a business' own goals"?

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Select correct option:

External assessment

Industry analysis

Competitive intelligence program

Business ethics

Question # 8 of 20 (Start time: 08:25:00 PM) Total Marks: 1

Which one of the following is NOT a basic mission of a competitive intelligence program?

Select correct option:

To provide a general understanding of an industry

To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

To identify potential moves a competitor might make that would endanger a firm

Question # 9 of 20 (Start time: 08:25:32 PM) Total Marks: 1

Principles of conduct that guide decision-making are known as:

Select correct option:

Human rights

Business ethics

The constitution

Social responsibility

Question # 10 of 20 (Start time: 08:25:42 PM) Total Marks: 1

"Other than ranking strategies to achieve the prioritized list, there is only one analytical technique which is designed to determine the relative attractiveness of feasible alternative actions". This technique is known as:

Select correct option:

SPACE

OSPM

IFE

CPM

Question # 11 of 20 (Start time: 08:26:40 PM) Total Marks: 1

Which of the following is NOT included in SWOT Matrix?

Select correct option:

Matching strengths and threats

Matching weaknesses and threats

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Matching weaknesses and opportunities

Matching weaknesses and strengths

Question # 12 of 20 (Start time: 08:26:52 PM) Total Marks: 1

What is a central strategy-implementation technique that allows an organization to examine the expected results of various actions and approaches?

Select correct option:

Financial budgeting

TOWS analysis

Projected financial statement

External analysis

Question # 13 of 20 (Start time: 08:27:23 PM) Total Marks: 1

All of the following are Porter's Generic Strategies EXCEPT:

Select correct option:

Differentiation

Hybrid

Cost leadership

Focus

Question # 14 of 20 (Start time: 08:27:52 PM) Total Marks: 1

Choose the economic variable from the list.

Select correct option:

Attitudes toward business

Attitudes toward product quality

Population changes by race

Stock market trends

Question # 15 of 20 (Start time: 08:28:17 PM) Total Marks: 1

Which of the following is best identified as a statement that presents “a firm's big picture statement, describing a desired end-state, general in scope, and not restrictive”?

Select correct option:

Corporate philosophy statement

Company creed

Vision statement

Mission statement

Question # 16 of 20 (Start time: 08:28:29 PM) Total Marks: 1

The SMART goal criteria ‘Relevant’ suggests which one of the following?

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Select correct option:

Are you able to assess your progress?

Do you know exactly what you want to accomplish?

Is your goal relevant towards your purpose in life?

What is the deadline for completing your goal?

Question # 17 of 20 (Start time: 08:28:39 PM) Total Marks: 1

A chance for advancement, progress or profit prevailing in external environment of a company is known as:

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 18 of 20 (Start time: 08:28:51 PM) Total Marks: 1

ABC Corporation can have competitive advantage over its competitor by taking all of the following actions EXCEPT:

Select correct option:

By increasing product quality

By having debt/equity ratio equals to 1

By altering product life cycle

By increasing customer base

Question # 19 of 20 (Start time: 08:29:17 PM) Total Marks: 1

What is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services?

Select correct option:

Management

Planning

Marketing Research

Market segmentation

Question # 1 of 15 (Start time: 02:26:30 PM) Total Marks: 1

Which pay strategy is not a form of incentive compensation?

Select correct option:

Bonus

Hourly wage

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Gain sharing

Profit sharing

Firms located in which quadrant of the Grand Strategy Matrix are in an excellent strategic position?

Select correct option:

I

II

III

IV

A strategy involving major business modification usually associated with personnel downsizing and selling the part of company for the purpose of getting effectiveness at maximum is known as:

Select correct option:

Restructuring

Re-engineering

Downsizing

Divestiture

Which one of the followings is TRUE about two different market segments?

Select correct option:

They can be served with the same marketing strategy

They usually require different marketing strategies

They are always in different geographic locations

There is heterogeneity within the segment in its needs

Matching stage of the strategy formulation framework comprises of formulating which of the following set of strategies?

Select correct option:

BCG, SPACE and QSPM Matrix

BCG, SPACE and TOWS Matrix

SPACE, TOWS and IFE Matrix

BCG, SPACE and EFE Matrix

Which category of ratios measures a firm's ability to meet maturing short-term obligations?

Select correct option:

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Profitability

Leverage

Liquidity

Activity

The mission statement answers which of the following question?

Select correct option:

What is our business?

How can we improve ourselves?

What do we want to become?

Who are our stakeholders?

Political variables have a significant effect on which one of the following?

Select correct option:

Formulation and implementation of strategy

Formulation and Evaluation of a strategy

Implementation and evaluation of a strategy

Formulation, implementation and evaluation of a strategy

Following are the examples of actions taken while implementing strategies EXCEPT:

Select correct option:

Altering sales territories

conducting the SWOT analysis

Developing financial budgets

Establishing cost-control procedures

According to the Grand Strategy Matrix, which strategy is recommended for a firm with rapid market growth and a strong competitive position?

Select correct option:

Market penetration

Conglomerate diversification

Joint venture

Retrenchment

Which of the following is not a key question that can reveal internal strengths and weaknesses of the marketing department?

Select correct option:

Does the firm have an effective sales organization?

Are markets segmented effectively?

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Are the firm's products and services priced appropriately?

Does the firm have good liquidity?

All of the following strategies are recommended to be perused by Question Mark divisions EXCEPT:

Select correct option:

Market penetration

Market development

Horizontal integration

Product development

When the Chief Executive of a chain of pharmacies decided to sell off or close some of the locations that were not profitable, he was performing which of the management function?

Select correct option:

Leading

Planning

Controlling

Organizing

Which of the following is a way on the basis of which divisional structure can NOT be organized?

Select correct option:

By geographic area

By product or service

By customer

By technology

Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

Select correct option:

Conglomerate diversification

Forward integration

Backward integration

Horizontal diversification

Question # 3 of 15 (Start time: 11:56:05 PM) Total Marks: 1

Which of the following groups represents the stakeholders of a company?

Select correct option:

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The owners of the company

The people who purchases the shares of the company

The people who have a special stake or claim on the company

Are the people who are in the management a company

Question # 4 of 15 (Start time: 11:57:40 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our second (or third) attempt will succeed"?

Select correct option:

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 5 of 15 (Start time: 11:58:19 PM) Total Marks: 1

Assigning a rate=2 in IFE matrix indicates what?

Select correct option:

A major weakness

A minor weakness

A minor strength

A major strength

Question # 6 of 15 (Start time: 11:58:56 PM) Total Marks: 1

Which strategy seeks to increase market share of present products or services in present markets through greater marketing efforts?

Select correct option:

Market penetration

Market development

Backward integration

Product development

Question # 7 of 15 (Start time: 11:59:44 PM) Total Marks: 1

A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

Select correct option:

Marketing

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Research and development

Production

Management information system

Question # 8 of 15 (Start time: 12:00:16 AM) Total Marks: 1

Financial ratios are helpful in analyzing the relationship among which of the following?

Select correct option:

All assets and liabilities

Profits and costs

All functional areas of business

Sales and profitability

Question # 9 of 15 (Start time: 12:00:47 AM) Total Marks: 1

Which of the following is a strategy in which companies create a co-owned business that operates for their mutual benefit?

Select correct option:

Retrenchment

Divestiture

Joint venture

Liquidation

Question # 10 of 15 (Start time: 12:01:44 AM) Total Marks: 1

Investment decisions are also known as:

Select correct option:

Business finance

Capital structure

Capital budgeting

Dividend policy

Question # 11 of 15 (Start time: 12:02:37 AM) Total Marks: 1

All of the following are used as a base for market segmentation EXCEPT:

Select correct option:

Socioeconomic

Geographic

Demographic

Psychographic

Question # 12 of 15 (Start time: 12:03:22 AM) Total Marks: 1

In which of the following phase of strategic management, annual objectives are

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especially important?

Select correct option:

Formulation

Evaluation

Implementation

Management

Question # 13 of 15 (Start time: 12:04:31 AM) Total Marks: 1

In Competitive Profile Matrix, the rating 4 indicates what?

Select correct option:

Major weakness

Major strength

Minor strength

Minor weakness

Question # 14 of 15 (Start time: 12:05:15 AM) Total Marks: 1

Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

Select correct option:

Propensity of people to spend

Buying habits

Level of disposable income

Income differences by region

Question # 15 of 15 (Start time: 12:06:03 AM) Total Marks: 1

Which of the following is the first step in the controlling function of management?

Select correct option:

Take corrective actions

Restrict breaks employees take

Evaluate expense reports

Establish performance standards

Question # 1 of 15 (Start time: 09:46:03 PM) Total Marks: 1

Which one of the following is FALSE about the requirements for successful segmentation?

Select correct option:

Segments are measurable and identifiable

Segments are accessible and actionable

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Segments should be homogeneous

Segment is large enough to be profitable

Question # 2 of 15 (Start time: 09:47:10 PM) Total Marks: 1

Which one of the following leads to only allowing the other to "win" the conflict?

Select correct option:

High concern for the other party's outcomes

High concern for one's own and other party's outcomes

High concern for one's own outcomes

No concern for either side's outcomes

Question # 3 of 15 (Start time: 09:48:10 PM) Total Marks: 1

Which of the following is NOT included in SWOT Matrix?

Select correct option:

Matching strengths and threats

Matching weaknesses and threats

Matching weaknesses and opportunities

Matching weaknesses and strengths

Question # 4 of 15 (Start time: 09:49:30 PM) Total Marks: 1

All of the following are the steps for the development of IE matrix EXCEPT:

Select correct option:

Plot IFE total weighted scores on the x-axis

Plot EFE total weighted scores on the y axis

Determine the region into which the division falls

Determine the quadrant where position vector lies

Question # 5 of 15 (Start time: 09:50:31 PM) Total Marks: 1

Integration strategies allow a firm to gain control over all of the following EXCEPT:

Select correct option:

Distributors

Investors

Suppliers

Competitors

Question # 6 of 15 (Start time: 09:51:33 PM) Total Marks: 1

HTML stands for which of the following?

Select correct option:

Hybrid text markup language

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Hypertext Markup Language

Hyper text manufacture language
Highly technical markup language

Question # 7 of 15 (Start time: 09:52:35 PM) Total Marks: 1

Where usage rate of present customers of the company can be increased significantly and the current markets are not saturated, which strategy would be effective for the company to follow?

Select correct option:

Market Penetration

Product Development
Market Development
Retrenchment

Question # 8 of 15 (Start time: 09:53:29 PM) Total Marks: 1

An organization's division that has a low relative market share position and competes in a slow-growth industry is known as:

Select correct option:

Dog

Question mark
Star
Cash cow

Question # 9 of 15 (Start time: 09:53:49 PM) Total Marks: 1

Which one of the followings best describes this statement; "The conditions that a company must satisfy in order to be able to enter an industry"?

Select correct option:

Economies of scale

Barriers to entry

Differentiation
Competitive environment

Question # 10 of 15 (Start time: 09:54:32 PM) Total Marks: 1

External assessment is performed in which of the strategic management phase?

Select correct option:

Strategy formulation stage

Strategy implementation stage
Strategy evaluation stage
All of the given options

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Question # 11 of 15 (Start time: 09:55:09 PM) Total Marks: 1

Investment decisions are also known as:

Select correct option:

Business finance

Capital structure

Capital budgeting

Dividend policy

Question # 12 of 15 (Start time: 09:55:57 PM) Total Marks: 1

According to Freund, Which one of the following should NOT be the characteristics of key external factors?

Select correct option:

Measurable

Relatively few in number

Applicable to all competing firms

Important to achieve long-term objectives

Question # 13 of 15 (Start time: 09:56:45 PM) Total Marks: 1

Which of the following describes a differentiation strategy?

Select correct option:

Higher quality products or services than competitors

Innovation of products or services greater than competition

Providing different products with competences

Offering unique products that are widely valued by customers

Question # 14 of 15 (Start time: 09:57:41 PM) Total Marks: 1

In Competitive Profile Matrix, the rating 4 indicates what?

Select correct option:

Major weakness

Major strength

Minor strength

Minor weakness

Question # 15 of 15 (Start time: 09:58:15 PM) Total Marks: 1

The general conditions for competition that influence business firms, which provide similar products and services is known:

Select correct option:

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Remote environment

International environment

External environment

Industry environment

Question # 1 of 15 (Start time: 10:52:19 PM) Total Marks: 1

All of the specified approaches could be used to determine R&D budget allocation

EXCEPT:

Select correct option:

Financing as many projects as possible

Using percentage-of-sales method

Budgeting irrelative to competitors

Deciding how many successful new products are needed

Question # 2 of 15 (Start time: 10:53:02 PM) Total Marks: 1

A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

Select correct option:

Marketing

Research and development

Production

Management information system

Question # 3 of 15 (Start time: 10:53:51 PM) Total Marks: 1

Which of the following is NOT a component of external environment analysis?

Select correct option:

Customer satisfaction feedback

Global impacts

Legal issues within the industry

Competitive position of rival companies

Question # 4 of 15 (Start time: 10:54:26 PM) Total Marks: 1

All of the following are the managerial issues for managing natural environment

EXCEPT:

Select correct option:

Global warming- depletion of rain forests

Employee understanding about environment

Developing biodegradable products and packages

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Waste management to clean air and water

Question # 5 of 15 (Start time: 10:55:06 PM) Total Marks: 1

Which category of ratios measures “how effectively a firm can maintain its economic position in the growth of the economy and industry”?

Select correct option:

Liquidity

Leverage

Activity

Growth

Question # 6 of 15 (Start time: 10:55:41 PM) Total Marks: 1

Which term is preferable to be incorporated into written objective statements?

Select correct option:

Maximize profits

Minimize loss

10% increased production

Adequate capacity

Question # 7 of 15 (Start time: 10:56:54 PM) Total Marks: 1

Which of the following is a deliberate plan of action, guidelines, methods, procedures to guide decisions and achieve rational outcome?

Select correct option:

Annual objectives

Strategies

Policies

Goals

Question # 8 of 15 (Start time: 10:57:54 PM) Total Marks: 1

All of the following would represent possible threats to the ABC Company EXCEPT which one of the following?

Select correct option:

Entrance of new competitors

improved buyer or supplier relationships

new or revised regulations

Slow industry/market growth

Question # 9 of 15 (Start time: 10:58:28 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our

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second (or third) attempt will succeed"?

Select correct option:

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 10 of 15 (Start time: 10:59:01 PM) Total Marks: 1

When an industry relies heavily on government contracts, which of the following is important for the firm to foresee as a part of its external audit?

Select correct option:

Economic forces

Political forces

Technological forces

Competitive forces

Question # 11 of 15 (Start time: 10:59:30 PM) Total Marks: 1

'Harvest or divest' is one of the major regions of which of the following?

Select correct option:

Competitive Profile Matrix

Internal-External Matrix

SPACE Matrix

Grand Strategy Matrix

Question # 12 of 15 (Start time: 10:59:55 PM) Total Marks: 1

A & Ammar is the sole manufacturer of leather goods in Pakistan. Government has lowered the tax rates for this industry keeping in view of promoting other new firms to enter this industry. Lowering the tax rates of this industry will confront A & Ammar with which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 13 of 15 (Start time: 11:00:27 PM) Total Marks: 1

Strategy formulation techniques can be integrated into how many stages of decision making framework?

Select correct option:

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Two

Three

Four

Five

Question # 14 of 15 (Start time: 11:01:05 PM) Total Marks: 1

All of the following statements are true about a firm's mission statement EXCEPT:

Select correct option:

A mission statement does not directly contribute positively to financial performance.

A mission statement directly contributes positively to financial performance.

A mission statement should not provide useful criteria for selecting among alternative strategies.

Primary reason to develop a mission statement is not to attract the customers

Question # 15 of 15 (Start time: 11:01:48 PM) Total Marks: 1

Which of the following is more concerned with employee and customer well-being than shareholder well-being?

Select correct option:

Benchmarking

Reengineering

E-engineering

Restructuring

Question # 1 of 20 (Start time: 08:08:56 PM) Total Marks: 1

Which of these is not one of the tests used to determine whether a performance-pay plan will benefit an organization?

Select correct option:

Do employees understand the plan?

Is the plan improving communications?

Does the plan pay out when it should?

Does the plan reduce management layers?

Question # 2 of 20 (Start time: 08:09:26 PM) Total Marks: 1

Which of the following is NOT a component of external environment analysis?

Select correct option:

Customer satisfaction feedback

Global impacts

Legal issues within the industry

Competitive position of rival companies

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Question # 3 of 20 (Start time: 08:09:37 PM) Total Marks: 1

Which one of the following actions is more effective regarding the change in organizational culture?

Select correct option:

A strategy should be changed to fit an existing culture

A strategy and culture both should be changed at the same time

A firm culture should be changed to fit a new strategy

All of the given options

Question # 4 of 20 (Start time: 08:10:32 PM) Total Marks: 1

Which one of the following strategies is referred as presenting products, often with a little or no modification, to customers in related marketing areas?

Select correct option:

Market development

Market penetration

Horizontal integration

Product development

Question # 5 of 20 (Start time: 08:10:45 PM) Total Marks: 1

All of the following would be considered organizational skills and resources that will be used in differentiation strategy EXCEPT which one?

Select correct option:

Strong research and development department

Products designed for ease of manufacture

Corporate reputation for quality and reliability

Creative, talented and skilled personnel

Question # 6 of 20 (Start time: 08:11:43 PM) Total Marks: 1

What are historical narratives describing the unique accomplishments of a group and its leaders, usually in heroic terms?

Select correct option:

Rites

Sagas

Stories

Myths

Question # 7 of 20 (Start time: 08:11:53 PM) Total Marks: 1

Which of the following is NOT included in SWOT Matrix?

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Select correct option:

Matching strengths and threats

Matching weaknesses and threats

Matching weaknesses and opportunities

Matching weaknesses and strengths

Question # 8 of 20 (Start time: 08:13:21 PM) Total Marks: 1

The inventory is viewed as which of the following in Just In Time Inventory system:

Select correct option:

Incurring costs

Adding value

Disburse expense

None of the above options

Question # 9 of 20 (Start time: 08:13:37 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our second (or third) attempt will succeed"?

Select correct option:

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 10 of 20 (Start time: 08:14:05 PM) Total Marks: 1

Which strategy is appropriate when an organization competes in an industry characterized by rapid technological developments?

Select correct option:

Retrenchment

Product development

Liquidation

Market penetration

Question # 11 of 20 (Start time: 08:14:31 PM) Total Marks: 1

Which of the following methods is NOT accepted for determining a business' worth?

Select correct option:

What the firm owns

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What the firm earns

What is firm's return on investment

What a firm will bring in the market

Question # 12 of 20 (Start time: 08:15:22 PM) Total Marks: 1

While preparing an External Factor Evaluation matrix, a total score of 0.8 indicates what?

Select correct option:

Firm is taking advantages of strengths and avoiding threats

Firm is not taking advantages of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question # 13 of 20 (Start time: 08:16:24 PM) Total Marks: 1

A & Ammar is the sole manufacturer of leather goods in Pakistan. Government has lowered the tax rates for this industry keeping in view of promoting other new firms to enter this industry. Lowering the tax rates of this industry will confront A & Ammar with which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 14 of 20 (Start time: 08:16:36 PM) Total Marks: 1

All of the following are the key questions that can reveal internal strengths and weaknesses in the management department EXCEPT:

Select correct option:

Is the organization's structure appropriate?

Are reward and control mechanisms effective?

Are the organization's products positioned well?

Does the firm use strategic management concepts?

Question # 15 of 20 (Start time: 08:16:55 PM) Total Marks: 1

Which of the following identified that "strategic management encourages forward thinking, favorable attitudes towards change and discipline to the management of business"?

Select correct option:

Greeley

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Greenly

Greenley

Greenwich

Question # 16 of 20 (Start time: 08:17:29 PM) Total Marks: 1

IE matrix is based on which dimensions?

Select correct option:

Market share and industry growth

Financial strength and industry strength

Weighed scores of IFE and EFE matrices

Market growth and competitive position

Question # 17 of 20 (Start time: 08:17:52 PM) Total Marks: 1

Which one of the following is not an approach to resolve conflicts?

Select correct option:

Avoidance

Diffusion

Confrontation

Ignorance

Question # 18 of 20 (Start time: 08:18:23 PM) Total Marks: 1

A & C Corporation currently possesses a low share of its available market.

Moreover, this company's portfolio reveals it has extremely low market growth. A

& C Corporation is most likely to be classed as which one of the following?

Select correct option:

Dog

Question mark

Star

Cash cow

Question # 19 of 20 (Start time: 08:18:42 PM) Total Marks: 1

Which of the following is an example of Intensive strategies?

Select correct option:

Conglomerate strategy

Forward integration

Market penetration

Retrenchment

Question # 20 of 20 (Start time: 08:19:12 PM) Total Marks: 1

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Defensive strategies include all of the following EXCEPT:

Select correct option:

Retrenchment

Acquisition

Divestiture

Liquidation

Question # 1 of 20 (Start time: 08:21:54 PM) Total Marks: 1

Input stage of strategy-formulation framework includes developing which of the following set of strategies?

Select correct option:

IFE, EFE and QSPM Matrix

IFE, IE and BCG Matrix

IFE, CPM and EFE Matrix

EFE, IE and CPM Matrix

Question # 2 of 20 (Start time: 08:22:53 PM) Total Marks: 1

Which one of the following is the most dramatic new market segmentation strategy?

Select correct option:

Targeting on Geographic variables

Targeting of regional tastes

Targeting on Behavioral variables

Targeting on gender and age

Question # 3 of 20 (Start time: 08:23:04 PM) Total Marks: 1

Availability of existing substitute products can increase which of the following?

Select correct option:

The bargaining power of customers

The bargaining power of suppliers

The threat of new entrants

The threat of substitute products

When a merger or acquisition is not desired

Question # 5 of 20 (Start time: 08:23:34 PM) Total Marks: 1

Which of the following is an example of Intensive strategies?

Select correct option:

Conglomerate strategy

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Forward integration

Market penetration

Retrenchment

Question # 6 of 20 (Start time: 08:23:54 PM) Total Marks: 1

All of the following statements are true about a firm's mission statement EXCEPT:
Select correct option:

A mission statement does not directly contribute positively to financial performance.

A mission statement directly contributes positively to financial performance.

A mission statement should not provide useful criteria for selecting among alternative strategies.

Primary reason to develop a mission statement is not to attract the customers

Question # 7 of 20 (Start time: 08:24:28 PM) Total Marks: 1

Which of the following best describes this statement; "a Systematic and ethical process for gathering and analyzing information about the competition's activities and general business trends to further a business' own goals"?

Select correct option:

External assessment

Industry analysis

Competitive intelligence program

Business ethics

Question # 8 of 20 (Start time: 08:25:00 PM) Total Marks: 1

Which one of the following is NOT a basic mission of a competitive intelligence program?

Select correct option:

To provide a general understanding of an industry

To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

To identify potential moves a competitor might make that would endanger a firm

Question # 9 of 20 (Start time: 08:25:32 PM) Total Marks: 1

Principles of conduct that guide decision-making are known as:
Select correct option:

Human rights

Business ethics

The constitution

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Social responsibility

Question # 10 of 20 (Start time: 08:25:42 PM) Total Marks: 1

"Other than ranking strategies to achieve the prioritized list, there is only one analytical technique which is designed to determine the relative attractiveness of feasible alternative actions". This technique is known as:

Select correct option:

SPACE

QSPM

IFE

CPM

Question # 11 of 20 (Start time: 08:26:40 PM) Total Marks: 1

Which of the following is NOT included in SWOT Matrix?

Select correct option:

Matching strengths and threats

Matching weaknesses and threats

Matching weaknesses and opportunities

Matching weaknesses and strengths

Question # 12 of 20 (Start time: 08:26:52 PM) Total Marks: 1

What is a central strategy-implementation technique that allows an organization to examine the expected results of various actions and approaches?

Select correct option:

Financial budgeting

TOWS analysis

Projected financial statement

External analysis

Question # 13 of 20 (Start time: 08:27:23 PM) Total Marks: 1

All of the following are Porter's Generic Strategies EXCEPT:

Select correct option:

Differentiation

Hybrid

Cost leadership

Focus

Question # 14 of 20 (Start time: 08:27:52 PM) Total Marks: 1

Choose the economic variable from the list.

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Select correct option:

Attitudes toward business
Attitudes toward product quality
Population changes by race
Stock market trends

Question # 15 of 20 (Start time: 08:28:17 PM) Total Marks: 1

Which of the following is best identified as a statement that presents “a firm's big picture statement, describing a desired end-state, general in scope, and not restrictive”?

Select correct option:

Corporate philosophy statement
Company creed
Vision statement
Mission statement

Question # 16 of 20 (Start time: 08:28:29 PM) Total Marks: 1

The SMART goal criteria ‘Relevant’ suggests which one of the following?

Select correct option:

Are you able to assess your progress?
Do you know exactly what you want to accomplish?
Is your goal relevant towards your purpose in life?
What is the deadline for completing your goal?

Question # 17 of 20 (Start time: 08:28:39 PM) Total Marks: 1

A chance for advancement, progress or profit prevailing in external environment of a company is known as:

Select correct option:

Strength
Weakness
Opportunity
Threat

Question # 18 of 20 (Start time: 08:28:51 PM) Total Marks: 1

ABC Corporation can have competitive advantage over its competitor by taking all of the following actions EXCEPT:

Select correct option:

By increasing product quality

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By having debt/equity ratio equals to 1

By altering product life cycle

By increasing customer base

Question # 19 of 20 (Start time: 08:29:17 PM) Total Marks: 1

What is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services?

Select correct option:

Management

Planning

Marketing Research

Market segmentation

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PAPER 01

Question No: 1 (Marks: 1) - Please choose one

Long-term objectives include all of the following EXCEPT:

- ▶ Measurable
- ▶ Reasonable
- ▶ **Varying**
- ▶ Consistent

Pg#9

Objectives should be challenging, measurable, consistent, reasonable, and clear. In a multidimensional firm, objectives should be established for the overall company and for each division.

Question No: 2 (Marks: 1) - Please choose one

Which of the following is NOT included in the strategic management model?

- ▶ Measure and evaluate performance
- ▶ Establish long-term objectives
- ▶ Develop mission and vision statements
- ▶ **Perform internal research to identify customers** P#49

Question No: 3 (Marks: 1) - Please choose one

Which component of a mission statement addresses the basic beliefs, values, aspirations, and ethical priorities of the firm?

- ▶ Technology
- ▶ **Philosophy**
- ▶ Customers
- ▶ Self-concept

Pg#17

Philosophy: What are the basic beliefs, values, aspirations, and ethical priorities of the firm?

Question No: 4 (Marks: 1) - Please choose one

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“Identifying and evaluating social, political, economic, technological and competitive trends and events”; which of the followings best describes this statement?

- ▶ developing an effective mission statement
- ▶ conducting an internal audit
- ▶ **performing an external audit**
- ▶ Formulating strategy

Pg#29

To perform an external audit, a company first must gather competitive intelligence and information about social, cultural, demographic, environmental, economic, political, legal, governmental, and technological trends. Individuals can be asked to monitor various sources of information such as key magazines, trade journals, and newspapers

Question No: 5 (Marks: 1) - Please choose one

The purpose of an external audit is to prepare a list of which of the following?

- ▶ Opportunities and weaknesses
- ▶ Threats and strengths
- ▶ **Opportunities and threats**
- ▶ Strengths and weaknesses

Pg#29

The purpose of an external audit is to develop a finite list of opportunities that could benefit a firm and threats that should be avoided.

Question No: 6 (Marks: 1) - Please choose one

Rehman industries, a leading firm of the industry is analyzing the technological forces for the firm which may provide it opportunities and threats for which stage/s of strategic management process?

- ▶ **Strategy formulation**
- ▶ Strategy implementation
- ▶ Strategy evaluation
- ▶ All of the given options

Technological forces represent major opportunities and threats that must be considered in formulating strategies.

Question No: 7 (Marks: 1) - Please choose one

Use of the Internet and Internet technologies can be integrated into the sales of on-line as well as off-line business and marketing portion of the value chain through which of the following?

- ▶ Through software that permits customers to specify build-to-order options
- ▶ Through online product catalogs containing rich product information and specifications
- ▶ Via online price quotes and online announcements of special sales and promotions
- ▶ **All of the given options**

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Question No: 8 (Marks: 1) - Please choose one

Which of the following best describes this statement; “A systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals”?

- ▶ External assessment
- ▶ Industry analysis
- ▶ **Competitive intelligence program**
- ▶ Business ethics

Pg#42

Competitive Intelligence Programs

Systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals.

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is NOT is a basic mission of a competitive intelligence program?

- ▶ To provide a general understanding of an industry
- ▶ To provide a general understanding of a company’s competitors
- ▶ **To identify industry executives who could be hired by the firm**
- ▶ To identify potential moves a competitor might make that would endanger a firm

P#43

Competitive Intelligence Programs and competitive analysis:

Systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals.

Question No: 10 (Marks: 1) - Please choose one

Which of the following statements is correct in relation to the Five Forces framework?

- ▶ **The framework is a means of identifying the forces which affect the level of competition in an industry**
- ▶ The framework identifies the major stakeholders of an organization
- ▶ The framework assists in developing a broad perspective on the environment within which an organization operates
- ▶ It is not appropriate in public sector management and for small organizations

Pg#143

Five forces -- the bargaining power of customers, the bargaining power of suppliers, the threat of new entrants, and the threat of substitute products -- combine with other variables to influence a fifth force, the level of competition in an industry. Each of these forces has several determinants:

Question No: 11 (Marks: 1) - Please choose one

While preparing an External Factor Evaluation Matrix, a total score of 0.8 indicates

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that:

- ▶ Firm is taking advantages of strengths and avoiding threats
- ▶ Firm is taking no advantage of opportunities and is avoiding threats
- ▶ **Firm is not taking advantages of opportunities and is not avoiding threats (right one)**
- ▶ Firm is taking advantage of opportunities and is avoiding the threats

In an EFE Matrix, the highest possible total weighted score for an organization is 4.0 and the lowest possible total weighted score is 1.0. **The average total weighted score is 2.5.** A total weighted score of 4.0 indicates that an organization is responding in an outstanding way to existing opportunities and threats in its industry. In other words, the firm's strategies effectively take advantage of existing opportunities and minimize the potential adverse effect of external threats. **A total score of 1.0 indicates that the firm's strategies are not capitalizing on opportunities or avoiding external threats.**

Question No: 12 (Marks: 1) - Please choose one

Internal analysis involves gathering and analyzing information about all areas of a firm EXCEPT:

- ▶ Research and development
- ▶ Management information system
- ▶ Marketing
- ▶ **Competitors**

Pg#49

Internal Audit is Parallels process of external audit. It gathers & assimilates information from:

- o Management
- o Marketing
- o Finance/accounting
- o Production/operations
- o Research & development
- o Management information systems

Question No: 13 (Marks: 1) - Please choose one

All of the following are included in the five functions of the management process EXCEPT:

- ▶ Planning
- ▶ Organizing
- ▶ Leading
- ▶ **Delegating**

Management process functions:

- Planning
- Organizing
- Leading
- Controlling

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Question No: 14 (Marks: 1) - Please choose one

One of the top level manager of a large manufacturing plant uses to spend her day trying to ensure that the material wastage is not more than 10%. She spends her day in performing which of the following management functions?

- ▶ Planning
- ▶ Organizing
- ▶ Leading
- ▶ **Controlling**

Question No: 15 (Marks: 1) - Please choose one

Waseem & Sons primarily want to gain control over the prices charged to consumers. What strategy will most likely be followed by Waseem & Sons?

- ▶ Market penetration
- ▶ Product development
- ▶ **Forward integration**
- ▶ Concentric Diversification

PG.62

Sometimes an organization will pursue a forward integration strategy primarily to gain better control over prices charged to consumers.

Question No: 16 (Marks: 1) - Please choose one

The IFE matrix summarizes and evaluates which factors in the functional areas of a business?

- ▶ Opportunities and threats
- ▶ **Strengths and weaknesses**
- ▶ Strengths and threats
- ▶ Opportunities and weaknesses

PG#47

A summary step in conducting an internal strategic-management audit is to construct an *Internal Factor Evaluation (IFE) Matrix*. This strategy-formulation tool summarizes and evaluates the major strengths and weaknesses in the functional areas of a business, and it also provides a basis for identifying and evaluating relationships among those areas.

Question No: 17 (Marks: 1) - Please choose one

What is meant by Focused Differentiation?

- ▶ Concentrating on a particular feature of a product or service to achieve differentiation
- ▶ concentrating on differentiation as the primary means of achieving competitive advantage
- ▶ **Providing a high perceived value product to a selected market segment which justifies a substantial price premium**
- ▶ Simultaneously seeking to achieve differentiation and a price lower than that of competitors

Focus means producing products and services that fulfill the needs of small groups of consumers.

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Question No: 18 (Marks: 1) - Please choose one

Khawar Garments, a domestic firm begins to export to India, it is an example of which of the following?

- ▶ Horizontal integration
- ▶ **Market development**
- ▶ Forward integration
- ▶ Concentric diversification

PG#90

Market Development

Introducing present products or services into new geographic area

Question No: 19 (Marks: 1) - Please choose one

Under which of the following conditions, Concentric Diversification would be particularly an effective strategy to pursue?

- ▶ When an organization has grown so large so quickly that major internal reorganization is needed

▶ **When sales of current products would increase intensively by adding the new related products**

- ▶ When revenues from current products/services would increase significantly by adding the new unrelated products

- ▶ When current products are in maturity stage of the product life cycle

PG#91

Guidelines for Concentric Diversification

Five guidelines when concentric diversification may be an effective strategy are

- Competes in no- or slow-growth industry
- **Adding new & related products increases sales of current products**
- New & related products offered at competitive prices
- Current products are in decline stage of the product life cycle
- Strong management team

Question No: 20 (Marks: 1) - Please choose one

The company acquires or develops new products that could appeal to its current customer groups even though those new products may be technologically unrelated to the existing product lines. Which of the following best describes the statement?

- ▶ Retrenchment
- ▶ **Horizontal diversification**
- ▶ Market development
- ▶ Horizontal integration

PG#92

Adding new, unrelated products or services for present customers is called *horizontal diversification*.

Question No: 21 (Marks: 1) - Please choose one

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Abdullah Group of Industries is involved in the sale of its marginal business. It is most likely to say that Abdullah Group is implementing _____ strategy.

- ▶ Join venture
- ▶ Acquisition
- ▶ Liquidation
- ▶ **Retrenchment**

PG#93

Retrenchment occurs when an organization regroups through cost and asset reduction to reverse declining sales and profits. Sometimes called a turnaround or reorganization strategy, retrenchment is designed to fortify an organization's basic distinctive competence. During retrenchment, strategists work with limited resources and face pressure from shareholders, employees, and the media. Retrenchment can entail selling off land and buildings to raise needed cash, pruning product lines, closing marginal businesses, closing obsolete factories, automating processes, reducing the number of employees, and instituting expense control systems.

Question No: 22 (Marks: 1) - Please choose one

Mergers and acquisitions are created for all of the following reasons **EXCEPT**:

- ▶ For gaining new technology
- ▶ For reduction of tax obligations
- ▶ For gaining economies of scale
- ▶ **For increase in number of employees**

Question No: 23 (Marks: 1) - Please choose one

In which of the given phases of strategic management, strategies are put into action?

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ All of the given options

PG#4

Strategy implementation is often called the action stage of strategic management. Implementing means mobilizing employees and managers in order to put formulated strategies into action.

Question No: 24 (Marks: 1) - Please choose one

_____ is the principle of conduct that guides decision-making.

- ▶ Human rights
- ▶ **Business ethics**
- ▶ The constitution
- ▶ Social responsibility

PG#14

Business Ethics and Strategic Management

Definition:

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Business ethics can be defined as principles of conduct within organizations that guide decision making and behavior.

Question No: 25 (Marks: 1) - Please choose one

Which of the following should be created first and foremost by a strategist?

- ▶ Strategy
- ▶ Objectives
- ▶ **Vision**
- ▶ Mission

Question No: 26 (Marks: 1) - Please choose one

Which of the following is FALSE about vision and mission statements?

▶ **Vision statement gives the overall purpose of an organization while a mission statement describes a picture of the preferred future**

- ▶ A vision statement describes how the future will look if the organization achieves its mission and a mission statement explains what the organization does
- ▶ Mission statement answers the questions what is our business and the vision statement answers the question what do we want to become
- ▶ Mission statement explains the current position and activities of a firm whereas vision statement explains the future objective

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a key question that can reveal internal strengths and weaknesses of the marketing department?

- ▶ Does the firm have effective sales?
- ▶ Are markets segmented effectively?
- ▶ Are the firm's products and services priced appropriately?
- ▶ **Does the firm have good liquidity?**

PG#63

Marketing Audit Checklist of Questions

Similarly as provided earlier for management, the following questions about marketing are pertinent:

- 1. Are markets segmented effectively?**
2. Is the organization positioned well among competitors?
3. Has the firm's market share been increasing?
4. Are present channels of distribution reliable and cost-effective?
- 5. Does the firm have an effective sales organization?**
6. Does the firm conduct market research?
7. Are product quality and customer service good?
- 8. Are the firm's products and services priced appropriately?**
9. Does the firm have an effective promotion, advertising, and publicity strategy?
10. Are marketing planning and budgeting effective?
11. Do the firm's marketing managers have adequate experience and training?

Question No: 28 (Marks: 1) - Please choose one

"A desired future state that the organization attempts to realize". Identify the term relevant to the given statement.

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► **Goal**

- Strategy
- Policy
- Procedure

A goal is a **desired future state that the organization attempts to realize.**

PAPER 02

Question No: 1 (Marks: 1) - Please choose one

Which of the following is an example of a narrow mission?

► **We sell packaged pineapples**

- The firm deals in beverages
- Stationery is our product
- Company manufactures food items

Question No: 2 (Marks: 1) - Please choose one

All of the following are the examples of a broad mission **EXCEPT**:

- The firm deals in beverages

► **We sell quality skimmed milk**

- Stationery is our product
- Company manufactures food items

Question No: 3 (Marks: 1) - Please choose one

The organizations that conduct business operations across national borders are known as:

► **Multinational corporations**

- Domestic firms
- Strategic alliances
- Franchises

Question No: 4 (Marks: 1) - Please choose one

A mission statement should “reconcile interests among diverse stakeholders”. What does it mean?

- All shareholders must be satisfied
- Shareholders should be given preference over customers
- **Firm will devote attention to meeting claims of various stakeholders**
- Firm will devote its attention towards the maximization of shareholders value

PG.23

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Second, a mission statement needs to be broad to effectively reconcile differences among and appeal to an organization's diverse *stakeholders*, the individuals and groups of persons who have a special stake or claim on the company. Stakeholders include employees; managers; stockholders; boards of directors; customers; suppliers; distributors; creditors; governments (local, state, federal, and foreign); unions; competitors; environmental groups; and the general public.

Question No: 5 (Marks: 1) - Please choose one

Where an organization takes into account the effect of its strategic decisions on the society, the firm is taking care of:

- ▶ Corporate governance
- ▶ Business policy
- ▶ Business ethics

▶ **Social policy**

Social issues mandate that strategists consider not only what the organization owes its various stakeholders but also what responsibilities the firm has to consumers, environmentalists, minorities, communities, and other groups. After decades of debate on the topic of social responsibility, many firms still struggle to determine appropriate social policies

Question No: 6 (Marks: 1) - Please choose one

External assessment is performed in which of the following strategic-management phase?

- ▶ **Strategy formulation stage**
 - ▶ Strategy implementation stage
 - ▶ Strategy evaluation stage
 - ▶ All of the given options
- (pg29 handouts)

Question No: 7 (Marks: 1) - Please choose one

Suppose, the value of the currency of a certain country falls, what can be the effect on companies in Different Industries and in Different Locations in that country respectively?

- ▶ Significant and equal
- ▶ Marginal and equal
- ▶ **Significant and unequal**
- ▶ Insignificant and unequal

The value of the currency is fall for a certain country. It has over all a significant effect. But it is not necessary that this effect will be treated equally at the different industries and location of that country.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is one of the Political, Governmental & Legal factors?

- ▶ Ethical concerns

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▶ Traffic congestion

▶ **Lobbying activities**

▶ Average level of education

Political, Governmental, and Legal Forces

Government Regulation

Key opportunities & key threats

• Antitrust legislation (Microsoft)

• Tax rates

• **Lobbying efforts**

• Patent laws

Question No: 9 (Marks: 1) - Please choose one

Use of the Internet and Internet technologies can be integrated into the sales of on-line as well as off-line business and marketing portion of the value chain through which of the following?

▶ Through software that permits customers to specify build-to-order options

▶ Through online product catalogs containing rich product information and specifications

▶ Via online price quotes and online announcements of special sales and promotions

▶ **All of the given options**

Question No: 10 (Marks: 1) - Please choose one

Which of the following statement is TRUE about Internal audit?

▶ **It is done parallel to external audit**

▶ It is done before external audit

▶ It is done after external audit

▶ None of the given options

The process of performing an *internal audit* closely parallels the process of performing an external audit.

Question No: 11 (Marks: 1) - Please choose one

All of the following are included in the five functions of the management process except:

▶ Planning

▶ Organizing

▶ Leading

▶ **Delegating**

Question No: 12 (Marks: 1) - Please choose one

Which of the following statement is correct about distinctive competence?

▶ Is usually tied closely to the ability of a company's manufacturing capability and/or its proprietary technology and know-how

▶ Nearly always resides in the ability of the company's assets on its balance sheet rather

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than in its people

► Is better suited in helping companies defend against external threats than in pursuing external market opportunities

► **Is a unique thing that a firm does really well and that quality or attribute sets it aside from its competitors**

Distinctive Competencies:

□ **A firm's strengths that cannot be easily matched or imitated by competitors**

□ Building competitive advantage involves taking advantage of distinctive competencies

□ Strategies designed in part to improve on a firm's weaknesses and turn to strengths

Question No: 13 (Marks: 1) - Please choose one

Which of the following ratios is least likely to be helpful in evaluating a firm's decision regarding dividend?

► Earnings-per-share ratio

► **Long-Term Debt-to-Equity Ratio**

► Dividends-per-share ratio

► Price-earnings ratio

Three financial ratios that are helpful in evaluating a firm's dividend decisions are the earnings-per share ratio, the dividends-per-share ratio, and the price-earnings ratio.

Question No: 14 (Marks: 1) - Please choose one

Amir, a sole proprietor, uses the information system to ask the question; "What if the prices will decrease by 16% in the next year?" Which of the following functions the information system is performing for Amir?

► Functional support role

► **Decisional support role**

► Managerial support role

► Analytical supporting role

The decision support role

The business decision-making support function goes one step further. It becomes an integral part -- even a vital part -- of decision -making. It allows users to ask very powerful "What if...?" questions:

Question No: 15 (Marks: 1) - Please choose one

Assigning a rate=2 in IFE matrix indicates what?

► A major weakness

► **A minor weakness**

► A minor strength

► A major strength

A major weakness (rating = 1), a minor weakness (rating = 2), a minor strength (rating = 3), or a major strength (rating = 4).

Question No: 16 (Marks: 1) - Please choose one

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Which of the following is sometimes referred as “the mystery approach to decision making, when subordinates are left to figure out what is happening and why”?

- ▶ Managing by hope
- ▶ Managing by extrapolation
- ▶ Managing by crisis

▶ **Managing by subjectives**

Managing by Subjective—built on the idea that there is no general plan for which way to go and what to do; just do the best you can to accomplish what you think should be done. In short, "Do your own thing, the best way you know how" (sometimes referred to as the mystery approach to decision making because **subordinates are left to figure out what is happening and why**).

Question No: 17 (Marks: 1) - Please choose one

The Web sites that sell products directly to the consumers are the examples of which type of strategy?

- ▶ Backward integration
- ▶ Product development
- ▶ **Forward integration**
- ▶ Horizontal integration

Question No: 18 (Marks: 1) - Please choose one

Khawar Garments, a domestic firm begins to export to India, it is an example of which of the following?

- ▶ Horizontal integration
- ▶ **Market development**
- ▶ Forward integration
- ▶ Concentric diversification

Market Development: Introducing present products or services into new geographic area

Question No: 19 (Marks: 1) - Please choose one

Which of the following is **NOT** a situation when an organization should use an unrelated diversification strategy?

- ▶ When an organization’s present channels of distribution can be used to market the new products to current customers

▶ **Revenues from current products/services would increase significantly by adding the new related products**

- ▶ When an organization competes in a highly competitive and/or a no-growth industry
- ▶ When the new products have counter-cyclical sales patterns compared to an organization’s present products

Guidelines for Horizontal Diversification

Four guidelines when horizontal diversification may be an especially effective strategy are:

- ☐ Revenues from current products/services would increase significantly by adding the new unrelated products
- ☐ **Highly competitive and/or no-growth industry w/low margins and returns**

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- ❑ Present distribution channels can be used to market new products to current customers
- ❑ New products have counter cyclical sales patterns compared to existing products

Question No: 20 (Marks: 1) - Please choose one

Which strategy would be effective when the stockholders of a firm can minimize their losses by selling the organization's assets?

► **Liquidation**

- Integration
- Differentiation
- Diversification

Question No: 21 (Marks: 1) - Please choose one

When both divestiture and retrenchment have been pursued unsuccessfully, which of the following strategies is effective to pursue?

► Forward integration

► **Liquidation**

- Merger
- Takeover

Guidelines for Liquidation

Three guidelines when liquidation may be an especially effective strategy to pursue are:

When both retrenchment and divestiture have been pursued unsuccessfully

If the only alternative is bankruptcy, liquidation is an orderly alternative

When stockholders can minimize their losses by selling the firm's assets

Question No: 22 (Marks: 1) - Please choose one

Which of the following enables the firm to create superior value for its customers and superior profits for itself in comparison to its rival firms?

► **Competitive advantage**

- Comparative advantage
- Differential advantage
- Suitable advantage

A firm's strengths that cannot be easily matched or imitated by competitors are called *distinctive competencies*. Building competitive advantages involves taking advantage of distinctive competencies.

Competitive advantage enables the firm to create superior value for its customers and superior profits for itself

<http://www.quickmba.com/strategy/competitive-advantage/>

Question No: 23 (Marks: 1) - Please choose one

During which of the following periods, Strategic Management was considered to be cure for all problems?

► **Mid 1960s to mid 1970s**

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- ▶ Mid 1970s to mid 1980s
- ▶ Mid 1980s to mid 1990s
- ▶ Mid 1950s to mid 1960s

In 1960; s and 70 it was consider to be panacea for problems. But in 1980; s two important revolutions

Question No: 24 (Marks: 1) - Please choose one

In which of the given phases of strategic management, strategies are put into action?

- ▶ Strategy formulation
- ▶ **Strategy implementation**
- ▶ Strategy evaluation
- ▶ All of the given options

Strategy implementation is often called the action stage of strategic management. Implementing means mobilizing employees and managers in order to put formulated strategies into action.

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a key merit of strategic management?

- ▶ **Strategic management enables an organization to be proactive**
- ▶ Strategic management enables an organization to avoid the threats
- ▶ Strategic management enables an organization to defeat their competitors
- ▶ Strategic management enables an organization to foresee into the future

Following are the major benefits of Strategic management:

Proactive in shaping firm's future

Initiate and influence actions

Formulate better strategies (Systematic, logical, rational approach)

Question No: 26 (Marks: 1) - Please choose one

"If a strategist has identified that the market growth rate is 8 %, the number of sellers in industry are 52 and the industry's products are differentiated." Which of the following industry's success factor is he exploring?

- ▶ Social forces
- ▶ **Competitive forces**
- ▶ Political forces
- ▶ Economic forces

Question No: 27 (Marks: 1) - Please choose one

Which of the following is the decision support role of Management Information System?

- ▶ Processing marketing records into marketing plans
- ▶ **Allowing users to ask "What if" questions**
- ▶ Recording and storing such as human resource records
- ▶ Processing operations records into production schedules

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Question No: 28 (Marks: 1) - Please choose one

A series of ratios that measure the extent to which a firm has been financed by debt is known as:

- ▶ Activity ratios
- ▶ **Leverage ratios**
- ▶ Profitability ratios
- ▶ Liquidity ratios

Leverage ratios measure the extent to which a firm has been financed by debt.

Question No: 29 (Marks: 3)

Planning function is mostly carried out by managers in strategy formulation stage.

What activities are performed under this function?

Answer:

Following functions are performed under strategy formulation stage:

- 1-Vision and Mission Statement (target of the organization)
- 2-Strengths and Weaknesses.(Internal factors.)
- 3-Opportunities and Threats.(External factors)

Strategy formulation is concerned with setting long term goals and objectives , generating strategies to achieve those goals.

Question No: 30 (Marks: 3)

What should be the characteristics of a firm that is successfully pursuing a Cost Leadership Strategy? Enlist any six of them.

Answer:

Six characteristics of successfully pursuing cost leadership strategy firm:

- 1-Limited perks.
- 2-High efficiency.
- 3- Low overhead.
- 4-Wide spans of control.
- 5-Intensive screening of budget.
- 6-Employees participation in cost control efforts.

Question No: 31 (Marks: 5)

List down and explain five steps that comprise an effective framework for conducting an IFE Matrix.

Steps involved in the development of IFE Matrix:

1-List any internal factors identified in the internal audit . Only ten to twenty factors will be enough including strengths and weakness.Use percentage , ratios and comparative numbers.

2-Assign weights to each factor ranging from 0 to 1.The rates assigned indicate the relative importance of each factor to being successful.Sum of all weights must be equal to 1.

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3-Assign 1-4 rating to each factor to see whether the factor represents major weakness(rate=1) or minor weakness (rate=2) , minor strength (rate =3) or major strength (rate=4).

4- Multiply each factor`s weights to its ratings to determine its weighted score.

5-Sum the weighted score of each variable

Question No: 32 (Marks: 5)

Give at least two examples of multinational or local firms that are operating in Pakistan and have initiated backward integration. Justify your answer?

PAPER 03

Question No: 1 (Marks: 1) - Please choose one
Internal and external environment generally set the _____

? Strategies

? Goals

? Both of the options given

? None of the options given

Pg#1

4. Internal and external environment:

Internal and external environment generally set the goals. Simply external environment forced internal environment to set the goals and guide them that how to achieve the goals?

Question No: 2 (Marks: 1) - Please choose one

_____ are individuals who are most responsible for the success or failure of an organization.

? Managers

? Internal auditors

? Strategists

? None of the mentioned options

pg#6

Strategists

Strategists are individuals who are most responsible for the success or failure of an organization.

Question No: 3 (Marks: 1) - Please choose one

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_____ includes all those factors which affect the organization and itself affected by the organization.

? Social environment

? Task environment

? PEST analysis

? None of the mentioned options

pg#8

Task Environment:

Task environment includes all those factors which affect the organization and itself affected by the organization.

Question No: 4 (Marks: 1) - Please choose one

Objectives should not be _____

? Measurable

? Realistic

? Qualitative

? Understandable

pg78

The Nature of Long-Term Objectives

Objectives should be quantitative, measurable, realistic, understandable, challenging, hierarchical, obtainable, and congruent among organizational units.

Question No: 5 (Marks: 1) - Please choose one

A clear _____ is needed before alternative strategies can be formulated and implemented.

? Mission statement

? Vision statement

? Strategy

? None of the mentioned options

As indicated in the strategic-management model, a clear mission statement is needed before alternative strategies can be formulated and implemented.

Question No: 6 (Marks: 1) - Please choose one

The process of performing an external audit must involve _____

? As many managers and employees as possible

? As less as possible managers and employees

? Just manger not employees

? None of the mentioned options

The Process of Performing an External Audit

The process of performing an external audit must involve as many managers and employees as possible.

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Question No: 7 (Marks: 1) - Please choose one

Compared to _____, the process of performing an _____ provides more opportunity for participants to understand how their jobs, departments, and divisions fit into the whole organization.

? **External audit, internal audit**

? Internal audit, External audit

? Organizational analysis, industrial analysis

? None of the mentioned options

Compared to the external audit, the process of performing an internal audit provides more opportunity for participants to understand how their jobs, departments, and divisions fit into the whole organization.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is true about organizing?

• **Determining who does what and who reports to whom**

• An essential bridge between the present and the future that increases the likelihood of achieving desired results

• A process of influencing people to accomplish specific objectives

• None of the mentioned options

The purpose of *organizing* is to achieve coordinated effort by defining task and authority relationships. Organizing means determining who does what and who reports to whom.

Question No: 9 (Marks: 1) - Please choose one

The investment decision is also called _____

? **Capital budgeting**

? Financing decision

? Dividend decisions

? None of the mentioned options

Finance/Accounting Functions

Determining financial strengths and weaknesses key to strategy formulation

Investment decision (Capital budgeting)

Financing decision

Dividend decision

Question No: 10 (Marks: 1) - Please choose one

What refers to a strategy of seeking ownership of or increased control over a firm's competitors?

? Forward integration

? Conglomerate diversification

? Backward integration

? **Horizontal integration**

Horizontal integration refers to a strategy of seeking ownership of or increased control

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over a firm's competitors.

Question No: 11 (Marks: 1) - Please choose one

All organizations develop a systematic structure that defines and limits the behavior of their members.

? True

? False

What Three Common Characteristics Do All Organizations Have Share?

First: Every organization has a purpose and is made up of people who are grouped in some fashion.

Second: no purpose or goal can be achieved without a decision maker.

Third: all organizations develop a systematic structure that defines and limits the behavior of its members.

Question No: 12 (Marks: 1) - Please choose one

In evaluation phase of strategic management annual objectives are especially important.

? True

? False

Annual objectives are especially important in strategy implementation not for Evolution.

Question No: 13 (Marks: 1) - Please choose one

The decision-making model consists of four styles: directive, analytic, behavioral, and group interaction.

? True

? False

The decision-making model consists of four styles: directive, analytic, behavioral, and conceptual

Question No: 14 (Marks: 1) - Please choose one

Staffing is the basic duty of a manager.

? True

? False

Staffing

Personnel management

Human resources management

The management function of *staffing*, also called *personnel management* or *human resource management*, includes activities such as recruiting, interviewing, testing, selecting, orienting, training, developing, caring for, evaluating, rewarding, disciplining, promoting, transferring, demoting, and dismissing employees, and managing union relations.

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Question No: 15 (Marks: 1) - Please choose one

An organization should use backward integration strategy only if it competes in a no-growth or a slow-growth industry.

? True

? False

Six guidelines when backward integration may be an especially effective strategy are:

- ☐ When present suppliers are expensive, unreliable, or incapable of meeting needs
- ☐ Number of suppliers is small and number of competitors large
- ☐ High growth in industry sector
- ☐ Firm has both capital and human resources to manage new business
- ☐ Advantages of stable prices are important
- ☐ Present supplies have high profit margins

Question No: 16 (Marks: 5)

Given below is the mission statement of a company. You are required to evaluate the statement based on the following criteria specified. Justify your answer.

Criteria

- Self concept
- Products and services
- Market
- Concern for public image

Mission Statement

"GEO informs and entertains while celebrating cultures and prompting dialogue in the spirit of "live and let live".

Question No: 17 (Marks: 5)

Suppose according to the IFE matrix, the weighted score of a certain company is 2.20. How that company will interpret this score in terms of its internal factors.

Question No: 18 (Marks: 5)

State the name of Michael porter's generic strategies and define any two of them.

Question No: 19 (Marks: 10)

Define the following terms

- Horizontal integration
- Product development
- Concentric diversification
- Retrenchment
- Joint venture

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PAPER 04

Question No: 1 (Marks: 1) - Please choose one

Various job titles of a strategist may include all of the following EXCEPT:

1. Owner
2. **Foreman**
3. Chancellor
4. Chief executive officer

Strategists have various job titles, such as chief executive officer, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur.

Question No: 2 (Marks: 1) - Please choose one

According to 'Peter Drucker', what is the prime task of strategic management?

1. To develop the vision of the business
2. Effectively evaluate the strategies
3. **To think through the overall mission of a business**
4. Develop alternative set of strategies

Prime task:

Peter Drucker says:

"The prime task is to think through the overall mission of a business".

Question No: 3 (Marks: 1) - Please choose one

Strategist is an individual who is involved in the strategic management process, thus may

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be known as:

1. Member board of director
2. President
3. Division manager
4. **All of the given options**

Strategists have various job titles, such as chief executive officer, **president**, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur.

Question No: 4 (Marks: 1) - Please choose one

External opportunities and threats that can significantly benefit or harm an organization may include all of the following EXCEPT:

1. Demographics
2. Competitive trends
3. Technological changes
4. **Research and development P7**

As 4th is an internal factor.

Question No: 5 (Marks: 1) - Please choose one

The S & T Organization has an established "game plan" for its business operations. This game plan reflects the company's awareness of how and where it should compete and against whom the competition should take place. It can be stated that this organization has an established

1. Goal
2. Formality
3. Policy
4. **Strategy**

(Q#3)

http://highered.mcgraw-hill.com/sites/0078137160/student_view0/chapter1/multiple_choice_quiz.html

Question No: 6 (Marks: 1) - Please choose one

Identify the term that is known as a "mean of providing guidance to actions and procedures, including how resources are to be allocated and how tasks assigned to the organization might be accomplished".

1. **Policies**
2. Objectives
3. Aspirations
4. Goals

Policies are the means by which annual objectives will be achieved. Policies include guidelines, rules, and procedures established to support efforts to achieve stated objectives.

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Question No: 7 (Marks: 1) - Please choose one

All of the following statements are true about a firm's mission statement EXCEPT:

- A mission statement directly contributes positively to financial performance
- **A mission statement does not directly contribute positively to financial performance**
- A mission statement should not provide useful criteria for selecting among alternative strategies
- Primary reason to develop a mission statement is not to attract the customers

Question No: 8 (Marks: 1) - Please choose one

All of the following external forces directly affect an organization EXCEPT:

1. Market segmentation strategies
2. Types of products/services offered
3. **Management structure of an organization**
4. Choice of businesses to acquire or sell

External forces affect the types of products developed, the nature of positioning and **market segmentation strategies, the types of services offered, and the choice of businesses to acquire or sell.**

Question No: 9 (Marks: 1) - Please choose one

"If a strategist has identified that the market growth rate is 8 %, the number of sellers in industry are 52 and the industry's products are differentiated." Which of the following industry's success factor he is exploring?

1. Social forces
2. **Competitive forces**
3. Social forces
4. Economic forces

Question No: 10 (Marks: 1) - Please choose one

Suppose, the value of the currency of a certain country falls, what can be the effect on companies in Different Industries and in Different Locations in that country respectively?

(ANS required)

1. Significant and equal
2. Marginal and equal
3. **Significant and unequal**
4. Insignificant and unequal

Question No: 11 (Marks: 1) - Please choose one

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Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

1. Propensity of people to spend
2. **Buying habits P34**
3. Level of disposable income
4. Income differences by region

Key Social, Cultural, Demographic, and Environmental Variables

- Attitudes toward government
- Attitudes toward work
- **Buying habits**
- Ethical concerns
- Attitudes toward saving

Question No: 12 (Marks: 1) - Please choose one

Local, state, and national elections, world oil, currency, and labor markets, number of patents, special tariffs are the examples of which one of the following?

1. Economic forces
2. **Political, governmental, and legal forces P37**
3. Social, cultural and, demographic forces
4. Competitive forces

Question No: 13 (Marks: 1) - Please choose one

Which of the following best describes this statement; “A systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals”?

1. External assessment
2. Industry analysis
3. **Competitive intelligence program P43**
4. Business ethics

Competitive Intelligence Programs

Systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals.

Question No: 14 (Marks: 1) - Please choose one

Which of the following can be considered as barriers to entering a market or industry?

1. The lack of economies of scale and experience and low levels of brand loyalty
2. The presence of large number of rivals already in the industry
3. **Relatively large capital requirements and industry have economies of scale**
4. The absence of tariffs, trade restrictions, and/or government-mandated regulations

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Question No: 15 (Marks: 1) - Please choose one

Supplier bargaining power is not likely to pose strong competitive pressure when which of the following situation is prevailing?

- Buying firms are looking for suppliers with superior just-in-time supply capabilities and low prices
- The suppliers furnish a critical part or component that is in relatively short supply
- **Buying firms collaborate closely with their key suppliers to achieve mutual benefits**
- The products of alternative suppliers are highly differentiated, making the cost of switching relatively high

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a collection of firms that offers similar products or services? such as IBM, Apple, and Dell?

Concentration

Industry

Corporation

Alliances

An industry describes a much more specific grouping of companies with highly similar business activities.

Question No: 17 (Marks: 1) - Please choose one

While preparing an External Factor Evaluation Matrix, a total score of 0.8 indicates that:

Firm is taking advantages of strengths and avoiding threats

Firm is taking no advantage of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question No: 18 (Marks: 1) - Please choose one

Assigning rating '2' to an internal factor in IFE matrix indicates what?

Major weakness

Minor weakness

Minor strength

Major strength

Question No: 19 (Marks: 1) - Please choose one

Which of the following are signs of weakness in a company's competitive position?

(ANS Required)

A return-on-equity is below 25% and earnings per share is less than Rs. 2.00

A price set by the firm higher than the market leader

A declining market share, poor product quality and few sales in market

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Lower revenues and profit margin and narrow product line than the market leader

3. Which of the following are signs of strength in a company's competitive position?

- ☒ a. A strongly differentiated product, a strong or rising market share, and important resources, competencies, or capabilities
- ☐ b. R&D expenditures greater than \$10 million annually and advertising expenditures above \$25 million annually
- ☐ c. A website with extensive information about the company and its product line
- ☐ d. A debt-to-asset ratio below 0.50 and a positive net cash flow.

4. Which of the following are signs of weakness in a company's competitive position?

- ☐ a. A higher price than rivals
- ☐ b. An after-tax return-on-equity below 15% and earnings per share of less than \$1.00
- ☒ c. Being in an unfavorably situated strategic group, an eroding market share, sub-par product quality, few sales in market segments where growth is fastest or potential is greatest, and higher costs relative to competitors
- ☐ d. Lower revenues than the market share leader

Question No: 20 (Marks: 1) - Please choose one

What is the essential bridge between the present and the future that increases the likelihood of achieving desired results?

Motivating

Planning

Controlling

Organizing

Planning is the:

- ☐ Start of the process
- ☐ Bridge between present and future
- ☐ Increases likelihood of achieving desired results

Question No: 21 (Marks: 1) - Please choose one

Sana has spent a day in a session where the future of her company was discussed. The people involved were trying to determine what the role of their company was as the 21st century approaches. Goals were then developed based upon their vision of the company's mission. Sana spent her day on which of the following process?

Planning

Organizing

Leading

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Controlling

Question No: 22 (Marks: 1) - Please choose one

How Synergy can numerically be expressed?

2+2=3 (NAGATIVE)

2+2=0

2+2=4

2+2=5 POSITIVE SYNERGY

Question No: 23 (Marks: 1) - Please choose one

Which of the following can reveal the demographic characteristics of an organization's Customers?

Test marketing

Customer profiling

Market development

Vision statement

Ref:

The information generated by customer analysis can be essential in developing an effective mission statement. **Customer Profiles can reveal the demographic characteristics of an organization's customers.**

Question No: 24 (Marks: 1) - Please choose one

Test marketing is commonly applied by which of the following companies?

Industrial goods companies

Consumer goods companies

Public sector companies

Private sector companies

Test marketing is used more frequently by consumer goods companies than by industrial goods companies.

Question No: 25 (Marks: 1) - Please choose one

All of the following are the consideration for a company when conducting test marketing EXCEPT:

What advertising channel should be used for test?

How many cities to include for test?

What information to collect during the test?

What action to take after the test has been completed?

In conducting a test market project, an organization must decide **how many cities to include, which cities to include, how long to run the test, what information to collect during the test, and what action to take after the test has been completed.**

Question No: 26 (Marks: 1) - Please choose one

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Which of the following ratios is least likely to be helpful in evaluating a firm's decision?
Regarding dividend?

Earnings-per-share ratio

Long-Term Debt-to-Equity Ratio

Dividends-per-share ratio

Price-earnings ratio

Three financial ratios that are helpful in evaluating a firm's dividend decisions are the earnings-per share Ratio, the dividends-per-share ratio, and the price-earnings ratio.

Question No: 27 (Marks: 1) - Please choose one

Debt-to-equity ratio is one of the types of which ratios?

Profitability

Leverage

Liquidity

Activity

Leverage ratios measure the extent to which a firm has been financed by debt.

☐ Debt-to-total-assets ratio

☒ **Debt-to-equity ratio**

☐ Long-term debt-to-equity ratio

☐ Times-interest-earned (or coverage) ratio

Question No: 28 (Marks: 1) - Please choose one

In strategy formulation phase, what can be the problem when only financial ratios are used to measure organizational performance?

(Ans required)

They need to be compared with competitors' (100%)

They are only understandable by accountants

There are many different measures available

The measures are usually inconsistent

Question No: 29 (Marks: 1) - Please choose one

All of the following are functional support roles of Management Information System

EXCEPT:

Recording and storing accounting records

Recording and storing inventory data

Recording and storing business intelligence data

The enhanced ability to explore "what if"

Question No: 30 (Marks: 1) - Please choose one

----- become/s information only when it/they is/are evaluated, filtered, condensed, analyzed and organized for a specific purpose, problem, individual, or time.

Material

Data

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Competitive advantages

Competitor analysis

Data becomes information only when it is evaluated, filtered, condensed, analyzed, and organized for a specific purpose, problem, individual, or time

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a drawback or limitation of Horizontal Integration?

Synergies may be more imaginary than real

It can increase suppliers' and buyers' bargaining power

Economies of scale are likely to be decreased

Both the first & third options are correct

Disadvantage of Horizontal integration:

- **Synergies maybe more imaginary than real**
- Substitutes market is often very different. Challenge occurs to management during acquisition.
- Reduction in competition may lead to anti-trust issues.

<http://ccit300.wikispaces.com/Horizontal+Integration>

Question No: 32 (Marks: 1) - Please choose one

The business strategy decided upon by ABC Corporation is one that engages it in production of goods that are low in cost as compared to its competitors. ABC Company is perusing which one of the following strategy?

Differentiation strategy

Focus strategy

Niche strategy

Cost leadership strategy

Cost leadership emphasizes producing standardized products at very low per-unit cost for consumers who are price-sensitive

Question No: 33 (Marks: 1) - Please choose one

Where usage rate of present customers of the company can be increased significantly and the current markets are not saturated, which strategy would be effective for the company to follow?

Market Penetration

Product Development

Market Development

Retrenchment

Four guidelines when market penetration may be an especially effective strategy are:

Current markets not saturated

Usage rate of present customers can be increased significantly

Market shares of competitors declining while total industry sales increasing

Increased economies of scale provide major competitive advantages

Question No: 34 (Marks: 1) - Please choose one

Which of the followings involves the substantial modification of existing products or the creation of new but related products that can be marketed to current customers through

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established channels?

Innovation

Differentiation

Product development

Market development

Question No: 35 (Marks: 1) - Please choose one

Rose Company markets new products or services that have no technological or commercial synergies with current products, but which may appeal to new groups of customers. Which strategy is being adopted by Rose Company?

Horizontal diversification

Horizontal integration

Conglomerate diversification

Backward integration

Conglomerate diversification means Adding new, unrelated products or services for new customer.

Question No: 36 (Marks: 1) - Please choose one

XYZ Corporation has decided to cut back on its product lines and to reduce the size of its operations because it can support no longer commitments needed to sustain it.

XYZ is going to pursue which of the following strategy?

Divestiture

Conglomerate diversification

Retrenchment

Liquidation

http://highered.mcgrawhill.com/sites/0073054224/student_view0/chapter8/multiple_choice_quiz.html

Question No: 37 (Marks: 1) - Please choose one

Ahmad Textiles and Superior Textiles have come with each other in cross-manufacturing agreement, the firms are going for which of the following?

Liquidation

Acquisition

Joint venture

Takeover

(page 10) <http://www.docstoc.com/docs/23889878/David-Chapter-5>

Question No: 38 (Marks: 1) - Please choose one

Mergers and acquisitions are created for all of the following reasons EXCEPT:

For gaining new technology

For reduction of tax obligations

For gaining economies of scale

For increase in number of employees

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Some of the potential advantages of mergers and acquisitions include **achieving economies of scale**, combining complementary resources, **garnering tax advantages**, and eliminating inefficiencies.

Question No: 39 (Marks: 1) - Please choose one

Which of the following enables the firm to create superior value for its customers and superior profits for itself in comparison to its rival firms?

Competitive advantage

Comparative advantage

Differential advantage

Suitable advantage

Competitive advantage enables the firm to create superior value for its customers and superior profits for itself

<http://www.quickmba.com/strategy/competitiveadvantage/>

Question No: 40 (Marks: 1) - Please choose one

Non-financial benefits of strategic management include all of the following EXCEPT:

Enhanced awareness of threats

Reduced resistance to change

Increase in sales

Better awareness of external threats

Non-Financial benefits:

☐ Increased employee productivity

☐ Improved understanding of competitors' strategies

☐ **Greater awareness of external threats**

☐ Understanding of performance reward relationships

☐ Better problem-avoidance

☐ **Lesser resistance to change**

Question No: 41 (Marks: 5)

A good mission statement should include "Customer orientation", what does it mean? Explain it with the help of simple examples.

Question No: 42 (Marks: 5)

What are strengths and weaknesses of an organization? Explain with the help of examples.

Explain with the help of

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PAPER 05

Question No: 1 (Marks: 1) - Please choose one

Which of the following can be considered as a factor of internal strengths and weaknesses of an organization?

- ▶ Technological changes
- ▶ **Production/operations**
- ▶ Demographics
- ▶ Competitive trends

Internal strengths and internal weaknesses are an organization's controllable activities that are performed especially well or poorly. They arise in the management, **marketing, finance/accounting, production/operations, research and development, and computer information systems activities of a business.**

Question No: 2 (Marks: 1) - Please choose one

The objectives set by a manager should have which of the following characteristics?

- ▶ Should spell out how fast the company's strategy is to be implemented
- ▶ **Should be challenging and congruent among organizational units**
- ▶ Should include long-range performance targets but not short-range targets
- ▶ Should include financial performance targets but not strategic performance targets

Objectives should be quantitative, measurable, realistic, understandable, challenging, hierarchical, obtainable, and congruent among organizational units.

Question No: 3 (Marks: 1) - Please choose one

All of the following are the examples of a broad mission EXCEPT:

- ▶ The firm deals in beverages
- ▶ **We sell quality skimmed milk**
- ▶ Stationery is our product
- ▶ Company manufactures food items

Question No: 4 (Marks: 1) - Please choose one

Which of the following business actions is NOT considered to be unethical?

- ▶ Poor product or service safety

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- ▶ Using non-union labor in a union shop
- ▶ Misleading advertising
- ▶ **Too expensive products**

Question No: 5 (Marks: 1) - Please choose one

“A Good mission statement identifies the utility of a firm's products to its customers”; which of the following represents this statement?

- ▶ Organization's philosophy
- ▶ **Customer orientation**
- ▶ Social policy
- ▶ Declaration of attitude

A Customer Orientation

A good mission statement describes an organization's purpose, customers, products or services, markets, philosophy, and basic technology. According to Vern McGinnis, a mission statement should

- ☐ Define what the organization is and what the organization aspires to be,
- ☐ Be limited enough to exclude some ventures and broad enough to allow for creative growth,
- ☐ Distinguish a given organization from all others,
- ☐ Serve as a framework for evaluating both current and prospective activities, and
- ☐ Be stated in terms sufficiently clear to be widely understood throughout the organization.

A good mission statement reflects the anticipations of customers. Rather than developing a product and then trying to find a market, the operating philosophy of organizations should be to identify customers' needs and then provide a product or service to fulfill those needs. **Good mission statements identify the utility of a firm's products to its customers.**

Question No: 6 (Marks: 1) - Please choose one

Where an organization takes into account the effect of its strategic decisions on the society, the firm is taking care of:

- ▶ Corporate governance
- ▶ Business policy
- ▶ Business ethics
- ▶ **Social policy**

Question No: 7 (Marks: 1) - Please choose one

External assessment is performed in which of the following strategic-management phase?

- ▶ **Strategy formulation stage**
- ▶ Strategy implementation stage
- ▶ Strategy evaluation stage
- ▶ All of the given options

Question No: 8 (Marks: 1) - Please choose one

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Suppose, the value of the currency of a certain country falls, what can be the effect on companies in Different Industries and in Different Locations in that country respectively?

- ▶ Significant and equal
- ▶ Marginal and equal
- ▶ **Significant and unequal**
- ▶ Insignificant and unequal

Question No: 9 (Marks: 1) - Please choose one

What will happen to the Pakistani exports in overseas markets when there is a strong value of rupee?

- ▶ Pakistani exports will be less expensive
- ▶ **Pakistani exports will be more expensive**
- ▶ Pakistani exports will be more attractive
- ▶ Pakistani exports will be desirable

Question No: 10 (Marks: 1) - Please choose one

Local, state, and national elections, world oil, currency, and labor markets, number of patents, special tariffs are the examples of which one of the following?

- ▶ Economic forces
- ▶ **Political, governmental, and legal forces**
- ▶ Social, cultural and, demographic forces
- ▶ Competitive forces

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is NOT is a basic mission of a competitive intelligence program?

- ▶ To provide a general understanding of an industry
- ▶ To provide a general understanding of a company's competitors
- ▶ **To identify industry executives who could be hired by the firm**
- ▶ To identify potential moves a competitor might make that would endanger a firm

Question No: 12 (Marks: 1) - Please choose one

Which of the following arise when a company can take advantage of conditions in its environment to formulate and implement strategies that enable it to become more profitable?

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- ▶ Strengths
- ▶ **Opportunities**
- ▶ Weaknesses
- ▶ Threats

Question No: 13 (Marks: 1) - Please choose one
Assigning 1 rating to a key external factor indicates that:

- ▶ Response is superior
- ▶ Response is above average
- ▶ Response is average
- ▶ **Response is poor**

Question No: 14 (Marks: 1) - Please choose one
Assigning rating '2' to an internal factor in IFE matrix indicates what?

- ▶ Major weakness
- ▶ **Minor weakness**
- ▶ Minor strength
- ▶ Major strength

Question No: 15 (Marks: 1) - Please choose one
Life-directing attitudes that serve as behavioral guidelines are known as:

- ▶ **Values**
- ▶ Rites
- ▶ Beliefs
- ▶ Sagas

Values Life-directing attitudes that serve as behavioral guidelines

Question No: 16 (Marks: 1) - Please choose one
Which of the following is the first step in the controlling function of management?

- ▶ Take corrective actions
- ▶ Restrict breaks employees take
- ▶ Evaluate expense reports
- ▶ **Establish performance standards**

Controlling consists of four basic steps:

1. Establishing performance standards
2. Measuring individual and organizational performance

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3. Comparing actual performance to planned performance standards

4. Taking corrective actions

Question No: 17 (Marks: 1) - Please choose one

The steps required to perform cost/benefit analysis include all BUT:

- ▶ Comparing the total costs with the total benefits
- ▶ Figure out the total costs associated with a decision
- ▶ Approximation of the total benefits from the decision
- ▶ **Adding the total cost and total benefit**

Three steps are required to perform a *cost/benefit analysis*:

- ☐ Compute the total costs associated with a decision,
- ☐ Estimate the total benefits from the decision, and
- ☐ Compare the total costs with the total benefits.

Question No: 18 (Marks: 1) - Please choose one

Which of the following ratios is least likely to be helpful in evaluating a firm's decision regarding dividend?

- ▶ Earnings-per-share ratio
- ▶ **Long-Term Debt-to-Equity Ratio**
- ▶ Dividends-per-share ratio
- ▶ Price-earnings ratio

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the first step in developing an IFE Matrix?

- ▶ Summing the weighted scores for each variable
- ▶ **Identifying the organization's strengths and weaknesses**
- ▶ Identifying the organization's functions of business
- ▶ Determining the lead strategist

IFE Matrix can be developed in five steps:

1. List key internal factors as identified in the internal-audit process. Use total of from ten to twenty internal factors, including both strengths and weaknesses.

Question No: 20 (Marks: 1) - Please choose one

The business strategy decided upon by ABC Corporation is one that engages it in production of goods that are low in cost as compared to its competitors. ABC Company is perusing which one of the following strategy?

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- ▶ Differentiation strategy
- ▶ Focus strategy
- ▶ Niche strategy
- ▶ **Cost leadership strategy**

Question No: 21 (Marks: 1) - Please choose one

The strategy embraced by Ahmad Bros. is to address the needs of a very selected and specialized market segment. Ahmad Bros. is most likely to engage in which one of the following types of strategy?

- ▶ Differentiation strategy
- ▶ Best value strategy
- ▶ **Focus strategy**
- ▶ Low cost strategy

Question No: 23 (Marks: 1) - Please choose one

Smoothies Tire & Rubber Co. is selling its North American tire business to Avinza International, is an example of which type of strategy?

- ▶ Related diversification
- ▶ Retrenchment
- ▶ **Divestiture**
- ▶ Liquidation

Divestiture Selling a division or part of an organization

Question No: 24 (Marks: 1) - Please choose one

A joining of two companies through one company buying more than one half of the other company's stocks is known as:

- ▶ Monopolization
- ▶ **A spin-off**
- ▶ An acquisition
- ▶ **A merger**

Correct

Merger

A joining of two companies through one company buying more than one half of the other company's stocks
<http://cueflash.com/Decks/100%20Econ%20Terms>

Question No: 25 (Marks: 1) - Please choose one

Which of the following environment includes all those factors which affect the organization and is itself affected by the organization?

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► **Task environment**

- Social environment
- External environment
- Internal environment

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a key merit of strategic management?

► **Strategic management enables an organization to be proactive**

- Strategic management enables an organization to avoid the threats
- Strategic management enables an organization to defeat their competitors
- Strategic management enables an organization to foresee into the future

Question No: 27 (Marks: 1) - Please choose one

Developing vision and mission statements is important because of the following reasons EXCEPT:

- They are the basis for allocating resources
- **They are useful for large firms only**
- They establish organizational culture
- They translate objectives into work structure

Question No: 28 (Marks: 1) - Please choose one

All of the following are the circumstances when forward integration strategies are beneficial to be practiced EXCEPT:

- Availability of quality distributors is limited
- **Existing markets for present products are saturated**
- Advantages of stable production are high
- Present distributors have high profit margins

- ☐ Present distributors are expensive, unreliable, or incapable of meeting firm's needs
- ☐ **Availability of quality distributors is limited**
- ☐ When firm competes in an industry that is expected to grow markedly
- ☐ Organization has both capital and human resources needed to manage new business of distribution
- ☐ **Advantages of stable production are high**
- ☐ **Present distributors have high profit margins**

Question No: 29 (Marks: 3)

What are the two basic types of R & D that can take place in an organization?

Question No: 30 (Marks: 3)

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Vertical integration is the degree to which the firm owns its upstream and its downstream buyers. What can be the possible benefits if the firm goes for vertical integration?

Question No: 31 (Marks: 5)

Mr. Mansoor is a finance manager of a firm. He is asked to prepare a financial ratio analysis. What can be the possible limitations of his analysis?

Question No: 32 (Marks: 5)

Mergers or acquisitions are the methods by which two companies combine to form a larger company. What can be the reasons for achieving mergers or acquisitions?

PAPER 06

Question No: 1 (Marks: 1) - Please choose one

Which of the following is the greatest advantage of international operations?

- ▶ Reduced tariffs and taxes
- ▶ Access to global business practices
- ▶ **Gaining new customers**
- ▶ Less-intense competition

No: 2 (Marks: 1) - Please choose one

Which component of a mission statement addresses the basic beliefs, values, aspirations, and ethical priorities of the firm?

- ▶ Technology
- ▶ **Philosophy**
- ▶ Customers
- ▶ Self-concept

Pg#17, Philosophy: What are the basic beliefs, values, aspirations, and ethical priorities of the firm?

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Question No: 3 (Marks: 1) - Please choose one

One of the important components of a mission statement is Technology, which of the following question is correct about technology as a mission component?

- ▶ Is the firm using technology for the manufacturing its products?
- ▶ **Is the firm technologically current?**
- ▶ Is the firm producing technology oriented products (like electronics)?
- ▶ Is the firm using technology to deal with customer complaints?

Technology: Is the firm technologically current?

Question No: 4 (Marks: 1) - Please choose one

The purpose of an external audit is to prepare a list of which of the following?

- ▶ Opportunities and weaknesses
- ▶ Threats and strengths
- ▶ **Opportunities and threats**
- ▶ Strengths and weaknesses

The purpose of an external audit is to develop a finite list of opportunities that could benefit a firm and threats that should be avoided.

Question No: 5 (Marks: 1) - Please choose one

What will happen to the Pakistani exports in overseas markets when there is a strong value of rupee?

- ▶ Pakistani exports will be less expensive
- ▶ **Pakistani exports will be more expensive**
- ▶ Pakistani exports will be more attractive
- ▶ Pakistani exports will be desirable

Question No: 6 (Marks: 1) - Please choose one

Which of the following is TRUE about anti-trust legislation?

- ▶ The is the law intended to protect the ozone layer in the environment
- ▶ This is the law intended to regulate the tax rates in the economy
- ▶ **This is the law intended to promote free competition in the market**
- ▶ This is the law intended to regulate and register the patents

ANTITRUST LAW intended to promote free competition in the market place by outlawing monopolies

http://www.audioenglish.net/dictionary/antitrust_law.htm

Question No: 7 (Marks: 1) - Please choose one

Which of the following is one of the Political, Governmental & Legal factors?

- ▶ Ethical concerns
- ▶ Traffic congestion
- ▶ **Lobbying activities**

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- ▶ Average level of education

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is NOT is a basic mission of a competitive intelligence program?

- ▶ To provide a general understanding of an industry
- ▶ To provide a general understanding of a company's competitors
- ▶ **To identify industry executives who could be hired by the firm**
- ▶ To identify potential moves a competitor might make that would endanger a firm

Competitive Intelligence Programs and competitive analysis:

Systematic and ethical process for gathering and analyzing information about the competition's activities and general business trends to further a business' own goals.

Question No: 9 (Marks: 1) - Please choose one

Which one of the statements is a good example of the competitive power of substitute products?

- ▶ The competition between cellular phones and computers
- ▶ The competition between Aspirin and joshanda
- ▶ **The competition between contact lens and eyeglasses**
- ▶ The competition between Amazon.com and traditional off-line bookstores

Indirect competitors sell products that can be substitutes for existing products such as contact lenses as a substitute for glasses.

<http://www.uts.utoronto.ca/~bovaird/c41/4-porter.htm>

Question No: 10 (Marks: 1) - Please choose one

In Porter's Five Forces, the 'threat of new entrants' relates to which factor?

- ▶ **Barriers to entry**
- ▶ Substitutes
- ▶ Switching cost
- ▶ Buyer power

The threat of new entrants

o the existence of barriers to entry

- o economies of product differences
- o brand equity
- o switching costs
- o capital requirements
- o access to distribution
- o absolute cost advantages
- o learning curve advantages
- o expected retaliation
- o government policies

Question No: 11 (Marks: 1) - Please choose one

Which one of the following best describes “a substitute product or service”?

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- ▶ A competitor's product or service
- ▶ **An alternative way of meeting the same need**
- ▶ A new entrant into the industry
- ▶ A less attractive way of meeting the same need

(Q#8) <http://www.oup.com/uk/orc/bin/9780199288304/01student/mcqs/ch03/>

Question No: 12 (Marks: 1) - Please choose one

Which of the following can be the strength of an organization?

- ▶ A developing market
- ▶ A new international market
- ▶ Loosening of regulation

▶ **Strong management team**

Internal Strengths

1. Largest casino company in the United States
2. Room occupancy rates over 95% in Las Vegas
3. Increasing free cash flows
4. Owns one mile on Las Vegas Strip
5. **Strong management team**
6. Buffets at most facilities
7. Minimal comps provided
8. Long-range planning
9. Reputation as family-friendly
10. Financial ratios

Question No: 13 (Marks: 1) - Please choose one

What is Synergy?

- ▶ An act of formulating a program for a definite course of action
- ▶ **When a team effort is used to achieve desired results**
- ▶ When individuals work separately to achieve desired results
- ▶ When financial expectations of the firm are decided upon

Question No: 14 (Marks: 1) - Please choose one

Which of the following function of management is concerned with span of control and chain of command?

- ▶ Planning
- ▶ **Organizing**
- ▶ Controlling
- ▶ Evaluating

Organizing includes all those managerial activities that result in a structure of task and authority relationships. Specific areas include organizational design, job specialization, job descriptions, job specifications, **span of the control, unity of command**, coordination, job design, and job analysis.

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Question No: 15 (Marks: 1) - Please choose one

All of the following are the consideration for a company when conducting test marketing EXCEPT:

► What advertising channel should be used for test?

► How many cities to include for test?

► What information to collect during the test?

► What action to take after the test has been completed?

In conducting a test market project, an organization must decide how many cities to include, which cities to include, how long to run the test, what information to collect during the test, and what action to take after the test has been completed.

Question No: 16 (Marks: 1) - Please choose one

The IFE matrix summarizes and evaluates which factors in the functional areas of a business?

► Opportunities and threats

► Strengths and weaknesses

► Strengths and threats

► Opportunities and weaknesses

Question No: 17 (Marks: 1) - Please choose one

Which of the following is the first step in developing an IFE Matrix?

► Summing the weighted scores for each variable

► Identifying the organization's strengths and weaknesses

► Identifying the organization's functions of business

► Determining the lead strategist

IFE Matrix can be developed in five steps:

1. List key internal factors as identified in the internal-audit process. Use total of from ten to twenty internal factors, including both strengths and weaknesses.

Question No: 18 (Marks: 1) - Please choose one

Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

► Conglomerate diversification

► Forward integration

► Backward integration

► Horizontal diversification

Guidelines for Backward Integration:

Six guidelines when backward integration may be an especially effective strategy are:

. When present suppliers are expensive, unreliable, or incapable of meeting needs

. Number of suppliers is small and number of competitors large

. High growth in industry sector

. Firm has both capital and human resources to manage new business

. Advantages of stable prices are important

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. Present supplies have high profit margins

Question No: 19 (Marks: 1) - Please choose one

The strategy embraced by Ahmad Bros. is to address the needs of a very selected and specialized market segment. Ahmad Bros. is most likely to engage in which one of the following types of strategy?

- ▶ Differentiation strategy
- ▶ Best value strategy
- ▶ **Focus strategy**
- ▶ Low cost strategy

(Q#6) http://highered.mcgraw-hill.com/sites/0078137160/student_view0/chapter7/multiple_choice_quiz.html

Question No: 20 (Marks: 1) - Please choose one

Market penetration is one of the intensive strategies. Which one of the following best describes market penetration?

- ▶ Protecting and strengthening the organization's sales by improving present products or services or developing new products
- ▶ Protecting and strengthening the organization's position in new markets through its current products
- ▶ **Protecting and strengthening the organization's position in its current markets through its current products**
- ▶ Protecting and strengthening the organization's position by adding new, unrelated products for present customers

Market Penetration

Seeking increased market share for present products or services in present markets through greater marketing efforts

(Q#4) http://wps.pearsoned.co.uk/ema_uk_he_johnson_excorpstrat_7/26/6677/1709489.cw/content/index.html

Market Penetration

Here we market our existing products to our existing customers. This means increasing our revenue by, for example, promoting the product, repositioning the brand, and so on. However, the product is not altered and we do not seek any new customers

www.nishanw.org/Corporate%20Strategy%20all.doc

Question No: 21 (Marks: 1) - Please choose one

Mostly large firms are initiating plans to acquire another unrelated business because it represents the most promising investment opportunity that is available to them. This type of strategic plan is known as:

- ▶ **Conglomerate diversification**
- ▶ Backward integration
- ▶ Concentric diversification

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► Divestiture

Conglomerate Diversification

Adding new, unrelated products or services

Adding new, unrelated products or services is called *conglomerate diversification*. Some firms pursue conglomerate diversification based in part on an expectation of profits from breaking up acquired firms and selling divisions piecemeal.

Question No: 22 (Marks: 1) - Please choose one

Ahmad Textiles and Superior Textiles have come with each other in cross-manufacturing agreement, the firms are going for which of the following?

Liquidation

Acquisition

Joint venture

Takeover

(page 10) <http://www.docstoc.com/docs/23889878/David-Chapter-5>

Question No: 23 (Marks: 1) - Please choose one

When ABC Corporation makes decisions that assist it in formulating and implementing plans designed to achieve its objectives, it is most likely to engage in which one of the following?

► **Strategic Management**

► Strategy Utilization

► Strategic Processing

► Strategic Formality

[http://highered.mcgraw-](http://highered.mcgraw-hill.com/sites/0073054224/student_view0/chapter1/multiple_choice_quiz.html)

[hill.com/sites/0073054224/student_view0/chapter1/multiple_choice_quiz.html](http://highered.mcgraw-hill.com/sites/0073054224/student_view0/chapter1/multiple_choice_quiz.html)

Question No: 24 (Marks: 1) - Please choose one

Adapting to change confronts an organization's strategic management to which of the following issue(s):

► What kind of business we should be in?

► Are we in the right field?

► Should we reshape our business?

► **All of the given options**

The need to adapt to change leads organizations to key strategic management questions, such as "What kind of business should we become?" "Are we in right field?" "Should we reshape our business?" "Are new technologies being developed that could put us out of business?"

Question No: 25 (Marks: 1) - Please choose one

Non-financial benefits of strategic management include all of the following **EXCEPT:**

► Enhanced awareness of threats

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- ▶ Reduced resistance to change
- ▶ **Increase in sales**
- ▶ Better awareness of external threats

Non-Financial benefits:

Increased employee productivity

Improved understanding of competitors strategies

Greater awareness of external threats

Understanding of performance reward relationships

Better problem-avoidance

Lesser resistance to change

Question No: 26 (Marks: 1) - Please choose one
_____ is the principle of conduct that guides decision-making.

- ▶ Human rights
- ▶ **Business ethics**
- ▶ The constitution
- ▶ Social responsibility

PG#14 Business Ethics and Strategic Management

Business ethics can be defined as principles of conduct within organizations that guide decision making and behavior.

Question No: 27 (Marks: 1) - Please choose one
Which of the following should be created first and foremost by a strategist?

- ▶ Strategy
- ▶ Objectives
- ▶ **Vision**
- ▶ Mission

Question No: 28 (Marks: 1) - Please choose one
Which of the following statements describes a company's strategic vision?

- ▶ **Gives a broad, aspiration image of the future that an organization is aiming to achieve**
- ▶ Sets forth the long-range financial and strategic performance targets that organization seeks to achieve
- ▶ Indicates the boundaries of the company's present business
- ▶ Reflects how strategic objectives are to be achieved

A strategic vision is a view of an organization's future direction and business makeup. It is a guiding concept for what the organization is trying to do and to become. Whereas the focus of the company's mission tends to be on the present, the focus of a strategic vision is on a company's future. If the statement of mission speaks as much to the future path the organization intends to follow as to the present organizational purpose, then the mission statement incorporates the strategic vision and there's no separate need for a vision.)

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PAPER 07

Question No: 1 (Marks: 1) - Please choose one

According to 'Peter Drucker', what is the prime task of strategic management?

- 5. To develop the vision of the business
- 6. Effectively evaluate the strategies
- 7. **To think through the overall mission of a business**
- 8. Develop alternative set of strategies

Prime task:

Peter Drucker says:

"The prime task is to think through the overall mission of a business".

Question No: 2 (Marks: 1) - Please choose one

External opportunities and threats that can significantly benefit or harm an organization may include all of the following EXCEPT:

- 5. Demographics
- 6. Competitive trends
- 7. Technological changes
- 8. **Research and development P7**

As 4th is an internal factor.

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **NOT** included in the strategic management model?

- ▶ Measure and evaluate performance
- ▶ Establish long-term objectives
- ▶ Develop mission and vision statements
- ▶ **Perform internal research to identify customers P#10**

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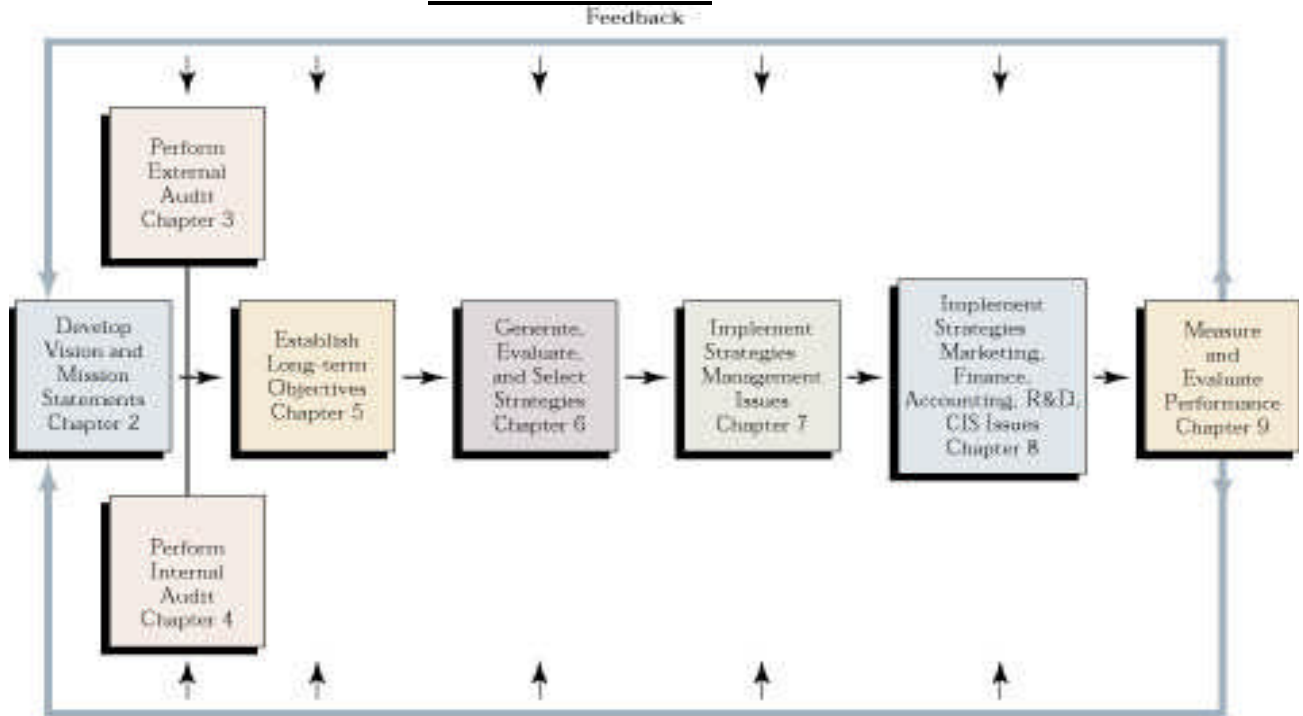
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Question No: 4 (Marks: 1) - Please choose one

The organizations that conduct business operations across national borders are known as:

- ▶ **Multinational corporations**
- ▶ Domestic firms
- ▶ Strategic alliances
- ▶ Franchises

Question No: 5 (Marks: 1) - Please choose one

“Identifying and evaluating social, political, economic, technological and competitive trends and events”; which of the followings best describes this statement?

- ▶ Developing an effective mission statement
- ▶ Conducting an internal audit
- ▶ **Performing an external audit**
- ▶ Formulating strategy

Question No: 6 (Marks: 1) - Please choose one

The purpose of an external audit is to prepare a list of which of the following?

- ▶ Opportunities and weaknesses
- ▶ Threats and strengths
- ▶ **Opportunities and threats**

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► Strengths and weaknesses

The purpose of an external audit is to develop a finite list of opportunities that could benefit a firm and threats that should be avoided.

Question No: 7 (Marks: 1) - Please choose one

According to Freund, Which one of the following should NOT be the characteristic of key external factors?

- Measurable
- **few in Relatively number**
- Applicable to all competing firms
- Important to achieving long-term objectives

Freund emphasized that these key external factors should be:

- ☐ **Important to achieving long-term and annual objectives,**
- ☐ **Measurable,**
- ☐ **Applicable to all competing firms, and**
- ☐ Hierarchical in the sense that some will pertain to the overall company and others will be more narrowly focused on functional or divisional areas.

Question No: 8 (Marks: 1) - Please choose one

What will happen to the Pakistani exports in overseas markets when there is a strong value of rupee?

- Pakistani exports will be less expensive
- **Pakistani exports will be more expensive**
- Pakistani exports will be more attractive
- Pakistani exports will be desirable

Question No: 9 (Marks: 1) - Please choose one

“Ethnic balance changes due to the migration of the people from different areas to different areas. This affects the ethical behavior very much”, this is the effect of which of the following forces?

- Economic forces
- **Social, cultural, and demographic forces**
- Technological forces
- Competitive forces

Ethnic balance changes due to the migration of the people from different areas to different areas. This affects the ethical behavior very much. As the traditions and norms are very much different in different areas of Pakistan.

Question No: 10 (Marks: 1) - Please choose one

Which of the following can be considered as barriers to entering a market or industry?

- The lack of economies of scale and experience and low levels of brand loyalty
- The presence of large number of rivals already in the industry

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► Relatively large capital requirements and industry have economies of scale

- The absence of tariffs, trade restrictions, and/or government-mandated regulations

http://books.google.com/books?id=6ltZtTi6Vo4C&pg=PT263&dq=Relatively+large+capital+requirements+and+industry+have+economies+of+scale&hl=en&ei=6q97TenFK8WyrAex4vnUBQ&sa=X&oi=book_result&ct=result&resnum=2&ved=0CCwQ6AEwAQ#v=onepage&q=Relatively%20large%20capital%20requirements%20and%20industry%20have%20economies%20of%20scale&f=false

Question No: 11 (Marks: 1) - Please choose one

The competitive threat posed by substitute products is weakened in which of the following conditions?

- Buyers that are currently purchasing the product are not relatively loyal
- There are relatively large numbers of rival sellers that are fairly equal in size
- Customers are in a strong bargaining position to win concessions from sellers
- Buyers' costs of switching to substitutes are relatively high

Question No: 12 (Marks: 1) - Please choose one

Which of the following is a collection of firms that offers similar products or services? such as IBM, Apple, and Dell?

Concentration

Industry

Corporation

Alliances

An industry describes a much more specific grouping of companies with highly similar business activities.

Question No: 13 (Marks: 1) - Please choose one

While preparing an External Factor Evaluation Matrix, a total score of 0.8 indicates that:

Firm is taking advantages of strengths and avoiding threats

Firm is taking no advantage of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question No: 14 (Marks: 1) - Please choose one

Internal analysis involves gathering and analyzing information about all areas of a firm **EXCEPT**:

- Research and development
- Management information system
- Marketing

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► Competitors

Internal Audit is Parallels process of external audit. It gathers & assimilates information from:

- o Management
- o Marketing
- o Finance/accounting
- o Production/operations
- o Research & development
- o Management information systems

Which of the following statement is correct about distinctive competence?

- Is usually tied closely to the ability of a company's manufacturing capability and/or its proprietary technology and know-how
- Nearly always resides in the ability of the company's assets on its balance sheet rather than in its people
- Is better suited in helping companies defend against external threats than in pursuing external market opportunities

► Is a unique thing that a firm does really well and that quality or attribute sets it aside from its competitors

Distinctive Competencies:

- ☐ A firm's strengths that cannot be easily matched or imitated by competitors
- ☐ Building competitive advantage involves taking advantage of distinctive competencies
- ☐ Strategies designed in part to improve on a firm's weaknesses and turn to strengths

Question No: 16 (Marks: 1) - Please choose one

As managers move up the organization, they perform which of the management function more?

- Leading
- Controlling
- Organizing
- Planning

(Q#48)

<http://wenku.baidu.com/view/466f46c76137ee06eff91864.html>

Question No: 17 (Marks: 1) - Please choose one

What is Synergy?

- An act of formulating a program for a definite course of action
- When a team effort is used to achieve desired results
- When individuals work separately to achieve desired results
- When financial expectations of the firm are decided upon

Synergy is

- a. synthetic energy.
- b. when a team effort is used to achieve desired results.
- c. when individuals work separately to achieve desired results.

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- d. when financial expectations of the firm are decided upon.
- e. employee energy.

Ans: b

Page: 130

Question No: 18 (Marks: 1) - Please choose one

Which function of management includes areas such as job design, job specification, job analysis and unity of command?

- ▶ Planning
- ▶ Motivating
- ▶ **Organizing**
- ▶ Leading

Question No: 19 (Marks: 1) - Please choose one

Which of the following function of management is concerned with span of control and chain of command?

- ▶ Planning
- ▶ **Organizing**
- ▶ Controlling
- ▶ Evaluating

Question No: 20 (Marks: 1) - Please choose one

Which of the following is the process of using the resources and personnel of an organization in an orderly way to achieve the objectives and long-term goals of the organization?

- ▶ Planning
- ▶ Staffing
- ▶ Leading
- ▶ **Organizing**

<http://flashcarddb.com/cardset/74206-clep-principles-of-management-flashcards>

Q__ is the process of using the resources and personnel of an organization in an orderly way to achieve the objectives and long-term goals of the organization.

Answer : organizing

Question No: 21 (Marks: 1) - Please choose one

Which of the following allows an organization to test alternative marketing plans and to forecast future sales of new products?

- ▶ Marketing
- ▶ Advertisement
- ▶ **Test marketing**

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► Customer analysis

One of the most effective product and service planning techniques is test marketing. Test markets allow an organization to test alternative marketing plans and to forecast future sales of new products.

http://www.zainbooks.com/books/management/strategic-management_14_functions-of-management-1.html

Question No: 22 (Marks: 1) - Please choose one

Distribution includes which of the following?

► Customer analysis

► **Warehousing**

► Advertising

► Test marketing

Distribution is about getting the products to the customer. Some examples of distribution decisions include:

- Distribution channels
- Market coverage (inclusive, selective, or exclusive distribution)
- Specific channel members
- Inventory management
- **Warehousing**
- Distribution centers
- Order processing
- Transportation
- Reverse logistics

Question No: 23 (Marks: 1) - Please choose one

A company's ROI (Return on Investment) can be algebraically decomposed into which of the following two major components?

- Return on sales and fixed capital
- Return on sales and net profit
- Return on sales and Cost of goods sold
- **Return on sales and Total assets**

<http://www.roiformula.net/>

Question No: 24 (Marks: 1) - Please choose one

All of the following fall under the category of 'Process' function of production management EXCEPT:

► Choice of technology

► **Quality assurance**

► Process flow analysis

► Transportation analysis

Process decisions concern the design of the physical production system. Specific decisions include **choice of technology**, facility layout, **process flow analysis**, facility location, line balancing, process control, and **transportation analysis**.

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Question No: 25 (Marks: 1) - Please choose one

Which of the following refers to the belief related to objectives setting that the true measure of a really good strategist is the ability to solve problems?

- ▶ Managing by objectives
- ▶ Managing by extrapolation
- ▶ **Managing by crisis**
- ▶ Managing by subjectives

Managing by Crisis—based on the belief that the true measure of a really good strategist is the ability to solve problems.

Question No: 26 (Marks: 1) - Please choose one

What is meant by Focused Differentiation?

- ▶ Concentrating on a particular feature of a product or service to achieve differentiation
- ▶ Concentrating on differentiation as the primary means of achieving competitive advantage
- ▶ **Providing a high perceived value product to a selected market segment which justifies a substantial price premium**
- ▶ Simultaneously seeking to achieve differentiation and a price lower than that of competitors

http://wps.pearsoned.co.uk/ema_uk_he_johnson_excorpstrat_7/26/6677/1709451.cw/content/index.htmlQ10

Question No: 27 (Marks: 1) - Please choose one

In Porter's Generic Strategies Model, which of the following statement is correct about Focus Strategy?

- ▶ Selling a limited range of products
- ▶ **Selling to a narrow customer segment**
- ▶ Selling to one region only
- ▶ Selling simple products that are cheap

Focus means producing products and services that fulfill the needs of small groups of consumers.

Question No: 28 (Marks: 1) - Please choose one

Where usage rate of present customers of the company can be increased significantly and the current markets are not saturated, which strategy would be effective for the company to follow?

- ▶ **Market Penetration**
- ▶ Product Development
- ▶ Market Development
- ▶ Retrenchment

Market Penetration Strategies

Current markets not saturated

Usage rate of present customers can be increased significantly

<http://webcache.googleusercontent.com/search?q=cache:HfeJfxGICeEJ:www.sm.au.edu/uploadfil>

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es/1257968765_Class%252012-2-09.ppt+rate+of+present+customers+of+the+company+can+be+increased+significantly+and+the+current+markets+are+not+saturated&cd=7&hl=en&ct=clnk&source=www.google.com

Question No: 29 (Marks: 1) - Please choose one

Under which of the following conditions, Concentric Diversification would be particularly an effective strategy to pursue?

▶ When an organization has grown so large so quickly that major internal reorganization is needed

▶ **When sales of current products would increase intensively by adding the new related products**

▶ When revenues from current products/services would increase significantly by adding the new unrelated products

▶ When current products are in maturity stage of the product life cycle

Guidelines for Concentric Diversification

Five guidelines when concentric diversification may be an effective strategy are provided below::Competes in no- or slow-growth industry

Adding new & related products increases sales of current products

New & related products offered at competitive prices

Question No: 30 (Marks: 1) - Please choose one

Mostly large firms are initiating plans to acquire another unrelated business because it represents the most promising investment opportunity that is available to them. This type of strategic plan is known as:

▶ **Conglomerate diversification**

▶ Backward integration

▶ Concentric diversification

▶ Divestiture

Conglomerate Diversification

Adding new, unrelated products or services

Adding new, unrelated products or services is called *conglomerate diversification*. Some firms pursue conglomerate diversification based in part on an expectation of profits from breaking up acquired firms and selling divisions piecemeal.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is NOT a situation when an organization should use an unrelated diversification strategy?

▶ When an organization's present channels of distribution can be used to market the new products to current customers

▶ **Revenues from current products/services would increase significantly by adding the new related products**

▶ When an organization competes in a highly competitive and/or a no-growth industry

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- ▶ When the new products have counter-cyclical sales patterns compared to an organization's present products

Ref: <http://www.slideshare.net/mukeshkumar84/growth-strategy-presentation>

Revenues from current products/services would increase significantly by adding the new unrelated products

Question No: 32 (Marks: 1) - Please choose one

Abdullah Group of Industries is involved in the sale of its marginal business. It is most likely to say that Abdullah Group is implementing _____ strategy.

- ▶ Join venture
- ▶ Acquisition
- ▶ Liquidation

▶ **Retrenchment**

PG#93

Retrenchment occurs when an organization regroups through cost and asset reduction to reverse declining sales and profits. Sometimes called a turnaround or reorganization strategy, retrenchment is designed to fortify an organization's basic distinctive competence. During retrenchment, strategists work with limited resources and face pressure from shareholders, employees, and the media. Retrenchment can entail selling off land and buildings to raise needed cash, pruning product lines, closing marginal businesses, closing obsolete factories, automating processes, reducing the number of employees, and instituting expense control systems.

Question No: 33 (Marks: 1) - Please choose one

Which of the following is TRUE about Vision statement of a company?

- ▶ It defines the customers
- ▶ **It concentrates on future**
- ▶ It identifies critical processes
- ▶ It informs about the desired level of performance

Vision: Defines the desired or intended future state of an organization or enterprise in terms of its fundamental objective and/or strategic direction. Vision is a long-term view, sometimes describing how the organization would like the world to be in which it operates

http://en.wikipedia.org/wiki/Strategic_planning

http://www.diffen.com/difference/Mission_Statement_vs_Vision_Statement

Question No: 34 (Marks: 1) - Please choose one

Which of the following environment includes all those factors which affect the organization and is itself affected by the organization?

- ▶ **Task environment**
- ▶ Social environment
- ▶ External environment
- ▶ Internal environment

Task environment includes all those factors which affect the organization and itself affected by

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the organization.

Question No: 35 (Marks: 1) - Please choose one

Which of the following statements describes a company's strategic vision?

- ▶ Gives a broad, aspiration image of the future that an organization is aiming to achieve
- ▶ Sets forth the long-range financial and strategic performance targets that organization seeks to achieve
- ▶ Indicates the boundaries of the company's present business
- ▶ Reflects how strategic objectives are to be achieved

Question No: 36 (Marks: 1) - Please choose one

Mr. A assigns Mr. B a project to be completed till the end of the month and then holds periodic meetings with him to review his progress. Which of the management functions is Mr. A performing?

- ▶ Planning
- ▶ Leading
- ▶ Controlling
- ▶ Organizing

Question No: 37 (Marks: 1) - Please choose one

The MM equipment firm's financial statements reveal that its sales are Rs. 500 and its finished goods inventory is valued as Rs. 250. BC Company is one of the competitors of MM equipment with 3 times inventory turnover. You have to evaluate that which of the following statements is true about MM equipment's inventory turnover?

- ▶ Equal to BC Company
- ▶ Better than BC company
- ▶ None of the given options
- ▶ Worst than BC Company (not sure)

Question No: 38 (Marks: 1) - Please choose one

"Ahsan Brothers is closing one-third of its stores and is eliminating 22,000 jobs in an attempt to avoid bankruptcy", would be an example of which of the following?

- ▶ Backward integration
- ▶ Liquidation
- ▶ Retrenchment
- ▶ Forward integration

(page 80)Retrenchment Regrouping through cost and asset reduction to reverse declining sales and profit Singer, the sewing machine maker, declared bankruptcy.

Question No: 39 (Marks: 1) - Please choose one

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Which of the following is the decision support role of Management Information System?

- ▶ Processing marketing records into marketing plans
- ▶ **Allowing users to ask "What if" questions**
- ▶ Recording and storing such as human resource records
- ▶ Processing operations records into production schedules

Question No: 40 (Marks: 1) - Please choose one

_____ becomes information only when it is evaluated, filtered, condensed, analyzed and organized for a specific purpose, problem, individual, or time.

- ▶ Material
- ▶ **Data**
- ▶ Competitive advantage
- ▶ Competitor analysis

Ref: Data becomes information only when it is evaluated, filtered, condensed, analyzed, and organized for a specific purpose, problem, individual, or time,P#74

PAPER 08

Question No: 1 (Marks: 1) - Please choose one

Which of the following period strategic management was considered to be cure for all problems?

- Mid 1950s to mid 1960s
- Mid 1960s to mid 1970s**
- Mid 1970s to mid 1980s
- Mid 1980s to mid 1990s

In 1960; s and 70 it was consider to be panacea for problems. But in 1980; s two important revolutions

Question No: 2 (Marks: 1) - Please choose one

Which of the following is not a pitfall an organization should avoid in strategic planning?
Select correct option:

- Failing to involve key employees in all phases of planning
- Involving all managers rather than delegating planning to a planner**

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Top managers not actively supporting the strategic planning process
Doing strategic planning only to satisfy accreditation or regulatory requirements

Question No: 3 (Marks: 1) - Please choose one

Which of the following are the factors that concern the nature and direction of the economy in which a firm operates?

Select correct option:

Technological

Ecological

Social

Economic

Question No: 4 (Marks: 1) - Please choose one

Which of the following best describes this statement; “a Systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals”?

Select correct option:

External assessment

Industry analysis

Competitive intelligence program

Business ethics

Systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals.

Question No: 5 (Marks: 1) - Please choose one

According to Porter, which strategy offers products or services to a small range of customers at the lowest price available on the market?

Select correct option:

Low cost

Best value

Cost focus

Differentiation

<http://www.scribd.com/doc/30595433/Chapter-5-strategic-management> (page 20)

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Focus Strategy Type 4 & type 5

- ▶ Producing products and services
- ▶ Type 4 – Low cost offers products or services to a small range of customers at the lowest price.
- ▶ Type 5 - Best Value offers products or services to a small range of customers at the best price value.

Question No: 6 (Marks: 1) - Please choose one

Long-term objectives includes all of the following EXCEPT:

Measurable

Reasonable

Varying

Consistent

Objectives should be challenging, measurable, consistent, reasonable, and clear.P#9

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is NOT is a basic mission of a competitive intelligence program?

To provide a general understanding of an industry

To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

To identify potential moves a competitor might make that would endanger a firm

Competitive Intelligence Programs and competitive analysis:

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Systematic and ethical process for gathering and analyzing information about the competition's activities and general business trends to further a business' own goals.

Question No: 8 (Marks: 1) - Please choose one

While preparing an External Factor Evaluation Matrix, a total score of 0.8 indicates that:

Firm is taking advantages of strengths and avoiding threats

Firm is taking no advantage of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question No: 9 (Marks: 1) - Please choose one

Which of the following is often considered the first step in strategic planning?

- ▶ Devising a mission statement
- ▶ **Developing a vision statement**
- ▶ Setting annual objectives
- ▶ Formulating set of strategies

(page 6) **Developing a vision statement is often considered the first step in strategic planning**

Question No: 10 (Marks: 1) - Please choose one

The objectives set by a manager should have which of the following characteristics?

- ▶ Should spell out how fast the company's strategy is to be implemented
- ▶ **Should be challenging and congruent among organizational units**
- ▶ Should include long-range performance targets but not short-range targets
- ▶ Should include financial performance targets but not strategic performance targets

Objectives should be quantitative, measurable, realistic, understandable, challenging, hierarchical, obtainable, and congruent among organizational units.

Question No: 11 (Marks: 1) - Please choose one

“Ethnic balance changes due to the migration of the people from different areas to different areas. This affects the ethical behavior very much”, this is the effect of which of the following forces?

- ▶ Economic forces

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► Social, cultural, and demographic forces

- Technological forces
- Competitive forces

Question No: 12 (Marks: 1) - Please choose one

Which of the following is TRUE about anti-trust legislation?

- The is the law intended to protect the ozone layer in the environment
- This is the law intended to regulate the tax rates in the economy
- This is the law intended to promote free competition in the market**
- This is the law intended to regulate and register the patents

http://www.audioenglish.net/dictionary/antitrust_legislation.htm

Law intended to promote free competition in the market place by outlawing monopolies

<http://www.thefreedictionary.com/antitrust+legislation>

Question No: 13 (Marks: 1) - Please choose one

Supplier bargaining power is not likely to pose strong competitive pressure when which of the following situation is prevailing?

- Buying firms are looking for suppliers with superior just-in-time supply capabilities and low prices
- The suppliers furnish a critical part or component that is in relatively short supply
- Buying firms collaborate closely with their key suppliers to achieve mutual benefits**
- The products of alternative suppliers are highly differentiated, making the cost of switching relatively high

Question No: 14 (Marks: 1) - Please choose one

In Porter's Five Forces, the 'threat of new entrants' relates to which factor?

- Barriers to entry**
- Substitutes
- Switching cost
- Buyer power

The threat of new entrants

o the existence of barriers to entry

o economies of product differences

o brand equity

o switching costs

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- o capital requirements
- o access to distribution
- o absolute cost advantages
- o learning curve advantages
- o expected retaliation
- o government policies

Question No: 15 (Marks: 1) - Please choose one

Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

- ▶ Conglomerate diversification
- ▶ Forward integration
- ▶ **Backward integration**
- ▶ Horizontal diversification

Six guidelines when backward integration may be an especially effective strategy are:

- . When present suppliers are expensive, unreliable, or incapable of meeting needs
- . **Number of suppliers is small and number of competitors large**
- . High growth in industry sector
- . Firm has both capital and human resources to manage new business
- . Advantages of stable prices are important
- . Present supplies have high profit margins

Question No: 17(Marks: 1) - Please choose one

A mission statement should “reconcile interests among diverse stakeholders”. What does it mean?

- ▶ All shareholders must be satisfied
- ▶ Shareholders should be given preference over customers
- ▶ **Firm will devote attention to meeting claims of various stakeholders**
- ▶ Firm will devote its attention towards the maximization of shareholders value

Second, a mission statement needs to be broad to effectively reconcile differences among and appeal to an organization's diverse *stakeholders*, the individuals and groups of persons who have a special stake or claim on the company. Stakeholders include employees; managers; stockholders; boards of directors; customers; suppliers; distributors; creditors; governments (local, state, federal, and foreign); unions; competitors; environmental groups; and the general public.

Question No: 18(Marks: 1) - Please choose one

Which strategy would be effective when the stockholders of a firm can minimize their losses by selling the organization’s assets?

- ▶ **Liquidation**

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- ▶ Integration
- ▶ Differentiation
- ▶ Diversification

Three guidelines of when to use liquidation

- a. When an organization has pursued both a retrenchment and a divestiture strategy and neither has been successful.
- b. When an organization's only alternative is bankruptcy.
- c. When the stockholders of a firm can minimize their losses by selling assets.

Question No: 19 (Marks: 1) - Please choose one

As managers move up the organization, they perform which of the management function more?

- ▶ Leading
- ▶ Controlling
- ▶ Organizing
- ▶ **Planning**

(Q#48)

<http://wenku.baidu.com/view/466f46c76137ee06eff91864.html>

Question No: 20(Marks: 1) - Please choose one

All of the following statements are true about a firm's mission statement EXCEPT:

A mission statement directly contributes positively to financial performance

A mission statement does not directly contribute positively to financial performance

A mission statement should not provide useful criteria for selecting among alternative strategies

Primary reason to develop a mission statement is not to attract the customers
a mission statement does not directly contribute positively to financial performance.

Question No: 21(Marks: 1) - Please choose one

Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

5. Propensity of people to spend
6. **Buying habits P34**
7. Level of disposable income
8. Income differences by region

Key Social, Cultural, Demographic, and Environmental Variables

• Attitudes toward government

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- Attitudes toward work
- **Buying habits**
- Ethical concerns
- Attitudes toward saving

Question No: 22(Marks: 1) - Please choose one

Which of the following is a collection of firms that offers similar products or services? such as IBM, Apple, and Dell?

Concentration

Industry

Corporation

Alliances

An industry describes a much more specific grouping of companies with highly similar business activities.

Question No: 23(Marks: 1) - Please choose one

The business strategy decided upon by ABC Corporation is one that engages it in production of goods that are low in cost as compared to its competitors. ABC Company is perusing which one of the following strategy?

Differentiation strategy

Focus strategy

Niche strategy

Cost leadership strategy

Question No: 24(Marks: 1) - Please choose one

Which of the following can be considered as a factor of internal strengths and weaknesses of an organization?

▶ Technological changes

▶ **Production/operations**

▶ Demographics

▶ Competitive trends

Internal Strengths and Weaknesses/Internal assessments

They arise in the management, marketing, finance/accounting, production/operations, research and development, and computer information systems activities of a business.

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Question No: 25(Marks: 1) - Please choose one

Smoothies Tire & Rubber Co. is selling its North American tire business to Avinza International, is an example of which type of strategy?

▶ Related diversification

▶ Retrenchment

▶ **Divestiture**

▶ Liquidation

Page 94: Divestiture

Selling a division or part of an organization is called divestiture. Divestiture often is used to raise capital for further strategic acquisitions or investments

Question No: 26(Marks: 1) - Please choose one

Which of the following are developed in strategy implementation phase of strategic management?

Vision and mission

▶ **Annual objectives**

Strengths and weaknesses

Opportunities and threats

(page 4)Strategy implementation requires a firm to establish annual objectives, devise policies, motivating employees and allocate resources so that formulated strategies can be executed

PAPER 09

Question No: 1 (Marks: 1) - Please choose one

Various job titles of a strategist may include all of the following EXCEPT:

▶ Owner

▶ **Foreman**

▶ Chancellor

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- ▶ Chief executive officer

Various job titles, such as chief executive officer, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur

Question No: 2 (Marks: 1) - Please choose one

Long-term objectives include all of the following EXCEPT:

- ▶ Measurable
- ▶ Reasonable
- ▶ **Varying**
- ▶ Consistent

Objectives should be challenging, measurable, consistent, reasonable, and clear. In a multidimensional firm, objectives should be established for the overall company and for each division

Question No: 3 (Marks: 1) - Please choose one

All of these are pitfalls of an organization in strategic planning EXCEPT:

- ▶ failing to involve key employees in all phases of planning
- ▶ using strategic planning to gain control over decisions and resources
- ▶ **Using plans as a standard for measuring performance**
- ▶ being so formal in planning that flexibility and creativity are stifled

All of these are pitfalls an organization should avoid in strategic planning except when

- a. using plans as a standard for measuring performance.
- b. using strategic planning to gain control over decisions and resources.
- c. failing to involve key employees in all phases of planning.
- d. too hastily moving from mission development to strategy formulation.

Ans: a

Page: 18

Question No: 4 (Marks: 1) - Please choose one

The organizations that conduct business operations across national borders are known as:

- ▶ **Multinational corporations**

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- ▶ Domestic firms
- ▶ Strategic alliances
- ▶ Franchises

Organizations that conduct business operations across national borders are called international firms or multinational corporations. <http://www.scribd.com/doc/33764623/Strategic-management>

Question No: 5 (Marks: 1) - Please choose one

A mission statement should “reconcile interests among diverse stakeholders”. What does it mean?

- ▶ All shareholders must be satisfied
- ▶ Shareholders should be given preference over customers
- ▶ **Firm will devote attention to meeting claims of various stakeholders**
- ▶ Firm will devote its attention towards the maximization of shareholders value

Question No: 6 (Marks: 1) - Please choose one

Which component of a mission statement addresses the basic beliefs, values, aspirations, and ethical priorities of the firm?

- ▶ Technology
- ▶ **Philosophy**
- ▶ Customers
- ▶ Self-concept

Philosophy: What are the basic beliefs, values, aspirations, and ethical priorities of the firm?

Question No: 7 (Marks: 1) - Please choose one

“Identifying and evaluating social, political, economic, technological and competitive trends and events”; which of the followings best describes this statement?

- ▶ developing an effective mission statement
- ▶ conducting an internal audit

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► **performing an external audit**

► Formulating strategy

Question No: 8 (Marks: 1) - Please choose one

Suppose, the value of the currency of a certain country falls, what can be the effect on companies in Different Industries and in Different Locations in that country respectively?

► Significant and equal

► Marginal and equal

► **Significant and unequal**

► Insignificant and unequal

Question No: 9 (Marks: 1) - Please choose one

What will happen to the Pakistani exports in overseas markets when there is a strong value of rupee?

► Pakistani exports will be less expensive

► **Pakistani exports will be more expensive**

► Pakistani exports will be more attractive

► Pakistani exports will be desirable

Question No: 10 (Marks: 1) - Please choose one

Use of the Internet and Internet technologies can be integrated into the sales of on-line as well as off-line business and marketing portion of the value chain through which of the following?

► through software that permits customers to specify build-to-order options

► through online product catalogs containing rich product information and specifications

► via online price quotes and online announcements of special sales and promotions

► **All of the given options**

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Question No: 11 (Marks: 1) - Please choose one

Assigning rating '2' to an internal factor in IFE matrix indicates what?

▶ Major weakness

▶ **Minor weakness**

▶ Minor strength

▶ Major strength

Question No: 12 (Marks: 1) - Please choose one

As managers move up the organization, they perform which of the management function more?

▶ Leading

▶ Controlling

▶ Organizing

▶ **Planning**

Question No: 13 (Marks: 1) - Please choose one

Sana has spent a day in a session where the future of her company was discussed. The people involved were trying to determine what the role of their company was as the 21st century approaches. Goals were then developed based upon their vision of the company's mission. Sana spent her day on which of the following process?

▶ **Planning**

▶ Organizing

▶ Leading

▶ Controlling

(Q#43)<http://wenku.baidu.com/view/466f46c76137ee06eff91864.html>

Question No: 14 (Marks: 1) - Please choose one

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One of the top level manager of a large manufacturing plant uses to spend her day trying to ensure that the material wastage is not more than 10%. She spends her day in performing which of the following management functions?

- ▶ Planning
- ▶ Organizing
- ▶ Leading
- ▶ **Controlling**

Question No: 15 (Marks: 1) - Please choose one

Which of the following allows an organization to test alternative marketing plans and to forecast future sales of new products?

- ▶ Marketing
- ▶ Advertisement
- ▶ **Test marketing**
- ▶ Customer analysis

One of the most effective product and service planning techniques is test marketing. Test markets allow an organization to test alternative marketing plans and to forecast future sales of new products.

http://www.zainbooks.com/books/management/strategic-management_14_functions-of-management-1.html

Question No: 16 (Marks: 1) - Please choose one

Which of the following has/have been successful in determining R&D budget allocations?

- ▶ Financing as many project proposals as possible
- ▶ Budgeting for R&D about what competitors spend
- ▶ Deciding how many successful new products are needed

▶ **All of the given options**

The four approaches to determining commonly used R&D budget allocations are:

- (1) financing as many project proposals as possible,
- (2) using a percentage-of-sales method,
- (3) budgeting about the same amount competitors spend for R&D, and
- (4) deciding how many successful new products are needed and working backward to estimate the required R&D investment

_____ has been successful in determining R&D budget allocations.

- a) Financing as many project proposals as possible
- b) Using the percentage of sales method
- c) Budgeting for R&D about what competitors spend

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d) All of the above have been used

Ans: d

Page: 146

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a drawback or limitation of Horizontal Integration?

► **Synergies may be more imaginary than real**

- It can increase suppliers' and buyers' bargaining power
- Economies of scale are likely to be decreased
- Both the first & third options are correct

http://www.12manage.com/methods_horizontal_integration.html

Disadvantage of Horizontal integration:

Synergies maybe more imaginary than real

Substitutes market is often very different. Challenge occurs to management during acquisition. Reduction in competition may lead to anti-trust issues.

Question No: 18 (Marks: 1) - Please choose one

In which situation would horizontal integration be an especially effective strategy?

► **When an organization can gain monopolistic characteristics without being challenged by the federal government**

- When decreased economies of scale provide major competitive advantages
- When an organization has neither the capital nor human talent needed to successfully manage an expanded organization
- When competitors are succeeding due to managerial expertise or having particular resources

Guidelines for Horizontal Integration:

Four guidelines when horizontal integration may be an especially effective strategy are:

Firm can gain monopolistic characteristics without being challenged by federal government

Competes in growing industry

Increased economies of scale provide major competitive advantages

Faltering due to lack of managerial expertise or need for particular resources

Question No: 19 (Marks: 1) - Please choose one

Defensive strategies include all of the following EXCEPT:

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► Retrenchment

► **Acquisition**

► Divestiture

► Liquidation

retrenchment, divestiture, or liquidation.

Question No: 20 (Marks: 1) - Please choose one

Which strategy should be implemented when a division is responsible for an organization's overall poor performance?

► **Divestiture**

► Forward integration

► Cost leadership

► Related diversification

Divestiture can be part of an overall retrenchment strategy to rid an organization of businesses that are unprofitable, that require too much capital, or that do not fit well with the firm's other activities

Question No: 21 (Marks: 1) - Please choose one

Which of the following is NOT the reason to go for divestiture?

► When firm has pursued retrenchment but failed to attain needed improvements

► **When the availability of quality distributors is too limited**

► When a division needs more resources than the firm can provide

► When a division is responsible for the firm's overall poor performance

Five guidelines when divestiture may be an especially effective strategy to pursue are listed below:

☐ $\frac{23}{4}$ When firm has pursued retrenchment but failed to attain needed improvements

☐ $\frac{23}{4}$ When a division needs more resources than the firm can provide

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☐ ²³/₄ When a division is responsible for the firm's overall poor performance

☐ ²³/₄ When a division is a misfit with the organization

☐ ²³/₄ When a large amount of cash is needed and cannot be obtained from other sources.

Question No: 22 (Marks: 1) - Please choose one

A joining of two companies through one company buying more than one half of the other company's stocks is known as:

- ▶ Monopolization
- ▶ A spin-off
- ▶ An acquisition
- ▶ **A merger**

Correct

Merger

A joining of two companies through one company buying more than one half of the other company's stocks

<http://cueflash.com/Decks/100%20Econ%20Terms>

Question No: 23 (Marks: 1) - Please choose one

Which of the following statements is TRUE about company's strategies?

- ▶ **Company strategies concern how to grow the business, how to out-compete rivals, how to satisfy customers**
- ▶ Company strategies concern when to change the company's strategic vision and business model
- ▶ Company strategies concern whether to focus on achieving short-run performance targets or on long-range
- ▶ Company strategies concern performance targets and how much organizational stretch to build in

Question No: 24 (Marks: 1) - Please choose one

Which of the following is a key merit of strategic management?

▶ **Strategic management enables an organization to be proactive**

- ▶ Strategic management enables an organization to avoid the threats
- ▶ Strategic management enables an organization to defeat their competitors
- ▶ Strategic management enables an organization to foresee into the future

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Question No: 25 (Marks: 1) - Please choose one

Which of the following statements describes a company's strategic vision?

► Gives a broad, aspiration image of the future that an organization is aiming to achieve

- Sets forth the long-range financial and strategic performance targets that organization seeks to achieve
- Indicates the boundaries of the company's present business
- Reflects how strategic objectives are to be achieved

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a key question that can reveal internal strengths and weaknesses of the marketing department?

- Does the firm have effective sales?
- Are markets segmented effectively?
- Are the firm's products and services priced appropriately?
- Does the firm have good liquidity?

PG#63

Marketing Audit Checklist of Questions

Similarly as provided earlier for management, the following questions about marketing are pertinent:

1. Are markets segmented effectively?
2. Is the organization positioned well among competitors?
3. Has the firm's market share been increasing?
4. Are present channels of distribution reliable and cost-effective?
5. Does the firm have an effective sales organization?
6. Does the firm conduct market research?
7. Are product quality and customer service good?
8. Are the firm's products and services priced appropriately?
9. Does the firm have an effective promotion, advertising, and publicity strategy?
10. Are marketing planning and budgeting effective?
11. Do the firm's marketing managers have adequate experience and training?

Question No: 27 (Marks: 1) - Please choose one

The corporate social policy should be reaffirmed or changed during which phase of strategic management?

- Strategy control

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► Strategy implementation

► Strategy formulation

► **Strategy evaluation**

Corporate social policy should be designed and articulated during strategy formulation, set and administered during strategy implementation, and reaffirmed or changed during strategy evaluation

Question No: 28 (Marks: 1) - Please choose one

Question No: 28 (Marks: 1) - Please choose one

All of the following are the circumstances when forward integration strategies are beneficial to be practiced **EXCEPT**:

► Availability of quality distributors is limited

► **Existing markets for present products are saturated**

► Advantages of stable production are high

► Present distributors have high profit margins

☐ Present distributors are expensive, unreliable, or incapable of meeting firm's needs

☐ **Availability of quality distributors is limited**

☐ When firm competes in an industry that is expected to grow markedly

☐ Organization has both capital and human resources needed to manage new business of distribution

☐ **Advantages of stable production are high**

☐ **Present distributors have high profit margins**

PAPER 10

Question No: 1 (Marks: 1) - Please choose one

According to 'Peter Drucker', what is the prime task of strategic management?

To develop the vision of the business

Effectively evaluate the strategies

To think through the overall mission of a business

Develop alternative set of strategies

Question No: 2 (Marks: 1) - Please choose one

Intuition is useful for decision making in all the following situations EXCEPT:

Conditions of great uncertainty

Highly independent variables available

Conditions with little precedent

Several plausible alternatives to choose from

Intuitions help in decision making where:

o Uncertainty prevails

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o Little or no precedence exists

o **Highly interrelated variables exist**

o **A choice from various possible alternatives is needed**

o Intuition and analytical judgment requires inputs from all managerial levels

o Analytical thinking and intuitive thinking complement one another

Question No: 3 __ (Marks: 1) - Please choose one

Which of the following is often considered the first step in strategic planning?

Devising a mission statement

Developing a vision statement

Setting annual objectives

Formulating set of strategies

Developing a vision statement is often considered the first step in strategic planning,

Question No: 4 __ (Marks: 1) - Please choose one

Long term objectives includes all of the following EXCEPT:

Measurable

Reasonable

Varying

Consistent

Objectives should be challenging, measurable, consistent, reasonable, and clear.P#9

Question No: 5 (Marks: 1) - Please choose one

Which of the following business actions is NOT considered to be unethical?

Poor product or service safety

Using non-union labor in a union shop

Misleading advertising

Too expensive products

Question No: 6 __ (Marks: 1) - Please choose one

Where an organization takes into account the effect of its strategic decisions on the Society, the firm is taking care of:

Corporate governance

Business policy

Business ethics

Social policy

Question No: 7 __ (Marks: 1) - Please choose one

The corporate social policy should be reaffirmed or changed during which phase of strategy management?

Strategy control Strategy

implementation

Strategy formulation

Strategy evaluation

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(Q# 6 and 18)

http://wps.prenhall.com/bp_david_sm_12/87/22399/5734384.cw/content/index.html

Corporate social policy should be designed and articulated during strategy formulation, set and administered during strategy implementation, and reaffirmed or changed during strategy evaluation.

Question No: 8 (Marks: 1) - Please choose one

One of the important components of a mission statement is Technology, which of the following question is correct about technology as a mission component?

Is the firm using technology for the manufacturing its products?

Is the firm technologically current?

Is the firm producing technology oriented products (like electronics)?

Is the firm using technology to deal with customer complaints?

Question No: 9 (Marks: 1) - Please choose one

Suppose, the value of the currency of a certain country falls, what can be the effect on companies in Different Industries and in Different Locations in that country respectively?

Significant and equal

Marginal and equal

Significant and unequal

Insignificant and unequal

Question No: 10 __ (Marks: 1) - Please choose one

Which type of trend can be exemplified by the increase in average level of education in a society?

Cultural

Technological

Economic

Social

Question No: 11 (Marks: 1) - Please choose one

Political variables have a significant effect on which one of the following?

Formulation and implementation of strategy

Formulation and evaluation of a strategy

Implementation and evaluation of a strategy

Formulation, implementation and evaluation of a strategy

Impact of political variables

☐ Formulation of Strategies

☐ Implementation of Strategies

Question No: 12 __ (Marks: 1) - Please choose one

Rehman industries, a leading firm of the industry is analyzing the technological forces for the firm which may provide it opportunities and threats for which stage/s of strategic

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management process?

Strategy formulation

Strategy implementation

Strategy evaluation

All of the given options

Question No: 13 __ (Marks: 1) - Please choose one

Which one of the statements is a good example of the competitive power of substitute products?

The competition between cellular phones and computers

The competition between Aspirin and joshanda

The competition between contact lens and eyeglasses

The competition between Amazon.com and traditional off-line bookstores

Indirect competitors sell products that can be substitutes for existing products such as contact lenses as a substitute for glasses.

<http://www.uts.utoronto.ca/~bovaird/c41/4-porter.htm>

Question No: 14 __ (Marks: 1) - Please choose one

While preparing an External Factor Evaluation Matrix, a total score of 0.8 indicates that:
Firm is taking advantages of strengths and avoiding threats

Firm is taking no advantage of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question No: 15 __ (Marks: 1) - Please choose one

What is the difference between CPM and EFE?

CPM includes both internal and external issues

The weight and total weighted score mean opposite

CPM ratings range from 1 to 10

CPM is performed only for the large businesses

One difference between CPM and EFE is that

- a. **CPM includes both internal and external issues.**
- b. the weight and total weighted score mean opposite.
- c. CPM ratings range from 1 to 10.
- d. CPM is performed only for the company, whereas EFE is performed for both the company and the competitors.

Ans: a

Page: 112

Question No: 16 (Marks: 1) - Please choose one

Assigning rating '2' to an internal factor in IFE matrix indicates what?

Major weakness

Minor weakness

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Minor strength

Major strength

Question No: 17 ____ (Marks: 1) - Please choose one

What is Synergy?

An act of formulating a program for a definite course of action

When a team effort is used to achieve desired results

When individuals work separately to achieve desired results

When financial expectations of the firm are decided upon

Question No: 18 ____ (Marks: 1) - Please choose one

Which of the following allows an organization to test alternative marketing plans and to forecast future sales of new products?

Marketing

Advertisement

Test marketing

Customer analysis

Question No: 19 ____ (Marks: 1) - Please choose one

All of the following are the consideration for a company when conducting test marketing EXCEPT:

What advertising channel should be used for test?

How many cities to include for test?

What information to collect during the test?

What action to take after the test has been completed?

Question No: 20 ____ (Marks: 1) - Please choose one

Waseem & Sons primarily want to gain control over the prices charged to consumers. What strategy will most likely be followed by Waseem & Sons?

Market penetration

Product development

Forward integration

Concentric Diversification

Question No: 21 ____ (Marks: 1) - Please choose one

Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization?

Investment decision

Financing decisions

Restructuring decisions

Strategic decision

Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization?

a. **Investment decision**

b. **Dividend decisions**

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c. Financing decisions

d. Restructuring decisions

Ans: a Page: 138

Question No: 22 (Marks: 1) - Please choose one

Which of the following ratios is least likely to be helpful in evaluating a firm's decision regarding dividend?

Earnings-per-share ratio

Long-Term Debt-to-Equity Ratio

Dividends-per-share ratio

Price-earnings ratio

Question No: 23 __ (Marks: 1) - Please choose one

Exclusive access to high grade natural resources is an example of which of the following?

Strength

Weakness

Opportunity

Threat

Strengths

A firm's strengths are its **resources** and capabilities that can be used as a basis for developing a competitive advantage. Examples of such strengths include:

- patents
- strong brand names
- good reputation among customers
- cost advantages from proprietary know-how
- **exclusive access to high grade natural resources**
- favorable **access** to distribution networks

Question No: 24 __ (Marks: 1) - Please choose one

Which of the following refers to the belief related to objectives setting that the true measure of a really good strategist is the ability to solve problems?

Managing by objectives

Managing by extrapolation

Managing by crisis

Managing by subjectives

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Question No: 25 __ (Marks: 1) - Please choose one

Which of the following is sometimes referred as “the mystery approach to decision making, when subordinates are left to figure out what is happening and why”?

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question No: 26 (Marks: 1) - Please choose one

Which of the following term describes “the merging of two or more businesses at the same level of production in some formal, legal relationship”?

Backward integration

Horizontal integration

Market penetration

Market development

Question No: 27 (Marks: 1) - Please choose one

“Ghulam Nabi, a farmer sells his crops at the local market rather than to a distribution center”. This action of Ghulam Nabi comes under which of the following?

Backward integration

Product development

Forward integration

Horizontal integration

A good example of forward integration is when a farmer sells his/her crops at the local market rather than to a distribution center.

<http://www.investopedia.com/terms/f/forwardintegration.asp>

Question No: 28 __ (Marks: 1) - Please choose one

Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

Conglomerate diversification

Forward integration

Backward integration

Horizontal diversification

Question No: 29 (Marks: 1) - Please choose one

If Farhan Bakers buys wheat farm in order to reduce the risk associated with the dependency on flour. Farhan Bakers is looking for which of the following strategy?

Conglomerate diversification

Forward integration

Backward integration

Horizontal diversification

A good example would be if a bakery business bought a wheat farm in order to reduce the risk

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associated with the dependency on flour

<http://www.investopedia.com/terms/b/backwardintegration.asp>

Question No: 30 (Marks: 1) - Please choose one

Which of the following is a drawback or limitation of Horizontal Integration?

Synergies may be more imaginary than real

It can increase suppliers' and buyers' bargaining power

Economies of scale are likely to be decreased

Both the first & third options are correct

Question No: 31 ____ (Marks: 1) - Please choose one

In Porter's Generic Strategies Model, which of the following statement is correct about Focus Strategy?

Selling a limited range of products

Selling to a narrow customer segment

Selling to one region only

Selling simple products that are cheap

Question No: 32 ____ (Marks: 1) - Please choose one

Market penetration is one of the intensive strategies. Which one of the following best describes market penetration?

- Protecting and strengthening the organization's sales by improving present products or services or developing new products

- Protecting and strengthening the organization's position in new markets through its current products

- **Protecting and strengthening the organization's position in its current markets through its current products**

- Protecting and strengthening the organization's position by adding new, unrelated products for present customers

Question No: 33 ____ (Marks: 1) - Please choose one

"Substantial changes to the range of offerings or the markets served or both" is referred as:

Differentiation

Diversification

Relocation

Brand extension

(Q#3)<http://www.oup.com/uk/orc/bin/9780199288304/01student/mcqs/ch08/>

Question No: 34 ____ (Marks: 1) - Please choose one

Under which of the following conditions, Concentric Diversification would be particularly an effective strategy to pursue?

- When an organization has grown so large so quickly that major internal

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reorganization is needed

• **When sales of current products would increase intensively by adding the new related products**

- When revenues from current products/services would increase significantly by adding the new unrelated products
- When current products are in maturity stage of the product life cycle

Question No: 35 (Marks: 1) - Please choose one

Rose Company markets new products or services that have no technological or commercial synergies with current products, but which may appeal to new groups of customers. Which strategy is being adopted by Rose Company?

Horizontal diversification

Horizontal integration

Conglomerate diversification

Backward integration

Question No: 36 (Marks: 1) - Please choose one

Smoothies Tire & Rubber Co. is selling its North American tire business to Avinza International, is an example of which type of strategy?

Related diversification

Retrenchment

Divestiture

Liquidation

Question No: 37 (Marks: 1) - Please choose one

Mergers and acquisitions are created for all of the following reasons EXCEPT:

For gaining new technology

For reduction of tax obligations

For gaining economies of scale

For increase in number of employees

David Chapter 5 Mergers and acquisitions, including the following:

- To provide improved capacity utilization.
- To make better use of an existing sales force.
- To reduce managerial staff.
- To gain economies of scale.**
- To smooth out seasonal trends in sales.
- To gain access to new suppliers, distributors, customers, products, and creditors.
- To gain new technology.**
- To reduce tax obligations**

Question No: 38 (Marks: 1) - Please choose one

Which of the following is defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

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Strategy formulation

Strategy evaluation

Strategy implementation

Strategic management

Strategic Management can be defined as “the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objective

Question No: 39 (Marks: 1) - Please choose one

Which of the following stages of strategic management helps the management to know when particular strategies are not working well?

Strategy formulation

Strategy implementation

Strategy evaluation

All of the given options

Strategy evaluation is the final stage in the strategic management process. Management desperately needs to know when particular strategies are not working well;

Question No: 40 (Marks: 1) - Please choose one

Developing vision and mission statements is important because of the following reasons EXCEPT:

They are the basis for allocating resources

They are useful for large firms only

They establish organizational culture

They translate objectives into work structure

PAPER 11

Question No: 1 (Marks: 1) - Please choose one

Various job titles of a strategist may include all of the following EXCEPT:

► Owner

► **Foreman**

► Chancellor

► Chief executive officer

Page6 various job titles, such as chief executive officer, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur.

Question No: 2 (Marks: 1) - Please choose one

Which of the following is often considered the first step in strategic planning?

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► Devising a mission statement

► **Developing a vision statement**

► Setting annual objectives

► Formulating set of strategies

(page 6) Developing a vision statement is often considered the first step in strategic planning

Question No: 3 (Marks: 1) - Please choose one

Which of the following can be considered as a factor of internal strengths and weaknesses of an organization?

► Technological changes

► **Production/operations**

► Demographics

► Competitive trends

P#8 Internal Strengths and Weaknesses/Internal assessments They arise in the management, marketing, finance/accounting, production/operations, research and development, and computer information systems activities of a business

Question No: 4 (Marks: 1) - Please choose one

All of these are pitfalls of an organization in strategic planning EXCEPT:

► Failing to involve key employees in all phases of planning

► Using strategic planning to gain control over decisions and resources

► **Using plans as a standard for measuring performance**

► Being so formal in planning that flexibility and creativity are stifled

(page 14)

1. Using strategic planning to gain control over decisions and resources

2. 9. Failing to involve key employees in all phases of planning

3. 13. Being so formal in planning that flexibility and creativity are stifled.

Question No: 5 (Marks: 1) - Please choose one

Which of the following is the greatest advantage of international operations?

► Reduced tariffs and taxes

► Access to global business practices

► **Gaining new customers**

► Less-intense competition

Question No: 6 (Marks: 1) - Please choose one

Which component of a mission statement addresses the basic beliefs, values, aspirations, and ethical priorities of the firm?

► Technology

► **Philosophy**

► Customers

► Self-concept

Question No: 7 (Marks: 1) - Please choose one

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What will happen to the Pakistani exports in overseas markets when there is a strong value of rupee?

- ▶ Pakistani exports will be less expensive
- ▶ **Pakistani exports will be more expensive**
- ▶ Pakistani exports will be more attractive
- ▶ Pakistani exports will be desirable

Question No: 8 (Marks: 1) - Please choose one

Which of the following can be considered as barriers to entering a market or industry?

- ▶ The lack of economies of scale and experience and low levels of brand loyalty
- ▶ The presence of large number of rivals already in the industry
- ▶ **Relatively large capital requirements and industry have economies of scale**
- ▶ The absence of tariffs, trade restrictions, and/or government-mandated regulations

Question No: 9 (Marks: 1) - Please choose one

Which of the following are the five forces that affect the level of competition in an industry?

- ▶ Threat of recession; power of buyers; power of suppliers; threat of management failure; competitive rivalry
- ▶ Threat of entry; power of buyers; power of suppliers; threat of substitutes; government action
- ▶ **Threat of entrants; power of buyers; power of suppliers; threat of substitutes; competitive rivalry**
- ▶ Threat of buyers; power of entry; power of substitutes; threat of suppliers; threat of recession

Question No: 10 (Marks: 1) - Please choose one

Keeping strategies secret from employees and stakeholders can do all of the following EXCEPT:

- ▶ **Provide competitive advantage to competitors**
- ▶ hinder employee and stakeholder communication
- ▶ Reduces employee and stakeholder understanding
- ▶ Minimize employee and stakeholder commitment

<http://www.1sheproduction.com/design/8020/downloads/14.pdf>

Keeping strategies secret from employees and stakeholders at large could severely inhibit employee and stakeholder communication, understanding, and commitment and also forgo valuable input that these persons could have regarding formulation and/or implementation of that strategy

Question No: 11 (Marks: 1) - Please choose one

While preparing an External Factor Evaluation Matrix, a total score of 0.8 indicates that:

- ▶ Firm is taking advantages of strengths and avoiding threats

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- ▶ Firm is taking no advantage of opportunities and is avoiding threats
- ▶ **Firm is not taking advantages of opportunities and is not avoiding threats**
- ▶ Firm is taking advantage of opportunities and is avoiding the threats

Question No: 12 (Marks: 1) - Please choose one
Which of the following can be the strength of an organization?

- ▶ A developing market
- ▶ A new international market
- ▶ Loosening of regulation
- ▶ **Strong management team**

Question No: 13 (Marks: 1) - Please choose one
Assigning rating '2' to an internal factor in IFE matrix indicates what?

- ▶ Major weakness
- ▶ **Minor weakness**
- ▶ Minor strength
- ▶ Major strength

Question No: 14 (Marks: 1) - Please choose one
Which of the following are signs of strength in a company's competitive position?

- ▶ A debt-to-asset ratio below 0.50 and a positive net cash flow
- ▶ A website with extensive information about the company and its product line
- ▶ R&D and advertising expenditures greater than \$10 million annually
- ▶ **A strongly differentiated product and a strong or rising market share**

(Q#3)<http://www.scribd.com/doc/25776923/-Question-Bank-of-Production-Operations-Mngt-1-2-Mark>

Question No: 15 (Marks: 1) - Please choose one
As managers move up the organization, they perform which of the management function more?

- ▶ Leading
- ▶ Controlling
- ▶ Organizing
- ▶ **Planning**

Question No: 16 (Marks: 1) - Please choose one
What is the essential bridge between the present and the future that increases the likelihood of achieving desired results?

- ▶ Motivating
- ▶ **Planning**
- ▶ Controlling
- ▶ Organizing

(page 55) Planning is the: Start of the process Bridge between present and future, Increases likelihood of achieving desired results

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Question No: 17 (Marks: 1) - Please choose one

Which of the following is the process of using the resources and personnel of an organization in an orderly way to achieve the objectives and long-term goals of the organization?

- ▶ Planning
- ▶ Staffing
- ▶ Leading
- ▶ **Organizing**

Question No: 18 (Marks: 1) - Please choose one

Waseem & Sons primarily want to gain control over the prices charged to consumers.

What strategy will most likely be followed by Waseem & Sons?

- ▶ Market penetration
- ▶ Product development
- ▶ **Forward integration**
- ▶ Concentric Diversification

Question No: 19 (Marks: 1) - Please choose one

Distribution includes which of the following?

- ▶ Customer analysis
- ▶ **Warehousing**
- ▶ Advertising
- ▶ Test marketing

Question No: 20 (Marks: 1) - Please choose one

Which of the following is NOT the decisions regarding "Capacity" function of production management?

- ▶ Scheduling
- ▶ Capacity planning
- ▶ **Process flow analysis**
- ▶ Queuing analysis

Capacity decisions concern determination of optimal output levels for the organization—not too much and not too little. Specific decisions include forecasting, facilities planning, aggregate planning, **scheduling, capacity planning, and queuing analysis**

Question No: 21 (Marks: 1) - Please choose one

All of the following are functional support roles of Management Information System EXCEPT:

- ▶ Recording and storing accounting records
- ▶ Recording and storing inventory data
- ▶ Recording and storing business intelligence data
- ▶ **The enhanced ability to explore "what if"**

Question No: 23 (Marks: 1) - Please choose one

The Web sites that sell products directly to the consumers are the examples of which type of strategy?

- ▶ Backward integration

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- ▶ Product development
- ▶ **Forward integration**
- ▶ Horizontal integration

Question No: 24 (Marks: 1) - Please choose one
Which of the followings best describes the Horizontal Integration?

- ▶ A firm takes over a supplier
- ▶ A firm takes over a distributor
- ▶ **A firm takes over a competitor**
- ▶ A firm takes over a manufacturer

(page 80 and 84) Horizontal integration refers to a strategy of seeking ownership of or increased control over a firm's competitors.

Question No: 25 (Marks: 1) - Please choose one

One of the strategies adopted by MM Corporation is: "Increasing market share through charging lower prices, while still making a reasonable profit on each sale because of reduced costs". MM Corporation is following which of the following strategy?

- ▶ Best-value
- ▶ **Cost leadership**
- ▶ Best-value focus
- ▶ Differentiation

Question No: 26 (Marks: 1) - Please choose one

In Porter's Generic Strategies Model, which of the following statement is correct about Focus Strategy?

- ▶ Selling a limited range of products
- ▶ **Selling to a narrow customer segment**
- ▶ Selling to one region only
- ▶ Selling simple products that are cheap

Question No: 27 (Marks: 1) - Please choose one

The extent to which a business concentrates on a narrowly defined market is best referred to as:

- ▶ **Niche strategy**
- ▶ Cost leadership strategy
- ▶ Differentiation strategy
- ▶ Segmentation

In this strategy the firm concentrates on a select few target markets. It is also called a focus strategy or niche strategy. It is hoped that by focusing your marketing efforts on one or two narrow market segments and tailoring your marketing mix to these specialized markets, you can better meet the needs of that target market.

Question No: 28 (Marks: 1) - Please choose one

Which strategy seeks to increase market share of present products or services in present markets through greater marketing efforts?

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► Market penetration

- Market development
- Backward integration
- Product development

A market-penetration strategy seeks to increase market share for present products or services in present markets through greater marketing efforts.

Question No: 29 (Marks: 1) - Please choose one

Product development involves going in the direction of which one of the following?

- Present products to present markets
- Present products to new markets

► New products to present markets

- New products to new markets

(Q#11) <http://www.oup.com/uk/ore/bin/9780199288304/01student/mcqs/ch08/?view=za>

Question No: 30 (Marks: 1) - Please choose one

Under which of the following conditions, Concentric Diversification would be particularly an effective strategy to pursue?

- When an organization has grown so large so quickly that major internal reorganization is needed

► When sales of current products would increase intensively by adding the new related products

- When revenues from current products/services would increase significantly by adding the new unrelated products
- When current products are in maturity stage of the product life cycle

Question No: 31 (Marks: 1) - Please choose one

Mostly large firms are initiating plans to acquire another unrelated business because it represents the most promising investment opportunity that is available to them. This type of strategic plan is known as:

► Conglomerate diversification

- Backward integration
- Concentric diversification
- Divestiture

Conglomerate Diversification

Adding new, unrelated products or services

Adding new, unrelated products or services is called *conglomerate diversification*. Some firms pursue conglomerate diversification based in part on an expectation of profits from breaking up acquired firms and selling divisions piecemeal.

Which of the following is NOT a situation when an organization should use an unrelated diversification strategy?

- When an organization's present channels of distribution can be used to market the new products to current customers

► Revenues from current products/services would increase significantly by adding the

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new related products

- ▶ When an organization competes in a highly competitive and/or a no-growth industry
- ▶ When the new products have counter-cyclical sales patterns compared to an organization's present products

Ref: <http://www.slideshare.net/mukeshkumar84/growth-strategy-presentation>

Revenues from current products/services would increase significantly by adding the new unrelated products

Question No: 33 (Marks: 1) - Please choose one

The company acquires or develops new products that could appeal to its current customer groups even though those new products may be technologically unrelated to the existing product lines. Which of the following best describes the statement?

- ▶ Retrenchment
- ▶ **Horizontal diversification**
- ▶ Market development
- ▶ Horizontal integration

Horizontal Diversification

Adding new, unrelated products or services for present customers

Question No: 34 (Marks: 1) - Please choose one

Mergers and acquisitions are created for all of the following reasons EXCEPT:

- ▶ For gaining new technology
- ▶ For reduction of tax obligations
- ▶ For gaining economies of scale
- ▶ **For increase in number of employees**

Question No: 35 (Marks: 1) - Please choose one

A joining of two companies through one company buying more than one half of the other company's stocks is known as:

- ▶ Monopolization
- ▶ A spin-off
- ▶ An acquisition
- ▶ **A merger**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

- ▶ Strategy formulation
- ▶ Strategy evaluation
- ▶ Strategy implementation
- ▶ **Strategic management**

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements describes a company's strategic vision?

- ▶ **Gives a broad, aspiration image of the future that an organization is aiming to achieve**

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- ▶ Sets forth the long-range financial and strategic performance targets that organization seeks to achieve
- ▶ Indicates the boundaries of the company's present business
- ▶ Reflects how strategic objectives are to be achieved

Question No: 38 (Marks: 1) - Please choose one
Which of the following is FALSE about vision and mission statements?

▶ **Vision statement gives the overall purpose of an organization while a mission statement describes a picture of the preferred future**

- ▶ A vision statement describes how the future will look if the organization achieves its mission and a mission statement explains what the organization does
- ▶ Mission statement answers the questions what is our business and the vision statement answers the question what do we want to become
- ▶ Mission statement explains the current position and activities of a firm whereas vision statement explains the future objective

Question No: 39 (Marks: 1) - Please choose one
Developing vision and mission statements is important because of the following reasons EXCEPT:

- ▶ They are the basis for allocating resources
- ▶ **They are useful for large firms only**
- ▶ They establish organizational culture
- ▶ They translate objectives into work structure

Question No: 40 (Marks: 1) - Please choose one
A series of ratios that measure the extent to which a firm has been financed by debt is known as:

- ▶ Activity ratios
- ▶ **Leverage ratios**
- ▶ Profitability ratios
- ▶ Liquidity ratios

PAPER 12

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Question No: 1 (Marks: 1) - Please choose one

Vision and mission statements can often found

At the back of annual report

In the front of annual reports

In executive summary

In annexure

(question # 3) http://wps.prenhall.com/bp_david_sm_11/44/11473/2937097.cw/index.html

Question No: 2 (Marks: 1) - Please choose one

Carefully prepared statements of vision and mission are widely recognized as

The last step of strategic management

Middle level steps in strategic management

The first step in strategic management

None of the mentioned options

19. Carefully prepared statements of vision and mission are widely recognized as the first step in strategic management

http://docs.google.com/viewer?a=v&q=cache:XTEoCDUDgfMJ:site.iugaza.edu.ps/melfarra/files/2010/10/final-exam-stratg-ba2009.doc+%22Carefully+prepared+statements+of+vision+and+mission+are+widely+recognize+d+%22&hl=en&gl=pk&pid=bl&srcid=ADGEESiSpPNK13n7TxwTae4UvDFHI5T5Gf9EypvYQSI-GazN-ogClrv5gXbVfEhLvJzTbc-iJ1BfhR37pR-GJAN7f5I9ymBshGJgJkY1IBkrnmQjgzA4Ocqp_htLHCPArJKlA2TdY7&sig=AHIEtbQHJHzy8jt5qMOQ26wHJEarIs54XA&pli=1

Question No: 3 (Marks: 1) - Please choose one

Environmental changes

Should change a mission statement

Should not change a mission statement

Should not have any effect on organization

None of the mentioned options

Environmental changes should not change a mission statement.

http://baehrisch.com/mediapool/85/850919/data/Spring11_StratMgt/QuestionsCh2.pdf

Question No: 4 (Marks: 1) - Please choose one

Industry analysis is also referred to as

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Internal strategic management audit

External strategic management audit

Strengths and weakness analysis

None of the mentioned options

(page 28) In this lecture we will examine the tools and concepts needed to conduct an external strategic-management audit (sometimes called environmental scanning or industry analysis).

(page 7) The process of conducting research and gathering and assimilating external information is sometimes called environmental scanning or industry analysis.

Question No: 5 (Marks: 1) - Please choose one

_____ can be the most important part of an external audit for firms that depend heavily on government contracts.

Environmental forecasts

Demographic forecasts

Technological forecasts

Political forecasts

forecasts can be the most important part of an external audit. Changes in patent laws, antitrust legislation, tax rates, and lobbying activities can affect firms significantly.

CHAPTER 3

Political forecasts can be the most important part of an external audit for firms that depend heavily on government contracts.

Ans: T

Page: 89

Question No: 6 (Marks: 1) - Please choose one

Forward integration is used by firms to gain control or ownership of:

Customers

Suppliers

Distributors

None of the mentioned options

(page 80) Gaining ownership or increased control over distributors or retailers

Question No: 7 (Marks: 1) - Please choose one

_____ can be the most important force impacting competitive advantage.

The bargaining power of consumers

The bargaining power of suppliers

The bargaining power of distributors

None of the mentioned options

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When customers are concentrated or large, or buy in volume, their bargaining power

represents a major force affecting intensity of competition in an industry

<http://mgmt.iisc.ernet.in/~piyer/MB%20401%20Strategic%20Management%20Syllabus%2026-01-2006.pdf>

Question No: 8 (Marks: 1) - Please choose one

Forecasts are educated assumptions about

Customers

Political issues

Future trends and events

None of the mentioned options

Planning is more than extrapolating from the past and present into the future. It also includes developing a mission, **forecasting future events and trends**, establishing objectives, and choosing strategies to pursue.

Forecasts are educated assumptions about future trends and events

<http://www.google.com/cse?q=Forecasts+are+educated+assumptions+about&cx=009082049742022073901%3A2x6ayxzcfq0&ie=UTF-8&hl=en-US>

Question No: 9 (Marks: 1) - Please choose one

Quantitative forecasts become _____ as historical relationships become less stable.

Less accurate

More accurate

More constant

None of the mentioned options

CHAPTER 3

Quantitative forecasts become less accurate as historical relationships become less stable.

Ans: T

Page: 105

Question No: 10 (Marks: 1) - Please choose one

Globalization is a process of worldwide integration of _____ activities

Strategy formulation

Strategy implementation

Strategy evaluation

All of the above mentioned options

(PAGE#3) **<http://www.scribd.com/doc/40055786/Download>**

Question No: 11 (Marks: 1) - Please choose one

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The critical success factors in a Competitive Profile Matrix are often _____ as those in an EFE Matrix.

Different

Same

Identical

None of the mentioned options

(page 46) There are some important differences between the EFE and CPM.

Question No: 12 (Marks: 1) - Please choose one

Intensity of competition _____ in lower-return industries.

Is lowest

Is non-existent

Is highest

Is not important

Intensity of competition is _____ in lower-return industries.

lowest

non-existent

highest

not important

Ans: c

Page: 98

Question No: 13 (Marks: 1) - Please choose one

A _____ is a standardized, detailed set of techniques and behaviors that manage anxieties but seldom produce intended, technical consequences of practical importance.

Ritual

Rite

Metaphor

None of the mentioned options

Ritual: A standardized, detailed set of techniques and behaviors that manage anxieties, but seldom produce intended, technical consequences of practical importance

Question No: 14 (Marks: 1) - Please choose one

The only certain thing about the future of any organization is _____.

Customer

Change

Culture

Stakeholder

The only certain thing about the future of any organization is change.

Ans: T

Page: 128

Question No: 15 (Marks: 1) - Please choose one

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_____ is the management function that is most important for the _____ stage of the strategic management process.

Controlling, implementation

Evaluation, formulation

Controlling, evaluation

None of the mentioned options

Quizzes File

Question # 8 of 20 (Start time: 08:32:37 PM) Total Marks: 1

Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

Select correct option:

Conglomerate diversification

Forward integration

Backward integration

Horizontal diversification

Question # 16 of 20 (Start time: 08:34:56 PM) Total Marks: 1

Which of the following is not a key question that can reveal internal strengths and weaknesses of the marketing department?

Select correct option:

Does the firm have an effective sales organization?

Are markets segmented effectively?

Are the firm's products and services priced appropriately?

Does the firm have good liquidity?

Question # 13 of 20 (Start time: 05:43:44 PM) Total Marks: 1

Strategy formulation stage includes all of the following EXCEPT:

Select correct option:

Vision and mission

Strength and weakness

Opportunities and threats

Annual objectives

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Question # 16 of 20 (Start time: 05:44:35 PM) Total Marks: 1

All of the following would represent possible threats to the ABC Company EXCEPT which one of the following?

Select correct option:

Entrance of new competitors

Improved buyer or supplier relationships

New or revised regulations

Slow industry/market growth

Question # 20 of 20 (Start time: 05:46:00 PM) Total Marks: 1

Exclusive access to high grade natural resources is an example of which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 10 of 20 (Start time: 05:52:41 PM) Total Marks: 1

Which of the following environment includes all those factors which affect the organization and itself affected by the organization?

Select correct option:

External environment

Social environment

Task environment

Internal environment

Question # 19 of 20 (Start time: 05:54:44 PM) Total Marks: 1

Which of the followings deals with the management of inputs, transformations and outputs that vary across industries and markets?

Select correct option:

Marketing

Finance

Operations

Distribution

Question # 7 of 20 (Start time: 06:02:40 PM) Total Marks: 1

Intuition is based on all of the following factors EXCEPT:

Select correct option:

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Past experiences

Judgments

Uncertainties

Feelings

Question # 8 of 20 (Start time: 06:03:07 PM) Total Marks: 1

In adapting to change an organization must monitor which of the following?

Select correct option:

Ongoing processes

Internal and external events

Timely changes

All of the given options

Question # 14 of 20 (Start time: 06:04:35 PM) Total Marks: 1

All of the following statements are true about a firm's mission statement EXCEPT:

Select correct option:

A mission statement does not directly contribute positively to financial performance.

A mission statement directly contributes positively to financial performance.

A mission statement should not provide useful criteria for selecting among alternative strategies.

Primary reason to develop a mission statement is not to attract the customers

Question # 15 of 20 (Start time: 06:05:08 PM) Total Marks: 1

Which of the following is an example of a narrow mission?

Select correct option:

We sell packaged pineapples

The firm deals in beverages

Stationery is our product

Company manufactures food items

Question # 9 of 20 (Start time: 06:09:32 PM) Total Marks: 1

Which of the following statement is TRUE about a Vision statement of a company?

Select correct option:

It concentrates on future

It defines the customers

It identify critical processes

It informs about the desired level of performance

Question # 12 of 20 (Start time: 06:10:24 PM) Total Marks: 1

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Which of the following is best identified as a statement that presents “a firm's big picture statement, describing a desired end-state, general in scope, and not restrictive”?

Select correct option:

Corporate philosophy statement

Company creed

Vision statement

Mission statement

Question # 5 of 20 (Start time: 06:20:51 PM) Total Marks: 1

All of the following fall under Pricing decisions EXCEPT:

Select correct option:

Discounts

Credit terms

Markups

Dealer relations

Question # 5 of 20 (Start time: 06:27:20 PM) Total Marks: 1

Financial ratios are helpful in analyzing the relationship among which of the following?

Select correct option:

All assets and liabilities

Profits and costs

All functional areas of business

Sales and profitability

Question # 11 of 20 (Start time: 03:31:39 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "the true measure of a really good strategist is the ability to solve problems"?

Select correct option:

Managing by objectives

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 14 of 20 (Start time: 03:32:12 PM) Total Marks: 1

A system of several rites connected with a single occasion or event is known as:

Select correct option:

Myth

Ceremonial

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Saga

Legend

Question # 19 of 20 (Start time: 03:33:06 PM) Total Marks: 1

Which category of ratios measures a firm's ability to meet maturing short-term obligations?

Select correct option:

Profitability

Leverage

Liquidity

Activity

Question # 1 of 20 (Start time: 02:20:42 AM) Total Marks: 1

Which of the following directs at developing new products before competitors do at improving product quality or at improving manufacturing processes to reduce costs?

Select correct option:

Marketing

Opportunity analysis

Research and development

Management

Question # 2 of 20 (Start time: 02:21:46 AM) Total Marks: 1

All of the following are the outputs of a system EXCEPT:

Select correct option:

Tables

Charts

Data

Graphs

Question # 3 of 20 (Start time: 02:22:28 AM) Total Marks: 1

Defensive strategies include all of the following EXCEPT:

Select correct option:

Retrenchment

Acquisition

Divestiture

Liquidation

Question # 5 of 20 (Start time: 02:23:11 AM) Total Marks: 1

The XYZ Organization has a statement that describes the needs for which the

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organization was created to fill and answers the basic question of why the organization exists. XYZ is most likely to have any one of the following?

Select correct option:

Strategy

Vision statement

Mission statement

Functional tactics

Question # 6 of 20 (Start time: 02:23:23 AM) Total Marks: 1

Which group would be classified as a stakeholder?

Select correct option:

Communities

Banks

Suppliers

All of the given options

Question # 7 of 20 (Start time: 02:23:31 AM) Total Marks: 1

Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

It is known as statement of the corporate philosophy

Question # 8 of 20 (Start time: 02:23:43 AM) Total Marks: 1

Opportunity analysis is one of the basic functions of which one of the following?

Select correct option:

Computer information systems

Marketing

Production/operations

Research and development

Question # 9 of 20 (Start time: 02:24:53 AM) Total Marks: 1

Which of the following identified that “strategic management encourages forward thinking, favorable attitudes towards change and discipline to the management of business”?

Select correct option:

Greeley

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Greenly

Greenley

Greenwich

Question # 10 of 20 (Start time: 02:26:00 AM) Total Marks: 1

Financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Progression in profitability

Improvement in employee productivity

Expansion in the sales of business

Enhancement in productivity

Question # 11 of 20 (Start time: 02:26:23 AM) Total Marks: 1

The organizations that conduct business operations across national borders are known as which of the following?

Select correct option:

Domestic firms

Multinational corporations

Parent companies

Franchises

Question # 12 of 20 (Start time: 02:26:38 AM) Total Marks: 1

Lack of access to key distribution channel indicates which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 13 of 20 (Start time: 02:27:41 AM) Total Marks: 1

Which of the following is NOT a characteristic of well-constructed goals?

Select correct option:

Address important issues

Easy to remember

Precise and measurable

Challenging but realistic

Question # 14 of 20 (Start time: 02:27:59 AM) Total Marks: 1

Principles of conduct that guide decision-making are known as:

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Select correct option:

Human rights

Business ethics

The constitution

Social responsibility

Question # 15 of 20 (Start time: 02:28:17 AM) Total Marks: 1

Which of the following decisions determine the amount of funds that are retained in a firm compared to the amount paid out to stockholders?

Select correct option:

Financing

Investment

Capital

Dividend

Question # 16 of 20 (Start time: 02:29:04 AM) Total Marks: 1

What is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services?

Select correct option:

Management

Planning

Marketing Research

Market segmentation

Question # 17 of 20 (Start time: 02:29:44 AM) Total Marks: 1

Where an organization takes into account the effect of its strategic decisions on the society, the firm is taking care of which of these?

Select correct option:

Corporate governance

Business policy

Business ethics

Social policy

Question # 18 of 20 (Start time: 02:30:08 AM) Total Marks: 1

Which of the following term represents the enduring statement of purpose that distinguish one business from other similar firms?

Select correct option:

Vision

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Strategy

Mission

Tactics

Question # 19 of 20 (Start time: 02:30:25 AM) Total Marks: 1

Which of the following are the factors that concern the nature and direction of the economy in which a firm operates?

Select correct option:

Technological

Ecological

Social

Economic

Question # 20 of 20 (Start time: 02:30:40 AM) Total Marks: 1

Local, state, and national elections, world oil, currency, and labor markets, number of patents, special tariffs are the examples of which one of the following?

Select correct option:

Economic forces

Social, cultural and, demographic forces

Political, governmental, and legal forces

Competitive forces

Question # 1 of 20 (Start time: 02:47:34 AM) Total Marks: 1

All of the following are the basic functions of marketing EXCEPT:

Select correct option:

Selling products/services

Product and service planning

Marketing research

Arranging for finance

Question # 2 of 20 (Start time: 02:48:01 AM) Total Marks: 1

Which of the following is the benefit of strategic management?

Select correct option:

Fewer complexes

More complex

Less static

More profitable

Question # 3 of 20 (Start time: 02:48:08 AM) Total Marks: 1

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The analysis of industry's major competitors' strengths may give an insight of which one of these?

Select correct option:

Key threats for the firm

Key opportunities for the firm

Both opportunities and strengths for the firm

None of the given options

Question # 4 of 20 (Start time: 02:48:22 AM) Total Marks: 1

Which of the following is the process of influencing people to accomplish specific objectives?

Select correct option:

Staffing

Motivating

Controlling

Organizing

Question # 5 of 20 (Start time: 02:49:13 AM) Total Marks: 1

"A Good mission statement identifies the utility of a firm's products to its customers"; which of the following represents this statement?

Select correct option:

Organization's philosophy

Customer orientation

Social policy

Declaration of attitude

Question # 6 of 20 (Start time: 02:49:30 AM) Total Marks: 1

Which category of ratios measures "how effectively a firm can maintain its economic position in the growth of the economy and industry"?

Select correct option:

Liquidity

Leverage

Activity

Growth

Question # 7 of 20 (Start time: 02:50:43 AM) Total Marks: 1

Of the following, which one would NOT be considered one of the components of a mission statement?

Select correct option:

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The target market for XYZ is oil and gas producers as well as producers of chemicals
XYZ shall hire only those individuals who have with sufficient educational levels so as to be of benefit to our customers

The customers of XYZ shall include global and local consumers of gas and oil products and domestic users of nontoxic chemicals

The technologies utilized by XYZ shall focus upon development of alternative sources of gas and oil so as to remain competitive within the industry

Question # 8 of 20 (Start time: 02:50:58 AM) Total Marks: 1

When the Chief Executive of a chain of pharmacies decided to sell off or close some of the locations that were not profitable, he was performing which of the management function?

Select correct option:

Leading

Planning

Controlling

Organizing

Question # 9 of 20 (Start time: 02:52:09 AM) Total Marks: 1

Establishing and implementing ways of making things work is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 10 of 20 (Start time: 02:52:51 AM) Total Marks: 1

Buyers can exercise high bargaining power over their suppliers under which one of the following conditions?

Select correct option:

When there are many good substitutes of raw material

There are few buyers in the market

They have few suppliers to choose from

There is a high concentration of suppliers

Question # 11 of 20 (Start time: 02:53:42 AM) Total Marks: 1

Which of the following period strategic management was considered to be cure for all problems?

Select correct option:

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Mid 1950s to mid 1960s

Mid 1960s to mid 1970s

Mid 1970s to mid 1980s

Mid 1980s to mid 1990s

Question # 12 of 20 (Start time: 02:53:49 AM) Total Marks: 1

Which of the following is NOT a component of external environment analysis?

Select correct option:

Customer satisfaction feedback

Global impacts

Legal issues within the industry

Competitive position of rival companies

Question # 13 of 20 (Start time: 02:54:01 AM) Total Marks: 1

Investment decisions are also known as:

Select correct option:

Business finance

Capital structure

Capital budgeting

Dividend policy

Question # 14 of 20 (Start time: 02:54:36 AM) Total Marks: 1

Effective mission statements don't have one of the following features:

Select correct option:

Generate range of feasible strategic alternatives

Reconcile interests among diverse stakeholders

What does the firm want to become

Provide criteria for selecting strategies

Question # 15 of 20 (Start time: 02:54:50 AM) Total Marks: 1

Ethnic balance is affected due to which of the following?

Select correct option:

Change in ethnic values

Awareness of ethnic norms

Migration of the people towards different areas

Introduction of new laws relating to ethnicity

Question # 16 of 20 (Start time: 02:54:57 AM) Total Marks: 1

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Principles of conduct that guide decision-making are known as:

Select correct option:

Human rights

Business ethics

The constitution

Social responsibility

Question # 17 of 20 (Start time: 02:55:03 AM) Total Marks: 1

Which of the following can be considered one of the factors of external opportunities and threats of an organization?

Select correct option:

Production/ operations

Research & development

Competitive trends

Management information system

Question # 18 of 20 (Start time: 02:55:26 AM) Total Marks: 1

Which of the following ties all business functions together and provides the basis for all managerial decisions?

Select correct option:

Marketing

Information

Technology

Workforce

Question # 19 of 20 (Start time: 02:56:19 AM) Total Marks: 1

To whom a planning horizon of two to five years applies?

Select correct option:

Top management

Middle management

Lower management

All levels

Question # 20 of 20 (Start time: 02:57:39 AM) Total Marks: 1

When an industry relies heavily on government contracts, which of the following is important for the firm to foresee as a part of its external audit?

Select correct option:

Economic forces

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Political forces

Technological forces

Competitive forces

Question # 1 of 20 (Start time: 06:11:37 PM) Total Marks: 1

Which of the following can reveal the demographic characteristics of an organization's customers?

Select correct option:

Customer profiling

Test marketing

Market development

The vision statement

Question # 2 of 20 (Start time: 06:12:37 PM) Total Marks: 1

Which of the following is the greatest advantage of international operations?

Select correct option:

Reduced tariffs and taxes

Access to global business practices

Gaining new customers

Less-intense competition

Question # 3 of 20 (Start time: 06:12:54 PM) Total Marks: 1

Which of the following can be considered one of the factors of external opportunities and threats of an organization?

Select correct option:

Production/ operations

Research & development

Competitive trends

Management information system

Question # 4 of 20 (Start time: 06:13:08 PM) Total Marks: 1

In the process of developing a mission statement, which of the following is CORRECT?

Select correct option:

To involve as few managers as possible

To involve as many managers as possible

To involve upper-level management only

To involve the board of directors only

Question # 5 of 20 (Start time: 06:13:35 PM) Total Marks: 1

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What is the range for a firm's total weighted score in an External Factor Evaluation Matrix?

Select correct option:

0 to 5

0 to 4

1 to 5

1 to 4

Question # 6 of 20 (Start time: 06:14:47 PM) Total Marks: 1

When the Chief Executive of a chain of pharmacies decided to sell off or close some of the locations that were not profitable, he was performing which of the management function?

Select correct option:

Leading

Planning

Controlling

Organizing

Question # 7 of 20 (Start time: 06:14:55 PM) Total Marks: 1

In which of the following phase of strategic management, annual objectives are especially important?

Select correct option:

Formulation

Evaluation

Implementation

Management

Question # 8 of 20 (Start time: 06:15:10 PM) Total Marks: 1

Choose the economic variable from the list.

Select correct option:

Attitudes toward business

Attitudes toward product quality

Population changes by race

Stock market trends

Question # 9 of 20 (Start time: 06:15:25 PM) Total Marks: 1

Which component of a mission statement addresses the firm's distinctive competence or major competitive advantage?

Select correct option:

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Technology
Philosophy
Customers
Self-concept

Question # 10 of 20 (Start time: 06:15:38 PM) Total Marks: 1

HTML stands for which of the following?

Select correct option:

Hybrid text markup language
Hypertext Markup Language
Hyper text manufacture language
Highly technical markup language

Question # 11 of 20 (Start time: 06:15:45 PM) Total Marks: 1

In Competitive Profile Matrix, the rating 4 indicates what?

Select correct option:

Major weakness
Major strength
Minor strength
Minor weakness

Question # 12 of 20 (Start time: 06:17:08 PM) Total Marks: 1

Effective mission statements don't have one of the following features:

Select correct option:

Generate range of feasible strategic alternatives
Reconcile interests among diverse stakeholders
What does the firm want to become
Provide criteria for selecting strategies

Question # 13 of 20 (Start time: 06:17:20 PM) Total Marks: 1

Corporate social policy should be designed and articulated during which phase of strategic management?

Select correct option:

Implementation
Formulation
Evaluation
Management

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Question # 14 of 20 (Start time: 06:17:33 PM) Total Marks: 1

“A desired future state that the organization attempts to realize”. Identify the term relevant to the given statement.

Select correct option:

Goal

Strategy

Policy

Procedure

Question # 15 of 20 (Start time: 06:17:46 PM) Total Marks: 1

Identify the stages of strategic management process in a precise sequence.

Select correct option:

Strategy evaluation, strategy formulation & strategy implementation

Strategy evaluation, strategy implementation & strategy formulation

Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

Question # 16 of 20 (Start time: 06:18:00 PM) Total Marks: 1

Of the following, which one would NOT be considered one of the components of a mission statement?

Select correct option:

The target market for XYZ is oil and gas producers as well as producers of chemicals
XYZ shall hire only those individuals who have with sufficient educational levels so as to be of benefit to our customers

The customers of XYZ shall include global and local consumers of gas and oil products and domestic users of nontoxic chemicals

The technologies utilized by XYZ shall focus upon development of alternative sources of gas and oil so as to remain competitive within the industry

Question # 17 of 20 (Start time: 06:18:06 PM) Total Marks: 1

While preparing an External Factor Evaluation matrix, a total score of 0.8 indicates what?

Select correct option:

Firm is taking advantages of strengths and avoiding threats

Firm is not taking advantages of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question # 18 of 20 (Start time: 06:19:27 PM) Total Marks: 1

All of the following are the key opportunities or threats in external environment because

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of Political, Govt. & Legal force EXCEPT:

Select correct option:

Tax rates

Trust in government

Pak-India relationships

Patent laws

Question # 19 of 20 (Start time: 06:19:44 PM) Total Marks: 1

Identify the term that is known as a “mean of providing guidance to actions and procedures, including how resources are to be allocated and how tasks assigned to the organization might be accomplished”.

Select correct option:

Aspirations

Objectives

Policies

Goals

Question # 20 of 20 (Start time: 06:19:57 PM) Total Marks: 1

Opportunity analysis is one of the basic functions of which one of the following?

Select correct option:

Computer information systems

Marketing

Production/operations

Research and development

Question # 1 of 20 (Start time: 06:51:00 PM) Total Marks: 1

Total weighted scores of IFE matrix below 2.5 characterizes an organizations as:

Select correct option:

Organization is externally weak

Organization is internally weak

Organization is internally strong

Organization is externally strong

Question # 2 of 20 (Start time: 06:52:00 PM) Total Marks: 1

What happens to the demand for discretionary goods when interest rates rise?

Select correct option:

Rises

Declines

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Remains the same
First rises then declines

Question # 3 of 20 (Start time: 06:52:13 PM) Total Marks: 1
The mission statement answers which of the following question?
Select correct option:

What is our business?

How can we improve ourselves?
What do we want to become?
Who are our stakeholders?

Question # 4 of 20 (Start time: 06:52:28 PM) Total Marks: 1
Identify the stages of strategic management process in a precise sequence.
Select correct option:

Strategy evaluation, strategy formulation & strategy implementation
Strategy evaluation, strategy implementation & strategy formulation
Strategy formulation, strategy implementation & strategy evaluation
Strategy implementation, strategy evaluation & strategy formulation

Question # 5 of 20 (Start time: 06:52:34 PM) Total Marks: 1
All of the following are the key questions that can reveal internal strengths and weaknesses in the management department EXCEPT:
Select correct option:

Is the organization's structure appropriate?
Are reward and control mechanisms effective?
Are the organization's products positioned well?
Does the firm use strategic management concepts?

Question # 6 of 20 (Start time: 06:53:23 PM) Total Marks: 1
Integration strategies allow a firm to gain control over all of the following EXCEPT:
Select correct option:

Distributors
Investors
Suppliers
Competitors

Question # 7 of 20 (Start time: 06:54:01 PM) Total Marks: 1
What is the first step in the comprehensive strategic-management model?
Select correct option:

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Performing external audits

Developing vision and mission statements

Performing internal audits

Measuring and evaluating performance

Question # 8 of 20 (Start time: 06:54:15 PM) Total Marks: 1

Lack of access to key distribution channel indicates which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 9 of 20 (Start time: 06:54:20 PM) Total Marks: 1

Which of the following refers to determining the best capital structure for the company?

Select correct option:

Restructuring decisions

Financing decisions

Strategic decision

Investment decision

Question # 10 of 20 (Start time: 06:54:53 PM) Total Marks: 1

All of the following are functional support roles of Management Information System

EXCEPT:

Select correct option:

Recording and storing accounting records

Recording and storing inventory data

Recording and storing business intelligence data

The enhanced ability to explore "what if"

Question # 11 of 20 (Start time: 06:56:10 PM) Total Marks: 1

Which one of the following area can be the weakness of a firm?

Select correct option:

Changing lifestyle

High oil prices

Ineffective Marketing

Increasing pollution

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Question # 12 of 20 (Start time: 06:56:51 PM) Total Marks: 1

All of the following are the types of Profitability ratios EXCEPT:

Select correct option:

Net profit margin

Inventory turnover

Return on total assets

Earnings per share

Question # 13 of 20 (Start time: 06:57:48 PM) Total Marks: 1

Which of the following can be best described as short-term in nature?

Select correct option:

Mission statements

Annual objectives

Strategies

Vision statement

Question # 14 of 20 (Start time: 06:58:02 PM) Total Marks: 1

The analysis of industry's major competitors' strengths may give an insight of which one of these?

Select correct option:

Key threats for the firm

Key opportunities for the firm

Both opportunities and strengths for the firm

None of the given options

Question # 15 of 20 (Start time: 06:58:08 PM) Total Marks: 1

Which of the following are the factors that concern the nature and direction of the economy in which a firm operates?

Select correct option:

Technological

Ecological

Social

Economic

Question # 16 of 20 (Start time: 06:58:18 PM) Total Marks: 1

The purpose of an external audit is to prepare a list of which of the following?

Select correct option:

Opportunities and weaknesses

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Threats and strengths

Opportunities and threats

Strengths and weaknesses

Question # 17 of 20 (Start time: 06:58:31 PM) Total Marks: 1

HTML stands for which of the following?

Select correct option:

Hybrid text markup language

Hypertext Markup Language

Hyper text manufacture language

Highly technical markup language

Question # 18 of 20 (Start time: 06:58:41 PM) Total Marks: 1

Which of the following is NOT a component of external environment analysis?

Select correct option:

Customer satisfaction feedback

Global impacts

Legal issues within the industry

Competitive position of rival companies

Question # 19 of 20 (Start time: 06:58:48 PM) Total Marks: 1

Internal strengths and weaknesses that can significantly benefit or harm an organization may include all of the following EXCEPT:

Select correct option:

Production/ operations

Research & development

E-commerce

Management information system

Question # 20 of 20 (Start time: 06:59:00 PM) Total Marks: 1

Assigning a rate=2 in IFE matrix indicates what?

Select correct option:

A major weakness

A minor weakness

A minor strength

A major strength

Question # 1 of 20 (Start time: 07:27:50 PM) Total Marks: 1

All of the following are the key opportunities or threats in external environment because

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of Political, Govt. & Legal force EXCEPT:

Select correct option:

Tax rates

Trust in government

Pak-India relationships

Patent laws

Question # 2 of 20 (Start time: 07:28:02 PM) Total Marks: 1

Which statement is CORRECT about strategic-management process?

Select correct option:

It occurs once a year

It is a continuous process

It applies mostly to large business

It applies mostly to small businesses

Question # 3 of 20 (Start time: 07:28:15 PM) Total Marks: 1

Which of the following is the first step in the controlling function of management?

Select correct option:

Take corrective actions

Restrict breaks employees take

Evaluate expense reports

Establish performance standards

Question # 4 of 20 (Start time: 07:29:23 PM) Total Marks: 1

What happens to the demand for discretionary goods when interest rates rise?

Select correct option:

Rises

Declines

Remains the same

First rises then declines

Question # 5 of 20 (Start time: 07:29:30 PM) Total Marks: 1

Which component of a mission statement addresses the firm's distinctive competence or major competitive advantage?

Select correct option:

Technology

Philosophy

Customers

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Self-concept

Question # 6 of 20 (Start time: 07:29:44 PM) Total Marks: 1

In which of the following phase of strategic management, annual objectives are especially important?

Select correct option:

Formulation

Evaluation

Implementation

Management

Question # 7 of 20 (Start time: 07:29:49 PM) Total Marks: 1

While preparing an External Factor Evaluation matrix, a total score of 0.8 indicates what?

Select correct option:

Firm is taking advantages of strengths and avoiding threats

Firm is not taking advantages of opportunities and is avoiding threats

Firm is not taking advantages of opportunities and is not avoiding threats

Firm is taking advantage of opportunities and is avoiding the threats

Question # 8 of 20 (Start time: 07:29:55 PM) Total Marks: 1

Which of the following is one of the Political, Governmental & legal factors?

Select correct option:

Ethical concerns

Traffic congestion

Lobbying activities

Average level of education

Question # 9 of 20 (Start time: 07:30:10 PM) Total Marks: 1

Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

It is known as statement of the corporate philosophy

Question # 10 of 20 (Start time: 07:30:25 PM) Total Marks: 1

Which of the following identified that “strategic management encourages forward thinking, favorable attitudes towards change and discipline to the management of business”?

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Select correct option:

- Greeley
- Greenly
- Greenley**
- Greenwich

Question # 11 of 20 (Start time: 07:30:31 PM) Total Marks: 1

Which group would be classified as a stakeholder?

Select correct option:

- Communities
- Banks
- Suppliers
- All of the given options**

Question # 12 of 20 (Start time: 07:30:38 PM) Total Marks: 1

Integration strategies are sometimes collectively referred to as which of these strategies?

Select correct option:

- Horizontal integration
- Forward integration
- Hierarchical integration
- Vertical integration**

Question # 13 of 20 (Start time: 07:31:24 PM) Total Marks: 1

All of the specified approaches could be used to determine R&D budget allocation

EXCEPT:

Select correct option:

- Financing as many projects as possible
- Using percentage-of-sales method
- Budgeting irrelative to competitors**
- Deciding how many successful new products are needed

Question # 14 of 20 (Start time: 07:32:39 PM) Total Marks: 1

What is the first step in the comprehensive strategic-management model?

Select correct option:

- Performing external audits
- Developing vision and mission statements**
- Performing internal audits
- Measuring and evaluating performance

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Question # 15 of 20 (Start time: 07:32:46 PM) Total Marks: 1

Which of the following period strategic management was considered to be cure for all problems?

Select correct option:

Mid 1950s to mid 1960s

Mid 1960s to mid 1970s

Mid 1970s to mid 1980s

Mid 1980s to mid 1990s

Question # 16 of 20 (Start time: 07:32:52 PM) Total Marks: 1

Which of the following can be the weakness of an organization?

Select correct option:

Price war

Poor location of business

Increased trade barriers

Innovative substitute product

Question # 17 of 20 (Start time: 07:33:33 PM) Total Marks: 1

In the process of developing a mission statement, which of the following is CORRECT?

Select correct option:

To involve as few managers as possible

To involve as many managers as possible

To involve upper-level management only

To involve the board of directors only

Question # 18 of 20 (Start time: 07:33:42 PM) Total Marks: 1

When an industry relies heavily on government contracts, which of the following is important for the firm to foresee as a part of its external audit?

Select correct option:

Economic forces

Political forces

Technological forces

Competitive forces

Question # 19 of 20 (Start time: 07:33:56 PM) Total Marks: 1

Test marketing is commonly applied by which of the following companies?

Select correct option:

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Industrial goods companies

Consumer goods companies

Public sector companies

Private sector companies

Question # 20 of 20 (Start time: 07:34:49 PM) Total Marks: 1

Technological advancements can create which of the following advantage besides many other existing powerful advantages for the businesses?

Select correct option:

Economic

Competitive

Social

Environmental

Question # 1 of 20 (Start time: 08:20:13 PM) Total Marks: 1

HTML stands for which of the following?

Select correct option:

Hybrid text markup language

Hypertext Markup Language

Hyper text manufacture language

Highly technical markup language

Question # 2 of 20 (Start time: 08:20:19 PM) Total Marks: 1

Which category of ratios measures “how effectively a firm can maintain its economic position in the growth of the economy and industry”?

Select correct option:

Liquidity

Leverage

Activity

Growth

Question # 3 of 20 (Start time: 08:20:50 PM) Total Marks: 1

Which of the following marketing entity is NOT an intermediary?

Select correct option:

Brokers

Agents

Producer

Vendors

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Question # 4 of 20 (Start time: 08:22:09 PM) Total Marks: 1

Which of the following is the best example for achieving long-term objectives?

Select correct option:

Strengths

Strategies

Policies

Opportunities

Question # 5 of 20 (Start time: 08:22:23 PM) Total Marks: 1

Developing a vision and a mission statement is important because of the following reasons EXCEPT:

Select correct option:

They are useful for large firms only

They establish organizational culture

They are the basis for allocating resources

They translate objectives into work structure

Question # 6 of 20 (Start time: 08:23:20 PM) Total Marks: 1

All of the specified approaches could be used to determine R&D budget allocation EXCEPT:

Select correct option:

Financing as many projects as possible

Using percentage-of-sales method

Budgeting irrelative to competitors

Deciding how many successful new products are needed

Question # 7 of 20 (Start time: 08:23:27 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our second (or third) attempt will succeed"?

Select correct option:

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 8 of 20 (Start time: 08:24:26 PM) Total Marks: 1

Which of the following can be the weakness of an organization?

Select correct option:

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Price war

Poor location of business

Increased trade barriers

Innovative substitute product

Question # 9 of 20 (Start time: 08:24:32 PM) Total Marks: 1

Which of the following step in the strategic development process involves mobilizing employees and managers to put strategies into action?

Select correct option:

Formulating strategy

Strategy evaluation

Implementing strategy

Strategy planning

Question # 10 of 20 (Start time: 08:24:46 PM) Total Marks: 1

Of the following, which one would NOT be considered one of the components of a mission statement?

Select correct option:

The target market for XYZ is oil and gas producers as well as producers of chemicals

XYZ shall hire only those individuals who have with sufficient educational levels so as to be of benefit to our customers

The customers of XYZ shall include global and local consumers of gas and oil products and domestic users of nontoxic chemicals

The technologies utilized by XYZ shall focus upon development of alternative sources of gas and oil so as to remain competitive within the industry

Question # 11 of 20 (Start time: 08:24:52 PM) Total Marks: 1

The social factors that affect a firm involve all of the following EXCEPT:

Select correct option:

Attitudes of people in the external environment

Lifestyles of people

Per capita income

Values and beliefs of persons outside the firm

Question # 12 of 20 (Start time: 08:25:07 PM) Total Marks: 1

Which of the following is the decision support role of management information system?

Select correct option:

Processing marketing records into marketing plans

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Allowing users to ask "What if" questions

Recording and storing such human resource records

Processing operations records into production schedules

Question # 13 of 20 (Start time: 08:26:04 PM) Total Marks: 1

Which of the following can be considered one of the factors of external opportunities and threats of an organization?

Select correct option:

Production/ operations

Research & development

Competitive trends

Management information system

Question # 14 of 20 (Start time: 08:26:17 PM) Total Marks: 1

All of the following are the types of Profitability ratios EXCEPT:

Select correct option:

Net profit margin

Inventory turnover

Return on total assets

Earnings per share

Question # 15 of 20 (Start time: 08:26:23 PM) Total Marks: 1

External assessment is performed in which of the strategic management phase?

Select correct option:

Strategy formulation stage

Strategy implementation stage

Strategy evaluation stage

All of the given options

Question # 16 of 20 (Start time: 08:26:35 PM) Total Marks: 1

Strategist is an individual who is involved in the strategic management process, thus may be known as:

Select correct option:

Member board of director

President

Division manager

All of the given options

Question # 17 of 20 (Start time: 08:26:51 PM) Total Marks: 1

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The XYZ Organization has a statement that describes the needs for which the organization was created to fill and answers the basic question of why the organization exists. XYZ is most likely to have any one of the following?

Select correct option:

Strategy

Vision statement

Mission statement

Functional tactics

Question # 18 of 20 (Start time: 08:27:04 PM) Total Marks: 1

Technological advancements can create which of the following advantage besides many other existing powerful advantages for the businesses?

Select correct option:

Economic

Competitive

Social

Environmental

Question # 19 of 20 (Start time: 08:27:12 PM) Total Marks: 1

Which of the following is not a strategy-implementation activity?

Select correct option:

Long term goals and objectives

Developing strategy supportive culture

Redirecting marketing efforts

Developing and utilizing information system

Question # 20 of 20 (Start time: 08:27:28 PM) Total Marks: 1

Which type of trend can be exemplified by the increase in average level of education in a society?

Select correct option:

Social

Economic

Cultural

Technological

Question # 1 of 20 (Start time: 08:50:33 PM) Total Marks: 1

Which of the following can be considered one of the factors of external opportunities and threats of an organization?

Select correct option:

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Production/ operations

Research & development

Competitive trends

Management information system

Question # 2 of 20 (Start time: 08:50:40 PM) Total Marks: 1

Backward integration is effective in all of the following situations EXCEPT:

Select correct option:

When an organization competes in an industry that is growing rapidly

When an organization needs to acquire a needed resource quickly

When the advantage of stable prices are not important

When present suppliers have high profit margins

Question # 3 of 20 (Start time: 08:51:54 PM) Total Marks: 1

Developing a vision and a mission statement is important because of the following reasons EXCEPT:

Select correct option:

They are useful for large firms only

They establish organizational culture

They are the basis for allocating resources

They translate objectives into work structure

Question # 4 of 20 (Start time: 08:52:09 PM) Total Marks: 1

The XYZ Organization has a statement that describes the needs for which the organization was created to fill and answers the basic question of why the organization exists. XYZ is most likely to have any one of the following?

Select correct option:

Strategy

Vision statement

Mission statement

Functional tactics

Question # 5 of 20 (Start time: 08:52:17 PM) Total Marks: 1

Which one of the following is NOT a basic mission of a competitive intelligence program?

Select correct option:

To provide a general understanding of an industry

To provide a general understanding of a company's competitors

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To identify industry executives who could be hired by the firm

To identify potential moves a competitor might make that would endanger a firm

Question # 6 of 20 (Start time: 08:52:36 PM) Total Marks: 1

Which of the following can be the weakness of an organization?

Select correct option:

Price war

Poor location of business

Increased trade barriers

Innovative substitute product

Question # 7 of 20 (Start time: 08:52:42 PM) Total Marks: 1

Strategic management is the art and science of formulating, implementing and evaluating cross-functional decisions which is usually done by all of the following EXCEPT:

Select correct option:

Chairman of the company

Board of directors

Chief executive officer

Marketing officer

Question # 8 of 20 (Start time: 08:52:57 PM) Total Marks: 1

Which of the following is the first step in the controlling function of management?

Select correct option:

Take corrective actions

Restrict breaks employees take

Evaluate expense reports

Establish performance standards

Question # 9 of 20 (Start time: 08:53:13 PM) Total Marks: 1

Which of the following is the greatest advantage of international operations?

Select correct option:

Reduced tariffs and taxes

Access to global business practices

Gaining new customers

Less-intense competition

Question # 10 of 20 (Start time: 08:53:19 PM) Total Marks: 1

Which of the following groups represents the stakeholders of a company?

Select correct option:

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The owners of the company

The people who purchases the shares of the company

The people who have a special stake or claim on the company

Are the people who are in the management a company

Question # 11 of 20 (Start time: 08:54:43 PM) Total Marks: 1

For the past four years the ABC Corporation has been planning to expand its operations in order to reach out to the world market. Essentially, the ABC Corporation desires to do what?

Select correct option:

Become an online business

Become a brick-n-mortar business

Embrace globalization

Become a click-n-mortar business

Question # 12 of 20 (Start time: 08:55:06 PM) Total Marks: 1

Which of the following are the five forces that affect the level of competition in an industry?

Select correct option:

Threat of entrants; power of buyers; power of suppliers; threat of substitutes; competitive rivalry

Threat of buyers; power of entry; power of substitutes; threat of suppliers; threat of recession

Threat of recession; power of buyers; power of suppliers; threat of management failure; competitive rivalry

Threat of entry; power of buyers; power of suppliers; threat of substitutes; government action

Question # 13 of 20 (Start time: 08:55:38 PM) Total Marks: 1

Reasons due to which some firms do “No Strategic Planning” incorporate all of the following EXCEPT:

Select correct option:

Wastage of time

Fire-fighting

Content with success

Privileged reward structures

Question # 14 of 20 (Start time: 08:55:55 PM) Total Marks: 1

The total weighted score of IFE matrix developed for XYZ corporation is 3.5. Which of

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the following statement is TRUE about XYZ Corporation in the light of IFE matrix total weighted score?

Select correct option:

Corporation has strong external position

Corporation has weak internal position

Corporation has strong internal position

Corporation has weak external position

Question # 15 of 20 (Start time: 08:56:56 PM) Total Marks: 1

What is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services?

Select correct option:

Management

Planning

Marketing Research

Market segmentation

Question # 16 of 20 (Start time: 08:57:12 PM) Total Marks: 1

All of the following are included in the five functions of the management process EXCEPT:

Select correct option:

Planning

Organizing

Leading

Delegating

Question # 17 of 20 (Start time: 08:57:36 PM) Total Marks: 1

Which of the following categories of ratios includes return on total assets and return on stockholders' equity as its types?

Select correct option:

Profitability

Leverage

Growth

Liquidity

Question # 18 of 20 (Start time: 08:58:37 PM) Total Marks: 1

Which of the following is NOT a characteristic of well-constructed goals?

Select correct option:

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Address important issues

Easy to remember

Precise and measurable

Challenging but realistic

Question # 19 of 20 (Start time: 08:58:44 PM) Total Marks: 1

Which of the following is the highest possible weighted score for the organization in IFE matrix?

Select correct option:

1.0

1.5

2.5

4.0

Question # 20 of 20 (Start time: 08:59:04 PM) Total Marks: 1

All of these are pitfalls an organization should avoid in strategic planning EXCEPT:

Select correct option:

Using plans as a standard for measuring performance.

Using strategic planning to gain control over decisions and resources

Failing to involve key employees in all phases of planning

Being so formal in planning that flexibility and creativity are stifled

Question # 1 of 20 (Start time: 09:20:32 PM) Total Marks: 1

Which of the following is the greatest advantage of international operations?

Select correct option:

Reduced tariffs and taxes

Access to global business practices

Gaining new customers

Less-intense competition

Question # 2 of 20 (Start time: 09:20:42 PM) Total Marks: 1

Non-financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Better awareness of external threats

Enhanced awareness of threats

Reduced resistance to change

Increase in sales

Question # 3 of 20 (Start time: 09:20:48 PM) Total Marks: 1

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Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

Select correct option:

Propensity of people to spend

Buying habits

Level of disposable income

Income differences by region

Question # 4 of 20 (Start time: 09:21:06 PM) Total Marks: 1

All of these are pitfalls an organization should avoid in strategic planning EXCEPT:

Select correct option:

Using plans as a standard for measuring performance.

Using strategic planning to gain control over decisions and resources

Failing to involve key employees in all phases of planning

Being so formal in planning that flexibility and creativity are stifled

Question # 5 of 20 (Start time: 09:21:13 PM) Total Marks: 1

What are historical narratives describing the unique accomplishments of a group and its leaders, usually in heroic terms?

Select correct option:

Rites

Sagas

Stories

Myths

Question # 6 of 20 (Start time: 09:22:26 PM) Total Marks: 1

Which of the following directs at developing new products before competitors do at improving product quality or at improving manufacturing processes to reduce costs?

Select correct option:

Marketing

Opportunity analysis

Research and development

Management

Question # 7 of 20 (Start time: 09:22:47 PM) Total Marks: 1

What is the systematic gathering, recording, and analyzing of data about problems relating to the marketing of goods and services?

Select correct option:

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Management

Planning

Marketing Research

Market segmentation

Question # 8 of 20 (Start time: 09:22:57 PM) Total Marks: 1

All of the following are the types of Profitability ratios EXCEPT:

Select correct option:

Net profit margin

Inventory turnover

Return on total assets

Earnings per share

Question # 9 of 20 (Start time: 09:23:08 PM) Total Marks: 1

Lack of access to key distribution channel indicates which of the following?

Select correct option:

Strength

Weakness

Opportunity

Threat

Question # 10 of 20 (Start time: 09:23:15 PM) Total Marks: 1

All of the following are included in the five functions of the management process EXCEPT:

Select correct option:

Planning

Organizing

Leading

Delegating

Question # 11 of 20 (Start time: 09:23:29 PM) Total Marks: 1

All of the following are the outputs of a system EXCEPT:

Select correct option:

Tables

Charts

Data

Graphs

Question # 12 of 20 (Start time: 09:23:47 PM) Total Marks: 1

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Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our second (or third) attempt will succeed"?

Select correct option:

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 13 of 20 (Start time: 09:23:54 PM) Total Marks: 1

Din Mohammad, a farmer sells his crops at the local market rather than to a distribution center. This action of Din Mohammad comes under which of the following?

Select correct option:

Backward integration

Product development

Forward integration

Horizontal integration

Question # 14 of 20 (Start time: 09:24:39 PM) Total Marks: 1

Which of the following best describes this statement; "a Systematic and ethical process for gathering and analyzing information about the competition's activities and general business trends to further a business' own goals"?

Select correct option:

External assessment

Industry analysis

Competitive intelligence program

Business ethics

Question # 15 of 20 (Start time: 09:25:01 PM) Total Marks: 1

Which of the following are the five forces that affect the level of competition in an industry?

Select correct option:

Threat of entrants; power of buyers; power of suppliers; threat of substitutes; competitive rivalry

Threat of buyers; power of entry; power of substitutes; threat of suppliers; threat of recession

Threat of recession; power of buyers; power of suppliers; threat of management failure; competitive rivalry

Threat of entry; power of buyers; power of suppliers; threat of substitutes; government

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action

Question # 16 of 20 (Start time: 09:25:07 PM) Total Marks: 1

Which of the following refers to a functional support role of an information system?

Select correct option:

What if...?" questions

What is the capacity of plant?

What do we do?

What if tax rate increases by 10%?

\

Question # 17 of 20 (Start time: 09:25:21 PM) Total Marks: 1

Which of the following is the decision support role of management information system?

Select correct option:

Processing marketing records into marketing plans

Allowing users to ask "What if" questions

Recording and storing such human resource records

Processing operations records into production schedules

Question # 18 of 20 (Start time: 09:25:36 PM) Total Marks: 1

During which stage of strategic management, firm's specific internal strengths and weaknesses are determined?

Select correct option:

Formulation

Implementation

Evaluation

Feedback

Question # 19 of 20 (Start time: 09:25:51 PM) Total Marks: 1

The purpose of an external audit is to prepare a list of which of the following?

Select correct option:

Opportunities and weaknesses

Threats and strengths

Opportunities and threats

Strengths and weaknesses

Question # 20 of 20 (Start time: 09:26:15 PM) Total Marks: 1

Selling includes all of the following marketing activities EXCEPT:

Select correct option:

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Advertising

Pricing

Sales promotion

Customer relations

Question # 1 of 20 (Start time: 09:39:45 PM) Total Marks: 1

Which of the following is NOT included in the strategic management model?

Select correct option:

Measure and evaluate performance.

Perform internal research to identify customers.

Establish long-term objectives.

Develop mission and vision statements.

Question # 2 of 20 (Start time: 09:40:02 PM) Total Marks: 1

Which of the following are the factors that concern the nature and direction of the economy in which a firm operates?

Select correct option:

Technological

Ecological

Social

Economic

Question # 3 of 20 (Start time: 09:40:09 PM) Total Marks: 1

All of the following are the basic functions of marketing EXCEPT:

Select correct option:

Selling products/services

Product and service planning

Marketing research

Arranging for finance

Question # 4 of 20 (Start time: 09:40:17 PM) Total Marks: 1

Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

Select correct option:

Propensity of people to spend

Buying habits

Level of disposable income

Income differences by region

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Question # 5 of 20 (Start time: 09:40:24 PM) Total Marks: 1

Which of the following are the five forces that affect the level of competition in an industry?

Select correct option:

Threat of entrants; power of buyers; power of suppliers; threat of substitutes; competitive rivalry

Threat of buyers; power of entry; power of substitutes; threat of suppliers; threat of recession

Threat of recession; power of buyers; power of suppliers; threat of management failure; competitive rivalry

Threat of entry; power of buyers; power of suppliers; threat of substitutes; government action

Question # 6 of 20 (Start time: 09:40:31 PM) Total Marks: 1

Which of the following refers to a functional support role of an information system?

Select correct option:

What if...?" questions

What is the capacity of plant?

What do we do?

What if tax rate increases by 10%?

Question # 7 of 20 (Start time: 09:40:37 PM) Total Marks: 1

The general conditions for competition that influence business firms, which provide similar products and services is known:

Select correct option:

Remote environment

International environment

External environment

Industry environment

Question # 8 of 20 (Start time: 09:42:03 PM) Total Marks: 1

Which of the following is the process of influencing people to accomplish specific objectives?

Select correct option:

Staffing

Motivating

Controlling

Organizing

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Question # 9 of 20 (Start time: 09:42:24 PM) Total Marks: 1

Which management function includes breaking tasks into jobs, combining jobs to form departments and delegating authority?

Select correct option:

Motivating

Staffing

Organizing

Planning

Question # 10 of 20 (Start time: 09:42:54 PM) Total Marks: 1

For the past four years the ABC Corporation has been planning to expand its operations in order to reach out to the world market. Essentially, the ABC Corporation desires to do what?

Select correct option:

Become an online business

Become a brick-n-mortar business

Embrace globalization

Become a click-n-mortar business

Question # 11 of 20 (Start time: 09:43:00 PM) Total Marks: 1

Which of the following is the benefit of strategic management?

Select correct option:

Fewer complexes

More complex

Less static

More profitable

Question # 12 of 20 (Start time: 09:43:06 PM) Total Marks: 1

Assessment of competitive rivalry does NOT include an understanding of which of the following?

Select correct option:

Mergers and acquisition in industry

Market growth rates

Exit barriers and operational efficiency of competitor

The management structure of an organization

Question # 13 of 20 (Start time: 09:44:28 PM) Total Marks: 1

Integration strategies allow a firm to gain control over all of the following EXCEPT:

Select correct option:

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Distributors

Investors

Suppliers

Competitors

Question # 14 of 20 (Start time: 09:44:46 PM) Total Marks: 1

Opportunity analysis is one of the basic functions of which one of the following?

Select correct option:

Computer information systems

Marketing

Production/operations

Research and development

Question # 15 of 20 (Start time: 09:45:01 PM) Total Marks: 1

Which of the following groups represents the stakeholders of a company?

Select correct option:

The owners of the company

The people who purchases the shares of the company

The people who have a special stake or claim on the company

Are the people who are in the management a company

Question # 16 of 20 (Start time: 09:45:10 PM) Total Marks: 1

According to Freund, Which one of the following should NOT be the characteristics of key external factors?

Select correct option:

Measurable

Relatively few in number

Applicable to all competing firms

Important to achieve long-term objectives

Question # 17 of 20 (Start time: 09:45:36 PM) Total Marks: 1

Buyers can exercise high bargaining power over their suppliers under which one of the following conditions?

Select correct option:

When there are many good substitutes of raw material

There are few buyers in the market

They have few suppliers to choose from

There is a high concentration of suppliers

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Question # 18 of 20 (Start time: 09:45:44 PM) Total Marks: 1

The purpose of an external audit is to prepare a list of which of the following?

Select correct option:

Opportunities and weaknesses

Threats and strengths

Opportunities and threats

Strengths and weaknesses

Question # 19 of 20 (Start time: 09:45:56 PM) Total Marks: 1

The XYZ Organization has a statement that describes the needs for which the organization was created to fill and answers the basic question of why the organization exists. XYZ is most likely to have any one of the following?

Select correct option:

Strategy

Vision statement

Mission statement

Functional tactics

Question # 20 of 20 (Start time: 09:46:02 PM) Total Marks: 1

Which category of ratios measures “how effectively a firm can maintain its economic position in the growth of the economy and industry”?

Select correct option:

Liquidity

Leverage

Activity

Growth

Question # 16 of 20 (Start time: 11:34:05 PM) Total Marks: 1

Which of the following is a standardized, detailed set of techniques and behaviors that manage anxieties, but seldom produce intended, technical consequences of practical results?

Select correct option:

Folktales

Rites

Rituals

Values

Question # 20 of 20 (Start time: 11:35:04 PM) Total Marks: 1

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As managers move up the organization, they perform which of the management function more?

Select correct option:

- Leading
- Controlling
- Organizing
- Planning**

Question # 1 of 20 (Start time: 11:42:03 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "there is no general plan for which way to go and what to do"?

Select correct option:

- Managing by crisis
- Managing by extrapolation
- Managing by hope
- Managing by subjectives**

Question # 2 of 20 (Start time: 11:42:44 PM) Total Marks: 1

In Competitive Profile Matrix, the rating 4 indicates what?

Select correct option:

- Major weakness
- Major strength**
- Minor strength
- Minor weakness

Question # 3 of 20 (Start time: 11:43:00 PM) Total Marks: 1

Which of the following refers to determining the best capital structure for the company?

Select correct option:

- Restructuring decisions
- Financing decisions**
- Strategic decision
- Investment decision

Question # 4 of 20 (Start time: 11:43:07 PM) Total Marks: 1

Which one of the following is NOT a basic mission of a competitive intelligence program?

Select correct option:

To provide a general understanding of an industry

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To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

To identify potential moves a competitor might make that would endanger a firm

Question # 5 of 20 (Start time: 11:43:13 PM) Total Marks: 1

Which of these basic questions a vision statement answers?

Select correct option:

What is our business?

Who are our employees?

What do we want to become?

Who are our competitors?

Question # 6 of 20 (Start time: 11:43:20 PM) Total Marks: 1

Which of the following period strategic management was considered to be cure for all problems?

Select correct option:

Mid 1950s to mid 1960s

Mid 1960s to mid 1970s

Mid 1970s to mid 1980s

Mid 1980s to mid 1990s

Question # 7 of 20 (Start time: 11:43:26 PM) Total Marks: 1

Rehman industries is analyzing the technological forces for the firm which may provide it opportunities and threats for which of the following stage/s of strategic management process?

Select correct option:

Strategy formulation

Strategy implementation

Strategy evaluation

All of the given options

Question # 8 of 20 (Start time: 11:43:39 PM) Total Marks: 1

Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

It is known as statement of the corporate philosophy

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Question # 9 of 20 (Start time: 11:43:46 PM) Total Marks: 1

The general conditions for competition that influence business firms, which provide similar products and services is known:

Select correct option:

Remote environment

International environment

External environment

Industry environment

Question # 10 of 20 (Start time: 11:43:54 PM) Total Marks: 1

Assigning rating 3 to an internal factor in IFE matrix indicates what?

Select correct option:

Major weakness

Minor weakness

Minor strength

Major strength

Question # 11 of 20 (Start time: 11:45:03 PM) Total Marks: 1

The process of monitoring performance, comparing it with goals, and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 12 of 20 (Start time: 11:46:21 PM) Total Marks: 1

Which of the following categories of ratios includes return on total assets and return on stockholders' equity as its types?

Select correct option:

Profitability

Leverage

Growth

Liquidity

Question # 13 of 20 (Start time: 11:46:28 PM) Total Marks: 1

Buyers can exercise high bargaining power over their suppliers under which one of the following conditions?

Select correct option:

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When there are many good substitutes of raw material

There are few buyers in the market

They have few suppliers to choose from

There is a high concentration of suppliers

Question # 14 of 20 (Start time: 11:46:36 PM) Total Marks: 1

Financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Progression in profitability

Improvement in employee productivity

Expansion in the sales of business

Enhancement in productivity

Question # 15 of 20 (Start time: 11:46:42 PM) Total Marks: 1

Which of the following is not a pitfall an organization should avoid in strategic planning?

Select correct option:

Failing to involve key employees in all phases of planning

Involving all managers rather than delegating planning to a planner

Top managers not actively supporting the strategic planning process

Doing strategic planning only to satisfy accreditation or regulatory requirements

Question # 16 of 20 (Start time: 11:46:57 PM) Total Marks: 1

All of the following are the basic functions of marketing EXCEPT:

Select correct option:

Selling products/services

Product and service planning

Marketing research

Arranging for finance

Question # 17 of 20 (Start time: 11:47:03 PM) Total Marks: 1

HTML stands for which of the following?

Select correct option:

Hybrid text markup language

Hypertext Markup Language

Hyper text manufacture language

Highly technical markup language

Question # 18 of 20 (Start time: 11:47:10 PM) Total Marks: 1

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Which type of trend can be exemplified by the increase in average level of education in a society?

Select correct option:

Social

Economic

Cultural

Technological

Question # 19 of 20 (Start time: 11:47:23 PM) Total Marks: 1

Departmentalization can be done on the basis of many factors EXCEPT:

Select correct option:

Functions

Number of employees

Strategic business units

Divisions

Question # 20 of 20 (Start time: 11:47:54 PM) Total Marks: 1

When an industry relies heavily on government contracts, which of the following is important for the firm to foresee as a part of its external audit?

Select correct option:

Economic forces

Political forces

Technological forces

Competitive forces

Question # 1 of 20 (Start time: 01:15:05 AM) Total Marks: 1

Which of the following term represents the enduring statement of purpose that distinguish one business from other similar firms?

Select correct option:

Vision

Strategy

Mission

Tactics

Question # 2 of 20 (Start time: 01:15:23 AM) Total Marks: 1

Selling includes all of the following marketing activities EXCEPT:

Select correct option:

Advertising

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Pricing

Sales promotion

Customer relations

Question # 3 of 20 (Start time: 01:15:29 AM) Total Marks: 1

Which of the following is the best example for achieving long-term objectives?

Select correct option:

Strengths

Strategies

Policies

Opportunities

Question # 4 of 20 (Start time: 01:15:36 AM) Total Marks: 1

Which of the following step in the strategic development process involves mobilizing employees and managers to put strategies into action?

Select correct option:

Formulating strategy

Strategy evaluation

Implementing strategy

Strategy planning

Question # 5 of 20 (Start time: 01:15:52 AM) Total Marks: 1

Backward integration is effective in all of the following situations EXCEPT:

Select correct option:

When an organization competes in an industry that is growing rapidly

When an organization needs to acquire a needed resource quickly

When the advantage of stable prices are not important

When present suppliers have high profit margins

Question # 6 of 20 (Start time: 01:16:01 AM) Total Marks: 1

What is the first step in the comprehensive strategic-management model?

Select correct option:

Performing external audits

Developing vision and mission statements

Performing internal audits

Measuring and evaluating performance

Question # 7 of 20 (Start time: 01:16:08 AM) Total Marks: 1

Strategist is an individual who is involved in the strategic management process, thus may

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be known as:

Select correct option:

Member board of director

President

Division manager

All of the given options

Question # 8 of 20 (Start time: 01:16:16 AM) Total Marks: 1

All of the following are functional support roles of Management Information System

EXCEPT:

Select correct option:

Recording and storing accounting records

Recording and storing inventory data

Recording and storing business intelligence data

The enhanced ability to explore "what if"

Question # 9 of 20 (Start time: 01:16:28 AM) Total Marks: 1

Principles of conduct that guide decision-making are known as:

Select correct option:

Human rights

Business ethics

The constitution

Social responsibility

Question # 10 of 20 (Start time: 01:16:35 AM) Total Marks: 1

According to Freund, Which one of the following should NOT be the characteristics of key external factors?

Select correct option:

Measurable

Relatively few in number

Applicable to all competing firms

Important to achieve long-term objectives

Question # 11 of 20 (Start time: 01:16:41 AM) Total Marks: 1

Identify the stages of strategic management process in a precise sequence.

Select correct option:

Strategy evaluation, strategy formulation & strategy implementation

Strategy evaluation, strategy implementation & strategy formulation

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Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

Question # 12 of 20 (Start time: 01:16:47 AM) Total Marks: 1

Which category of ratios measures “how effectively a firm can maintain its economic position in the growth of the economy and industry”?

Select correct option:

Liquidity

Leverage

Activity

Growth

Question # 13 of 20 (Start time: 01:16:54 AM) Total Marks: 1

Establishing and implementing ways of making things work is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 14 of 20 (Start time: 01:17:23 AM) Total Marks: 1

Which one of the following area can be the weakness of a firm?

Select correct option:

Changing lifestyle

High oil prices

Ineffective Marketing

Increasing pollution

Question # 15 of 20 (Start time: 01:17:29 AM) Total Marks: 1

All of the following are the types of Profitability ratios EXCEPT:

Select correct option:

Net profit margin

Inventory turnover

Return on total assets

Earnings per share

Question # 16 of 20 (Start time: 01:17:36 AM) Total Marks: 1

Which of the following can be best described as short-term in nature?

Select correct option:

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Mission statements

Annual objectives

Strategies

Vision statement

Question # 17 of 20 (Start time: 01:17:44 AM) Total Marks: 1

The analysis of industry's major competitors' strengths may give an insight of which one of these?

Select correct option:

Key threats for the firm

Key opportunities for the firm

Both opportunities and strengths for the firm

None of the given options

Question # 18 of 20 (Start time: 01:17:50 AM) Total Marks: 1

Different types of consumers are created due to new trends, which in turn require which type of products?

Select correct option:

Different products

Different services

Different strategies

All of the given options

Question # 19 of 20 (Start time: 01:17:57 AM) Total Marks: 1

Which one of the following is NOT a key external force?

Select correct option:

Social responsibility

Ozone reduction

Company management

Energy conservation

Question # 20 of 20 (Start time: 01:18:17 AM) Total Marks: 1

Following are the examples of the sectors that are more technologically oriented EXCEPT:

Select correct option:

Textile

Pharmaceutical

Telecommunications

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Beverages

Question # 1 of 20 (Start time: 03:35:52 PM) Total Marks: 1

Which of the following refers to a functional support role of an information system?

Select correct option:

What if...?" questions

What is the capacity of plant?

What do we do?

What if tax rate increases by 10%?

Question # 2 of 20 (Start time: 03:36:13 PM) Total Marks: 1

Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

It is known as statement of the corporate philosophy

Question # 3 of 20 (Start time: 03:36:21 PM) Total Marks: 1

Which of the following can reveal the demographic characteristics of an organization's customers?

Select correct option:

Customer profiling

Test marketing

Market development

The vision statement

Question # 4 of 20 (Start time: 03:36:38 PM) Total Marks: 1

Establishing and implementing ways of making things work is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 5 of 20 (Start time: 03:36:54 PM) Total Marks: 1

Identify the stages of strategic management process in a precise sequence.

Select correct option:

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Strategy evaluation, strategy formulation & strategy implementation

Strategy evaluation, strategy implementation & strategy formulation

Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

Question # 6 of 20 (Start time: 03:37:01 PM) Total Marks: 1

“A desired future state that the organization attempts to realize”. Identify the term relevant to the given statement.

Select correct option:

Goal

Strategy

Policy

Procedure

Question # 7 of 20 (Start time: 03:37:33 PM) Total Marks: 1

Long-term objectives are needed at which level(s) of the organization?

Select correct option:

Corporate level

Divisional level

Functional level

All of the given options

Question # 8 of 20 (Start time: 03:38:27 PM) Total Marks: 1

The analysis of industry's major competitors' strengths may give an insight of which one of these?

Select correct option:

Key threats for the firm

Key opportunities for the firm

Both opportunities and strengths for the firm

None of the given options

Question # 9 of 20 (Start time: 03:38:55 PM) Total Marks: 1

Internal analysis involves gathering and analyzing the information about all areas of a firm EXPECT:

Select correct option:

Research nad development

Management information system

Marketing

Competitors

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Question # 10 of 20 (Start time: 03:40:23 PM) Total Marks: 1

Which of the following are the guidelines of decision making?

Select correct option:

Laws

Rules

Policies

Goals

Question # 11 of 20 (Start time: 03:40:39 PM) Total Marks: 1

Which of the following groups represents the stakeholders of a company?

Select correct option:

The owners of the company

The people who purchases the shares of the company

The people who have a special stake or claim on the company

Are the people who are in the management a company

Question # 12 of 20 (Start time: 03:40:49 PM) Total Marks: 1

Which one of the following dimensions is NOT a recommended component of a mission statement?

Select correct option:

Self-concept

Markets

Strategies

Customers

Question # 13 of 20 (Start time: 03:41:04 PM) Total Marks: 1

Which of the following are developed in strategy implementation phase of strategic management?

Select correct option:

Vision and mission

Annual objectives

Strengths and weaknesses

Opportunities and threats

Question # 14 of 20 (Start time: 03:41:19 PM) Total Marks: 1

Political variables have a significant effect on which one of the following?

Select correct option:

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Formulation and implementation of strategy

Formulation and Evaluation of a strategy

Implementation and evaluation of a strategy

Formulation, implementation and evaluation of a strategy

Question # 15 of 20 (Start time: 03:41:32 PM) Total Marks: 1

Integration strategies are sometimes collectively referred to as which of these strategies?

Select correct option:

Horizontal integration

Forward integration

Hierarchical integration

Vertical integration

Question # 16 of 20 (Start time: 03:41:48 PM) Total Marks: 1

Which of the following best describes this statement; “a Systematic and ethical process for gathering and analyzing information about the competition’s activities and general business trends to further a business’ own goals”?

Select correct option:

External assessment

Industry analysis

Competitive intelligence program

Business ethics

Question # 17 of 20 (Start time: 03:41:57 PM) Total Marks: 1

Which of the following arise when a company can take advantage of conditions in its environment to formulate and implement strategies that enable it to become more profitable?

Select correct option:

Strengths

Opportunities

Weaknesses

Threats

Question # 18 of 20 (Start time: 03:42:53 PM) Total Marks: 1

The mission statement answers which of the following question?

Select correct option:

What is our business?

How can we improve ourselves?

What do we want to become?

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Who are our stakeholders?

Question # 19 of 20 (Start time: 03:43:02 PM) Total Marks: 1

Which of the following refers to the belief related to objectives setting that "there is no general plan for which way to go and what to do"?

Select correct option:

Managing by crisis

Managing by extrapolation

Managing by hope

Managing by subjectives

Question # 20 of 20 (Start time: 03:43:17 PM) Total Marks: 1

Which of these basic questions a vision statement answers?

Select correct option:

What is our business?

Who are our employees?

What do we want to become?

Who are our competitors?

Question # 1 of 20 (Start time: 03:52:14 PM) Total Marks: 1

Strategic management integrates all of the following areas EXCEPT:

Select correct option:

Management

Marketing

Research and development

Human resource management

Question # 2 of 20 (Start time: 03:52:32 PM) Total Marks: 1

Developing a vision and a mission statement is important because of the following reasons EXCEPT:

Select correct option:

They are useful for large firms only

They establish organizational culture

They are the basis for allocating resources

They translate objectives into work structure

Question # 3 of 20 (Start time: 03:52:39 PM) Total Marks: 1

Backward integration is effective in all of the following situations EXCEPT:

Select correct option:

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When an organization competes in an industry that is growing rapidly

When an organization needs to acquire a needed resource quickly

When the advantage of stable prices are not important

When present suppliers have high profit margins

Question # 4 of 20 (Start time: 03:52:45 PM) Total Marks: 1

Technological advancements can create which of the following advantage besides many other existing powerful advantages for the businesses?

Select correct option:

Economic

Competitive

Social

Environmental

Question # 5 of 20 (Start time: 03:52:51 PM) Total Marks: 1

Which of the following can be best described as short-term in nature?

Select correct option:

Mission statements

Annual objectives

Strategies

Vision statement

Question # 6 of 20 (Start time: 03:53:22 PM) Total Marks: 1

Which of the following directs at developing new products before competitors do at improving product quality or at improving manufacturing processes to reduce costs?

Select correct option:

Marketing

Opportunity analysis

Research and development

Management

Question # 7 of 20 (Start time: 03:53:42 PM) Total Marks: 1

Corporate social policy should be designed and articulated during which phase of strategic management?

Select correct option:

Implementation

Formulation

Evaluation

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Management

Question # 8 of 20 (Start time: 03:53:57 PM) Total Marks: 1

Following are the examples of the sectors that are more technologically oriented

EXCEPT:

Select correct option:

Textile

Pharmaceutical

Telecommunications

Beverages

Question # 9 of 20 (Start time: 03:54:05 PM) Total Marks: 1

Which of the following is the benefit of strategic management?

Select correct option:

Fewer complexes

More complex

Less static

More profitable

Question # 10 of 20 (Start time: 03:54:12 PM) Total Marks: 1

Rehman industries is analyzing the technological forces for the firm which may provide it opportunities and threats for which of the following stage/s of strategic management process?

Select correct option:

Strategy formulation

Strategy implementation

Strategy evaluation

All of the given options

Question # 11 of 20 (Start time: 03:54:25 PM) Total Marks: 1

“A desired future state that the organization attempts to realize”. Identify the term relevant to the given statement.

Select correct option:

Goal

Strategy

Policy

Procedure

Question # 12 of 20 (Start time: 03:54:31 PM) Total Marks: 1

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Which of the following refers to the belief related to objectives setting that "the future is laden with great uncertainty and that if we try and do not succeed, then we hope our second (or third) attempt will succeed"?

Select correct option:

Managing by hope

Managing by extrapolation

Managing by crisis

Managing by subjectives

Question # 13 of 20 (Start time: 03:55:02 PM) Total Marks: 1

Which of the following is not a pitfall an organization should avoid in strategic planning?

Select correct option:

Failing to involve key employees in all phases of planning

Involving all managers rather than delegating planning to a planner

Top managers not actively supporting the strategic planning process

Doing strategic planning only to satisfy accreditation or regulatory requirements

Question # 14 of 20 (Start time: 03:55:18 PM) Total Marks: 1

Reasons due to which some firms do "No Strategic Planning" incorporate all of the following EXCEPT:

Select correct option:

Wastage of time

Fire-fighting

Content with success

Privileged reward structures

Question # 15 of 20 (Start time: 03:55:32 PM) Total Marks: 1

Which of the following ties all business functions together and provides the basis for all managerial decisions?

Select correct option:

Marketing

Information

Technology

Workforce

Question # 16 of 20 (Start time: 03:55:49 PM) Total Marks: 1

Which of the following categories of ratios includes return on total assets and return on stockholders' equity as its types?

Select correct option:

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Profitability

Leverage

Growth

Liquidity

Question # 17 of 20 (Start time: 03:55:55 PM) Total Marks: 1

Non-financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Better awareness of external threats

Enhanced awareness of threats

Reduced resistance to change

Increase in sales

Question # 18 of 20 (Start time: 03:56:02 PM) Total Marks: 1

Financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Progression in profitability

Improvement in employee productivity

Expansion in the sales of business

Enhancement in productivity

Question # 19 of 20 (Start time: 03:56:09 PM) Total Marks: 1

“A Good mission statement identifies the utility of a firm's products to its customers”;

which of the following represents this statement?

Select correct option:

Organization's philosophy

Customer orientation

Social policy

Declaration of attitude

Question # 20 of 20 (Start time: 03:56:26 PM) Total Marks: 1

Which of the following is NOT a characteristic of well-constructed goals?

Select correct option:

Address important issues

Easy to remember

Precise and measurable

Challenging but realistic

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Question # 1 of 20 (Start time: 04:05:01 PM) Total Marks: 1

The purpose of an external audit is to prepare a list of which of the following?

Select correct option:

Opportunities and weaknesses

Threats and strengths

Opportunities and threats

Strengths and weaknesses

Question # 2 of 20 (Start time: 04:05:17 PM) Total Marks: 1

Integration strategies are sometimes collectively referred to as which of these strategies?

Select correct option:

Horizontal integration

Forward integration

Hierarchical integration

Vertical integration

Question # 3 of 20 (Start time: 04:06:01 PM) Total Marks: 1

Which of the following is NOT a component of external environment analysis?

Select correct option:

Customer satisfaction feedback

Global impacts

Legal issues within the industry

Competitive position of rival companies

Question # 4 of 20 (Start time: 04:06:09 PM) Total Marks: 1

As managers move up the organization, they perform which of the management function more?

Select correct option:

Leading

Controlling

Organizing

Planning

Question # 5 of 20 (Start time: 04:06:28 PM) Total Marks: 1

Which one of the following is NOT a basic mission of a competitive intelligence program?

Select correct option:

To provide a general understanding of an industry

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To provide a general understanding of a company's competitors

To identify industry executives who could be hired by the firm

To identify potential moves a competitor might make that would endanger a firm

Question # 6 of 20 (Start time: 04:06:34 PM) Total Marks: 1

HTML stands for which of the following?

Select correct option:

Hybrid text markup language

Hypertext Markup Language

Hyper text manufacture language

Highly technical markup language

Question # 7 of 20 (Start time: 04:06:59 PM) Total Marks: 1

Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

It is known as statement of the corporate philosophy

Question # 8 of 20 (Start time: 04:07:05 PM) Total Marks: 1

The process of monitoring performance, comparing it with goals, and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 9 of 20 (Start time: 04:07:21 PM) Total Marks: 1

Following are the examples of the sectors that are more technologically oriented EXCEPT:

Select correct option:

Textile

Pharmaceutical

Telecommunications

Beverages

Question # 10 of 20 (Start time: 04:07:27 PM) Total Marks: 1

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External forces directly affects all of the following EXCEPT:

Select correct option:

- Market segmentation strategies
- Types of products/services offered
- Management structure of organization**
- Choice of businesses to acquire or sell

Question # 11 of 20 (Start time: 04:07:53 PM) Total Marks: 1

All of these are pitfalls an organization should avoid in strategic planning EXCEPT:

Select correct option:

- Using plans as a standard for measuring performance.**
- Using strategic planning to gain control over decisions and resources
- Failing to involve key employees in all phases of planning
- Being so formal in planning that flexibility and creativity are stifled

Question # 12 of 20 (Start time: 04:08:01 PM) Total Marks: 1

Which one of the following dimensions is NOT a recommended component of a mission statement?

Select correct option:

- Self-concept
- Markets
- Strategies**
- Customers

Question # 13 of 20 (Start time: 04:08:08 PM) Total Marks: 1

A system of several rites connected with a single occasion or event is known as:

Select correct option:

- Myth
- Ceremonial**
- Saga
- Legend

Question # 14 of 20 (Start time: 04:08:15 PM) Total Marks: 1

The total weighted score of IFE matrix developed for XYZ corporation is 3.5. Which of the following statement is TRUE about XYZ Corporation in the light of IFE matrix total weighted score?

Select correct option:

Corporation has strong external position

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Corporation has weak internal position

Corporation has strong internal position

Corporation has weak external position

Question # 15 of 20 (Start time: 04:08:33 PM) Total Marks: 1

Which of the following is not a pitfall an organization should avoid in strategic planning?

Select correct option:

Failing to involve key employees in all phases of planning

Involving all managers rather than delegating planning to a planner

Top managers not actively supporting the strategic planning process

Doing strategic planning only to satisfy accreditation or regulatory requirements

Question # 16 of 20 (Start time: 04:08:40 PM) Total Marks: 1

In the process of developing a mission statement, which of the following is CORRECT?

Select correct option:

To involve as few managers as possible

To involve as many managers as possible

To involve upper-level management only

To involve the board of directors only

Question # 17 of 20 (Start time: 04:08:47 PM) Total Marks: 1

For the past four years the ABC Corporation has been planning to expand its operations in order to reach out to the world market. Essentially, the ABC Corporation desires to do what?

Select correct option:

Become an online business

Become a brick-n-mortar business

Embrace globalization

Become a click-n-mortar business

Question # 18 of 20 (Start time: 04:08:53 PM) Total Marks: 1

Political variables have a significant effect on which one of the following?

Select correct option:

Formulation and implementation of strategy

Formulation and Evaluation of a strategy

Implementation and evaluation of a strategy

Formulation, implementation and evaluation of a strategy

Question # 19 of 20 (Start time: 04:09:04 PM) Total Marks: 1

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Assigning a rate=2 in IFE matrix indicates what?

Select correct option:

A major weakness

A minor weakness

A minor strength

A major strength

Question # 20 of 20 (Start time: 04:09:24 PM) Total Marks: 1

Which marketing function includes test marketing?

Select correct option:

Selling products/services

Customer analysis

Product/service planning

Distributing

Question # 1 of 20 (Start time: 05:02:46 PM) Total Marks: 1

Which of the following can be considered one of the factors of external opportunities and threats of an organization?

Select correct option:

Production/ operations

Research & development

Competitive trends

Management information system

Question # 2 of 20 (Start time: 05:03:36 PM) Total Marks: 1

Which of the following arise when a company can take advantage of conditions in its environment to formulate and implement strategies that enable it to become more profitable?

Select correct option:

Strengths

Opportunities

Weaknesses

Threats

Question # 3 of 20 (Start time: 05:04:16 PM) Total Marks: 1

Rehman industries is analyzing the technological forces for the firm which may provide it opportunities and threats for which of the following stage/s of strategic management process?

Select correct option:

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Strategy formulation

Strategy implementation

Strategy evaluation

All of the given options

Question # 4 of 20 (Start time: 05:04:32 PM) Total Marks: 1

The XYZ Organization has a statement that describes the needs for which the organization was created to fill and answers the basic question of why the organization exists. XYZ is most likely to have any one of the following?

Select correct option:

Strategy

Vision statement

Mission statement

Functional tactics

Question # 5 of 20 (Start time: 05:04:39 PM) Total Marks: 1

In the process of developing a mission statement, which of the following is CORRECT?

Select correct option:

To involve as few managers as possible

To involve as many managers as possible

To involve upper-level management only

To involve the board of directors only

Question # 6 of 20 (Start time: 05:04:47 PM) Total Marks: 1

The process of monitoring performance, comparing it with goals, and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 7 of 20 (Start time: 05:05:04 PM) Total Marks: 1

A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

Select correct option:

Marketing

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Research and development

Production

Management information system

Question # 8 of 20 (Start time: 05:06:29 PM) Total Marks: 1

Investment decisions are also known as:

Select correct option:

Business finance

Capital structure

Capital budgeting

Dividend policy

Question # 9 of 20 (Start time: 05:06:47 PM) Total Marks: 1

Which one variable falls under the category of the Social, Cultural, Demographic, and Environmental Variable?

Select correct option:

Propensity of people to spend

Buying habits

Level of disposable income

Income differences by region

Question # 10 of 20 (Start time: 05:06:53 PM) Total Marks: 1

Which one of the followings best describes this statement; “The conditions that a company must satisfy in order to be able to enter an industry”?

Select correct option:

Economies of scale

Barriers to entry

Differentiation

Competitive environment

Question # 11 of 20 (Start time: 05:08:16 PM) Total Marks: 1

Which of the following term represents the enduring statement of purpose that distinguish one business from other similar firms?

Select correct option:

Vision

Strategy

Mission

Tactics

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Question # 12 of 20 (Start time: 05:08:32 PM) Total Marks: 1

In which of the following phase of strategic management, annual objectives are especially important?

Select correct option:

Formulation

Evaluation

Implementation

Management

Question # 13 of 20 (Start time: 05:08:39 PM) Total Marks: 1

Which of the following refers to determining the best capital structure for the company?

Select correct option:

Restructuring decisions

Financing decisions

Strategic decision

Investment decision

Question # 14 of 20 (Start time: 05:08:46 PM) Total Marks: 1

Following are the examples of the sectors that are more technologically oriented EXCEPT:

Select correct option:

Textile

Pharmaceutical

Telecommunications

Beverages

Question # 15 of 20 (Start time: 05:08:52 PM) Total Marks: 1

Ethnic balance is affected due to which of the following?

Select correct option:

Change in ethnic values

Awareness of ethnic norms

Migration of the people towards different areas

Introduction of new laws relating to ethnicity

Question # 16 of 20 (Start time: 05:08:59 PM) Total Marks: 1

Which of the following statement applies to Vision Statement?

Select correct option:

Describes the purpose of existence of an organization

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Identify the customers of the organization

The key measure or measures of the organization's success

Depict the values of an organization

Question # 17 of 20 (Start time: 05:09:17 PM) Total Marks: 1

All of the following fall under the category of "Process" function of production management EXCEPT:

Select correct option:

Choice of technology

Quality assurance

Process flow analysis

Transportation analysis

Question # 18 of 20 (Start time: 05:10:41 PM) Total Marks: 1

Which of the following categories of ratios includes return on total assets and return on stockholders' equity as its types?

Select correct option:

Profitability

Leverage

Growth

Liquidity

Question # 19 of 20 (Start time: 05:10:51 PM) Total Marks: 1

Total weighted scores of IFE matrix below 2.5 characterizes an organizations as:

Select correct option:

Organization is externally weak

Organization is internally weak

Organization is internally strong

Organization is externally strong

Question # 20 of 20 (Start time: 05:11:09 PM) Total Marks: 1

All of these are pitfalls an organization should avoid in strategic planning EXCEPT:

Select correct option:

Using plans as a standard for measuring performance.

Using strategic planning to gain control over decisions and resources

Failing to involve key employees in all phases of planning

Being so formal in planning that flexibility and creativity are stifled

Question # 1 of 20 (Start time: 05:24:42 PM) Total Marks: 1

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Principles of conduct that guide decision-making are known as:

Select correct option:

Human rights

Business ethics

The constitution

Social responsibility

Question # 2 of 20 (Start time: 05:25:04 PM) Total Marks: 1

Choose the economic variable from the list.

Select correct option:

Attitudes toward business

Attitudes toward product quality

Population changes by race

Stock market trends

Question # 3 of 20 (Start time: 05:25:12 PM) Total Marks: 1

Which of the following period strategic management was considered to be cure for all problems?

Select correct option:

Mid 1950s to mid 1960s

Mid 1960s to mid 1970s

Mid 1970s to mid 1980s

Mid 1980s to mid 1990s

Question # 4 of 20 (Start time: 05:25:18 PM) Total Marks: 1

Defensive strategies include all of the following EXCEPT:

Select correct option:

Retrenchment

Acquisition

Divestiture

Liquidation

Question # 5 of 20 (Start time: 05:25:35 PM) Total Marks: 1

Strategist is an individual who is involved in the strategic management process, thus may be known as:

Select correct option:

Member board of director

President

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Division manager

All of the given options

Question # 6 of 20 (Start time: 05:25:42 PM) Total Marks: 1

Reasons due to which some firms do “No Strategic Planning” incorporate all of the following EXCEPT:

Select correct option:

Wastage of time

Fire-fighting

Content with success

Privileged reward structures

Question # 7 of 20 (Start time: 05:25:47 PM) Total Marks: 1

According to Freund, Which one of the following should NOT be the characteristics of key external factors?

Select correct option:

Measurable

Relatively few in number

Applicable to all competing firms

Important to achieve long-term objectives

Question # 8 of 20 (Start time: 05:25:55 PM) Total Marks: 1

Which of the following statement applies to Vision Statement?

Select correct option:

Describes the purpose of existence of an organization

Identify the customers of the organization

The key measure or measures of the organization's success

Depict the values of an organization

Question # 9 of 20 (Start time: 05:26:01 PM) Total Marks: 1

Which of the following statement is referred to ‘Price fluctuation’?

Select correct option:

Decrease in prices

Increase in prices

Fluctuation in the prices of a particular commodity

Fluctuation in general price level

Question # 10 of 20 (Start time: 05:26:16 PM) Total Marks: 1

All of the following are the key questions that can reveal internal strengths and

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weaknesses in the management department EXCEPT:

Select correct option:

Is the organization's structure appropriate?

Are reward and control mechanisms effective?

Are the organization's products positioned well?

Does the firm use strategic management concepts?

Question # 11 of 20 (Start time: 05:27:06 PM) Total Marks: 1

Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization?

Select correct option:

Investment decision

Financing decisions

Restructuring decisions

Strategic decision

Question # 12 of 20 (Start time: 05:27:52 PM) Total Marks: 1

Which of the following groups represents the stakeholders of a company?

Select correct option:

The owners of the company

The people who purchases the shares of the company

The people who have a special stake or claim on the company

Are the people who are in the management a company

Question # 13 of 20 (Start time: 05:28:00 PM) Total Marks: 1

Strategic management integrates all of the following areas EXCEPT:

Select correct option:

Management

Marketing

Research and development

Human resource management

Question # 14 of 20 (Start time: 05:28:06 PM) Total Marks: 1

In Competitive Profile Matrix, the rating 4 indicates what?

Select correct option:

Major weakness

Major strength

Minor strength

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Minor weakness

Question # 15 of 20 (Start time: 05:28:13 PM) Total Marks: 1

Corporate social policy should be designed and articulated during which phase of strategic management?

Select correct option:

Implementation

Formulation

Evaluation

Management

Question # 16 of 20 (Start time: 05:28:30 PM) Total Marks: 1

Which of the following ties all business functions together and provides the basis for all managerial decisions?

Select correct option:

Marketing

Information

Technology

Workforce

Question # 17 of 20 (Start time: 05:29:14 PM) Total Marks: 1

Which category of ratios measures “how effectively a firm can maintain its economic position in the growth of the economy and industry”?

Select correct option:

Liquidity

Leverage

Activity

Growth

Question # 18 of 20 (Start time: 05:29:33 PM) Total Marks: 1

Identify the stages of strategic management process in a precise sequence.

Select correct option:

Strategy evaluation, strategy formulation & strategy implementation

Strategy evaluation, strategy implementation & strategy formulation

Strategy formulation, strategy implementation & strategy evaluation

Strategy implementation, strategy evaluation & strategy formulation

Question # 19 of 20 (Start time: 05:29:39 PM) Total Marks: 1

Which one of the following area can be the weakness of a firm?

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Select correct option:

- Changing lifestyle
- High oil prices
- Ineffective Marketing**
- Increasing pollution

Question # 20 of 20 (Start time: 05:29:47 PM) Total Marks: 1

Effective mission statements don't have one of the following features:

Select correct option:

- Generate range of feasible strategic alternatives
- Reconcile interests among diverse stakeholders
- What does the firm want to become**
- Provide criteria for selecting strategies

Question # 1 of 20 (Start time: 05:33:46 PM) Total Marks: 1

Which of the following is the benefit of strategic management?

Select correct option:

- Fewer complexes
- More complex
- Less static
- More profitable**

Question # 2 of 20 (Start time: 05:34:18 PM) Total Marks: 1

Establishing and implementing ways of making things work is known as:

Select correct option:

- Planning
- Organizing**
- Leading
- Controlling

Question # 3 of 20 (Start time: 05:34:36 PM) Total Marks: 1

Various job titles of a strategist may includes all of the following EXCEPT:

Select correct option:

- Owner
- Foreman**
- Chancellor
- Chief executive officer

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Question # 4 of 20 (Start time: 05:34:53 PM) Total Marks: 1

What is the first step in the comprehensive strategic-management model?

Select correct option:

Performing external audits

Developing vision and mission statements

Performing internal audits

Measuring and evaluating performance

Question # 5 of 20 (Start time: 05:35:00 PM) Total Marks: 1

Where an organization takes into account the effect of its strategic decisions on the society, the firm is taking care of which of these?

Select correct option:

Corporate governance

Business policy

Business ethics

Social policy

Question # 6 of 20 (Start time: 05:35:07 PM) Total Marks: 1

Which of the following is not a strategy-implementation activity?

Select correct option:

Long term goals and objectives

Developing strategy supportive culture

Redirecting marketing efforts

Developing and utilizing information system

Question # 7 of 20 (Start time: 05:35:21 PM) Total Marks: 1

In the process of developing a mission statement, which of the following is CORRECT?

Select correct option:

To involve as few managers as possible

To involve as many managers as possible

To involve upper-level management only

To involve the board of directors only

Question # 8 of 20 (Start time: 05:35:29 PM) Total Marks: 1

Which of the following is not a pitfall an organization should avoid in strategic planning?

Select correct option:

Failing to involve key employees in all phases of planning

Involving all managers rather than delegating planning to a planner

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Top managers not actively supporting the strategic planning process

Doing strategic planning only to satisfy accreditation or regulatory requirements

Question # 9 of 20 (Start time: 05:35:37 PM) Total Marks: 1

The general conditions for competition that influence business firms, which provide similar products and services is known:

Select correct option:

Remote environment

International environment

External environment

Industry environment

Question # 10 of 20 (Start time: 05:35:47 PM) Total Marks: 1

Which of the following refers to a functional support role of an information system?

Select correct option:

What if...?" questions

What is the capacity of plant?

What do we do?

What if tax rate increases by 10%?

Question # 11 of 20 (Start time: 05:35:53 PM) Total Marks: 1

Backward integration is effective in all of the following situations EXCEPT:

Select correct option:

When an organization competes in an industry that is growing rapidly

When an organization needs to acquire a needed resource quickly

When the advantage of stable prices are not important

When present suppliers have high profit margins

Question # 12 of 20 (Start time: 05:36:08 PM) Total Marks: 1

When the Chief Executive of a chain of pharmacies decided to sell off or close some of the locations that were not profitable, he was performing which of the management function?

Select correct option:

Leading

Planning

Controlling

Organizing

Question # 13 of 20 (Start time: 05:36:40 PM) Total Marks: 1

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Which of the following statement is referred to 'Price fluctuation'?

Select correct option:

Decrease in prices

Increase in prices

Fluctuation in the prices of a particular commodity

Fluctuation in general price level

Question # 14 of 20 (Start time: 05:36:46 PM) Total Marks: 1

A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

Select correct option:

Marketing

Research and development

Production

Management information system

Question # 15 of 20 (Start time: 05:36:53 PM) Total Marks: 1

The social factors that affect a firm involve all of the following EXCEPT:

Select correct option:

Attitudes of people in the external environment

Lifestyles of people

Per capita income

Values and beliefs of persons outside the firm

Question # 16 of 20 (Start time: 05:37:02 PM) Total Marks: 1

Financial benefits of strategic management includes all of the following EXCEPT:

Select correct option:

Progression in profitability

Improvement in employee productivity

Expansion in the sales of business

Enhancement in productivity

Question # 17 of 20 (Start time: 05:37:08 PM) Total Marks: 1

Which category of ratios measures a firm's ability to meet maturing short-term obligations?

Select correct option:

Profitability

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Leverage

Liquidity

Activity

Question # 18 of 20 (Start time: 05:37:23 PM) Total Marks: 1

Internal analysis involves gathering and analyzing the information about all areas of a firm EXPECT:

Select correct option:

Research nad development

Management information system

Marketing

Competitors

Question # 19 of 20 (Start time: 05:37:38 PM) Total Marks: 1

Which of the following is one of the Political, Governmental & legal factors?

Select correct option:

Ethical concerns

Traffic congestion

Lobbying activities

Average level of education

Question # 20 of 20 (Start time: 05:37:44 PM) Total Marks: 1

Which of these basic questions a vision statement answers?

Select correct option:

What is our business?

Who are our employees?

What do we want to become?

Who are our competitors?

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MGT603 - Strategic Management Subjective Solved Online Quiz For Final Term Exam Preparation

Question # 1 of 15 (Start time: 08:34:41 PM) Total Marks: 1

Firms in quadrant-IV of grand strategy matrix have which of the following characteristics?

Select correct option:

Rapid market growth and strong competitive position

Rapid market growth and weak competitive position

Slow market growth and strong competitive position

Slow market growth and weak competitive position

Question # 2 of 15 (Start time: 08:35:29 PM) Total Marks: 1

Assigning rating 3 to an internal factor in IFE matrix indicates what?

Select correct option:

Major weakness

Minor weakness

Minor strength

Major strength

Question # 3 of 15 (Start time: 08:36:28 PM) Total Marks: 1

Which one of the following dimensions is NOT a recommended component of a mission statement?

Select correct option: Self-

concept

Markets
Strategies
Customers

Question # 4 of 15 (Start time: 08:37:04 PM) Total Marks: 1
All of the following are used as a base for market segmentation EXCEPT:
Select correct option:

Socioeconomic
Geographic
Demographic
Psychographic

Question # 5 of 15 (Start time: 08:37:43 PM) Total Marks: 1
Majority of the businesses follow which of the following organizational structure?
Select correct option:

Strategic business unit
Functional structure
Divisional structure
Matrix structure

Question # 6 of 15 (Start time: 08:38:28 PM) Total Marks: 1
In the SPACE analysis, what does (+6, +3) strategy profile portray?
Select correct option:

A strong industry with strong financial strength
A stable environment with strong financial strength
A stable environment for highly competitive firm
A strong industry operating in stable environment

Question # 7 of 15 (Start time: 08:39:59 PM) Total Marks: 1
Which of the following statement is referred to 'Price fluctuation'?
Select correct option:

Decrease in prices
Increase in prices
Fluctuation in the prices of a particular commodity
Fluctuation in general price level

Question # 8 of 15 (Start time: 08:40:23 PM) Total Marks: 1
Long-term objectives are needed at which level(s) of the organization?
Select correct option:

Corporate level
Divisional level
Functional level
All of the given options

Question # 9 of 15 (Start time: 08:40:59 PM) Total Marks: 1

For the past four years the ABC Corporation has been planning to expand its operations in order to reach out to the world market. Essentially, the ABC Corporation desires to do what?

Select correct option:

Become an online business

Become a brick-n-mortar business

Embrace globalization

Become a click-n-mortar business

Question # 10 of 15 (Start time: 08:41:43 PM) Total Marks: 1

Establishing and implementing ways of making things work is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 11 of 15 (Start time: 08:42:35 PM) Total Marks: 1

All of the following are functional support roles of Management Information System EXCEPT:

Select correct option:

Recording and storing accounting records

Recording and storing inventory data

Recording and storing business intelligence data

The enhanced ability to explore "what if"

Question # 12 of 15 (Start time: 08:43:05 PM) Total Marks: 1

Strategy formulation stage includes all of the following EXCEPT:

Select correct option:

Vision and mission

Strength and weakness

Opportunities and threats

Annual objectives

Question # 13 of 15 (Start time: 08:43:52 PM) Total Marks: 1

During which stage of strategic management, firm's specific internal strengths and weaknesses are determined?

Select correct option:

Formulation

Implementation

Evaluation
Feedback

Question # 14 of 15 (Start time: 08:44:21 PM) Total Marks: 1
The SPACE matrix of XYZ company shows that the coordinates of its directional vector are (-5, -5). What strategy would you recommend for the ABC Company?
Select correct option:

Concentric diversification

Market development
Backward integration
Joint venture

Question # 15 of 15 (Start time: 08:45:14 PM) Total Marks: 1
Which one of the following is NOT a basic mission of a competitive intelligence program?
Select correct option:

To provide a general understanding of an industry
To provide a general understanding of a company's competitors
To identify industry executives who could be hired by the firm
To identify potential moves a competitor might make that would endanger a firm

Question # 1 of 15 (Start time: 08:49:07 PM) Total Marks: 1
According to Porter, which strategy offers products or services to a small range of customers at the lowest price available on the market?
Select correct option:

Low cost
Best value
Cost focus
Differentiation

Question # 2 of 15 (Start time: 08:49:48 PM) Total Marks: 1
All of the following are the indicators of industry strength for an organization EXCEPT:

Select correct option:
Financial stability
Ease of entry into the market
Geographic and product freedom
Control over suppliers

Question # 3 of 15 (Start time: 08:50:40 PM) Total Marks: 1
The strategy embraced by Ahmad Bros. is to address the needs of a very selected and specialized market segment. That is most likely to engage in which one of the following types of strategy?
Select correct option:
Differentiation strategy
Generic strategy

Focus strategy

Low cost strategy

Question # 4 of 15 (Start time: 08:51:22 PM) Total Marks: 1

Ethnic balance is affected due to which of the following?

Select correct option:

Change in ethnic values

Awareness of ethnic norms

Migration of the people towards different areas

Introduction of new laws relating to ethnicity

Question # 5 of 15 (Start time: 08:51:56 PM) Total Marks: 1

All of the following are examples of marketing decisions that require policies

EXCEPT:

Select correct option:

To be a market leader or follower

Whether to advertise online or not

Either to offer a complete or limited warranty

To use billboards for outdoor advertising

Question # 6 of 15 (Start time: 08:52:35 PM) Total Marks: 1

A system of several rites connected with a single occasion or event is known as:

Select correct option:

Myth

Ceremonial

Saga

Legend

Question # 7 of 15 (Start time: 08:53:04 PM) Total Marks: 1

Test marketing is commonly applied by which of the following companies?

Select correct option:

Industrial goods companies

Consumer goods companies

Public sector companies

Private sector companies

Question # 8 of 15 (Start time: 08:53:44 PM) Total Marks: 1

Business units that have low market share and are operating in slow-growing industry should choose all of the following EXCEPT:

Select correct option:

Distribution efficiency

Production efficiency

New investments

Product innovation

Question # 9 of 15 (Start time: 08:54:12 PM) Total Marks: 1

The purpose of an external audit is to prepare a list of which of the following?

Select correct option:

Opportunities and weaknesses

Threats and strengths

Opportunities and threats

Strengths and weaknesses

Question # 10 of 15 (Start time: 08:54:50 PM) Total Marks: 1

What strategies are appropriate for the divisions that fall in grow and build region of IE matrix?

Select correct option:

Defensive and integrative strategies

Intensive and integrative strategies

Diversification and intensive strategies

Defensive and diversification strategies

Question # 11 of 15 (Start time: 08:55:44 PM) Total Marks: 1

Adding new, unrelated products or services is called:

Select correct option:

Forward integration

Backward integration

Conglomerate diversification

Concentric diversification

Question # 12 of 15 (Start time: 08:56:24 PM) Total Marks: 1

Which one of the following is the organizational structure that most of the medium-size organizations follow?

Select correct option:

Divisional structure

Strategic business unit

Functional structure

Matrix structure

Question # 13 of 15 (Start time: 08:57:07 PM) Total Marks: 1

Which of the following is the first step in the controlling function of management?

Select correct option:

Take corrective actions

Restrict breaks employees take

Evaluate expense reports

Establish performance standards

Question # 14 of 15 (Start time: 08:57:55 PM) Total Marks: 1

Which of the following factors can predict the stability or non-stability of the environment, the firm is operating in?

Select correct option:

Rate of inflation

Ease of exit from market

Customer loyalty

Financial stability

Question # 15 of 15 (Start time: 08:58:33 PM) Total Marks: 1
Which of the followings best describes the Horizontal integration?
Select correct option:
A firm takes over a supplier
A firm takes over a distributor
A firm takes over a competitor
A firm takes over a manufacturer

Question # 1 of 15 (Start time: 09:02:21 PM) Total Marks: 1
Which of these is an attractive strategy for a cash cow division?
Select correct option:
Concentric diversification
Horizontal integration
Conglomerate diversification
Backward integration

Question # 2 of 15 (Start time: 09:03:20 PM) Total Marks: 1
All of the following are the types of cooperative arrangements EXCEPT:
Select correct option:
R&D partnerships Joint-bidding consortia
Cross-licensing agreements
Diversification

Question # 3 of 15 (Start time: 09:04:34 PM) Total Marks: 1
Which of the following is the first step in developing QSPM?
Select correct option:
Developing a list of the firm's key external and internal factors.
Determining the Attractiveness Scores for each strategy.
Examine the Stage 2 matrices and identify alternative strategies.
Assigning weights to each key external and internal factor.

Question # 4 of 15 (Start time: 09:05:15 PM) Total Marks: 1
The reason to develop QSPM is to evaluate the alternative strategies derived from all of these EXCEPT:
Select correct option:
Grand Strategy Matrix
BCG Matrix
Space Matrix
CPM Matrix

Question # 5 of 15 (Start time: 09:06:14 PM) Total Marks: 1
All of the following situations are conducive to market development EXCEPT:
Select correct option:
When new untapped or unsaturated markets exist
When new channels of distribution are expensive
When an organization has excess production capacity

When an organization's basic industry is becoming rapidly global

Question # 6 of 15 (Start time: 09:06:58 PM) Total Marks: 1

All of the following are the examples of promotion decision EXCEPT:

Select correct option:

Personal selling

Volume discounts

Public relations

Advertising

Question # 7 of 15 (Start time: 09:08:03 PM) Total Marks: 1

Which strategy seeks to increase market share of present products or services in present markets through greater marketing efforts?

Select correct option:

Market penetration

Market development

Backward integration

Product development

Question # 8 of 15 (Start time: 09:08:33 PM) Total Marks: 1

All of the following would be considered as weaknesses to a business EXCEPT:

Select correct option:

Maturing markets

Limited industry expertise

Brand name

Limited financial resources

Question # 9 of 15 (Start time: 09:09:28 PM) Total Marks: 1

According to Porter, which strategy offers products or services to a small range of customers at the lowest price available on the market?

Select correct option:

Low cost

Best value

Cost focus

Differentiation

Question # 10 of 15 (Start time: 09:10:39 PM) Total Marks: 1

When a merger or acquisition is not desired by both the parties of merger, then it is known as:

Select correct option:

Divestiture

Takeover

Outsourcing

Integration

Question # 11 of 15 (Start time: 09:11:23 PM) Total Marks: 1

What are the four dimensions of a SPACE matrix?

Select correct option:

Environmental stability; Industrial strength; Competitive advantage; Market growth rate
Environmental stability; Industrial strength; Competitive advantage; Financial strength
 Industrial strength; Competitive advantage; financial strength; Market share
 Environmental stability; Industrial strength; Market growth rate; Market share

Question # 12 of 15 (Start time: 09:11:56 PM) Total Marks: 1
 Selling all of a company's assets in parts for their tangible worth is known as:
 Select correct option:
 Joint venture
 Divestiture
Liquidation
 Integration

Question # 13 of 15 (Start time: 09:12:35 PM) Total Marks: 1
 Market segmentation is especially used in implementing strategies by which of the following firms?
 Select correct option:
Small firms Medium-size firms Large firms
 All of these firms

Question # 14 of 15 (Start time: 09:13:04 PM) Total Marks: 1
 When two organizations of about equal size unite to form one enterprise, which of the following takes place?
 Select correct option:
 Hostile takeover
Merger
 Liquidation
 Divestiture

Question # 15 of 15 (Start time: 09:13:50 PM) Total Marks: 1
 Which of the following strategy generally entails large research and development expenditures?
 Select correct option:
 Market penetration
 Retrenchment
 Forward integration
Product development

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Question # 1 of 15 (Start time: 09:23:55 PM) Total Marks: 1
 Which one of the following is NOT a SMART criterion?
 Select correct option:

Measurable
Strategy
Achievable
Relevant

Question # 2 of 15 (Start time: 09:25:01 PM) Total Marks: 1
External forces directly affects all of the following EXCEPT:
Select correct option:

Market segmentation strategies
Types of products/services offered
Management structure of organization
Choice of businesses to acquire or sell

Question # 3 of 15 (Start time: 09:26:06 PM) Total Marks: 1
Identify the stages of strategic management process in a precise sequence.
Select correct option:

Strategy evaluation, strategy formulation & strategy implementation
Strategy evaluation, strategy implementation & strategy formulation
Strategy formulation, strategy implementation & strategy evaluation
Strategy implementation, strategy evaluation & strategy formulation

Question # 5 of 15 (Start time: 09:27:47 PM) Total Marks: 1
All of the following are the key opportunities or threats in external environment because of Political, Govt. & lLegal force EXCEPT:
Select correct option:

Tax rates
Trust in government Pak-
India relationships Patent
laws

Question # 6 of 15 (Start time: 09:28:47 PM) Total Marks: 1
Which of the following is NOT a SPACE Matrix quadrant?
Select correct option:

Aggressive
Defensive
Competitive
Offensive

Question # 7 of 15 (Start time: 09:29:19 PM) Total Marks: 1
The IE Matrix consists of how many cells?
Select correct option:

Seven
Eight

Nine
Ten

Question # 8 of 15 (Start time: 09:29:53 PM) Total Marks: 1
Majority of the businesses follow which of the following organizational structure?
Select correct option:

Strategic business unit
Functional structure
Divisional structure
Matrix structure

Question # 9 of 15 (Start time: 09:30:57 PM) Total Marks: 1
The process of monitoring performance, comparing it with goals, and correcting any significant deviations is known as:
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 10 of 15 (Start time: 09:31:46 PM) Total Marks: 1
Marketing decisions generally fall into four controllable categories. Which one of the following is NOT one of marketing decisions category?
Select correct option:

Product
Process
Distribution
Promotion

Question # 11 of 15 (Start time: 09:32:22 PM) Total Marks: 1
Input stage of strategy formulation framework includes developing which of the following set of strategies?
Select correct option:

IFE, EFE and QSPM Matrix
IFE, IE and BCG Matrix
IFE, CPM and EFE Matrix
EFE, IE and CPM Matrix

Question # 12 of 15 (Start time: 09:33:22 PM) Total Marks: 1
Which of the following is best identified as a statement that presents “a firm's big picture statement, describing a desired end-state, general in scope, and not restrictive”?
Select correct option:

Corporate philosophy statement

Company creed

Vision statement

Mission statement

Question # 13 of 15 (Start time: 09:34:02 PM) Total Marks: 1

All of the following fall under Pricing decisions EXCEPT:

Select correct option:

Discounts

Credit terms

Markups

Dealer relations

Question # 14 of 15 (Start time: 09:34:32 PM) Total Marks: 1

According to the Grand Strategy Matrix, in which quadrant organizations have a strong competitive position but are in a slow-growth industry?

Select correct option:

I

II

III

IV

Question # 15 of 15 (Start time: 09:35:00 PM) Total Marks: 1

All of the following are functional support roles of Management Information System EXCEPT:

Select correct option:

Recording and storing accounting records

Recording and storing inventory data

Recording and storing business intelligence data

The enhanced ability to explore "what if"

Question # 1 of 15 (Start time: 11:22:48 PM) Total Marks: 1

In BCG growth-share matrix, which of the following would be most likely to possess a low market share and a high growth rate?

Select correct option:

Dog

Question mark

Cash cow

Star

Question # 2 of 15 (Start time: 11:23:42 PM) Total Marks: 1

Which one of the following strategies is referred as presenting products, often

with a little or no modification, to customers in related marketing areas?
Select correct option:

Market development

Market penetration

Horizontal integration

Product development

Question # 3 of 15 (Start time: 11:24:47 PM) Total Marks: 1

Which of the following was NOT included in Borden's marketing mix?

Select correct option:

Product planning

Display

Styling

Physical handling

Question # 4 of 15 (Start time: 11:25:58 PM) Total Marks: 1

Product development involves going in the direction of which one of the following?

Select correct option:

Present products to present markets

Present products to new markets

New products to present markets

New products to new markets

Question # 5 of 15 (Start time: 11:26:28 PM) Total Marks: 1

Which of the following statements is NOT correct about a mission statement?

Select correct option:

It contains the definition of the company's business

It is called the picture of a company's future.

It is a statement containing the company's major goals

It is known as statement of the corporate philosophy

Question # 6 of 15 (Start time: 11:27:00 PM) Total Marks: 1

Which of the following directs at developing new products before competitors do at improving product quality or at improving manufacturing processes to reduce costs?

Select correct option:

Marketing

Opportunity analysis

Research and development

Management

Question # 7 of 15 (Start time: 11:27:57 PM) Total Marks: 1

The reason to develop QSPM is to evaluate the alternative strategies derived from all of these EXCEPT:

Select correct option:

Grand Strategy Matrix

BCG Matrix

Space Matrix

CPM Matrix

Question # 8 of 15 (Start time: 11:28:11 PM) Total Marks: 1

Which of these strategies is effective when the number of suppliers is small and the number of competitors is large?

Select correct option:

Conglomerate diversification

Forward integration

Backward integration

Horizontal diversification

Question # 9 of 15 (Start time: 11:28:56 PM) Total Marks: 1

The process of monitoring performance, comparing it with goals, and correcting any significant deviations is known as:

Select correct option:

Planning

Organizing

Leading

Controlling

Question # 10 of 15 (Start time: 11:29:08 PM) Total Marks: 1

Defensive strategies include all of the following EXCEPT:

Select correct option:

Retrenchment

Acquisition

Divestiture

Liquidation

Question # 11 of 15 (Start time: 11:29:34 PM) Total Marks: 1

In order to avoid the emergence of substitute products, AF & Z Corporation has obtained an access and control over the scarce natural resources necessary to produce their products. Thus, which of the following strategies is being practiced by AF & Z Corporation?

Select correct option:

SO Strategy

WO Strategy

SW Strategy

ST Strategy

Question # 12 of 15 (Start time: 11:30:10 PM) Total Marks: 1

Identify the term that is known as a “mean of providing guidance to actions and procedures, including how resources are to be allocated and how tasks assigned to the organization might be accomplished”.

Select correct option:

Aspirations

Objectives

Policies

Goals

Question # 13 of 15 (Start time: 11:31:19 PM) Total Marks: 1

Which one of the following is NOT a SMART criterion?

Select correct option:

Measurable

Strategy

Achievable

Relevant

Question # 14 of 15 (Start time: 11:31:29 PM) Total Marks: 1

Which of the following is the last step in the development of QSPM?

Select correct option:

Developing a list of the firm’s key external and internal factors

Determining the Attractiveness Scores for each strategy

Compute the Sum Total Attractiveness Score

Assigning weights to each key external and internal factor

Question # 15 of 15 (Start time: 11:32:45 PM) Total Marks: 1

Which of the following categories of ratios includes return on total assets and return on stockholders’ equity as its types?

Select correct option:

Profitability

Leverage

Growth

Liquidity

•

Question # 1 of 15 (Start time: 11:46:29 PM) Total Marks: 1

In order to avoid the emergence of substitute products, AF & Z Corporation has obtained an access and control over the scarce natural resources necessary to produce their products. Thus, which of the following strategies is being practiced by AF & Z Corporation?

Select correct option:

- SO Strategy
- WO Strategy**
- SW Strategy
- ST Strategy

Question # 2 of 15 (Start time: 11:46:50 PM) Total Marks: 1

Which of the following refers to Kanban?

Select correct option:

- Manufacturing system
- Production unit
- Signals**
- Process

Question # 3 of 15 (Start time: 11:47:40 PM) Total Marks: 1

Buyers can exercise high bargaining power over their suppliers under which one of the following conditions?

Select correct option:

When there are many good substitutes of raw material

There are few buyers in the market

They have few suppliers to choose from

There is a high concentration of suppliers

Question # 4 of 15 (Start time: 11:49:04 PM) Total Marks: 1

Selling all of a company's assets in parts for their tangible worth is known as:

Select correct option:

- Joint venture
- Divestiture
- Liquidation**
- Integration

Question # 5 of 15 (Start time: 11:49:36 PM) Total Marks: 1

The organizations, where resource allocation is not based on strategic-management approach to decision making, which approach is used for resource allocation?

Select correct option:

- Financial budget
- Relative importance of departments
- On political or personal factors**
- Relative cost of each resources

Question # 6 of 15 (Start time: 11:50:18 PM) Total Marks: 1

Where an organization is considering development in an existing market with

existing products it is pursuing which of the following strategy?
Select correct option:

- Diversification
- Market development
- Market penetration**
- Product development

Question # 7 of 15 (Start time: 11:50:49 PM) Total Marks: 1
Non-financial benefits of strategic management includes all of the following EXCEPT:
Select correct option:

- Better awareness of external threats
- Enhanced awareness of threats
- Reduced resistance to change
- Increase in sales**

Question # 8 of 15 (Start time: 11:51:29 PM) Total Marks: 1
Which of the following are two positive-rated dimensions on SPACE Matrix?
Select correct option:

- FS and CA
- CA and ES
- FS and IS**
- IS and ES

Question # 9 of 15 (Start time: 11:52:06 PM) Total Marks: 1
Marketing decisions generally fall into four controllable categories. Which one of the following is NOT one of marketing decisions category?
Select correct option:

- Product
- Process**
- Distribution
- Promotion

Question # 10 of 15 (Start time: 11:52:22 PM) Total Marks: 1
A firm that is involved in two or more distinct businesses is known as:
Select correct option:

- A diversified company**
- A ventured company
- A restructured company
- A multinational corporation

Question # 11 of 15 (Start time: 11:53:37 PM) Total Marks: 1
Which one of the following is the organizational structure that most of the

medium-size organizations follow? Select correct option:

Divisional structure Strategic
business unit Functional structure
Matrix structure

Question # 12 of 15 (Start time: 11:53:53 PM) Total Marks: 1
The total weighted score of IFE matrix developed for XYZ corporation is 3.5. Which of the following statement is TRUE about XYZ Corporation in the light of IFE matrix total weighted score?
Select correct option:

Corporation has strong external position Corporation has
weak internal position **Corporation has strong internal
position** Corporation has weak external position

Question # 13 of 15 (Start time: 11:55:13 PM) Total Marks: 1
Local, state, and national elections, world oil, currency, and labor markets, number of patents, special tariffs are the examples of which one of the following? Select correct option:

Economic forces
Social, cultural and, demographic forces **Political,
governmental, and legal forces** Competitive forces

Question # 14 of 15 (Start time: 11:55:58 PM) Total Marks: 1
BCG matrix is used in matching stage of strategy formulation framework. It plots the business units along which of the following dimensions?
Select correct option:

Market share and industry strength
Market share and market growth rate Market growth
rate and competitive position Market growth rate and
environment stability

Question # 15 of 15 (Start time: 11:57:20 PM) Total Marks: 1 Ethnic
balance is affected due to which of the following? Select correct
option:

Change in ethnic values Awareness of
ethnic norms
Migration of the people towards different areas
Introduction of new laws relating to ethnicity

MGT603 - Strategic Management Solved Objective Final Term Papers For Final Term Exam Preparation

1. Which method of determining a firm's net worth can be numerically expressed as:
 $\text{Market price of the firm's stock} \times \text{Average net income for the past five years Annual earnings per share}$

- ▶ Sum of equity and earnings method
- ▶ Price-earnings ratio method p; 139
- ▶ Long-term asset method
- ▶ Outstanding shares method

2. Which of the following is an example of a narrow mission?

- ▶ We sell packaged pineapples M. file
- ▶ The firm deals in beverages

- ▶ Stationery is our product
- ▶ Company manufactures food items

3. Which of the following business actions is NOT considered to be unethical?

- ▶ Poor product or service safety
- ▶ Using non-union labor in a union shop
- ▶ Misleading advertising

▶ Too expensive products M. File

4. Political variables have a significant effect on which one of the following?

▶ Formulation and implementation of strategy p; 35

- ▶ Formulation and evaluation of a strategy
- ▶ Implementation and evaluation of a strategy
- ▶ Formulation, implementation and evaluation of a strategy

5. Which of the following is one of the Political, Governmental & Legal factors?

- ▶ Ethical concerns
- ▶ Traffic congestion

►Lobbyingactivities M. File

- ▶ Average level of education

6. *The XYZ Company wants to know the major favorable situations that exist in its environment. Essentially, the company wants to gain understanding of what?*

- ▶ Strengths
- ▶ Weaknesses
- ▶ Threats

▶ Opportunities

7. **Keeping strategies secret from employees and stakeholders can do all of the following EXCEPT:**

- ▶ **Provide competitive advantage to competitors**
- ▶ hinder employee and stakeholder communication
- ▶ Reduces employee and stakeholder understanding
- ▶ Minimize employee and stakeholder commitment

8. *Sana has spent a day in a session where the future of her company was discussed. The people involved were trying to determine what the role of their*

company was as the 21st century approaches. Goals were then developed based upon their vision of the company's mission. Sana spent her day on which of the following process?

► **Planning** M. File

- Organizing
- Leading
- Controlling

9. *Opportunity analysis is one of the basic functions of which one of the following?*

- Computer information systems

► **Marketing** Q. File

- Production/operations
- Research and development

10. *Which of the following term describes “the merging of two or more businesses at the same level of production in some formal, legal relationship”?*

- Backward integration

► **Horizontal integration**

- Market penetration

► Market development

When an organization takes up the same type of products at the same level of production or marketing process, it is said to follow a strategy of horizontal integration

11. *"Ghulam Nabi, a farmer sells his crops at the local market rather than to a distribution center". This action of Ghulam Nabi comes under which of the following?*

- ▶ Backward integration
- ▶ Product development
- ▶ Forward integration
- ▶ Horizontal integration

12. *Where usage rate of present customers of the company can be increased significantly and the current markets are not saturated, which strategy would be effective for the company to follow?*

▶ Market Penetration p; 89

- ▶ Product Development
- ▶ Market Development
- ▶ Retrenchment

13. *Product development involves going in the direction of which one of the*

following?

- ▶ Present products to present markets
- ▶ Present products to new markets

▶ **New products to present markets**

- ▶ New products to new markets

14. *All of the following would be considered an Opportunity to a business EXCEPT which one of the following?*

- ▶ Removal of international trade barriers
- ▶ Emergence of unfulfilled customer need

▶ **Emergence of substitute products**

- ▶ loosening of regulations

15. *A & Ammar is the sole manufacturer of leather goods in Pakistan. This year, government has lowered tax rates for this industry. There is a possibility that new companies will enter the market to avail this opportunity. Lowering the tax rates will present which of the following to A & Ammar?*

- ▶ Strength
- ▶ Weakness
- ▶ Opportunity

►Threat

16. Which of the following are the two internal dimensions represented on the axes of the SPACE Matrix?

- Environmental stability and industry strength
- Industry strength and competitive advantage

►Competitive advantage and financial strength p; 100

- Financial strength and environmental stability

17. ABC Corporation can have competitive advantage over its competitor by taking all of the following actions EXCEPT:

- By increasing product quality

►By having debt to equity ratio=1

- By altering product life cycle
- By increasing customer base

18. All of the following are the limitations of BCG Matrix EXCEPT:

- ▶ It is one-dimensional to view every business as a star, cash cow, dog or question mark

▶ **BCG cannot be developed if a firm has at least less than three years data**

- ▶ The businesses that fall in the centre of BCG matrix can not be classified

▶ *Other variables such as size of market and competitive advantages are not considered*

Ref: Limitations

1. Viewing every business as a star, cash cow, dog, or question mark is overly simplistic.
2. Many businesses fall right in the middle of the BCG matrix and thus are not easily classified.
3. The BCG matrix does not reflect whether or not various divisions or their industries are growing over time.
4. Other variables besides relative market share position and industry growth rate in sales are important in making strategic decisions about various divisions.

19. *According to the Grand Strategy Matrix, which strategy is recommended for a firm with rapid market growth and a strong competitive position?*

▶ **Market penetration p; 107**

- ▶ Conglomerate diversification
- ▶ Joint venture
- ▶ Retrenchment

20. *"The business has a strong competitive position but is in a slow-growth industry. Further, the business typically has high cash flow levels and limited internal growth needs." The statement refers which of the following?*

- ▶ The firm falling in Quadrant I of Grand Strategy Matrix
- ▶ The firm falling in Quadrant II of Grand Strategy Matrix
- ▶ The firm falling in Quadrant III of Grand Strategy Matrix

▶ The firm falling in Quadrant IV of Grand Strategy Matrix p; 108

21. Which of the following is a Functional level objective?

- ▶ Achieving return on investment of at least 15%

▶ Aiming to achieve a market share of 10% p; 113

- ▶ Attaining operating profit of over Rs.10 million
- ▶ Increase earnings per share by at least 10% every

22. Which one of the followings is NOT a major factor that commonly forbids effective resource allocation?

- ▶ Organizational politics
- ▶ Vague strategy targets

▶ Long run financial criteria p; 116

- Lack of sufficient knowledge

23. *"Holding a meeting at which conflicting parties present their views and work through the differences". The statement best describes which of the conflict resolving mood?*

► **Confrontation**

- Resistance
- Diffusion
- Avoidance

24. *Restructuring is also known as:*

- Up-sizing

► **Delaying** p; 120

- Diversifying
- Integrating

Restructuring—also called downsizing, rightsizing, or delayering

25. Which term is most often concerned primarily with shareholder well-being rather than employee well-being?

- ▶ Benchmarking
- ▶ Reengineering
- ▶ E-engineering

▶ Restructuring p; 120

26. "All the employees of Operations department have received 15 % of increased profits over a historical standard or targeted profits." Which of the following best describes the statement?

- ▶ Profit sharing
- ▶ Bonus

▶ Gainsharing

- ▶ Piece-work plan

27. What is the most widely used technique for determining the best

combination of debt and stock?

► Earnings per share

- Return on stockholders' equity
- Debt-to-equity ratio
- Capital budgeting

It also include an Earnings per Share/Earnings before Interest and Taxes (EPS/EBIT) analysis is the most widely used technique for determining whether debt, stock, or a combination of debt and stock is the best alternative for raising capital to implement strategies.

28. Which one of the following statement is TRUE about EBIT (Earnings before Interest and Taxes)?

- It is calculated as revenue minus depreciation and interest expenses

► It is calculated as revenue minus expenses excluding tax and interest

- It is calculated as revenue minus cost of goods sold and sales taxes
- It is calculated as revenues minus selling and administrative expenses

DEBIT

A financial measure defined as revenues less cost of goods sold and selling, general, and administrative expenses. In other words, operating and no operating profit before the deduction of interest and income taxes.

29. Which alternative becomes more attractive financing technique when cost of capital is high?

- Debt financing

- Combination financing

►Raisingequity

- Borrowing

30. Integrative, intensive, and diversification strategies are often implemented by which one of the followings?

- Liquidating firms

►Acquiringfirms p; 139

- Venturing firms
- Small firms

31. All of the following tasks are performed by R&D employees and managers EXCEPT:

- Transferring complex technology
- Adapting processes to local markets
- Adjusting process to local raw materials

►Makesuretheavailabilityofresource

R&D employees and managers perform tasks that include

1. Transferring complex technology,
2. Adjusting processes to local raw materials,
3. Adapting processes to local markets,
4. Altering products to particular tastes and specifications.

32. Which one of the following is not a rivalry determinant of Porter's model?

► Differentiation of inputs

- Industry growth
- Diversity of competitors
- Switching costs

Rivalry Determinants

- Industry growth
- Fixed (or storage) costs/value added
- Intermittent over capacity
- Product differences
- Brand identity
- Switching costs
- Concentration and balance
- Informational over complexity
- Diversity of competitors
- Corporate stakes
- Exit barriers

33. Which one of the following is NOT considered as a difficulty in evaluation of strategies?

- Increase in environment's complexity
- Difficulty predicting future with accuracy

► Decreasing number of variables

- Rate of obsolescence of plans

Difficulty in strategy evaluation –

1. Increase in environment's complexity
2. Difficulty predicting future with accuracy
3. Increasing number of variables
4. Rate of obsolescence of plans
5. Domestic and global events
6. Decreasing time span for planning certainty

34. *Strategy evaluation is based on which of the following?*

- ▶ Quantitative and empirical criteria
- ▶ Empirical and qualitative criteria
- ▶ Qualitative and objective criteria

▶ **Qualitative and quantitative criteria**

Strategy evaluation is based on both quantitative and qualitative criteria

35. *What is typical problem associated with using quantitative criteria for evaluating strategies?*

- ▶ Most qualitative criteria are geared to long-term objectives rather than annual objectives

▶ **Different accounting methods can provide different results on many quantitative criteria**

- ▶ Intuitive judgments are never involved in deriving quantitative criteria
- ▶ Qualitative data to be evaluated for measuring performance is often not available

There are some potential problems associated with using quantitative criteria for evaluating strategies.

1. First, most quantitative criteria are geared to annual objectives rather than long-term objectives.

2. Different accounting methods can provide different results on many quantitative criteria.
3. Intuitive judgments are almost always involved in deriving quantitative criteria.

36. A good evaluation system must possess various qualities. Which of the following is not a characteristic of a good strategy evaluation system?

- ▶ Strategy-evaluation activities must be economical
- ▶ Strategy-evaluation activities should be meaningful
- ▶ **Strategy-evaluation activities should dominate the decisions**
- ▶ Strategy-evaluation activities should provide timely information

Qualities of good evaluation system

Strategy-evaluation activities must be economical; too much information can be just as bad as too little information; and too many controls can do more harm than good.

Strategy-evaluation activities also should be meaningful; they should specifically relate to a firm's objectives. They should provide managers with useful information about tasks over which they have control and influence.

Strategy-evaluation activities should provide timely information; on occasion and in some areas, managers may need information daily.

37. The product design, packaging, product disposal and corporate rewards should reflect which of the following?

- ▶ Product quality consideration
- ▶ Union consideration

▶ **Environmental consideration** p; 156

► Customer consideration

38. *Financial benefits of strategic management include all of the following EXCEPT:*

► Progression in profitability

► **Improvement in employee productivity**

► Expansion in the sales of business

► Enhancement in productivity

39. *Which one of the following is a reason for NOT choosing profits in BCG matrix than relative market share?*

► **It carries less information than just cash flow**

► It shows where the brand is positioned against competitors

► It indicates where it might be likely to go in the future

► It shows what type of marketing activities to be performed

The reason for choosing relative market share, rather than just profits, is that

1. It carries more information than just cash flow.
2. It shows where the brand is positioned against its main competitors
3. Indicates where it might be likely to go in the future.
4. It can also show what type of marketing activities might be expected to be effective.

40. *“A desired future state that the organization attempts to realize”. Identify the term relevant to the given statement.*

► Goal M. File

- ▶ Strategy
- ▶ Policy
- ▶ Procedure

41. Which of the following statements best defines “stage 1” of the strategy-formulation framework?

▶ It summarizes the basic input information needed to formulate strategies p;

97

- ▶ It focuses on generating feasible alternative strategies
- ▶ It involves a single technique
- ▶ It is based on assumptions

42. What type of strategies would you recommend when a firm’s SPACE Matrix directional vector has the coordinates (+1, +5)?

▶ Aggressive p; 100

- ▶ Conservative
- ▶ Competitive
- ▶ Defensive

43. “Establishing annual objectives” refers to which of the following activities?

- ▶ It is a top-level activity
- ▶ It is a centralized activity

▶ It is a decentralized activity p; 114

- ▶ It is a centralized-decentralized activity

44. Which pay strategy is Not a form of incentive compensation?

- ▶ Bonus system

▶ Hourly wage p; 123

- ▶ Gain sharing
- ▶ Profit sharing

45. Which of the following is NOT a rule of thumb when using product positioning as a strategy-implementation tool?

- ▶ "Don't squat between segments"
- ▶ "Look for the hole or vacant niche"

▶ "Try to serve more than one segment with the same strategy"

- ▶ "Don't position yourself in the middle of the map"

2. Don't squat between segments

3. Don't serve two segments with same strategy

4. Don't position yourself in the middle of the map

46. Identify which of the following are mostly based on a firm's internal assessment according to Richard Rumelt.

- ▶ Consistency and consonance
- ▶ Consonance and advantage
- ▶ Advantage and feasibility

▶ **Feasibility and consistency**

According to Rumelt, consistency and feasibility are largely based on a firm's internal assessment.

47. Which of the following statements is TRUE if success for one organizational department means failure for another department?

- ▶ Strategies may be synergistic
- ▶ Strategies may be advantageous
- ▶ Strategies may be inconsonant

▶ **Strategies may be inconsistent**

48. All of the following are the qualitative questions for evaluating strategies identified by Seymour Tilles EXCEPT:

- ▶ Is the strategy internally consistent?

▶ **Is the strategy having an appropriate return on investment?**

- ▶ Is the strategy consistent with the environment?
- ▶ Is the strategy appropriate in view of available resources?

Seymour Tilles identified six qualitative questions that are useful in evaluating strategies:

1. Is the strategy **internally consistent**?
2. Is the strategy **consistent with the environment**?
3. Is the strategy **appropriate in view of available resources**?
4. Does the strategy involve an acceptable degree of risk?
5. Does the strategy have an appropriate time framework?
6. Is the strategy workable?

49. Which of the following is often considered the first step in strategic planning?

- ▶ Devising a mission statement

▶ **Developing a vision statement** M. File

- ▶ Setting annual objectives
- ▶ Formulating set of strategies

50. External opportunities and threats that can significantly benefit or harm an organization may include all of the following except:

- ▶ Demographics
- ▶ Competitive trends
- ▶ Technological changes

▶ **Research and development** M. File

Ref: *External opportunities and external threats* refer to economic, social, cultural, demographic, environmental, political, legal, governmental, technological, and competitive trends and events that could significantly benefit or harm an organization in the future.

51. *What will happen to the Pakistani exports in overseas markets when there is a strong value of rupee?*

▶ Pakistani exports will be less expensive

▶ **Pakistani exports will be more expensive** *M. file*

▶ Pakistani exports will be more attractive

▶ Pakistani exports will be desirable

52. *Which of the following can be considered as barriers to entering a market or industry?*

▶ The lack of economies of scale and experience and low levels of brand loyalty

▶ **The presence of large number of rivals already in the industry** *M. File*

▶ Relatively large capital requirements and industry have economies of scale

▶ The absence of tariffs, trade restrictions, and/or government-mandated regulations

53. Which of the following are signs of strength in a company's competitive position?

- ▶ A debt-to-asset ratio below 0.50 and a positive net cash flow
- ▶ A website with extensive information about the company and its product line
- ▶ R&D and advertising expenditures greater than \$10 million annually

▶ A strongly differentiated product and a strong or rising market share

54. Distribution includes which of the following?

- ▶ Customer analysis

▶ Warehousing p; 62

- ▶ Advertising
- ▶ Test marketing

55. The IFE matrix summarizes and evaluates which factors in the functional areas of a business?

- ▶ Opportunities and threats

▶ Strengths and weaknesses M. File

- ▶ Strengths and threats
- ▶ Opportunities and weaknesses

Ref: A summary step in conducting an internal strategic-management audit is to construct an *Internal Factor Evaluation (IFE) Matrix*. This strategy-formulation tool

summarizes and evaluates the major strengths and weaknesses in the functional

areas of a business, and it also provides a basis for identifying and evaluating relationships among those areas.

56. The Web sites that sell products directly to the consumers are the examples of which type of strategy?

- ▶ Backward integration
- ▶ Product development

▶ Forward integration M. File

- ▶ Horizontal integration

57. Which of the following is a drawback or limitation of Horizontal Integration?

▶ Synergies may be more imaginary than real M. File

- ▶ It can increase suppliers' and buyers' bargaining power
- ▶ Economies of scale are likely to be decreased
- ▶ Both the first & third options are correct

58. A Cost Leadership Strategy is especially effective in all of the following situations EXCEPT:

- ▶ When the market is composed of many price-sensitive buyers

▶ When product differentiation can be easily achieved

- When buyers do not care much about differences from brand to brand

- ▶ When there are a large number of buyers with significant bargaining power

Striving to be the low-cost producer in an industry can be especially effective

1. When the market is composed of many price-sensitive buyers,
2. When there are few ways to achieve product differentiation,
3. When buyers do not care much about differences from brand to brand,
4. When there are a large number of buyers with significant bargaining power.

59. If market shares of competitors are declining whereas total industry sales are increasing, which strategy do you think may be the right one to pursue?

- ▶ Divestiture

▶ **Market Penetration** *M. File*

- ▶ Market Development
- ▶ Retrenchment

Ref: Guidelines for Market Penetration

Four guidelines when market penetration may be an especially effective strategy are:

Current markets not saturated

Usage rate of present customers can be increased significantly

Market shares of competitors declining while total industry sales increasing

Increased economies of scale provide major competitive advantages

60. Which of the followings involves the substantial modification of existing products or the creation of new but related products that can be marketed to current customers through established channels?

- ▶ Innovation
- ▶ Differentiation
- ▶ **Product development** *M. File*
- ▶ Market development

Ref: Product development is a strategy that seeks increased sales by improving or modifying present products or services.

61. Which of the following stages of “Strategy Formulation Framework” involves development of Internal-Factor Evaluation Matrix?

- ▶ **Input stage**
- ▶ Output stage
- ▶ Matching stage
- ▶ Decision stage

Ref: Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix. Called the *Input Stage*, Stage 1 summarizes the basic input information needed to formulate strategies.

62. Which of the following stages in “Strategy Formulation Framework” focuses on generating feasible alternative strategies?

- ▶ Input
- ▶ Output
- ▶ Decision

► Matching

Ref: Stage 2, called the *Matching Stage*, focuses upon generating feasible alternative strategies by aligning key external and internal factors. Stage 2 techniques include the Threats-Opportunities Weaknesses-Strengths (TOWS) Matrix, the Strategic Position and Action Evaluation (SPACE) Matrix, the Boston Consulting Group (BCG) Matrix, the Internal-External (IE) Matrix, and the Grand Strategy Matrix

63. *If there is a shift in consumers' taste in a society away from the firm's products along with weak brand name, which of the following strategy would you recommend for the above mentioned firm?*

► SO

► WO

► SW

► WT

64. *Firm located in defensive quadrant of a SPACE matrix is recommended to follow all of the following strategies EXCEPT:*

► Retrenchment

► Forward integration p; 108

► Divestiture

► Liquidation

65. What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (+2, +3)?

► Aggressive

- Conservative
- Competitive
- Defensive

66. A & C Corporation currently possesses a lowshare of its available market. Moreover, this company's portfolio reveals that it has extremely lowmarket growth. A & C Corporation is most likely to be classed as which one of the following?

► Dog 103

- Question mark
- Star
- Cash cow

Ref: Dogs More charitably called pets, units with low market share in a mature, slow-growing industry. (see the table at page no.103)

67. Which of the following is a deliberate plan of action, guidelines, methods, procedures to guide decisions and achieve rational outcome?

- ▶ Annual objectives
- ▶ Strategies

▶ Policies

- ▶ Goals

Policies include guidelines, rules, and procedures established to support efforts to achieve stated objectives

68. The organizations, where resource allocation is not based on strategic-management approach to decision making, which approach is used for resource allocation?

- ▶ Financial budget
- ▶ Relative importance of departments

▶ On political or personal factors

- ▶ Relative cost of each resources

Ref: Resource allocation is a major management activity that allows for strategy execution. In organizations that do not use a strategic-management approach to decision making, resource allocation is often based on political or personal factors.

69. *A state of opposition between persons or ideas which are occasionally characterized by physical violence may be known as:*

► **Conflict**

► Compromise

- ▶ Diffusion
- ▶ Avoidance

Ref: Conflict is a state of opposition, disagreement or incompatibility between two or more people or groups of people, which is sometimes characterized by physical violence. Military conflict between states may constitute war.

70. *Why do changes in company strategy often require changes in the way an organization is structured?*

▶ **Because structure depicts how goals will be established**

- ▶ Because structure dictates how authorities will be delegated
- ▶ Because structure dictates how resources will be obtained
- ▶ Because structure dictates how financial resources are spent

Ref: Changes in strategy often require changes in structure because new positions may be created, deleted, or merged. Organizational structure dictates how resources are allocated and how objectives are established in a firm. (Page no.56)

71. *Of the following, which one is FALSE regarding a functional organizational structure?*

- ▶ The tasks, people, and technologies necessary to do the work of the business are grouped together

- ▶ Functional structures predominate in firms with single or narrow product lines
- ▶ Marketing, operations, and finance would be considered groups found within this type of structure

▶ Functional structure is designed to achieve flexibility and better communication

Ref: Functional structure is sometimes characterized by low employee morale, line/staff conflicts, poor delegation of authority, and inadequate planning for products and markets. (Page no.118)

Functional Structure

The organization is structured according to functional areas instead of product lines. This structure is best used when creating specific, uniform products. They are economically efficient, but lack flexibility. Communication between functional areas can be difficult.

72. Which of these is not one of the tests used to determine whether a performance-pay plan will benefit an organization?

- ▶ Do employees understand the plan?
- ▶ Is the plan improving communications?
- ▶ Does the plan pay out when it should?

▶ Does the plan reduce management layers?

73. All of the following are the managerial issues for managing natural environment EXCEPT:

▶ Global warming- depletion of rain forests

▶ **Employee understanding about environment**

▶ Developing biodegradable products and packages

▶ Waste management to clean air and water

Special natural environmental issues include ozone depletion, global warming, depletion of rain forests, destruction of animal habitats, protecting endangered species, developing biodegradable products and packages, waste management, clean air, clean water, erosion, destruction of natural resources, and pollution control.

74. The methods which are used to match managers with strategies to be implemented include all of the following EXCEPT:

▶ **Transferring managers**

▶ Job enlargement

▶ Managers' retention

▶ Job enrichment

75. Which one of the following is an example of product decisions?

▶ **Brand name**

▶ Volume discounts

▶ Distribution channels

- ▶ Order processing

Ref: Product Decisions

The term "product" refers to tangible, physical products as well as services. Here are some examples of the product decisions to be made:

- Brandname
- Functionality
- Styling
- Quality
- Safety
- Packaging

76. Which variable would be considered as a part of pricing decisions?

- ▶ Warranty

▶ Bundling

- ▶ Safety
- ▶ Functionality

Price Decisions

Some examples of pricing decisions to be made include:

- Pricing strategy (skim, penetration, etc.)
- Suggested retail price
- Volume discounts and wholesale pricing
- Cash and early payment discounts
- Seasonal pricing

- Bundling
- Price flexibility

- Price discrimination

77. Which one of the following is an example of place decisions?

- ▶ Safety and packaging
- ▶ Personal selling
- ▶ Public relations & publicity

▶ Order processing

Distribution (Place) Decisions

Distribution is about getting the products to the customer. Some examples of distribution decisions include:

- Distribution channels
- Market coverage (inclusive, selective, or exclusive distribution)
- Specific channel members
- Inventory management
- Warehousing
- Distribution centers
- Order processing
- Transportation
- Reverse logistics

78. All of the following are the examples of promotion decision EXCEPT:

- ▶ Personal selling

►Volume discounts

- Public relations
- Advertising

Promotion Decisions

In the context of the marketing mix, promotion represents the various aspects of marketing communication, that is, the communication of information about the product with the goal of generating a positive customer response. **Marketing communication decisions include:**

- Promotional strategy (push, pull, etc.)
- Advertising
- Personalselling & sales force
- Sales promotions
- Publicrelations & publicity
- Marketing communications budget

79. Which of the following is NOT a decision that may require finance/accounting policies?

- To extend the time of accounts receivable
- To determine an appropriate dividend payout ratio
- To use LIFO, FIFO or a market-value accounting approach

►To determine the amount of product diversification

Some examples of decisions that may require finance/accounting policies are:

1. To raise the amount of capital by issuing shares or obtaining a debt from external parties.
2. To enhance the inventory turn over level

3. To make or buy fixed assets.

4.Toextendthetimeofaccountsreceivable.

5. To establish a certain percentage discount on accounts within a specified period of time.

6. To determine the amount of cash that should be kept on hand

7.Todetermineanappropriatedividendpayoutratio.

8.TouseLIFO,FIFO

80. *At least how many R & D approaches are used for the implementation of strategy?*

► Two

►Three

► Four

► Five

81. *While evaluating a strategy, corrective actions are almost always needed except:*

► When external and internal factors have not significantly changed

► When the firm is not progressing satisfactorily toward objectives

► When the firm has not achieved the stated organizational goals

- ▶ When there are differences between desired results and achieved results

Notice that corrective actions are almost always needed except when (1) external and internal factors have not significantly changed and (2) The firm is progressing satisfactorily toward achieving stated objectives.

82. Which one of the following statements best describes the activity 'marketing and sales' of Porter's supply chain model?

- ▶ Machining, packaging, assembly, equipment maintenance & testing

▶ **Activities linked with getting buyers to purchase the product**

- ▶ Activities that maintain and enhance the product's value
- ▶ receiving, storing, inventory control & transportation planning

The activities of the Value Chain

• Primary activities (line functions)

Inbound Logistics Includes receiving, storing, inventory control, transportation planning.

Operations Includes machining, packaging, assembly, equipment maintenance, testing and all other value-creating activities that transform the inputs into the final product

Outbound Logistics The activities required to get the finished product at the customers: warehousing, order fulfillment, transportation, distribution management.

Marketing and Sales The activities associated with getting buyers to purchase the product, including: channel selection, advertising, promotion, selling, pricing, retail management, etc.

Service The activities that maintain and enhance the product's value, including: customer support, repair services, installation, training, spare parts management, upgrading, etc.

83. Outbound logistics includes which one of the following?

- ▶ Receiving, storing, inventory control, transportation planning
- ▶ Machining, packaging, assembly, equipment maintenance, testing

▶ Activities required to get the finished product at the customers

- ▶ Activities that maintain and enhance the product's value

Ref: Outbound Logistics. The activities required to get the finished product at the customers: warehousing, order fulfillment, transportation, distribution management.

84. Which of the following is NOT a key financial ratio?

- ▶ Earnings per share

▶ Production growth

- ▶ Asset growth
- ▶ Profit margin

Some key financial ratios that are particularly useful as criteria for strategy evaluation are as follows:

1. Return on investment
2. Return on equity
3. Profit margin
4. Market share
5. Debt to equity
6. Earnings per share
7. Sales growth
8. Asset growth

85. Which of the following statement is TRUE about 'Controls' which are used in strategy evaluation stage?

- ▶ They are strategy-oriented
- ▶ **They are action-oriented**
- ▶ They are control-oriented
- ▶ They are information-oriented

Ref: Controls need to be action-oriented rather than information-oriented. (Page no.154)

86. In BCG matrix, the size of circle corresponding to a division represents what?

- ▶ Relative market share of that division
- ▶ Financial strength of that division
- ▶ **Revenue generated by that division**
- ▶ Relative market growth of that division

Ref: Practical Use of the Boston Matrix

For each product or service the 'area' of the circle represents the value of its sales.
(Page No.104)

87. If the capital and human resources of a firm are necessary to manage expanded operations and it also has excess production capacity, which would be an effective strategy for the firm to pursue?

► Market Penetration

► **Market Development**

► Divestiture

► Retrenchment

Guidelines for Market Development

1-Six guidelines when market development may be an especially effective strategy are:

2-New channels of distribution that are reliable, inexpensive, and good quality

3-Firm is very successful at what it does

4-Untapped or unsaturated markets

5-Capital and human resources necessary to manage expanded operations

6-Excess production capacity

7-Basic industry rapidly becoming global

88. If the firm is very successful at what it does, unsaturated markets are available and the new inexpensive channel of distribution are also available, then which of the following strategies a company should follow?

► Market Penetration

► **Market Development**

► Product Development

► Retrenchment

Six guidelines when market development may be an especially effective strategy are:

- I New channels of distribution that are reliable, inexpensive, and good quality
- I Firm is very successful at what it does
- I Untapped or unsaturated markets
- I Capital and human resources necessary to manage expanded operations
- I Excess production capacity
- I Basic industry rapidly becoming global

89. Which strategies are defensive tactics directed at reducing internal weaknesses and avoiding environmental threats?

- ▶ SO
- ▶ WO
- ▶ SW

▶ WT

Ref: WT Strategies

Every firm has a desire to overcome its weakness and reducing threats. This type of strategy helpful when weaknesses are removed to overcome external threats

90. Which of these is TRUE about strategy implementation?

- ▶ It refers to positioning forces before the action
- ▶ It focuses on effectiveness

▶ It is primarily an operational process

- ▶ It is primarily an intellectual process

Strategy formulation is positioning forces before the action.

Strategy implementation is managing forces during the action.

Strategy formulation focuses on effectiveness.

Strategy implementation focuses on efficiency.

Strategy formulation is primarily an intellectual process.

Strategy implementation is primarily an operational process.

Strategy formulation requires good intuitive and analytical skills.

Strategy implementation requires special motivation and leadership skills.

Strategy formulation requires coordination among a few individuals.

Strategy implementation requires coordination among many persons.

91. Which of the following is TRUE about Strategy formulation?

► It manages forces during the action

► It requires good intuitive and analytical skills

► It is primarily an operational process

► It requires special motivation and leadership skills

92. Identify a situation in which a divisional structure by geographic area is considered to be most appropriate.

► Organizations have similar branch facilities located in widely dispersed areas

► An organization offers only a limited number of products or services

► Strict control and attention to product lines are needed

- An organization has many skilled managers

A divisional structure by geographic area is appropriate for organizations whose strategies need to be tailored to fit the particular needs and characteristics of customers in different geographic areas. This type of structure can be most appropriate for organizations that have similar branch facilities located in widely dispersed areas.

93. All of the following are included in Rumelt's criteria for evaluating strategies EXCEPT:

- ▶ Consonance
- ▶ Advantage
- ▶ Consistency

▶ Clarity

Four Criteria (Richard Rummelt):

- Consistency
- Consonance
- Feasibility
- Advantage

94. Identify which of the following are mostly based on a firm's external assessment according to Richard Rumelt.

- ▶ Consonance and consistency
- ▶ Advantage and feasibility

▶ Consonance and advantage

- ▶ Consistency and feasibility

Consonance and advantage are mostly based on a firm's external assessment,
whereas consistency and feasibility are largely based on an internal assessment

95. *Identify a factor which determines the final design of a firm's strategy-evaluation and control system.*

- ▶ Opportunities
- ▶ External characteristics
- ▶ **Organization's characteristics**
- ▶ Competition's characteristics

Ref: The unique characteristics of an organization, including its size, management style, purpose, problems, and strengths, can determine a strategy-evaluation and control system's final design. (Page No.154)

96. *Which of the following is defined as having alternative plans that can be put into effect if certain key events do not occur as expected?*

- ▶ Corporate agility
- ▶ Scenario planning
- ▶ Forecasting

▶ **Contingency planning** p; 155

97. *Strategist is an individual who is involved in the strategic management process, thus may be known as:*

▶ Member board of director

▶ **President**

▶ Division manager s

▶ All of the given options

Ref: Strategists have various job titles, such as chief executive officer, president, and owner, chair of the board, executive director, chancellor, dean, or entrepreneur.

98. *The objectives set by a manager should have which of the following characteristics?*

▶ Should spell out how fast the company's strategy is to be implemented

▶ **Should be challenging and congruent among organizational units**

▶ Should include long-range performance targets but not short-range targets

▶ Should include financial performance targets but not strategic performance targets

. Ref: Objectives should be quantitative, measurable, realistic, understandable, challenging, hierarchical, obtainable, and congruent among organizational units.

99. *Which of the following is TRUE about anti-trust legislation?*

- ▶ The is the law intended to protect the ozone layer in the environment
- ▶ This is the law intended to regulate the tax rates in the economy

▶ This is the law intended to promote free competition in the market

- ▶ This is the law intended to regulate and register the patents

Ref: anti trust legislation where there is an effort to ban the monopolies. Some organizations think that monopolies should be banned.

100. Financial ratios are helpful in analyzing the relationship between/among which of the following?

- ▶ All assets and liabilities
- ▶ Profits and costs

▶ All functional areas of business

- ▶ Sales and profitability

Ref: *Financial ratio analysis* exemplifies the complexity of relationships among the functional areas of business. A declining return on investment or profit margin ratio could be the result of ineffective marketing, poor management policies,

101. Which function of management includes areas such as job design, job specification, job analysis and unity of command?

- ▶ Planning
- ▶ Motivating

▶ Organizing

- ▶ Leading

Ref: Organizing includes all those managerial activities that result in a structure of task and authority relationships. Specific areas include organizational design, job specialization, job descriptions, job specifications, span of the control, unity of command, coordination, job design, and job analysis.

102. "Max Rent-a-Car" is opening car rental shops in Wal-Mart stores, is an example of which type of strategy?

- ▶ Forward integration
- ▶ Backward integration

▶ **Related diversification**

- ▶ Unrelated diversification

Ref: Forward integration strategy refers to the transactions between the customers and firm forward integration strategy primarily to gain better control over prices charged to consumers.

103. _____ refers to a strategy of seeking ownership or increased control over a firm's competitors.

- ▶ Conglomerate diversification
- ▶ Backward integration

▶ **Horizontal integration**

- ▶ Concentric diversification

Ref: *Horizontal integration* refers to a strategy of seeking ownership of or increased control over a firm's competitors.

104. The company acquires or develops new products that could appeal to its current customer groups even though those new products may be technologically unrelated to the existing product lines. Which of the following best describes the statement?

► Retrenchment

► Horizontal diversification

► Market development

► Horizontal integration

Ref: Horizontal Diversification: Adding new, unrelated products or services for present customers.

105. SPACE matrix has four quadrants. All of the following are SPACE Matrix quadrants EXCEPT:

► Aggressive

► Defensive

► Competitive

► Offensive

Ref: contains four-quadrant named aggressive, conservative, defensive, or competitive strategies.

106. SPACE Matrix contains two types of dimensions. Which of the following are the two external dimensions to be considered in SPACE Matrix?

► Environmental stability and industry strength

► Environmental stability and competitive advantage

► Industry strength and competitive advantage

► Industry strength and Financial strength

107. What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-4, -4)?

- ▶ Aggressive
- ▶ Conservative
- ▶ Competitive

▶ **Defensive**

108. BCG matrix is used in matching stage of strategy formulation framework. It plots the business units along which of the following dimensions?

- ▶ Market share and industry strength

▶ **Market share and market growth rate**

- ▶ Market growth rate and competitive position
- ▶ Market growth rate and environment stability

Ref: To use the chart, corporate analysts would plot a scatter graph of their business units, ranking their relative market shares and the growth rates of their respective industries

109. Business units that have low market share and are operating in slow-growing industry should choose all of the following EXCEPT:

▶ **New investments**

- ▶ Production efficiency
- ▶ Distribution efficiency

- ▶ Product innovation

Ref: They depress a profitable company's return on assets ratio, used by many investors to judge how well a company is being managed. Dogs, it is thought, should be sold off.

110. When a division of an organization has a high relative market share and is in a fast-growing industry, it will be categorized as which type in BCG matrix?

▶ **Star**

- ▶ Cash cow
- ▶ Question mark
- ▶ Dog

Ref: Stars Units with a high market share in a fast-growing industry. The hope is that stars become the next cash cows.

111. Which of the following is the first step in developing QSPM?

▶ **Developing a list of the firm's key external and internal factors**

- ▶ Determining the Attractiveness Scores for each strategy
- ▶ Examine the Stage 2 matrices and identify alternative strategies
- ▶ Assigning weights to each key external and internal factor

Step in developing QSPM

1. Developing a list of the firm's key external and internal factors
2. Assigning weights to each key external and internal factor
3. Examine the Stage 2 matrices and identify alternative strategies
4. Determining the Attractiveness Scores for each strategy
5. Compute the Total Attractiveness Scores
6. Compute the Sum Total Attractiveness Score

112. Advantages of a functional organization structure would include all EXCEPT which one of the following?

- ▶ Promotes division and specialization of labor
- ▶ Promotes functional rivalry
- ▶ Promotes economic efficiency

▶ Promotes delegation of authority

Ref: Besides being simple and inexpensive, a functional structure **also promotes specialization of labor, encourages efficiency**, minimizes the need for an elaborate control system, and allows rapid decision making. Some disadvantages of a functional structure are that it forces accountability to the top, minimizes career development opportunities, and is sometimes characterized by low employee morale, line/staff conflicts, **poor delegation of authority**, and inadequate planning for products and markets.

113. Which one of the following is the organizational structure that most of the medium-size organizations follow?

▶ Divisional structure

- ▶ Strategic business unit
- ▶ Functional structure
- ▶ Matrix structure

Ref: Small firms tend to be functionally structured (centralized). Medium-

size firms tend to be divisionally structured (decentralized).

Large firms tend to use an SBU (strategic business unit) or matrix structure

114. A divisional structure by geographic area is most appropriate in which of the following situation?

► **Organizations have similar branch facilities in dispersed areas**

- Organization offers a limited number of products or services
- Organization needs strict control over product lines
- Organization has to serve a large geographic area

Ref: This type of structure can be most appropriate for organizations that have similar branch facilities located in widely dispersed areas

115. Which of the following is best identified as being an adaptation of the divisional structure?

- Vertical Integration

► **Strategic business units**

- Joint venture
- None of the given options

116. *“Performance comparison of organization business processes against an internal or external standard of recognized leaders.” Identify the term relevant to the specified statement.*

- Restructuring
- Process redesign
- Reengineering

► **Benchmarking**

117. *After completing an EPS/EBIT analysis, what conclusions would you make?*

- Debt appears to be the best financing alternative
- Stock would be the best financing alternative

► **Combination of debt and stock is the best financial alternative**

- Dividends must be considered before concluding

118. What is a central strategy-implementation technique that allows an organization to examine the expected results of various actions and approaches?

- Financial budgeting
- TOWS analysis

► **Projected financial statement**

- External analysis

REF: Pro forma (projected) financial statement analysis is a central strategy-implementation technique because it allows an organization to examine the expected results of various actions and approaches.

119. Retained earnings are obtained by subtracting which of the two items?

► **Dividends from Net Income**

- EBIT from Net Income
- Taxes from EBIT
- Interest Expense from EBIT

Ref: Formula of Retained Earning= Net Income - Dividends

120. XYZ Company has controlled its distributors so that no other firm can access the scarce natural resources available in the country, which are used in XYZ's production. This action is taken in order to reduce which of the following:

- ▶ The bargaining power of customers
- ▶ The bargaining power of suppliers

▶ **The threat of new entrants**

- ▶ The threat of substitute products

Ref: The threat of new entrants

- o the existence of barriers to entry
- o economies of product differences
- o brand equity
- o switching costs
- o capital requirements
- o access to distribution
- o absolute cost advantages
- o learning curve advantages

o expected retaliation

o government policies

121. Outbound logistics includes which one of the following?

- ▶ Receiving, storing, inventory control, transportation planning.
- ▶ Machining, packaging, assembly, equipment maintenance, testing
- ▶ Activities required to get the finished product at the customers
- ▶ Activities that maintain and enhance the product's value

Ref: Outbound Logistics. The activities required to get the finished product at the customers: Warehousing, order fulfillment, transportation, distribution management.

122. Which of the following statement is correct about operations?

- ▶ It includes receiving, storing, inventory control & transportation planning
- ▶ It includes machining, packaging, assembling, maintaining equipment testing
- ▶ It includes the activities required to get the finished product at the customers
- ▶ It includes the activities that maintain and enhance the product's value

Ref: Operations. Include machining, packaging, assembly, equipment maintenance, testing and all other value-creating activities that transform the inputs into the final product.

123. All of the following are support activities of Porter's supply chain model EXCEPT:

► Firm Infrastructure

► Marketing and Sales primary activity

► Technology Development

► Procurement

Support activities (Staff functions, overhead)

1. Procurement
2. Technology Development
3. Human Resource Management
4. Firm Infrastructure

124. Adapting to change confronts an organization's strategic management to which of the following issue(s):

► What kind of business we should be in?

► Are we in the right field?

► should we reshape our business?

► All of the given options

Ref: change. The need to adapt to change leads organizations to key strategic management questions, such as “What kind of business should we become?” “Are we in right field?” “Should we reshape our business?” “Are new technologies being developed that could put us out of business?” (Page no.06)

125. Which of the following is TRUE about Vision statement of a company?

► It defines the customers

► It concentrates on future

► It identifies critical processes

► It informs about the desired level of performance

Ref: Many organizations today develop a "vision statement" which answers the question, what do we want to become?

126. Mission of a business is the foundation of all of the following EXCEPT:

► Priorities

► Strategies

► Plans

► Wages

Rationale: wages are short term plans or objectives where as mission statement addresses long term goals and plans.

127. Which of the following is FALSE about vision and mission statements?

► Vision statement gives the overall purpose of an organization while a mission statement describes a picture of the preferred future

► A vision statement describes how the future will look if the organization achieves its mission and a mission statement explains what the organization does

► Mission statement answers the questions what is our business and the vision statement answers the question what do we want to become

► Mission statement explains the current position and activities of a firm whereas vision statement explains the future objective.

Ref: Mission describes the overall purpose and vision describes the picture of preferred future.

128. The in-house R&D is a preferred solution in which of the following situations?

► Technological progress is slow and market growth is moderate

► Technology is changing rapidly and market is growing slowly

► Technology is changing slowly and market is growing quickly

► Both technological progress and market growth rate are fast.

Ref: If the rate of technical progress is slow, the rate of market growth is moderate, and there is a significant barrier to possible new entrants, then in-house R&D is the preferred solution.

129. Identify a strategy which uses firm's internal strengths to take advantage of external opportunities.

► SO

► WO

► SW

► WT

Ref: SO Strategies: Every firm desires to obtain benefit from its resources such benefit can only be obtained if utilize its strength to take external opportunity

130. Which of the following includes the set of shared values, beliefs, attitudes, customs, norms, personalities, heroes and heroines that describe a firm?

► Strategy

► Culture

► Mission

► Objectives

Ref: Organizational culture Defined in Table below *cultural products* include values, beliefs, rites, rituals, ceremonies, myths, stories, legends, sagas, language, metaphors, symbols, heroes, and heroines.

131. The culture of a firm is important when considering strategies because:

► Cultural products can support strategies so managers can often implement changes swiftly and easily

- Everyone in the firm should have a vote as to which strategies to implement
- Culture can dictate the choice of strategies
- Employees always welcome cultural change

Ref: Organizational culture significantly affects business decisions and, thus, must be evaluated during an internal strategic-management audit. If strategies can capitalize on cultural strengths, such as a strong work ethic or highly ethical beliefs, then management often can implement changes swiftly and easily.

132. Which of the following is NOT a major factor that commonly prohibits effective resource allocation?

- Overprotection of resources
- Organizational politics
- Vague strategy targets

► Ability to take risks

Ref: A number of factors commonly prohibit effective resource allocation, including an overprotection of Resources, too great an emphasis on short-run financial criteria, organizational politics, vague strategy Targets, a reluctance to take risks, and a lack of sufficient knowledge.

133. Which of the following best describes "Just in time"?

► Implementing strategies just before bankruptcy

► **delivering materials just as they are needed**

► A scheduling method for meetings

► A personnel planning method

With JIT, parts and materials are delivered to a production site just as they are needed

134. Which of the following factors should be studied before locating production facilities?

► Availability of major resources

► Location of major markets

► Availability of trainable employees

► **All of the given options**

135. All of the following are strategic responsibilities of the human resource manager EXCEPT:

- ▶ Assessment of staff needs
- ▶ Assessment of costs for alternative strategies
- ▶ Development of staffing plan

▶ Development of financial plan

Ref: Staffing need of the organization and its cost is an important function of the human resource manager. The other main concerns include health, safety and security of the workers. The plan must also include how to motivate employees and managers during a time when layoffs are common and workloads are high.

136. Identify a reason due to which market segmentation is considered to be an important variable in strategy implementation.

- ▶ All company strategies require increased sales through new markets and products
- ▶ It allows a firm to operate with limited resources
- ▶ Market segmentation decisions directly affect marketing mix variables

▶ All of the given options

REF: First, strategies such as market development, product development, market penetration, and diversification require increased sales through new markets and products.

Market segmentation allows a firm to operate with limited resources because mass production, mass distribution, and mass advertising are not required.

Finally, market segmentation decisions directly affect marketing mix variables: product, place, promotion, and price

137. All of the following are key financial ratios EXCEPT:

▶ Market share

▶ **Production quality**

▶ Earnings per share

▶ Return on equity

Ref: Some key financial ratios: Return on investment, Return on equity, Profit margin, Market share, Debt to equity, Earnings per share, Sales growth, and Asset growth.

138. Concentric Diversification involves heading towards which of the following?

▶ **Adding new, but related, products or services**

▶ Adding new, unrelated products or services

▶ Regrouping through cost and asset reduction

▶ Adding unrelated products or services for new customers

139. Which of the following is often considered the first step in strategic planning?

▶ Devising a mission statement

▶ **Developing a vision statement**

▶ Setting annual objectives

▶ Formulating set of strategies

140. Which of the following can be considered as a factor of internal strengths and weaknesses of an organization?

▶ Technological changes

▶ **Production/operations**

▶ Demographics

▶ Competitive trends

141. Long-term objectives includes all of the following EXCEPT:

▶ Measurable

▶ Reasonable

▶ **Varying**

▶ Consistent

Ref: The Nature of Long-Term Objectives

Objectives should be quantitative, measurable, realistic, understandable, challenging, hierarchical, obtainable, and congruent among organizational units..(Page No.09)

142. *All of the following statements are true about a firm's mission statement EXCEPT:*

- ▶ **A mission statement directly contributes positively to financial performance**
- ▶ A mission statement does not directly contribute positively to financial performance
- ▶ A mission statement should not provide useful criteria for selecting among alternative strategies
- ▶ Primary reason to develop a mission statement is not to attract the customers

143. *According to 'Peter Drucker', what is the prime task of strategic management?*

- ▶ To develop the vision of the business
- ▶ Effectively evaluate the strategies

▶ **To think through the overall mission of a business**

- ▶ Develop alternative set of strategies

144. "A complex set of basic underlying assumptions and deeply held beliefs shared by all members of the group and drive in important ways the behavior of individuals in the organizational context" is known as:

► Internal audit

► **Organizational culture**

► Internal assessment

► Organizational strategy

145. Which of these is the allocation and reallocation of capital and resources to projects, products, assets and divisions of an organization

► **Investment decision**

► Financing decisions

► Restructuring decisions

► Strategic decision

Ref: The investment decision, also called capital budgeting, is the allocation and reallocation of capital and resources to projects, products, assets, and divisions of an organization. (Page No.64)

146. Amir, a sole proprietor, uses the information system to ask the question; "What if the prices will decrease by 16% in the next year?" Which of the following functions the information system is performing for Amir?

► Functional support role

► *Decisional support role*

- ▶ Managerial support role
- ▶ Analytical supporting role

Ref: The business decision-making support function goes one step further. It becomes an integral part -- even a vital part -- of decision -making. It allows users to ask very powerful "What if...?" questions: What if we increase the price by 5%? What if we increase price by 10%?(Page No.73)

147. Which of the following is sometimes referred as “the mystery approach to decision making, when subordinates are left to figure out what is happening and why”?

- ▶ Managing by hope
- ▶ Managing by extrapolation
- ▶ Managing by crisis

▶ Managing by subjectives

Ref: Managing by Subjective— built on the idea that there is no general plan for which way to go and what to do; just do the best you can to accomplish what you think should be done. In short, "Do your own thing, the best way you know how" (sometimes referred to as *the mystery approach to decision making* because subordinates are left to figure out what is happening and why).(Page no.79)

148. The purpose of an external audit is to prepare a list of which of the following?

- ▶ Opportunities and weaknesses
- ▶ Threats and strengths

► Opportunities and threats

- Strengths and weaknesses

149. Defensive strategies include all of the following EXCEPT:

- Retrenchment

► Acquisition

- Divestiture
- Liquidation

150. Smoothies Tire & Rubber Co. is selling its North American tire business to Avinza International, is an example of which type of strategy?

- Related diversification
- Retrenchment

► Divestiture

- Liquidation

Ref: Selling a division or part of an organization is called *divestiture*. Divestiture often is used to raise capital for further strategic acquisitions or investments. Divestiture can be part of an overall retrenchment strategy to rid an organization of businesses that are unprofitable, that require too much capital, or that do not fit well with the firm's other activities.

151. Which stage of the "Strategy Formulation Framework" includes an External Factor

Evaluation Matrix and a Competitive Profile Matrix?

- ▶ Matching
- ▶ Decision

▶ Input

- ▶ All of the given options

Ref: Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix. Called the *Input Stage*. (Page No.97)

152. Which one of the followings is a sign of strength in a company's competitive position?

- ▶ A website with extensive information about the company and its product line
- ▶ Annual R&D and advertising expenditures greater than Rs.10 million
- ▶ **A strongly differentiated product, a strong or rising market share**
- ▶ A debt-to-asset ratio below 0.50 and a positive net cash flow and higher EPS

153. Firm with its SPACE matrix vector in conservative quadrant should peruse all of the following strategies EXCEPT:

- ▶ Market penetration
- ▶ Product development
- ▶ Market development

▶ Divestiture

Ref: Quadrant 2 is known as conservative quadrant. In this quadrant, following strategies can be followed:

Quadrant II

Market development Market

penetration Product

development Horizontal

integration Divestiture

Liquidation (Page no.107)

154. All of the following would be considered while judging the financial strength of an organization EXCEPT:

► Increase in revenues

► **Marketshare**

► Return on Investment

► Cash flow statement

Ref: Determining financial strengths and weaknesses key to strategy formulation

Investment decision (Capital budgeting)

Financing decision

Dividend decision

Market share cannot be determined by above 3 decisions.

155. Which one of the following is NOT a major region of IE matrix?

- ▶ Grow and build

▶ Grow and maintain

- ▶ Hold and maintain
- ▶ Harvest or divest

Ref: IE Matrix divided into three major regions.

Grow and build – Cells I, II, or IV

Hold and maintain – Cells III, V, or VII

Harvest or divest – Cells VI, VIII, or IX

156. Which of the following strategy should be perused first by the Irtiza Insurance Company as it is located in Quadrant III of the Grand Strategy Matrix?

- ▶ Diversification
- ▶ Liquidation

▶ Retrenchment

- ▶ Divestiture

Ref: In quadrant III strategies should be followed in following sequence:

Quadrant III

1. Retrenchment
2. Concentric diversification
3. Horizontal diversification
4. Conglomerate diversification
5. Liquidation

157. According to the Grand Strategy Matrix, in which quadrant organizations have a strong competitive position but are in a slow-growth industry?

- ▶ I
- ▶ II
- ▶ III



Ref: See table on page 107.

158. Which of the following is TRUE about weights assigned in QSPM?

- ▶ This refers to preference assigned to the internal and external factors

▶ This refers to relative importance of the internal and external factors

- ▶ This refers to the insignificance of the internal and external factors
- ▶ This refers to the relative size of the internal and external factors

Ref: The weight assigned to a given factor indicates the relative importance of the factor to being successful in the firm's industry. (Page No.75)

159. Which of the following is the first step in preparing a pro forma financial analysis?

- ▶ Prepare the projected balance sheet
- ▶ Perform EPS/EBIT analysis

- Calculate the projected net income

► **Prepare the projected income statement**

There are six steps in performing pro forma financial analysis: 1.

Prepare income statement before balance sheet (forecast sales)

2. Use percentage-of-sales method to project CGS and expenses
3. Calculate projected net income
4. Subtract dividends to be paid from Net Income and add remaining to Retained Earnings
5. Project balance sheet times beginning with retained earnings
6. List comments (remarks) on projected statements.

160. In preparing projected statements, to project cost of goods sold and the expense items in the income statement, which of the following is recommended?

- Use the net worth method
- EPS/EBIT analysis

► **Use percentage-of-sales method**

- Use price-earnings ratio method

Use percentage-of-sales method to project CGS and expenses

161. At least how many approaches are used for the implementation of strategy?

- Two

► Three

► Four

► Five

162. Managerial disorder and strategic deviation will appear if there is power struggle and conflicts among the departments of organization. The situation negates which one of the Rumelt's criteria?

► Consistency

► Consonance

► Feasibility

► Advantage

Ref: Consistency: Strategy should not present inconsistent goals and policies.

- Conflict and interdepartmental bickering symptomatic of managerial disorder and strategic inconsistency

163. All of the following are the examples of service activity of Porter's supply chain model EXCEPT:

► Customer support

► Packaging

► Repair services

► Installation

Ref: Service. The activities that maintain and enhance the product's value, including: customer support, repair services, installation, training, spare parts management, upgrading, etc.

164. All of the following are primary activities of Porter's supply chain model EXCEPT:

- ▶ Marketing and Sales
- ▶ Outbound Logistics

▶ Firm Infrastructure

- ▶ Inbound Logistics

Rationale: Firm Infrastructure is included in support activities. (Page no. 147)

165. Which of the following statement is TRUE about Inbound Logistics?

▶ It includes receiving, storing, inventory control & transportation planning

- ▶ It includes machining, packaging, assembly, equipment maintenance & testing
- ▶ It includes activities required to deliver the finished product to the customers' end
- ▶ It includes the activities that maintain and enhance the product's value

Inbound Logistics. Includes receiving, storing, inventory control, transportation planning.

166. A revised EFE Matrix should focus on which of the following?

- ▶ Changes in the organization's management, marketing R & D, computer information system and environment.
- ▶ Marketing, finance/accounting, production/operations, R&D and computer information systems strengths and weaknesses

▶ Effectiveness of a firm's strategies in response to key opportunities and threats

- ▶ Effectiveness of an organization's strategy in pursuing the competitive goals and managerial actions

167. *Alternative strategy is decided in decision stage of Strategy-Formulation Framework. Which matrix is used in this stage to serve this purpose?*

- ▶ BCG Matrix
- ▶ SPACE Matrix
- ▶ IE Matrix

▶ QSPM Matrix

Ref: The Quantitative Strategic Planning Matrix (QSPM)

The last stage of strategy formulation is decision stage. In this stage it is decided that which way is most appropriate or which alternative strategy should be select. This stage contains QSPM that is only tool for objective evaluation of alternative strategies. (Page no.110)

168. Input stage of strategy formulation framework includes developing which of the following set of matrices?

- ▶ IFE, EFE and QSPM matrix
- ▶ IFE, IE and BCG matrix

▶ IFE, CPM and EFE matrix

- ▶ EFE, IE and CPM matrix

Ref: Stage 1 of the formulation framework consists of the EFE Matrix, the IFE Matrix, and the Competitive Profile Matrix Called the *Input Stage*. (Page No.97)

169. Identify a case when a firm should adopt aggressive strategies.

▶ If a firm's directional vector is located in upper-right quadrant of a SPACE matrix

- ▶ If a firm's directional vector is located in upper-left quadrant of a SPACE matrix
- ▶ If a firm's directional vector is located in lower-right quadrant of a SPACE matrix
- ▶ If a firm's directional vector is located in lower-left quadrant of a SPACE matrix

170. Firms located in which quadrant of the Grand Strategy Matrix are in an excellent strategic position?

▶ I

- ▶ II

- ▶ III

► IV

Quadrant I of the Grand Strategy Matrix is in an excellent strategic position

171. Which of the following is the best divisional structure when a few major customers are of paramount importance and many different services are provided to these customers?

► By geographic area

► **By customer**

► By product

► By process

Ref: This structure allows an organization to cater effectively to the requirements of clearly defined customer groups. For example, book publishing companies often organize their activities around customer groups such as colleges, secondary schools, and private commercial schools. (Page no.119)

172. How can an ESOP empower employees?

► **It empowers employees to work as owners**

► It empowers employees to make financial plan

► It empowers employees to assess customer's needs

► It empowers employees to give training to other workers

Ref: an *employee stock ownership plan (ESOP)*, are corporations owned in whole or in part by their employees. Employees are usually given a share of the

corporation after a certain length of employment or they can buy shares at any time.(Page no.128)

173. All of the following steps are required in product positioning EXCEPT:

► Select key criteria that effectively differentiate products or services in the industry

► **Position your firm in the middle of the map**

► Plot major competitors' products or services in the resultant matrix
► Identify areas in the positioning map where the company's products or services could be most competitive in the given target market

Ref: The following steps are required in product positioning:

1. Select key criteria that effectively differentiate products or services in the industry.
2. Diagram a two-dimensional product-positioning map with specified criteria on each axis.
3. Plot major competitors' products or services in the resultant four-quadrant matrix.
4. Identify areas in the positioning map where the company's products or services could be most competitive in the given target market. Look for vacant areas (niches).
5. Develop a marketing plan to position the company's products or services appropriately.

174. Some potential problems associated with using quantitative criteria for evaluating strategies include all of the following EXCEPT:

► Most quantitative criteria are geared to annual objectives rather than long-term objectives

► These ratios use qualitative data for evaluating strategies which often is not available

► Different accounting methods can provide different results on many quantitative criteria

► Intuitive judgments are almost always involved in deriving quantitative criteria

Rationale: Ratios always use quantitative data for evaluation which is often not available.

175. Which of the following is MOST appropriate about financial ratios?

► Compare a firm's performance with competitors

► Compare a firm's performance with suppliers

► Compare a firm's performance with non-financial ratios

► Compare a firm's performance with business standards

Ref: Quantitative criteria commonly used to evaluate strategies are financial ratios, which strategists use to make three critical comparisons: (1) comparing the firm's performance over different time periods, (2) comparing the firm's performance to competitors', and (3) comparing the firm's performance to industry averages..(Page no.151)

176. Which of the following is NOT included in the strategic management model?

- ▶ Measure and evaluate performance
- ▶ Establish long-term objectives
- ▶ Develop mission and vision statements

▶ Perform internal research to identify customers

177. A mission statement should “reconcile interests among diverse stakeholders”. What does it mean?

- ▶ All shareholders must be satisfied
- ▶ Shareholders should be given preference over customers

▶ Firm will devote attention to meeting claims of various stakeholders

- ▶ Firm will devote its attention towards the maximization of shareholders value

178. Which of the following is the first step in the controlling function of management?

- ▶ Take corrective actions
- ▶ Restrict breaks employees take
- ▶ Evaluate expense reports

▶ Establish performance standards

179. Which of the following allows an organization to test alternative marketing plans and to forecast future sales of new products?

- ▶ Marketing
- ▶ Advertisement

▶ **Testmarketing**

- ▶ Customer analysis

180. The steps required to perform cost/benefit analysis include all BUT:

- ▶ Comparing the total costs with the total benefits
- ▶ Figure out the total costs associated with a decision
- ▶ Approximation of the total benefits from the decision

▶ **Adding the total cost and total benefit**

181. In strategy formulation phase, what can be the problem when only financial ratios are used to measure organizational performance?

▶ **They need to be compared with competitors'**

- ▶ They are only understandable by accountants
- ▶ There are many different measures available
- ▶ The measures are usually inconsistent

Financial measures need to be compared with competitors to have any value in a strategic sense

182. The IFE matrix summarizes and evaluates which factors in the functional areas of a business?

- ▶ Opportunities and threats

▶ **Strengths and weaknesses**

- ▶ Strengths and threats
- ▶ Opportunities and weaknesses

183. *The Web sites that sell products directly to the consumers are the examples of which type of strategy?*

- ▶ Backward integration
- ▶ Product development

▶ **Forward integration**

- ▶ Horizontal integration

184. *Which of the followings best describes the Horizontal Integration?*

- ▶ A firm takes over a supplier
- ▶ A firm takes over a distributor

▶ **A firm takes over a competitor**

- ▶ A firm takes over a manufacturer

185. *Which of the following is a drawback or limitation of Horizontal Integration?*

▶ **Synergies may be more imaginary than real**

- ▶ It can increase suppliers' and buyers' bargaining power
- ▶ Economies of scale are likely to be decreased
- ▶ Both the first & third options are correct

186. *Competitive advantage based on differentiation derives from:*

- ▶ Being the lowest cost producer in the industry and offering the lowest priced products
- ▶ Having processes and systems which are different from competitors

▶ Offering products which offer different benefits from competitors' and are valued by buyers

- ▶ Having the broadest range of different goods and services in the industry

187. All of the following situations are conducive to market development EXCEPT:

▶ When new channels of distribution are expensive

- ▶ When new untapped or unsaturated markets exist
- ▶ When an organization has excess production capacity
- ▶ When an organization's basic industry is becoming rapidly global

188. Which strategy would be effective when the stockholders of a firm can minimize their losses by selling the organization's assets?

▶ Liquidation

- ▶ Integration
- ▶ Differentiation
- ▶ Diversification

189. ABC firm has high production cost in Pakistan due to expensive raw material. The firm is formulating the strategy of capturing the European market as prices of raw material used in ABC firm's products is relatively low in European market and demand is also there for the firm's products. Which of the following strategy the firm is going to use?

► **WO**

- SW
- ST
- WT

190. What of the following strategy would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-5, -2)?

- Market penetration
- Market development
- Backward integration

► **Retrenchment**

191. ABC company is competing in an industry where the growth rate of that industry from year to year has reached zero or is close to zero, ABC is operating in which industry?

- Growing industry
- Emerging industry
- Mature industry

► **Declining industry**

192. IE matrix is based on which dimensions?

- Market share and industry growth
- Financial strength and industry strength

► **Weighed scores of IFE and EFE matrices**

- Market growth and competitive position

193. How can the divisions that fall in hold and maintain region of IE matrix be best managed?

► **Market penetration and product development**

- Forward integration and backward integration
- Horizontal diversification and joint venture
- Mergers and acquisitions

194. In Grand strategy matrix what will be the appropriate quadrant for the Ahmad textiles if it is operating in slow growing market and holds weak competitive position?

- Quadrant I
- Quadrant II

► **Quadrant III**

- Quadrant IV

195. Numerical values that indicate the relative attractiveness of each strategy in a given set of alternative strategies is referred as:

- Total attractiveness score

► **Attractiveness score**

- Weighted score
- Total weighted score

Attractiveness Scores (AS) defined as numerical values that indicate the relative attractiveness of each strategy in a given set of alternatives

196. *What can be the limitation of QSPM?*

- ▶ Only a few strategies can be evaluated simultaneously
- ▶ The cost of doing the analysis is very high

▶ **Intuitive judgments and educated assumption are required**

- ▶ It requires equal participation of everyone in organization

197. Which organizational structure is the most simple and economical?

- ▶ Strategic business unit

▶ **Functional structure**

- ▶ Divisional structure
- ▶ Matrix structure

198. All of the following fall under the category of restructuring EXCEPT:

- ▶ Reducing number of employees

▶ **Reducing number of shareholders**

- ▶ Reducing number of divisions
- ▶ Reducing number of hierarchical levels

Involves reducing the size of the firm in terms of number of employees, number of divisions or units, and number of hierarchical levels in the firm's organizational structure

199. Which one of the following is Educative change strategy?

- ▶ Giving orders to subordinates and enforcing those orders
- ▶ Changing the strategy of educational institutions

▶ **Presenting information to convince people of the need for change**

- ▶ Attempting to convince individuals that the change is for their interest

The educative change strategy is one that presents information to convince people of the need for change

200. Under Just in Time (JIT) approach, when the new stock is ordered?

► When stock comes to an end

► When stock reaches the re-order level

► On 1st of each month

► At the start of the year

201. Which one of the following variables is not directly affected by market segmentation?

► Product

► Place

► Process

► Price

202. In the low earnings period, which one of the following can endanger stockholders' return and can put in danger the company survival?

► Too much debt in the capital structure

► Too much liquid assets in the capital structure

► Too much equity in the capital structure

► Too much tax in the capital structure

203. Which element in the projected income statement cannot be forecasted using the percentage-of-sales method?

- ▶ Cost of goods sold

▶ **Interest expense**

- ▶ Selling expense
- ▶ Administrative expense

204. Which of these is the most common type of budgeting time frame?

- ▶ Daily
- ▶ Monthly
- ▶ Quarterly
- ▶ **Annually**

205. Which of the following is NOT accepted for determining a business worth?

- ▶ Firm's holdings
- ▶ Firm's earnings

▶ **Firm's return on investment**

- ▶ Firm's bringing in to the market

1. What a firm owns (hold)
2. What a firm earns
3. What a firm will bring in the market.

206. If technology is changing rapidly and the market is growing slowly then what decision the firm should take regarding R & D?

- ▶ In-house R&D should be established

► Acquisition of a well-established firm in the industry

► *R&D investment is risky, so don't take any action*

- ▶ Obtain R&D expertise on a nonexclusive basis

207. Which of the following is NOT one of the major approaches to R&D?

- ▶ To be an innovative imitator of successful products
- ▶ To be a low-cost producer by mass-producing products
- ▶ To be a differentiated products manufacturer in industry
- ▶ To be the first firm to market new technological products

208. What is the appropriate time frame for strategy-evaluation activities?

- ▶ At the beginning of a problem
- ▶ On a continuous basis
- ▶ Upon completion of major projects
- ▶ After the closing of financial year

209. To make changes in the organization's management, marketing, finance/accounting and R&D, which one of the following should be focused?

- ▶ Revised mission
- ▶ Revised IFE matrix
- ▶ Revised EFE matrix
- ▶ Revised EPM matrix

210. A revised IFE Matrix should focus on which one of the following?

- Changes in the organization's management, marketing R & D, computer information system and external environment.

►Marketing, finance/accounting, production/operations, R&D and computer information systems strengths and weaknesses

- Effectiveness of a firm's strategies in response to key opportunities and threats
- Effectiveness of an organization's strategy in pursuing the competitive goals and managerial actions

211. Which of the following statement is TRUE about most of the quantitative criteria of evaluating strategies?

► These are geared to annual objective

- These are geared to short-term objective
- These are geared to long-term objective
- These are geared to social objectives

Most quantitative criteria are geared to annual objectives

212. Which one of the following is NOT correct about financial ratios?

- These are used to compare the firm's performance over different time periods
- These are used to compare the firm's performance relevant to its competitors'
- These are used to compare the firm's performance in relation to industry averages

►These are used to compare the firm's performance in relation to future trends

213. Which of the following enables the firm to create superior value for its customers and superior profits for itself in comparison to its rival firms?

► **Competitive advantage**

- Comparative advantage
- Differential advantage
- Suitable advantage

214. Which of the following environment includes all those factors which affect the organization and is itself affected by the organization?

► **Task environment**

- Social environment
- External environment
- Internal environment

215. Non-financial benefits of strategic management include all of the following EXCEPT:

- Enhanced awareness of threats
- Reduced resistance to change

► **Increase in sales**

- Better awareness of external threats

216. Which cell of the TOWS Matrix involves matching internal strengths with external opportunities?

- The WT cell

► **The SO cell**

- The SW cell
- The ST cell

217. In the Boston Consulting Group (BCG) growth-share matrix, which strategy in the matrix describes large generation of cash and heavy investment needed to grow and maintain competitive positioning but net cash flow is usually modest?

► **Stars**

- Dogs
- Cash cows
- Question marks

218. Which of the following best describes “Strategy Implementation”?

- It refers to positioning forces before the action
- It focuses on effectiveness

► **It requires coordination among many individuals**

- It requires coordination among few individuals

219. There are numerous external and internal factors that can prohibit firms from achieving long-term and annual objectives. Which of the following is NOT an external factor?

- Actions by competitors
- Changes in technology
- Changes in demand

► **Ineffective strategies**

220. According to “Linneman and Chandran”, which of the following permits quick response to change, prevents panic in crisis situations and makes managers more adaptable?

► Forecasting

► Contingency planning

► Taking corrective actions

► Environmental scanning

FINAL TERM EXAMINATION

Fall 2008 (paper 6)

MGT603- Strategic Management (Session - 1)

221. Strategic management integrates all of the following areas EXCEPT:

Management

Marketing

Research and development

Human resource management

Explanation: The study of strategic management integrates different topics.

Different courses are integrated due to the study of this course so that businesses become successful in every sector. It integrates the following:

1. Marketing
2. Management
3. Finance
4. Research and development

222. Which type of trend can be exemplified by the increase in average level of education in a society?

Cultural

Technological

Economic

Social

223. All of the following fall under the category of Process functions of production management EXCEPT:

Choice of technology

Quality assurance

Process flow analysis

Transportation analysis

Process decisions concern the design of the physical production system. Specific decisions include choice of technology, facility layout, process flow analysis, facility location, line balancing, process control, and transportation analysis.

224. A planned activity aimed at discovery of new knowledge with the hope of developing new or improved products and services and translation of its findings into a plan or design of new or improved products and services is known as:

Marketing

Research

and development

Production

Management information system

225. _____ become/s information only when it/they is/are evaluated, filtered, condensed, analyzed and organized for a specific purpose, problem, individual, or time

Material

Data

Competitive advantages

Competitor analysis

226. *The extent to which a business concentrates on a narrowly defined market is best referred to as:*

Niche strategy

Cost leadership strategy

Differentiation strategy

Segmentation

NicheMarketing: - Segment is a large identifiable group within a market. -

Niche is a more narrowly defined group.

Niche Marketing

A niche is a more narrowly defined group, (typically a small market

whose needs are not being well served). Marketers usually identify niches

by dividing a segment into sub segments or by defining a group seeking a distinctive mix of benefits. For example, a tobacco company might identify two sub segments of heavy smokers: those who are trying to stop smoking, and those who don't care.

227. under which of the following conditions, Concentric Diversification would be particularly an effective strategy to pursue?

When an organization has grown so large so quickly that major internal reorganization is needed

When sales of current products would increase intensively by adding the new related products

When revenues from current products/services would increase significantly by adding the new unrelated products

When current products are in maturity stage of the product life cycle

Guidelines for Concentric Diversification

Five guidelines when concentric diversification may be an effective strategy are provided below:

- Competes in no- or slow-growth industry
- *Adding new & related products increases sales of current products*
- New & related products offered at competitive prices
- Current products are in decline stage of the product life cycle
- Strong management team

228. Which of the following stages in the strategy-formulation framework focuses on summarizing the basic information needed to formulate strategies?

Output

Input

Decision

Matching

Input Stage, Stage 1 summarizes the basic input information needed to formulate strategies.

229. Which of the following stages of Strategy Formulation Framework involves development of Internal-Factor Evaluation Matrix?

Input stage

Output stage

Matching stage

Decision stage

Stage-1 (Formulation Framework)

1. External Factor Evaluation

2. Competitive matrix profile

3. Internal Factor Evaluation

230. Which of the following stages of strategy formulation framework involves development of Internal External Matrix?

Input stage

Output stage

Matching stage

Decision stage

Stage-2 (Matching stage)

1. TWOS Matrix (Threats-Opportunities-Weaknesses-Strengths)
2. SPACE Matrix (Strategic Position and Action Evaluation)
3. BCG Matrix (Boston Consulting Group)
4. IEMatrix (Internal and external)
5. GS Matrix (Grand Strategy)

231. *In order to avoid the emergence of substitute Products Corporation has obtained an access and control over the scarce natural resources necessary to produce their products. Thus, which of the following strategies is being practiced by AF & Z Corporation?*

SO Strategy

WO Strategy

WT Strategy

ST Strategy

232. *What type of strategies would you recommend when a firm's SPACE Matrix directional vector has the coordinates (-2, +3)?*

Aggressive

Conservative

Competitive

Defensive

233. Which of the following is NOT a step for the preparation of a SPACE matrix?

Select a set of variables to relating to financial strength, competitive advantage, environmental stability, and industry strength

Assign a numerical value ranging from +1 (worst) to +6 (best) to each of the variables that make up the financial strength and industry strength dimensions

Assign weights to the variables according to their relative importance for the firm

Compute an average score and dividing by the number of variables

Steps for the preparation of SPACE Matrix

The steps required to develop a SPACE Matrix are as follows:

1. Select a set of variables relating to financial strength, competitive advantage, environmental stability, and industry strength

2. Assign a numerical value ranging from +1 (worst) to +6 (best) to each of the variables that make up the financial strength and industry strength dimensions.
Assign a numerical value ranging from -1 (best) to -6 (worst) to each of the variables that make up the environmental stability and competitive advantage dimensions.

3. Compute an average score and dividing by the number of variables

4. Plot the average scores in the SPACE Matrix.

5. Add the two scores on the x-axis and plot the resultant point on X. Add the two scores on the y-axis and plot the resultant point on Y. Plot the intersection of the new xy point.

6. Draw a directional vector from the origin of the SPACE Matrix through the new intersection point.

234. *What is the product of weights and attractiveness scores for each strategy in QSPM?*

Sum total attractiveness scores

Total attractiveness scores

Weighted scores

Total weighted scores

Compute the Total Attractiveness Scores. Total Attractiveness Scores are defined as the product of multiplying the weights (Step 2) by the Attractiveness Scores (Step 4) in each row.

235. *Which of the following is a corporate level objective?*

Getting 75% customer awareness of company's brand in target markets

Increasing earnings per share by at least 10%

Building customer database of at least 250,000 companies

Achieving a 10% share of International market

(1) Corporate level

These are objectives that concern the business or organization as a whole

Examples of "corporate objectives might include:

1. We aim for a return on investment of at least 15%
2. We aim to achieve an operating profit of over £10 million on sales of at least £100 million
3. We aim to increase earnings per share by at least 10% every year for the foreseeable future

236. The manager of MZ firm has defined the goal that the firm wants to increase its production by at least 200 units in size. Thus, which part of the SMART criteria has been focused by the firm through this goal statement?

Specific

Measurable

Achievable

Relevant

237. Mr. Ali, the operations manager of ABC Company did not agree with the proposal of marketing manager - Mr. Zeeshan at the meeting regarding launch of a new product. There was an exchange of hot word among them. The matter was

referred to CEO, so that the conflict could be resolved, but the CEO did

not take any action in the hope that the conflict will resolve itself. The statement describes which of the conflict resolution mood?

Avoidance

Compliance

Diffusion

Confrontation

Avoidance is sometimes the best course of action. Often time will fix whatever problem has existed and trying to fix it yourself will just make it worse. Still this rarely works. More often than not, avoiding conflict is just a sign of an inability to successfully manage problems. The conflict avoider often develops rationales for the conflict, dodges meetings or conversations where conflict is present, and hopes the conflict will resolve itself on its own.

238. Ahmad fisheries is going to arrange a meeting with AH& T distributors so that the matters regarding wrong delivery by AH & T and conflict arising from it can be settled. Which of the following conflict resolving approach is followed in the situation?

Avoidance

Confrontation

Resistance

Diffusion

239. Of the following, which one is least likely to be considered an advantage presented by a matrix organizational structure?

It facilitates the use of highly specialized staff and equipment

It minimizes the project cost because the key people can be shared

It can raise dual reporting and communication problems

It provides excellent training ground for strategic managers

It is the disadvantage of matrix structure:

It can raise dual reporting and communication problems

240. Zairian Corporation has streamlined its operations by cutting costs, such as decrease in payroll or reduction in its size through the sale of assets. In which of the following activity Zaria Corporation is involved?

E-Engineering Re-

engineering **Restructuring**

Benchmarking

A company restructures its operations or structure by cutting costs, such as payroll, or reducing its size through the sale of assets

241. Production processes typically constitute of what percentage of firm's total assets?

More than 70 %

More than 65 %

More than 60 %

More than 55 %

Production processes typically constitute more than 70 percent of a firm's total assets

242. Which one of the following is TRUE about two different market segments?

They can be served with the same marketing strategy

They usually require different marketing strategies

They are always in different geographic locations

There is heterogeneity within the segment in its needs

A true market segment meets all of the following criteria:

1. It is distinct from other segments. Different segments have different needs.

2. It is homogeneous within the segment. People belonging to a market segment exhibit common needs.
3. It responds similarly to a market stimulus.
4. It can be reached by a market intervention.

243. XYZ Company has segmented its market by keeping in view occupation and education level of customers. Which of the following bases of segmentation the company has used?

Demographic

Psychographic

Behavioural

Geographic

Some Demographic segmentation variables include:

- Age
- Gender
- Family size
- Family lifecycle
- Generation: baby-boomers, Generation X, etc.
- Income
- Occupation
- Education
- Ethnicity
- Nationality
- Religion
- Social class

244. Which of the following statement is TRUE about 'firm infrastructure' as a support activity of Michael Porter's value chain model?

It includes procurement of raw materials, servicing, spare parts, buildings, machines

It Includes technology development to support the value chain activities like Process automation

It includes the activities associated with recruiting and development of employees and managers

It includes general management, planning management, legal, finance, accounting, public affairs

Firm Infrastructure Includes general management, planning management, legal, finance, accounting, public affairs, quality management, etc.

245. Which of the following statement is correct about human resource management?

It includes procurement of raw materials, servicing, spare parts, buildings, machines

It Includes technology development to support the value chain activities like Process automation

It includes the activities associated with recruiting and development of employees and managers

It includes general management, planning management, legal, finance, accounting, public affairs

Human Resource Management The activities associated with recruiting, development (education), retention and compensation of employees and managers

246. All of the following are the cost drivers of Porter's supply chain activities

EXCEPT:

Capacity utilization

Timing of market entry

Economies of scale

Firm's infrastructure

Porter identified 10 cost drivers related to value chain activities:

1. Economies of scale.

2. Learning.

3. Capacity utilization.

4. Linkages among activities.

5. Interrelationships among business units.

6. Degree of vertical integration.

7. Timing of market entry.

8. Firm's policy of cost or differentiation.

9. Geographic location.

10. Institutional factors (regulation, union activity, taxes, etc.).

248. *The people who perform audit can be categorized as all of the following EXCEPT:*

Independent auditors

Financial auditor

Government auditors

Internal auditors

People who perform audits can be divided into three groups:

1. [Independent auditors](#)
2. [Government auditors](#)
3. [Internal auditors](#)

249. *R&D expertise should be obtained through acquisition of a well-established firm in the industry in which of the following situation?*

► **If both technical progress and market growth are fast**

- If technology is changing slowly but the market is growing fast
- If the technical progress is slow, market growth the rate is moderate
- If technology is changing rapidly and the market is growing slowly

250. The purpose of a mission statement is to declare all of the following EXCEPT:

- ▶ A reason of being
- ▶ A statement of purpose
- ▶ An annual financial plan
- ▶ A statement of beliefs

251. Ethnic balance changes due to the migration of the people from different areas to different areas. This affects the ethical behavior very much", this is the effect of which of the following forces?

- ▶ Economic forces
- ▶ Social, cultural, and demographic forces
- ▶ Technological forces
- ▶ Competitive forces

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252. Which one of the statements is a good example of the competitive power of substitute products?

- ▶ The competition between contact lens and eyeglasses
- ▶ The competition between Amazon.com and traditional off-line bookstores

- ▶ The competition between cellular phones and computers
- ▶ The competition between Aspirin and joshanda

253. Assigning 1 rating to a key external factor indicates that:

► Response is average

► **Response is poor**

► Response is superior

► Response is above average

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254. What is the difference between CPM and EFE?

► **CPM includes both internal and external issues**

► The weight and total weighted score mean opposite

► CPM ratings range from 1 to 10

► CPM is performed only for the large businesses

255. Which of the following can be the strength of an organization?

► A developing market

► A new international market

► Loosening of regulation

► **Strong management team**

256. Abdullah Group of Industries is involved in the sale most likely to say that Abdullah Group is implement strategy

► **Joinventure**

- Acquisition
- Liquidation
- Retrenchment

257. Which strategy should be implemented when a division organization's overall poor performance?

► **Divestiture**

- Forward integration
- Cost leadership
- Related diversification

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258. Matching stage of strategy formulation framework comprises of formulation of which of the following set of matrices?

► BCG, SPACE, QSPM matri

► **BCG, SPACE, TWOS Matrix**

- SPACE, TWOS and IFE matrix
- BCG, SPACE, EFE Matrix

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259. "Other than ranking strategies to achieve the prioritized list, only one analytical technique in strategy formulation which is designed to determine the relative attractiveness of feasible alternative actions" is known as:

► SPACE

► QSPM

► IFE

► CPM

260. A position vector with $(-6, +6)$ coordinates describes which one of the following statement regarding SPACE analysis matrix

► A financially weak and highly competitively firm

► A financially strong and highly competitively firm

► A financially strong firm but competitively weak

► A financially as well as competitively weak firm

261. On the x-axis of IE Matrix, an IFE total weighted score of 3.75 depicts what?

- ▶ A weak internal position
- ▶ An average internal position

▶ **A strong internal position**

- ▶ A low internal position

On the x-axis of the IE Matrix, an

IFE total weighted score of 1.0 to 1.99 represents a weak internal position; a score of 2.0 to 2.99 is considered average; and a score of 3.0 to 4.0 is strong.

262. Which of the following is NOT a part of resource allocation plan?

- ▶ Basic allocation decision
- ▶ Contingency mechanisms

▶ **Primary allocation mechanism**

- ▶ None of the given options

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263. Which one of the following is not an approach to resolve conflicts?

- ▶ Avoidance
- ▶ diffusion

► Confrontation

► Ignorance

Strategies for resolving or preventing the development of conflict can be classified as avoidance, diffusion, or confrontation.

264. Which approach for managing and resolving conflict involves playing down differences between conflicting parties while stressing on similarities and common interests?

► Avoidance

► Compliance

► **Diffusion**

► Confrontation

A diffusion strategy can include playing down differences between conflicting parties while accenting similarities and common interests, compromising so that there is neither a clear winner nor loser, resorting to majority rule, appealing to a higher authority, or redesigning present positions.

<http://pechdawin.blogspot.com/2010/10/glossary-fo-strategic-management.html>

265. All of the following would be considered as true statements regarding the matrix organizational structure EXCEPT which one?

► **It reduces managerial positions**

► It shares authority and responsibility among managers

► It distributes stress among the team members

► It maintains better balance between time and performance

The basis for the matrix organization is an endeavor to create synergism through shared responsibility between project and functional management. Other

advantages of a pure matrix organizational form, to project management, include:

- Because key people can be shared, the project cost is minimized
- Conflicts are minimal, and those requiring hierarchical referrals are more easily resolved
- There is a better balance between time, cost and performance
- Authority and responsibility are shared
- Stress is distributed among the team

266. The inventory is viewed as which of the following in Just in Time Inventory system

► **Incurring costs**

- Adding value
- Disburse expense
- None of the given options

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267. What is NOT a major benefit of having a diverse workforce?

- Improvement of the bottom line

► **An increase in training costs**

- An increase in productivity
- A decrease in complaints

268. *Market segmentation is especially used in implementing strategies by which*

of the following firms?

► **Small firms**

- Large firms
- Medium-size firms
- All of the given options

Market segmentation is widely used in implementing strategies, especially for small and specialized firms.

269. *All of the following are the requirements for successful segmentation EXCEPT:*

- Segment is large enough to be profitable

► **Homogeneity between the segments**

- Segments are accessible and actionable
- Heterogeneity between segments

The requirements for successful segmentation are:

- Homogeneity within the segment
- Heterogeneity between segments
- Segments are measurable and identifiable
- Segments are accessible and actionable
- Segment is large enough to be profitable.....

270. "The process of dividing markets into groups of consumers who are similar to each other". Which of the following terms describes the statement?

► Positioning

►Segmentation

- Marketing
- Targeting

Segmentation

The process of dividing markets into groups of consumers who are similar to each other, but different to the consumers in other groups.

<http://www.esomar.org/index.php/glossary-s.html>

271. Which of the following statements is FALSE about mass marketing?

- Mass marketing reduces costs through economies of scale by the increased volume

►Mass marketing does not try to please all customers with same offering

- Mass marketing allows economies of scale to be realized through mass production
- Mass Marketing means attempting to sell the same product to a wider audience

It is definition of Target Marketing:

Target marketing on the other hand recognizes the diversity of customers and does not try to please all of them with the same offering

272. What is the purpose of strategy evaluation?

- Increase the budget annually

►Alert management of problems

- Make budget changes

- ▶ Evaluate employees' performance

Purpose of strategy evaluation

- Strategy evaluation is vital to the organization's well-being
- Alert management to potential or actual problems in a timely fashion
- Erroneous strategic decisions can have severe negative impact on organizations

273. All of the following are the examples of technology development EXCEPT:

- ▶ Research and Development

▶ **Quality management**

- ▶ Process automation
- ▶ Design and redesign

Technology Development Includes technology development to support the value chain activities.

Such as: Research and Development, Process automation, design, redesign

274. What is the basis for quantitative financial evaluation?

- ▶ The EPS/EBIT Analysis
- ▶ Capital Asset Pricing Model

▶ **Financial ratios**

- ▶ Present value analysis

What is the basis for quantitative financial evaluation?

- a. Reduction in costs
- b. The EPS/EBIT Analysis
- c. Capital Asset Pricing Model

d. Financialratios

- e. Present value analysis